



वार्षिक प्रतिवेदन
ANNUAL REPORT
2018-19



हिन्दुस्तान कॉपर लिमिटेड

HINDUSTAN COPPER LIMITED

A Miniratna Category - I CPSE

www.hindustancopper.com

Vision

To strive to be a leading metal mining company and maximize total shareholder return by sustainably finding, developing and mining Copper ore and such other geologically associated minerals.

Mission

To achieve sustainable growth in business through optimum & efficient use of existing resources and assets.

To achieve rapid expansion of mining capacity through expansion of existing mines, re-opening of closed mines and Greenfield projects.

Detailed exploration of existing mines and new mining leases to expand mining capacity.

To enhance the value of the Company by focusing on performance improvement.

To assimilate state-of-the art technology in exploration, mining and beneficiation of ores for competitive advantage.

To strive for continuous improvement in productivity and energy to bring at par with the best internationally.

To continue innovation through research & development.



HINDUSTAN COPPER LIMITED

(A Government of India Enterprise)

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Registrar and Transfer Agent		
M/s. C B Management Services (P) Ltd.		
P-22 Bondel Road, Kolkata - 700 019		
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Kolkata - 700 019, India		
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Fax No. : (033) 2283 2478, 2283 2640		
E-mail : investors_cs@hindustancopper.com		
CIN : L27201WB1967GOI028825		
Website : www.hindustancopper.com		

Important Communication to Members

Members are requested to convert their shares into electronic mode and register e-mail and Bank account details for better servicing. Please refer notes to AGM notice.

Fifty Second Annual General Meeting on Wednesday, 31st July, 2019 at 11:00 a.m.

The Annual Report can be accessed at www.hindustancopper.com



BOARD OF DIRECTORS



SHRI SANTOSH SHARMA
Chairman and Managing Director



SHRI N. K. SINGH
Government Nominee Director



SHRI ALOK CHANDRA
Government Nominee Director



SHRI S.K. BHATTACHARYA
Director (Mining)



**SHRI SUKHEN KUMAR
BANDYOPADHYAY**
Director (Finance)



SHRI ARUN KUMAR SHUKLA
Director (Operation)



SMT. SIMANTINI JENA
Independent
Director



SHRI HEMANT MEHTANI
Independent
Director



**SHRI DILEEP RAJ SINGH
CHAUDHARY**
Independent Director



SHRI SUBHASH SHARMA
Independent
Director



HINDUSTAN COPPER LIMITED

(CIN: L27201WB1967GOI028825)

Regd. Office: 'Tamra Bhavan', 1, Ashutosh Chowdhury Avenue, Kolkata - 700 019

Phone: (033) 2283-2226, Fax:(033) 2283-2676, E-mail: investors_cs@hindustancopper.com

Website: www.hindustancopper.com

NOTICE TO THE MEMBERS

Notice is hereby given that 52nd Annual General Meeting of the members of Hindustan Copper Ltd will be held on Wednesday, 31st July, 2019 at 11:00 AM at Hall 6 (Auditorium at level 1), Biswa Bangla Convention Centre, Biswa Bangla Sarani, Block DG, New Town, Kolkata 700156 to transact the following business:-

Ordinary Business

- 1) To receive, consider and adopt the audited Financial Statement for the year ended 31st March, 2019 together with the Reports of the Directors, Auditors and C&AG.
- 2) To declare dividend on equity shares.
- 3) To appoint a director in place of Shri Santosh Sharma (DIN 07431945), who retires by rotation and is eligible for reappointment.
- 4) To appoint a director in place of Shri Sukhen Kumar Bandyopadhyay (DIN 08173882), who retires by rotation and is eligible for reappointment.
- 5) To fix remuneration of the Auditors.

Special Business

- 6) To consider and, if thought fit, to pass with or without modifications, the following resolution as Ordinary Resolution:
"RESOLVED THAT pursuant to Section 152 and all other applicable provisions of the Companies Act, 2013 and the rules made there under (including any statutory modification(s) or re-enactment thereof for the time being in force), appointment of Shri Arun Kumar Shukla (DIN 03324672) as Director (Operations) of the Company with effect from 1.10.2018 in the pay scale of ₹1,80,000 - 3,40,000/- in terms of Ministry of Mines' order No. 10/3/2017-Met.III dated 27.9.2018 and other terms and conditions as may be notified by the Government from time to time be and is hereby approved."
- 7) To consider and, if thought fit, to pass with or without modifications, the following resolution as Special Resolution:
"RESOLVED THAT pursuant to Section 152 and all other applicable provisions of the Companies Act, 2013 and the rules made there under (including any statutory modification(s) or re-enactment thereof for the time being in force), re-appointment of Smt Simantini Jena (DIN 07346980) as part time Non Official Independent Director on the Board of the Company with effect from 17.11.2018 in terms of Ministry of Mines' order No. 10/3/2015-Met.III (Pt.) dated 22.11.2018 be and is hereby approved."
- 8) To consider and, if thought fit, to pass with or without modifications, the following resolution as Special Resolution:
"RESOLVED THAT pursuant to Section 152 and all other applicable provisions of the Companies Act, 2013 and the rules made there under (including any statutory modification(s) or re-enactment thereof for the time being in force), re-appointment of Shri Hemant Mehtani (DIN 02875561) as part time Non Official Independent Director on the Board of the Company with effect from 17.11.2018 in terms of Ministry of Mines' order No. 10/3/2015-Met.III (Pt.) dated 22.11.2018 be and is hereby approved."
- 9) To consider and, if thought fit, to pass with or without modifications, the following resolution as Special Resolution:
"RESOLVED THAT pursuant to Section 152 and all other applicable provisions of the Companies Act, 2013 and the rules made there under (including any statutory modification(s) or re-enactment thereof for the time being in force), re-appointment of Shri Dileep Raj Singh Chaudhary (DIN 00269508) as part time Non Official Independent Director on the Board of the Company with effect from 1.12.2018 in terms of Ministry of Mines' order No. 10/3/2015-Met.III (Pt.) dated 22.11.2018 be and is hereby approved."
- 10) To consider and, if thought fit, to pass with or without modifications, the following resolution as Ordinary Resolution:
"RESOLVED THAT pursuant to Section 148 of the Companies Act, 2013 and Companies (Audit and Auditors) Rules, 2014 (including any statutory modification(s) or re-enactment thereof for the time being in force), the remuneration of ₹70,000/- (Rupees seventy thousand only) plus taxes as applicable and reimbursement of actual travel and out-of-pocket expenses as recommended by the Audit Committee and approved by the Board of Directors, to be paid to M/s. Chatterjee & Co, Kolkata, appointed as Cost Auditor, to conduct audit of cost records of the Company for the financial year 2019-20 be and is hereby ratified and confirmed."
- 11) To consider and, if thought fit, to pass with or without modifications, the following resolution as Special Resolution:
"RESOLVED THAT in supersession of the earlier resolution of the shareholders regarding the issue of up to 13,87,82,700 equity shares through a Qualified Institutions Placement passed in the 51st Annual General Meeting



NOTICE TO THE MEMBERS (Contd.)

held on September 27, 2018 and without affecting the action(s) already taken under the board resolutions no. 375-B-2 dated January 31, 2018 and no. 379-B-3 dated July 26, 2018, and the shareholders' special resolution dated September 27, 2018, and in accordance with the provisions of Sections 23, 42, 62, and other applicable provisions and rules, if any, of the Companies Act, 2013 (including any amendment(s) thereto or modification(s) or re-enactment thereof for the time being in force and as may be enacted from time to time), the relevant provisions of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended ("SEBI ICDR Regulations"), Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, ("Listing Regulations") the Memorandum and Articles of Association of the Company, applicable provisions of the Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder ("FEMA"), the Consolidated Foreign Direct Investment Policy issued by the Department of Industrial Policy & Promotion, and the applicable rules, regulations, guidelines or laws and / or subject to any approval, consent, permission or sanction of Securities and Exchange Board of India, the Reserve Bank of India, Registrar of Companies, West Bengal at Kolkata, BSE Limited and National Stock Exchange of India Limited and other appropriate authorities, institutions or bodies, including lenders of the Company, as may be required in this regard and further subject to such terms and conditions or modifications as may be prescribed or imposed by any of them while granting any such approvals, permissions, consents and/or sanctions which may be agreed to by the Board, and further subject to the approval of the shareholders of the Company, the Board be and is hereby authorized to create, offer, issue and allot (including with provisions for reservation on firm and / or competitive basis, of such part of issue and for such categories of persons, as may be permitted), with or without a green shoe option, up to 13,87,82,700 equity shares of the Company (i.e. 15% of the existing paid-up capital of the Company) with a face value of ₹5 (Rupees five) each ("Equity Shares") in India or in course of international offering(s) in one or more foreign markets, to Qualified Institutional Buyers ("QIBs") as defined under the SEBI ICDR Regulations, and / or any other eligible investors and / or to such other investors including, Indian or foreign investors, institutions, corporate bodies, mutual funds, insurance companies, pension funds or otherwise, who are eligible to acquire the securities in accordance with all applicable laws, rules, regulations, guidelines and approvals, whether they be holders of the Equity Shares of the Company or not, in consultation with the lead managers, advisors or other intermediaries, for an aggregate amount not exceeding ₹1,400 crore or USD 217 million, whichever is higher, in one or more tranches, by way of a Qualified Institutions Placement ("QIP") within the meaning of Chapter VI of the SEBI ICDR Regulations, at such price or prices, at market price(s) or at a permissible discount or premium to market price(s) in terms of applicable regulations to be determined by the Board at the time of such issue, at its absolute discretion, in consultation with the lead managers, advisors or other intermediaries appointed pursuant to the issue, without requiring any further approval or consent from the shareholders of the Company and subject to the applicable regulations / guideline in force."

"RESOLVED FURTHER THAT in case of any issue of Equity Shares made by way of QIP, in accordance with Regulation 171 of the SEBI ICDR Regulations, the 'Relevant Date' for determination for the floor price of the Equity Shares to be issued pursuant to the issue shall be the date of meeting in which the Board decides to open the proposed QIP."

"RESOLVED FURTHER THAT in case of any issue of Equity Shares made by way of QIP, in accordance with Regulation 179 of the SEBI ICDR Regulations, a minimum of 10% of the Equity Shares shall be allotted to mutual funds and if mutual funds do not subscribe to the aforesaid minimum percentage or part thereof, such minimum portion may be allotted to other QIBs and that no allotment shall be made directly or indirectly to any QIB who is a promoter or any person related to promoters of the Company."

"RESOLVED FURTHER THAT in case of any issue of Equity Shares made by way of QIP, in accordance with Regulation 176 of the SEBI ICDR Regulations, the Board may at its absolute discretion, issue Equity Shares at a discount of not more than five percent or such other discount to the floor price as determined in terms of SEBI ICDR Regulations and as permissible under the applicable law."

"RESOLVED FURTHER THAT the issue of Equity Shares shall be subject to the following terms and conditions:

- i. The Equity Shares that may be issued and allotted shall rank pari-passu with the then existing Equity Shares of the Company in all respects including dividend;
- ii. The number of Equity Shares that may be issued and allotted shall be appropriately adjusted for corporate actions such as bonus issue, rights issue, stock split and consolidation of share capital, merger, de-merger, transfer of undertaking, sale of division or any such capital or corporate restructuring;
- iii. The QIP issue shall be completed within a period of 12 months from the date of passing of the special resolution by the members / shareholders of the Company or such other time period as may be allowed under the SEBI ICDR Regulations from time to time; and
- iv. The Equity Shares to be offered and allotted shall be in dematerialized form."

"RESOLVED FURTHER THAT for the purpose of giving effect to any offer, issue or allotment of Equity Shares as described above, the Board, where required in consultation with the lead managers and/or other advisors, be and is hereby authorized on behalf of the Company, to do all such acts, deeds, matters and things as it may, in its absolute discretion, deem necessary or desirable for such purpose, including but not limited to the selection of QIBs to whom



NOTICE TO THE MEMBERS (Contd.)

the Equity Shares are to be offered, issued and allotted, and matters related thereto, and with power on behalf of the Company to settle all questions, difficulties or doubts that may arise in regard to such issue(s) or allotment(s) as it may, in its absolute discretion deem fit."

"RESOLVED FURTHER THAT the Company do apply for listing of the new Equity Shares as may be issued with the BSE Limited and National Stock Exchange of India Limited or any other Stock Exchange(s)."

"RESOLVED FURTHER THAT the Board of Directors of the Company be and is hereby authorised to do all acts, deeds and things and take all such steps as may be necessary, proper or expedient to give effect to this resolution."

"RESOLVED FURTHER THAT the Board be and is hereby authorised to delegate all or any of the powers pertaining to the QIP in such manner as they may deem fit to a committee of the Board and to delegate the execution or signing of all QIP related documents other than the documents pertaining to the statutory filings done with Registrar of Companies ("RoC"), BSE Limited("BSE") and National Stock Exchange of India Limited("NSE") on behalf of the Company with respect to the QIP to the extent necessary, to any two finance executives, jointly, not below the rank of Manager of the Company."

"RESOLVED FURTHER THAT the Board be and is hereby authorised to delegate the signing and execution of documents pertaining to the statutory filings done with the RoC, BSE and NSE on behalf of the Company with respect to the QIP to the Company Secretary."

- 12) To consider and, if thought fit, to pass with or without modifications, the following resolution as Special Resolution:

"RESOLVED THAT, subject to the approval of the shareholders of the Company, a Committee viz., QIP Committee be and is hereby constituted with the following Directors as its Members: the Chairman and Managing Director, the Director (Finance) and a whole-time director nominated by CMD, for dealing with all matters pertaining to the further issue of shares / securities."

"RESOLVED FURTHER THAT subject to the approval of the shareholders of the Company, the said QIP Committee, be and is hereby authorized to take such steps and to do all such acts, deeds, matters and things and accept any alteration(s) or modification(s) as they deem fit and proper and give such directions as may be necessary in regard to the issue of further Equity Shares and allotment thereof including but not limited to:

- a) Appointment and/or ratification of the appointment of the various agencies to the issue including the merchant bankers, legal counsel, international legal counsel, underwriters, other advisors, consultants, co-managers, bankers, registrar to the issue, professionals and intermediaries and all such agencies as may be involved, etc;
- b) Approving execution of all contracts, including but not limited to the placement agreement, the escrow agreement and all other agreements and documents, deeds and instruments as may be required or desirable in connection with the raising of funds through issue of securities by the Company;
- c) Approving the offer document and filing the same with the Stock Exchange and / or such other authorities or persons as may be required;
- d) Determine terms of the Issue including Approval of the issue price, rate of discount (if any), to the floor price subject to compliance with applicable rules and regulations; issue size, the number of Equity Shares to be allotted etc.;
- e) Approving affixation of the Common Seal of the Company on any agreement(s)/document(s) as may be required to be executed in connection with the above, as per Articles of Association of the Company;
- f) Approving opening and operation of Bank accounts as may be required for the transaction;
- g) Approve the dates for opening and closure of the issue;
- h) Finalization of allocation and allotment of the Equity Shares on the basis of the subscription received;
- i) To do all such acts, deeds, matters and things and execute all such other documents and pay all such fees, as it may, in its absolute discretion, deem necessary or desirable for the purpose of the transactions;
- j) To make and submit applications as may be necessary with the appropriate authorities and make the necessary regulatory filings in this regard in accordance with the SEBI ICDR Regulations and the Listing Regulations;
- k) Approve determination of the list of QIBs to whom the offer to subscribe shall be made and doing all acts necessary in this regard, including organization of any meetings in this regard with such QIBs, subject to compliance with applicable laws;
- l) Approval of all expenses incurred in relation to the QIP;
- m) Approve submission of application for in principle approval, listing of the Equity Shares of the Company on the stock exchange(s) where the Company's shares are listed and to execute and to deliver or arrange the delivery of the listing agreement(s) or equivalent documentation of the concerned stock exchange(s); and



NOTICE TO THE MEMBERS (Contd.)

- n) To authorize or delegate the signing and execution of documents pertaining to the statutory filings done with RoC, BSE and NSE on behalf of the Company with respect to the QIP to the Company Secretary and for execution or signing of all other QIP related documents to the extent necessary, to any two finance executives, jointly, not below the rank of Manager of the Company."

"RESOLVED FURTHER THAT the Chairman of the said QIP Committee shall be appointed at each such meeting of the Committee."

"RESOLVED FURTHER THAT the quorum for the meetings of the aforesaid Committee shall be any two members."

"RESOLVED FURTHER THAT the action taken by the QIP Committee pursuant to the aforesaid delegation of powers be submitted to the Board for records at the time of the next Board Meeting(s)."

- 13) To consider and, if thought fit, to pass with or without modifications, the following resolution as Special Resolution:

"RESOLVED THAT in supersession of the earlier resolution passed by the shareholders in their meeting held on 27.09.2018, pursuant to Section 180(1)(c) and all other applicable provisions if any under the provisions of the Companies Act, 2013 (including any statutory modifications or re-enactments thereof), the Memorandum and Articles of Association of the Company, consent of the shareholders be and is hereby accorded to the Board of Directors, to borrow money from India or foreign, for and on behalf of the Company across various products, as deemed to be requisite and proper for the business of the Company, on such terms and conditions as the Board of Directors may determine, as may be permitted by law from time to time, notwithstanding that the moneys to be borrowed together with the moneys already borrowed by the Company apart from temporary loans obtained from the Company's bankers in the ordinary course of business, will or may exceed the aggregate of the paid-up capital of the Company and its free reserves, provided that the total amount upto which the moneys may be borrowed by the Board of Directors and/or the Committee of Directors and outstanding at any time shall not exceed the sum of ₹ 2500,00,00,000 /- (Rupees Two thousand five hundred crore only) together with interest."

"RESOLVED FURTHER THAT pursuant to the provisions of Section 42 and 71 of the Companies Act, 2013 ('the Act'), Rule 14(2) of Companies (Prospectus and Allotment of Securities) Rules, 2014 and other applicable provisions, if any, of the Act (including any statutory modifications or re-enactments thereof for the time being in force) and in accordance with the provisions of Securities and Exchange Board of India (Issue & Listing of Debt Securities) Regulations, 2008, the Rules, Regulations, Guidelines and Circulars, as amended from time to time, the Memorandum and Articles of Association of the Company and subject to such other approvals as may be required from regulatory authorities from time to time, consent of the shareholders be and is hereby accorded to the Board of Directors jointly, to offer, issue and allot, in one or more tranches Secured or Unsecured Non-convertible Debentures/Bonds on private placement basis amounting to ₹ 2500 crore, on such terms and conditions and at such times at par or at such premium, as may be decided by the Board and, to such person or persons as the Board may decide, however that the aggregate amount of funds to be raised by issue of Non-convertible debentures/Bonds shall not exceed ₹ 2500 crore together with interest or limits as approved by the shareholders from time to time."

"RESOLVED FURTHER THAT in connection with the above, the Board, be and is hereby authorized to do all such acts, deeds, matters and things as may be deemed necessary, desirable, proper or expedient for the purpose of giving effect to this Resolution and for matters connected therewith or incidental thereto."

- 14) To consider and, if thought fit, to pass with or without modifications, the following resolution as Special Resolution:

"RESOLVED THAT in supersession of the earlier resolution passed by the shareholders in their meeting held on 27.09.2018, the consent of the Company be and is hereby accorded, in terms of Section 180(1)(a) and all other applicable provisions, if any, of the Companies Act, 2013 to the Board of Directors of the Company, to create charge / provide security for the sum borrowed on such terms and conditions and in such form and manner and with such ranking as to priority, as the Board, in its absolute discretion thinks fit, on the assets of the Company, movable and / or immovable, present and/or future, as may be agreed to between the Company and the Lenders so as to secure the borrowings by the Company from time to time, together with interest costs, charges, expenses and all other monies payable by the Company to the concerned Lenders / Institutions, under the respective arrangements entered into / to be entered by the Company and/or Board."

"RESOLVED FURTHER THAT in connection with the above, the Board is hereby authorized to finalize / approve necessary security documents as may be required and to do all such acts, deeds, matters and things as may be deemed necessary, desirable, proper or expedient for the purpose of giving effect to this Resolution and for matters connected therewith or incidental thereto."

By order of the Board

C S Singhi
GM & Co Secretary
FCS 2570

Date: 5.7.2019



NOTICE TO THE MEMBERS (Contd.)

NOTES:

- 1) **A member of the Company entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote on a poll instead of himself / herself and the proxy need not be a member of the Company. Proxies, in order to be valid and effective, must be deposited at the registered office of the Company not less than 48 hours before the commencement of the meeting. A person can act as proxy on behalf of members not exceeding fifty and holding in the aggregate not more than ten percent of the total share capital of the Company carrying voting rights. A member holding more than ten percent of the total share capital of the Company carrying voting rights may appoint a single person as proxy and such person cannot act as a proxy for any other person or shareholder.**
- 2) Corporate members are requested to send a duly certified copy of the Board Resolution authorizing their representative to attend and vote on their behalf at the meeting.
- 3) Statement pursuant to Section 102(1) of the Companies Act, 2013 (the Act), in respect of Item no 6 to 14 as set out above is annexed hereto. Route Map indicating venue of the Annual General Meeting (AGM) is given at the end of the Notice.
- 4) The Register of Members and Share Transfer Books of the Company will remain closed from 25th July, 2019 to 31st July, 2019 (both days inclusive).
- 5) Dividend on equity shares as recommended by the Board, if approved at the meeting will be paid within 30 days of declaration to those members whose names appear in the Company's Register of Members and as per beneficial owners position received from NSDL & CDSL as at the close of working hours on 24th July, 2019.
- 6) Members are requested to notify immediately change in their address, if any, to the Depository Participants (DPs) in respect of their electronic shares, and to the Company at its registered office in respect of their physical shares, quoting the folio numbers.
- 7) Members are requested to provide their Bank Account details (including MICR No., IFSC Code, Account Type etc.) to their Depository Participant if the shares are held in demat form. In case the shares are held in physical form, such details along with a cancelled cheque should be sent to the Company's Registrars & Share Transfer Agent (RTA), M/s. C B Management Services (P) Limited in order to enable the Company to credit the dividend amount directly to their Bank account. In case of non availability of MICR No. and IFSC Code, Dividend Warrant will be sent after mandatorily printing the Bank particulars on it. Further, members holding shares in dematerialized form and not submitted National Electronic Clearing System (NECS) form may please note that the bank account details as provided by their Depository Participants to the Company will be printed on the dividend warrants. The Company will not entertain any direct request from such members for deletion of or change in such Bank Account details. As such, they are requested to immediately intimate their Depository Participants about any changes in their bank account details.
- 8) Members are requested to register/ update their e-mail address by submitting the 'Email Registration Form' available at the Company's website www.hindustancopper.com. Members holding share in electronic form are requested to register/ update e-mail address with their respective DPs.
- 9) Pursuant to the provisions of Section 124 of the Companies Act, 2013 read with the Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016, the unclaimed dividend for 2011-12 and the corresponding equity shares of the Company in respect of which dividend remain unclaimed for seven consecutive years will be due for transfer to the Investor Education and Protection Fund of the Central Government on 1st November, 2019. Details of such unclaimed dividend and corresponding shares are available on the Company's website www.hindustancopper.com under the section 'Investor Relations'. In respect of the said dividend and shares, it will not be possible to entertain any claim by the Company after 1st November, 2019.
- 10) Members holding shares in physical form are requested to convert their shares in demat mode. As per SEBI (Listing Obligations and Disclosure Requirements) (Fourth Amendment) Regulations, 2018 notified on 8th June, 2018, except in case of transmission or transposition of securities, requests for effecting transfer of securities shall not be processed unless the securities are held in the dematerialized form with a depository.
- 11) Relevant documents referred to in the Notice are open for inspection at the registered office of the Company on all working days (barring Saturday, Sunday and Holidays) between 11:00 a.m. to 1:00 p.m. up to the date of the AGM.
- 12) Members desirous of getting any information about the accounts and operations of the Company or intending to raise any query at the AGM are requested to forward the same at least 10 days prior to the date of the meeting to the Company Secretary at the registered office of the Company so that the information required can be made readily available at the meeting.



NOTICE TO THE MEMBERS (Contd.)

13) Members are requested to:-

- a. produce the enclosed Attendance Slip duly filled & signed as per specimen signature recorded with the Company / DPs for admission to the meeting venue.
- b. bring their copy of Annual Report to the meeting as extra copies shall not be provided.
- c. note that due to security reasons, briefcase, eatables, etc. are not allowed inside the meeting venue.

14) Voting through electronic means:

- I. As per Section 108 of the Act and Rules notified there under and Regulation 44 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Company is providing its members the facility to exercise their right to vote on resolutions using electronic voting system (remote e-voting) provided by National Securities Depository Limited (NSDL). Shri Navin Kothari, (Membership No. FCS 5935 and CP No 3725) of M/s N K & Associates, Practicing Company Secretary, has been appointed as the Scrutinizer for conducting remote e-voting and voting at the AGM in a fair and transparent manner.
- II. The remote e-voting period commences on 28th July, 2019 (9:00 am) and ends on 30th July, 2019 (5:00 pm). During this period members of the Company, holding shares either in physical form or in dematerialized form as on the cut-off date of 24th July, 2019, may cast their vote by remote e-voting. The remote e-voting module shall be disabled by NSDL for voting thereafter. Once the vote on a resolution is cast by the member, the member shall not be allowed to change it subsequently. A member who has cast his vote by remote e-voting prior to the AGM may also attend the AGM but shall not be entitled to vote again and his vote, if any, cast at the AGM shall be treated as invalid.
- III. A person whose name is recorded in the Register of Members or in the Register of Beneficial Owners maintained by the depositories as on the cut-off date of 24th July, 2019 only shall be entitled to avail the facility of remote e-voting or voting at the AGM. A person who is not a member as on cut-off date should treat this Notice for information purposes only. The voting rights of members shall be in proportion to their shares of the paid up equity share capital of the Company as on the cut-off date of 24th July, 2019.
- IV. The facility for voting through ballot process /tab voting shall be made available at the AGM and the members attending the AGM who have not cast their vote through remote e-voting shall be able to exercise their rights at the AGM. (Note: Ballot process may be carried out by distributing ballot / poll slips or by making arrangement for voting through computer or secure electronic systems as may be decided by the Company)
- V. The process and manner for remote e-voting are as under:
 - A. In case a member receives Notice of AGM by email from NSDL:
 - (i) Open email and open PDF file viz; "remote e-voting.pdf" with your Client ID or Folio No. as password. The said PDF file contains your user ID and password for remote e-voting. Please note that the password is an initial password. (Note: Shareholders already registered with NSDL for e-voting will not receive the PDF file "remote e-voting.pdf".)
 - (ii) Launch internet browser by typing the following URL: <https://www.evoting.nsdl.com/> and click on 'Shareholder - Login'.
 - (iii) Insert your user ID and password. Click Login.
 - (iv) Password change menu appears. Change the password/ PIN with new password of your choice with minimum 8 digits/characters or combination thereof. Note new password. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential.
 - (v) Home page of remote e-voting opens. Click on remote e-voting: Active Voting Cycles and select "EVEN" (Remote E-Voting Event Number) of Hindustan Copper Ltd.
 - (vi) Now you are ready for remote e-voting as 'Cast Vote' page opens. Cast your vote by selecting appropriate option and click on "Submit" and also "Confirm" when prompted. Upon confirmation, the message "Vote cast successfully" will be displayed. Once you have voted on the resolution, you will not be allowed to modify your vote.
 - (vii) Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) are required to send scanned copy (PDF/JPG Format) of the relevant Board Resolution/ Authority letter etc. together with attested



NOTICE TO THE MEMBERS (Contd.)

specimen signature of the duly authorized signatory(ies) who are authorized to vote, to the Scrutinizer through e-mail to kothari.navin@yahoo.com with a copy marked to evoting@nsdl.co.in.

B. In case a member receives physical copy of the Notice of AGM:

- (i) Initial password is provided as below/at the bottom of the Attendance Slip for the AGM:

EVEN (Remote e-voting Event Number)	USER ID	PASSWORD/ PIN
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- (ii) Please follow all steps from Sl. No. (ii) to Sl. No. (vii) of A above, to cast vote.

- VI. If you are already registered with NSDL for remote e-voting then you can use your existing user ID and password for casting your vote. [Note: Shareholders who forgot the User Details/Password can use "Forgot User Details/Password?" or "Physical User Reset Password?" option available on www.evoting.nsdl.com. In case Shareholders are holding shares in demat mode, USER-ID is the combination of (DPID+ClientID). In case Shareholders are holding shares in physical mode, USER-ID is the combination of (Even No+Folio No).]
- VII. You can also update your mobile number and e-mail id in the user profile details of the folio, which may be used for sending future communication(s).
- VIII. Any person, who acquires shares of the Company and become member of the Company after dispatch of the AGM Notice and holding shares as of the cut-off date i.e. 24th July, 2019, may obtain the login ID and password by sending a request at evoting@nsdl.co.in or to the RTA of the Company.
- IX. The Chairman shall, at the AGM, at the end of discussion on the resolutions on which voting is to be held, allow voting with the assistance of Scrutinizer for all those members who are present at the AGM but have not cast their votes by availing the remote e-voting facility.
- X. The Scrutinizer shall after the conclusion of voting at the general meeting, will first count the votes cast at the meeting and thereafter unblock the votes cast through remote e-voting in the presence of at least two witnesses not in the employment of the Company and shall make, not later than three days of the conclusion of the AGM, a consolidated scrutinizer's report of the total votes cast in favour or against, if any, to the Chairman or any other Director authorized by him in writing, who shall countersign the same and declare the result of the voting forthwith.
- XI. The Result of the voting with details of number of votes cast for and against the resolutions, invalid votes and whether the resolutions have been carried or not shall be displayed on the Notice Board of the Company at its registered and corporate office immediately after the declaration of result by the Chairman or a Director authorized by him in writing. Further, the results of the voting along with the Scrutinizer's Report shall also be placed on the Company's website www.hindustancopper.com and on the website of NSDL. The results shall also be immediately forwarded to the stock exchanges.
- XII. Name, designation, address, e-mail ID and phone number of the person responsible to address the grievances connected with the e-voting - Shri Mrirtunjay Kumar Dev, Dy. Mgr. (Company Secretary), Hindustan Copper Ltd, 1 Ashoutosh Chowdhury Avenue, Kolkata - 700019, E-mail: mrirtunjay_kd@hindustancopper.com, Phone No: (033) 2283-2226
- XIII. In case of any query, you may refer the Frequently Asked Questions for Members and remote e-voting user manual for Members available at the download section of www.evoting.nsdl.com or call on toll free no.: 1800-222-990 or contact Ms. Pallavi Mhatre, Assistant Manager, NSDL, Email id: evoting@nsdl.co.in, Phone: 022-24994545.

**ANNEXURE TO NOTICE****[Explanatory Statement pursuant to Section 102(1) of the Companies Act, 2013 (the Act)]****Item No 6**

Shri Arun Kumar Shukla has joined as Director (Operations) of the Company with effect from 1.10.2018 in terms of Ministry of Mines' (MoM) order No. 10/3/2017-Met.III dated 27.9.2018. It is now proposed to regularize his appointment at the ensuing 52nd AGM of the Company in order to comply with the relevant provisions of the Companies Act, 2013 (the Act).

Born on 7.7.1963, Shri Arun Kumar Shukla is a Graduate Mining Engineer of 1985 batch from Indian School of Mines, Dhanbad, M.Tech. in Environmental Engg. and also holds degree of Law (LLB). He possesses First Class Mines Managers' Certificate under The Mines Act, 1952. Shri Shukla is having vast experience of Indian Mining Industry. He has worked in Central Coalfields Ltd for more than 21 years and in NMDC Ltd. for 12 years. On deputation from NMDC, he served as Managing Director of Jharkhand State Mineral Development Corporation Ltd. (A State PSU) for about 2 years. He was also holding the charge of CEO of the two Joint Venture Companies of NMDC viz. NMDC-CMDC Ltd. and JNMDC Ltd. to start new mines in the state of Chhattisgarh and Jharkhand respectively. Prior to joining Hindustan Copper Ltd, Shri Shukla was working as Executive Director in NMDC Ltd and was heading one of its major units namely Bailadila Iron Ore Mines, Bacheli Complex in Bastar, Chhattisgarh.

Shri Arun Kumar Shukla is also a Director on the Board of Chhattisgarh Copper Ltd. Shri Shukla does not hold any share in the Company. The Board considers that his continued association would be of immense benefit to the Company and recommends his appointment as Director of the Company. None of the Directors, Managers and other Key Managerial Personnel (KMP) of the Company is related to Shri Shukla. Except Shri Shukla, none of the Directors or KMP of the Company or their relatives is in any way, concerned or interested, financially or otherwise in the resolution set out at Item No 6.

Item No. 7

Smt. Simantini Jena has completed her three year term as part time non-official (Independent) Director of the Company on 16.11.2018. Smt Jena has been reappointed as part time non-official (Independent) Director of the Company for further one year period with effect from 17.11.2018 in terms of MoM order No.10/3/2015-Met.III (Pt.) dated 22.11.2018. It is now proposed to regularize her re-appointment at the ensuing 52nd AGM of the Company in order to comply with the relevant provisions of the Act.

Born on 11.2.1965, Smt. Jena is M.A. in History, B.Ed. and LL.B. from Utkal University and holds a Multimedia Diploma from NIIT. She has been a citizens' and civil liberty activist, and taken part in human rights awareness camps, constitutional awareness workshops, health programs and legal awareness programs, relief & rehabilitation programs as well as educational programs (some in participation with the Government). Smt Jena had conducted programs for jail inmates and played a significant role in formation of Self-help Groups. She is associated to several legal cells, educational trusts and foundations, welfare associations, civil liberty fora and media groups in various honorary capacities. Smt. Jena is a Rashtriya Akta Awardee by State Bank of India, Odisha in 2004 for working on a near-extinct Adivasi language "KWI". She is also presently teaching History and English (part time) in Pokhariput Govt. Minor School.

Smt Jena does not hold any share in the Company. She has furnished a declaration to the Board that she meets the criteria of independence as provided in Section 149(6) of the Act. In the opinion of the Board, Smt Jena fulfils the conditions specified in the Act and rules made there under for her re-appointment as part time Non Official Independent Director and recommends her re-appointment on the Board. Smt Jena shall be paid such sitting fees and reimbursement of actual travel expenses incurred for attending meetings of the Board and its Sub-Committee as the Board may approve from time to time. None of the Directors, Manager and other KMP of the Company is related to Smt Jena. Except Smt Jena, none of the Directors or KMP of the Company or their relatives is in any way, concerned or interested, financially or otherwise in the resolution set out at Item No 7.

Item No. 8

Shri Hemant Mehtani has completed his three year term as part time non-official (Independent) Director of the Company on 16.11.2018. Shri Mehtani has been reappointed as part-time non-official (Independent) Director of the Company for further one year period with effect from 17.11.2018 in terms of MoM order No.10/3/2015-Met.III (Pt.) dated 22.11.2018. It is now proposed to regularize his re-appointment at the ensuing 52nd AGM of the Company in order to comply with the relevant provisions of the Act.

Born on 11.11.1960, Shri Mehtani is M Com from Devi Ahilya Vishwavidyalaya, erstwhile Indore University. An Industrialist and first generation entrepreneur, Shri Mehtani started his business in the year 1984 with a manufacturing unit of One Time Carbon Paper extensively used in computers and later diversified the business into Warehousing & Constructions. Shri Mehtani was the Governing Council Member of National Institute of MSME, Govt. of India for 2014-16. He was the ZRUCC Member of Western Railway, Mumbai, as well as the President of Association of Industries,



ANNEXURE TO NOTICE (Contd.)

Madhya Pradesh, a State-Level SME organization of MP from 2013 to 2015. Apart from these, he has been the Vice-President, Federation of Chamber of Commerce and Industries, Bhopal, and is associated with a number of academic institutions, clubs, industrial and autonomous bodies and business fora in various honorary capacities.

Shri Mehtani is a Director on the Board of Entrepot Infrastructure Pvt. Ltd. He does not hold any share in HCL. He has furnished a declaration to the Board that he meets the criteria of independence as provided in Section 149(6) of the Act. In the opinion of the Board, Shri Mehtani fulfils the conditions specified in the Act and rules made there under for his re-appointment as part time Non Official Independent Director and recommends his re-appointment on the Board. Shri Mehtani shall be paid such sitting fees and reimbursement of actual travel expenses incurred for attending meetings of the Board and its Sub-Committee as the Board may approve from time to time. None of the Directors, Manager and other KMP of the Company is related to Shri Mehtani. Except Shri Mehtani, none of the Directors or KMP of the Company or their relatives is in any way, concerned or interested, financially or otherwise in the resolution set out at Item No 8.

Item No. 9

Shri Dileep Raj Singh Chaudhary has completed his three year term as part time non-official (Independent) Director of the Company on 30.11.2018. Shri Chaudhary has been reappointed as part-time non-official (Independent) Director of the Company for further one year period with effect from 1.12.2018 in terms of MoM order No.10/3/2015-Met.III (Pt.) dated 22.11.2018. It is now proposed to regularize his re-appointment at the ensuing 52nd AGM of the Company in order to comply with the relevant provisions of the Act.

Born on 12.8.1953, Shri Chaudhary is MA and IAS (1977 batch). He was posted as Secretary, Ministry of Steel prior to his retirement on 31.08.2013. Shri Chaudhary has held various positions in key economic Ministries under both State and Central Government including as Special Secretary, Ministry of Home, Additional Secretary and Financial Adviser in the Department of Industrial Policy and Promotion, Secretary, Department of Public Enterprises.

Shri Chaudhary is Director on the Board of IL&FS Water Ltd and IL&FS Paradip Refinery Water Ltd. He does not hold any share in HCL. He has furnished a declaration to the Board that he meets the criteria of independence as provided in Section 149(6) of the Act. In the opinion of the Board, Shri Chaudhary fulfils the conditions specified in the Act and rules made there under for his re-appointment as part time Non Official Independent Director and recommends his re-appointment on the Board. Shri Chaudhary shall be paid such sitting fees and reimbursement of actual travel expenses incurred for attending meetings of the Board and its Sub-Committee as the Board may approve from time to time. None of the Directors, Manager and other KMP of the Company is related to Shri Chaudhary. Except Shri Chaudhary, none of the Directors or KMP of the Company or their relatives is in any way, concerned or interested, financially or otherwise in the resolution set out at Item No 9.

Item No. 10

The Board, on the recommendation of the Audit Committee, approved appointment of M/s. Chatterjee & Co, as Cost Auditor, to conduct audit of cost records of the Company for the financial year 2019-20 at a remuneration of ₹ 70,000/- (Rupees seventy thousand only) plus taxes as applicable and reimbursement of actual travel and out-of-pocket expenses. In accordance with the provisions of Section 148 of the Act read with the Companies (Audit and Auditors) Rules, 2014, the remuneration payable to the Cost Auditors has to be ratified by the members of the Company. Accordingly, the Ordinary Resolution at Item No. 10 of the Notice requires approval and ratification by members of the Company. None of the Directors or KMP of the Company or their relatives is in any way, concerned or interested, financially or otherwise in the resolution.

Item No. 11

Pursuant to Sections 23, 42 and 62 of the Companies Act, 2013, the Companies (Prospectus and Allotment of Securities) Rules, 2014 and other applicable provisions of the Companies Act, 2013 and the rules made thereunder, the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, each as amended, the approval of the members is required by way of a special resolution, for further issue of Equity Shares of the Company to persons not being existing shareholders of the Company.

The Shareholders of the Company in the 51st AGM held on 27.9.2018 had approved issuance of up to 13,87,82,700 equity shares of face value of ₹ 5 each of the Company equivalent to 15% of issued, subscribed and paid up equity share capital of the Company by way of a Qualified Institutions Placement ("QIP") under the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009, the Companies Act, 2013 and other applicable laws for part funding the ongoing ambitious mine expansion plan of the Company by increasing the mine capacity from the then 3.6 mtpa to 20.2 mtpa. HCL's capital requirement for the revised expansion plan is estimated at approx. ₹ 5,500 crore spread over a period of next 5 - 6 years.

Accordingly, as approved by the Board of Directors of the Company at its meeting held on 25.4.2019, the Company proposes to raise funds, by issue of up to 13,87,82,700 fresh equity shares of face value of ₹ 5, in one or more tranches ("Issue"), for an aggregate amount not exceeding ₹ 1,400 crores or USD 217 Million, whichever is higher to persons



including eligible qualified institutional buyers for part funding the above expansion plan from 3.6 Mtpa to 20.2 MTPA, in compliance with the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended ("SEBI ICDR Regulations") and other applicable law. The fresh issue of equity capital by the company to the extent up to 13,87,82,700 equity shares will effectively reduce the GoI shareholding in the Company from the current 76.05%, allowing the Company to also achieve minimum public shareholding of 25% as required by Securities Contract (Regulations) Rules, 1957.

Accordingly, the special resolution seeks to empower the Board of Directors of the Company (hereinafter referred to as the 'Board' which term shall be deemed to include any committee which the Board may have constituted or hereinafter constitute, including the QIP Committee, to exercise its powers including the powers conferred by this resolution) to issue and allot Equity Shares by way of a Qualified Institutions Placement, by issue of placement document and/ or any other private placement offer letter, offer document or circular to any eligible person, including eligible QIBs, in accordance with Chapter VI of the SEBI ICDR Regulations, the Foreign Exchange Management Act, 1999, as amended ('FEMA') and the rules and regulations framed thereunder and other applicable laws or otherwise, eligible foreign/ resident investors (whether institutions, incorporated bodies, mutual funds, individuals or otherwise), venture capital funds (foreign or Indian), alternate investment funds, foreign portfolio investors, Indian and/ or multilateral financial institutions, mutual funds, insurance companies, non-resident Indians, pension funds and/ or any other categories of investors, whether they be holders of Equity Shares of the Company or not (collectively called the 'Investors') at such price or prices, at a discount or premium to market price or prices, in such manner and on such terms and conditions as may be decided by the Board in its discretion, taking into consideration market conditions and other relevant factors and wherever necessary in consultation with lead managers and other advisors/ intermediaries, in accordance with applicable laws. Further, if any issue of Equity Shares is made by way of QIP, the Board may also offer a discount of not more than 5% or such other percentage as permitted on the QIP floor price as defined under the SEBI ICDR Regulations and calculated in accordance with the pricing formula provided under the SEBI ICDR Regulations.

Basis or Justification of Price: The pricing of the Equity Shares, including the floor price and any discount to the issue price, to be issued to QIBs pursuant to Chapter VI of the SEBI ICDR Regulations shall be determined by the Board in accordance with Chapter VI of the SEBI ICDR Regulations. The provisions for appointment of registered valuer are not applicable to the Company. The 'Relevant Date' for this purpose will be the date of the meeting in which the Board decides to open the proposed issue of Equity Shares. Any Equity Shares allotted would be listed on one or more stock exchanges in India. As the QIP may result in the issue of Equity Shares of the Company to Investors who may or may not be members of the Company, consent of the members is being sought pursuant to Section 42, 62(1)(c) and other applicable provisions, if any, of the Companies Act, the SEBI ICDR Regulations, SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI LODR Regulations") and any other laws for the time being in force and applicable. The detailed terms and conditions for the offer of Equity Shares will be determined by the Board in consultation with the lead managers, placement agents, advisors and such other agencies, as may be required to be consulted by the Company, considering the prevailing market conditions and in accordance with the applicable provisions of laws and other relevant factors. Accordingly, it is proposed to seek approval of the members of the Company by way of a special resolution to authorise the Board to create, offer, issue and allot Equity Shares to the eligible Investors, as the Board may decide without seeking fresh approval from the members of the Company. Further, allotment of such Equity Shares is required to be completed within 12 months from the date of this resolution or such other time as may be allowed under the SEBI ICDR Regulations and the Companies Act.

In order to meet long-term funding requirements of the Company and to comply with minimum public shareholding norms prescribed under the SCRR and the SEBI LODR Regulations, the Board shall issue and allot the Equity Shares pursuant to this special resolution to QIBs falling under the public category of shareholders and shall utilize the proceeds for meeting its expansion/ capex plans. None of the Promoter or Directors intend to make any contribution either as part of the Issue or in furtherance of the objects of the Issue. No Directors, Key Managerial Personnel of the Company or their respective relatives, are in any way concerned or interested, financially or otherwise, in the said resolution. The Board recommends the resolution set out in Item No. 11 for approval of the members as a Special Resolution.

Item No. 12

In furtherance of the proposal to issue further equity shares of the Company by way of a Qualified Institutions Placement, as set out in Item No. 11 above, the Board considers it expedient to depute certain authorities in relation to the QIP to a committee of the Board for the purpose of operational convenience and to ensure compliance with legal requirements in a timebound manner.

None of the Promoter or Directors intend to make any contribution either as part of the Issue or in furtherance of the objects of the Issue. No Directors, Key Managerial Personnel of the Company or their respective relatives, are in any way concerned or interested, financially or otherwise, in the said resolution. The Board recommends the resolution set out in Item No. 12 for approval of the members as a Special Resolution.



ANNEXURE TO NOTICE (Contd.)

Item No. 13

The shareholders in their 51st AGM held on 27.09.2018, had authorized the Board of HCL to borrow up to an amount not exceeding ₹ 1500 crore (other than temporary loans by way of cash credit / working capital arrangements etc obtained from the Company's bankers in the ordinary course of business) vide resolution passed under the provisions of Section 180(1) (c), 180 (1) (a) of the Companies Act 2013 and other applicable provisions.

Hindustan Copper Limited (HCL) has embarked upon an ambitious mine expansion program/Capital expenditure planning to increase the annual mining capacity of the Company from 3.6 million tonne of ore per annum to 20.2 million tonne of ore per annum, in next 5-6 years at an estimated investment of ₹ 5500 crore. To meet the capex, HCL plans to raise funds through equity, internal accruals and through debt in a phased manner as per requirement of the expansion plan. The proposed loan would be drawn from the market at different stages as per requirement controlling the financial outgo from the company to the minimum.

The Company has already utilised part of the above limit of ₹ 1500 crore approved by the shareholders. Keeping in view the funds requirements of the ongoing capex projects in the next 1-2 years, the Company is also in the process of raising further loans, hence the limit will nearly be exhausted.

As per Sec 180(1) (c), shareholders' approval will be required to borrow money, where the money to be borrowed, together with the money already borrowed by the company will exceed aggregate of its paid up share capital and free reserves, apart from the temporary loans obtained from the company's bankers in the ordinary course of business.

The aggregate of paid up share capital and free reserves of the company as on 31.3.2019 was ₹ 1417.89 crore with Net Worth ₹ 953.38 crore. To meet the estimated requirement of funds for investment through borrowing program, the Board of Directors in their meeting No. 387 dated 28.05.2019 have recommended for shareholder approval by special resolutions to enhance the borrowing limit from existing ₹ 1500 crore to ₹ 2500 crore under Section of 180(1) (c) of the Act for capex purposes. This is only an enabling provision and the company will borrow in one or more tranches, as per business requirement for investment in various capex projects.

As per guidelines, the special resolutions are to be passed at the shareholders meeting under the Companies Act, 2013.

Further, as per Section 42 and 71 of the Companies Act, 2013 read with Rule 14(2) of Companies (Prospectus and Allotment of Securities) Rules, 2014 and other applicable provisions of the Act and in accordance with the provisions of Securities and Exchange Board of India (Issue & Listing of Debt Securities) Regulations, 2008, the Rules, Regulations, Guidelines and Circulars, as amended from time to time, a company shall not make a Private Placement of its securities unless the proposed offer of securities or invitation to subscribe to securities has been previously approved by the Shareholders of the Company by a Special Resolution for each of the offers or invitations. However, in case of offer or invitation for "non-convertible debentures", it shall be sufficient if the company passes a previous Special Resolution only once in a year for all the offers or invitations for such debentures during the year.

In view of the above and to meet the requirements of Section 42 of the Companies Act, 2013 read with applicable Rules, for making Private Placement of Unsecured/Secured Non-Convertible Bonds/Debentures upto ₹ 2500 crore in one or more tranches, to such person or persons, who may or may not be the bond / debenture holders of the Company, within the overall market borrowing programme of the Company of ₹ 2500 crore, as approved by the Board of Directors in its meeting held on 28.5.2019, approval of the shareholders of the Company by way of Special Resolution is required.

Further, CMD and Director (Finance) of the Company as approved by the Board, shall be authorized to borrow money from time to time, in one or more tranches, from India or foreign, across various products including on private placement basis, as deemed to be requisite and proper for the business of the Company, on such terms and conditions, with or without creation of charges on the moveable and immoveable assets of the Company.

The Board in its meeting held on 28.5.2018 recommended the resolution set out in item No.13 for approval of shareholders by special resolution. None of the Directors, Managers and other KMP of the Company or their relatives is in any way, concerned or interested, financially or otherwise in the resolution.

Item No. 14

According to the provisions of Section 180(1)(a) of the Companies Act, 2013, creation of charge, mortgage or hypothecation on the assets of the Company shall require the approval of the shareholders by way of special resolution. As the Company is seeking shareholder approval by special resolutions to enhance the borrowing limit from existing ₹ 1500 crore to ₹ 2500 crore under Section of 180(1) (c) of the Act, hence the Board of Directors recommended the Special Resolutions as set out in item No.14 of the Notice in their meeting held on 28.05.2019 for the approval of the Shareholders.

Further, CMD and D(F) of the Company as approved by the Board, shall be jointly, authorized to finalize / approve necessary security documents as may be required and to do all such acts, deeds, matters and things as may be deemed necessary, desirable, proper or expedient for the purpose of giving effect to this resolution and for matters connected therewith or incidental thereto.



ANNEXURE TO NOTICE (Contd.)

In addition, as approved by the Board, the CMD and the Director (Finance) of the Company are also authorized, to sub delegate the power of executing/ signing of facility/ security documents so approved, to any two authorized signatories/ officers of the company, jointly on behalf of the company, not less than the level of Asst. General Manager (Finance), as may be required in favour of the lenders/other banks, Indian or foreign, for availing such facility.

In case of absence of Director (Finance), the above powers will be utilized by Head of Finance of the Company.

None of the Directors, Managers and other KMP of the Company or their relatives is in any way, concerned or interested, financially or otherwise in the resolution.

Brief resume of directors who are retiring and eligible for reappointment furnished in terms of Regulations 36 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015:

Shri Santosh Sharma

Shri Santosh Sharma is the Chairman and Managing Director of the Company with effect from 1.9.2017 in terms of Ministry of Mines' order No. 10/2/2016-Met.III (Vol. II) dated 31.8.2017.

Born on 1.1.1960, Shri Sharma is BE (Elect.) (1982 batch), L.L.B and MBA in Marketing. He is a member of Indian Institute of Metals and Indian Institute of Welding. Before joining the Company, Shri Sharma was DGM (Projects) in Bhilai Steel Plant. There he was conferred with Jawahar Award for outstanding performance for preparation of plan for installation of Solar Power Units. He had also spearheaded the execution and monitoring of a mega project of construction of Blast Furnace-8 in Bhilai Steel Plant. Shri Sharma joined HCL as General Manager (Operations) on 26.04.2013 and thereafter, he became Executive Director (Operations) and also assumed charge as Unit Head of Gujarat Copper Project, a unit of the Company in June, 2015. Shri Sharma was Director (Operations) of the Company from 1.3.2016 to 31.8.2017 before taking over as CMD, HCL on 1.9.2017.

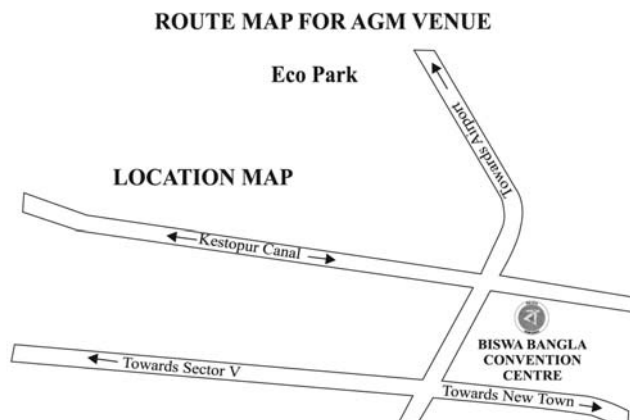
Shri Sharma is also a Director on the Board of Bharat Gold Mines Ltd and Chhattisgarh Copper Ltd. He does not hold any share in HCL. None of the Directors, Manager and other KMPs of the Company is related to Shri Sharma. Shri Sharma attended all ten Board meetings of the Company held during FY 2018-19.

Shri Sukhen Kumar Bandyopadhyay

Shri Sukhen Kumar Bandyopadhyay has joined as Director (Finance) of the Company with effect from 9.7.2018 (A/N) in terms of Ministry of Mines' order No. 10/2/2017-Met.III (Vol. II) dated 5.7.2018.

Born on 19.11.1961, Shri Sukhen Kumar Bandyopadhyay is academically Science Graduate (B.Sc.) and holds Professional qualifications "Cost Accountants" passed in June 1988. In addition, he has also acquired training and exposures in diverse areas of Management from various prestigious institutions of the country and abroad. Before joining as Director (Finance) of the Company, Shri Sukhen Kumar Bandyopadhyay was CGM (Finance & Accounts) in SJVN Ltd, Schedule A CPSU. During his professional career spanning 29 years in executive position, he had served in many key administrative positions in the different fields of Finance & Accounts for the execution of Hydro/Thermal/Gas/Solar/Wind Projects in NEEPCO & SJVN Ltd (CPSUs) and in PPCL & IPGCL (Delhi Govt. PSU), on deputation. He was also Chairman / VC of EPF/DCPS & Treasurer - CSR of the various Trusts of SJVN Ltd. Shri Sukhen Kumar Bandyopadhyay has expertise in raising of long term loans, due diligence of project appraisal and evaluations, long term investment plan for project execution with budgeting, Treasury Management, Policy formulation, Accounts & Audit.

Shri Sukhen Kumar Bandyopadhyay does not hold directorship in any other company. He does not hold any share in the Company. None of the Directors, Managers and other KMP of the Company is related to Shri Bandyopadhyay. Shri Bandyopadhyay attended all seven Board meetings of the Company held after his joining the Board in FY 2018-19.





REPORT OF THE BOARD OF DIRECTORS

The Shareholders
Hindustan Copper Limited
Kolkata

Your Directors have pleasure in presenting the fifty first Annual Report of Hindustan Copper Ltd. (HCL/the Company) together with the audited statement of accounts and Auditors' Report thereon for the year ended 31.3.2019.

1. Performance

Financial Summary or highlights

The comparative working results for the FY 2018-19 vis-à-vis FY 2017-18 are as under:

(₹ in Crore)

Particulars	2018-19	2017-18
(a) Turnover	1753.44	*1612.47
(b) Profit before depreciation, amortization, finance charges & tax	538.70	307.98
(c) Less : Depreciation & Amortization	252.89	164.65
(d) Less : Finance Charges	55.46	21.29
(e) Profit/ (Loss) Before Tax from continuing operation	230.35	122.04
(f) Profit/(Loss) Before Tax from discontinuing operation	(0.35)	(0.35)
(g) Profit/(Loss) Before Tax from continuing & discontinuing operation	230.00	121.69
(h) Less : Provision for Taxation (Current & Deferred Tax)	84.49	42.09
(i) Profit after tax from Continuing & Discontinuing Operation	145.51	79.60
(j) Other Comprehensive Income	(16.76)	5.00
(k) Profit for the year	128.75	84.60
(l) Add: Balance brought forward from the previous year	763.13	700.80
(m) Balance available for appropriation	891.88	785.40
(n) Less : Dividend	23.13	18.50
(o) Less : Tax on Dividend	4.76	3.77
(p) Balance to be carried forward	863.99	763.13
(q) Earnings per Share (₹) (Both Basic & Diluted)	1.57	0.86

*excluding excise duty of ₹ 35.43 crore

During 2018-19, the turnover of the Company was ₹1753.44 crore as against ₹1612.47 crore during FY 2017-18 registering an increase of 8.74%. The turnover of the FY 2018-19 was highest since inception of the Company. The Company posted a Profit Before Tax from continuing & discontinuing operation of ₹230.00 crore during the year as against ₹121.69 crore recorded during the previous year registering an increase of 89.00%. The Profit After Tax from continuing & discontinuing operation during FY 2018-19 is ₹145.51 crore as against ₹79.60 crore in FY 2017-18 registering an increase of around 82.80%.



DIRECTORS' REPORT (Contd.)

Physical performance:

The comparative physical performance of production and sales for the year 2018-19 vis-a-vis 2017-18 is as under:-

Particulars	2018-19	2017-18
Ore (Lakh Tonnes)	41.22	36.75
Metal in concentrate (MIC) (Tonnes)	32,439	31,793
Cathode (Tonnes)	16,215	25,949
CC Wire Rod (Tonnes)	21,450	22,211
Sales (Tonnes):		
CC Rod	13,756	22,812
Cathode	2,564	4,490
MIC	21,953	9,133
Total	38,273	36,435

Cathode production during 2018-19 was less compared to last year due to shut-down of smelter plant at Indian Copper Complex (ICC), Ghatsila during the period from 3.5.2018 to 29.6.2018 for major overhauling of the plant. Plant at Gujarat Copper Project (GCP) to produce copper cathode through secondary route could not be operated at desired capacity due to non-availability of raw material of desired price.

Operations of Khetri concentrator plant during the year was affected due to acute water shortage. Action to ensure supply of water from Kumbharam project of Government of Rajasthan has been taken in addition to ensuring intake of water from extra bore well.

Highlights of Financial Year 2018-19

- Copper ore production of ₹ 41.22 lakh tonnes during 2018-19 is the highest in last 21 years. Ore production of 25.42 lakh tonnes at Malankjhand Copper Project (MCP) during the year is the best since inception.
- MIC production of 32,439 tonnes during 2018-19 is the highest in last 17 years.
- Total Copper sales of 38,273 tonnes during 2018-19 is the best in last 9 years.
- Major overhauling of flash furnace with technical upgradation in the slag cleaning furnace at ICC, Ghatsila completed during the year.
- New coiler for continuous cast copper wire rods at Taloja, Maharashtra was commissioned to improve packaging.
- The Cabinet committee on Economic Affairs has given its approval to HCL for issue of fresh equity shares to the extent of 15% of paid up equity capital through the Qualified Institutions Placement (QIP) method.
- In view of vast gap between supply and demand of copper metal in the country, the Board of HCL has approved enhancement in mine production plan of the Company from present projection of 12.4 million tonne to 20.2 million tonne per annum in next 5-6 years at an estimated capex of ₹5,500 crore.
- Chhattisgarh Copper Ltd (CCL) has been incorporated on 21.5.2018 as a Joint Venture Company between Hindustan Copper Ltd and Chhattisgarh Mineral Development Corporation Ltd (CMDC) for exploration, mining and beneficiation of copper and its associated minerals in the State of Chhattisgarh. The shareholding of HCL and CMDC is in the ratio of 74:26. In view of HCL's shareholding of 74%, CCL is also a subsidiary company of HCL.

2. Dividend

The Board of Directors of your Company has recommended payment of dividend @ 5.05% approx. on Net Worth, i.e. ₹ 0.52 per share on ₹ 5/- face value for the year 2018-19, for approval of shareholders in the Annual General Meeting. The outgo on this account will be ₹ 48.11 crore for dividend and ₹ 9.89 crore towards tax on distribution of dividend, aggregating to a total outgo of around ₹ 58.00 crore.

3. Material Changes, if any

No material change and commitment affecting the financial position of the Company occurred between the end of the financial year to which the financial statements relate and the date of the report.



DIRECTORS' REPORT (Contd.)

4. Projects:

i. Malanjkhand Copper Project (MP)

Work is under progress to expand the production capacity of Malanjkhand mine from present 2 to 5 Mtpa by developing an underground mine below the existing open cast mine at an estimated cost of ₹ 1856.74 crore. Scheduled Completion date is April, 2020. Progress So far, sinking of Service Shaft (665.5 M) and Production Shaft (693.6 M) has been completed during May, 2018 and October, 2018 respectively. The development work of North Decline and South Decline is up to 2461 meters and 1580 meters respectively. The progress of underground development during the FY 2018-19 was satisfactory. Action has been initiated to commence production from the FY 2019-20.

ii. Khetri, Kolihan and Banwas mine (Rajasthan)

The proposed expansion of Khetri and Kolihan mine and development of Banwas deposit will increase ore production from existing 1.1 to 5.0 million tonne per annum in two phases. Mine wise status is given below:

- a. Kolihan Mine: For additional shaft sinking & creation of ore handling facilities below 0 mRL environmental clearance obtained on 2.2.2015. Further, 1650 m of Diamond drilling work under taken to establish the ore body at depth and 959.6 m drilling has been completed. Further drilling is in progress.
- b. Khetri mine: Tendering action for new contract for deepening of the existing shaft and other related activities has been initiated as the earlier tender could not be awarded due to very high cost quoted by the single valid offer.
- c. Banwas Mine: Mine construction work has been completed in February, 2017. The Company has appointed M/s SMS Nagpur, mine developer and operation agency for long term operation of the Banwas where production ramp up has commenced.

iii. Surda mine expansion (Jharkhand)

The plan envisages increase in the depth of the mine and enhancement of production capacity from 0.4 to 0.9 Mtpa. On 19-20 September, 2016, Expert Appraisal Committee of Ministry of Environment, Forest and Climate Change (MoEFCC) has recommended the proposal for Environment Clearance subject to clarification regarding forest clearance for forest land involved in underground mining. Matter is under scrutiny at Forest Clearance division of MoEFCC & Department of Mines & Geology, Government of Jharkhand.

iv. Re-opening of closed mines at ICC Ghatsila (Jharkhand)

Company initiated action to re-open closed mines at Singhbhum Copper Belt of ICC namely, Kendadih and Rakha mines to produce 0.21 and 2.5 million tonne of ore per annum respectively. Mine wise status is given below:

- a. Kendadih mine: The Kendadih mine was reopened in December, 2017 after all the mining equipping including mine dewatering work was completed. Mine development work is in progress. Equipment are mobilized in a phased manner and mine has produced 21,641 MT of ore during this financial year which has also been treated in Mosaboni Concentrator Plant.
- b. Chapri Sideswar : Chapri-Sideswar mine falls within the Rakha and Kedadih mining lease area. All mine plans and schedules were updated and tender for opening of Chapri mine has been initiated and Price Bid has been opened on 08.03.2019. Tender is under finalization on EPC route.
- c. Rakha mine: Considering the change in market scenario, the Company will implement the project through a EPC route. Environmental clearance of Rakha mining lease obtained on 1.8.2014, Stage II Forest Clearance for the project has been obtained on 15.9.2016. Mine dewatering arrangement & work schedules have been prepared and dewatering will be taken up on start of Chapri mine immediately.

v. Extraction of minerals from copper ore tails (MP)

The Company is in advance stage of erection of Copper Ore Tailing (COT) recovery facility of capacity 3.3 Million tonne per annum to recover the valuable metals and minerals from the tailing and reduce the mass in the existing tailing storage facility (TSF) so as to extend active life of TSF and unlock the value in the waste / Tailing at Malanjkhand Copper Project (MCP). The project besides generating additional revenue to the Company will also help to mitigate the risk to the environment. It is expected that the plant will be commissioned during the FY 2019-20.



5. Significant or material orders passed by the Regulators or Courts or Tribunals

No significant or material orders have been passed by the Regulators or Courts or Tribunals impacting the going concern status and company's operations in future.

6. Utilization of funds raised through preferential allotment or QIP during the year

The Company has not raised funds through preferential allotment or qualified institutions placement and hence not applicable.

7. Management Discussion and Analysis

A report on Management discussion and analysis of the performance of the Company is given at Annexure-I.

8. Awards and Accolades

- HCL was conferred the best CSR Impact Initiative Award at the National Awards for Excellence in CSR & Sustainability, under the category of 'Best Corporate Social Responsibility Practices' on 5.9.2018 at Vivanta by Taj, Yeshwantpur, Bengaluru.
- HCL was awarded the "ET Now presents CSR Leadership Awards" by World CSR Day under the category of 'Safe Drinking Water' held on 18.2.2019 at Taj Lands End, Mumbai.
- HCL was awarded with Third prize for its Corporate Film (English) and Third prize for its Coffee Table Book (English) at the PRSI Nation Awards 2018 organized by Public Relation Society of India.
- HCL was felicitated as one of the Top 50 organizations with Innovative HR Practices under PSU category in the Asia Pacific HRM Congress Awards 2018 held at Bengaluru.
- The Quality Circle team "Sahyog" of ICC Refinery won in Gold category during the Chapter Convention on Quality Circle (CCQC) on 11.9.2018 at Kolkata and Excellent Award in Nation Convention on Quality Circle (NCQC) at Gwalior held during 21.12.2018 to 24.12.2018.
- HCL has been conferred the "Skoch Order-of-Merit" for qualifying amongst Top 30 Skill Development Projects in India. Further, it was also recognized with Skoch Award "Skill Development Gold" for Skill Development Project.
- Surda mine of ICC got 1st prize in Storage, Transport and use of Explosives in All India underground metal mines safety, cleanliness and silicosis awareness week 2018.
- MCP won five awards in the category of fully mechanized mine at 28th Mines Environment and Mineral Conservation (MEMC) Week 2018-19 held under the aegis of the Indian Bureau of Mines, Jabalpur Region. The theme for MEMC Week celebration was "Jal Hai To Kal Hai".

9. Particulars of Loan, Guarantees or Investments u/s 186 of the Companies Act, 2013

HCL has invested ₹ 18.50 Lakhs in the equity shares of its subsidiary Chhattisgarh Copper Ltd (CCL) during the year ended 31.3.2019. The total paid up capital of CCL as on 31.3.2019 is ₹ 25 Lakhs out of which 74% equity is held by HCL and remaining 26% is held by Chhattisgarh Mineral Development Corporation Ltd. Particulars of investments as per section 186 of the Companies Act, 2013 are given in Notes to Financial Statements 2018-19.

10. Deposits

The Company has not taken any deposits covered under or which are not in compliance with the requirements of Chapter V of the Companies Act, 2013.

11. Related Party Transactions (RPTs)

No contract or arrangements with related parties referred to in section 188(1) of the Companies Act, 2013 has been entered into during FY 2018-19 and hence report in Form AOC-2 is not applicable. Policy on RPTs and dealing with RPTs has been formulated and put up at the Company's website at www.hindustancopper.com.



DIRECTORS' REPORT (Contd.)

12. Maintenance of Cost Records

The Company is required to maintain cost records as specified by the Central Government under section 148 of the Companies Act, 2013, and accordingly such accounts and records are being maintained.

13. Establishment of Vigil mechanism:

The Company has in place a Whistle Blower Policy which provide adequate safeguards against victimization of employees / directors who avail of the mechanism and also provide for direct access to the chairman of the Audit Committee in exceptional cases. The Policy has been posted at the Company's website at www.hindustancopper.com.

14. Risk Management Policy

The Board of Directors of the Company has developed and implemented a risk management policy for the Company including identification therein of elements of risk, which in the opinion of the Board, may threaten the existence of the Company.

15. Internal Financial Controls

The Company has in place adequate internal financial control with reference to financial statements commensurate with its size and operations.

16. Conservation of Energy, Technology Absorption, Foreign Exchange Earnings and Outgo

Information on conservation of energy, technology absorption and foreign exchange earnings and outgo stipulated under Section 134(3)(m) of the Companies Act, 2013 read with Rule 8 of the Companies (Accounts) Rules, 2014, is given as Annexure-II forming part of this report.

17. Safety

Safety remains high priority area and the Company is always aiming to achieve "Zero Accident". The Company continues to maintain the tradition of attracting recognition for its safety performance and, like previous years, received a number of awards in mine safety as indicated below:

- i. Malanjhand open cast mine had won the following safety performance award in large opencast mine category in 2018-19 under the aegis of DGMS (Nagpur region I&II):
 - a) 1st Prize on Safety Management Plan (SMP) and Emergency Preparedness, Dumper Trade Test and Diesel Mechanic Trade Test.
 - b) 2nd Prize on Mechanical and Electrical Installation.
- ii. Khetri Copper Mine had received 1st Prize on Maintenance of Electrical Installations.
- iii. Kolihan Copper Mine received 2nd Prize for Electrical Equipment & Installations.

Besides, Rescue Team of Khetri Copper Complex participated in the 49th All India Mine Rescue Competition from 09.12.2018 to 13.12.2018 at Sitarampur (ECL), West Bengal.

- iv. Surda Copper Mine had received 1st prize on Storage Transport & Use of Explosives.

Besides the above, special training, regular refresher training programmes and on-the-job training are provided to all employees. Safety Campaigns like "Annual Mines Safety Week", "Fire Services Day", "Fire services week" and "Industrial Safety Day" celebrations are conducted regularly with active participation of employees in all the Units of HCL.

18. Corporate Social Responsibility (CSR)

The CSR Report in the prescribed format as per the Companies (Corporate Social Responsibility Policy) Rules, 2014 is at Annexure-III.



19. Vigilance Activities

HCL is standing on the threshold of a massive expansion drive and to achieve the same, capacity building is essential. At this critical juncture, the stress needs to be provided on streamlining the systems and procedures as well as adoption to the latest government guidelines in the changing scenario. To achieve the same and to increase awareness amongst key executives dealing with contracts and procurements, an in-house training program was organized in collaboration with one of the premier institutes having faculty members with decades of experience in public procurement including critical imports and technological innovations. Competition ensures both quality and profitability and hence emphasis is also being provided for streamlining of the tendering processes and reduction of cost through more competitive bidding procedure. A campaign for creating awareness was taken up by organizing the Vigilance Awareness Week from 29.10.2018 to 3.11.2018 at all Units and at Head Office. Stress was given on preventive vigilance with a view to minimize scope for corruption and assisting the management in improving the systems and procedures.

20. Official Language Implementation

During 2018-19, HCL made constant endeavor to increase use of Hindi in its Units/Offices. Raj Bhasha Pakhwara and Hindi Diwas were celebrated in the Units/Offices from 14.9.2018 to 28.9.2018. On this occasion, the messages of Hon'ble Home Minister, Hon'ble Mines Minister, Govt. of India and CMD, HCL were circulated/read out. Various competitions were organized with a view to enhance interest among employees towards Official Language. Employees are constantly motivated to use Hindi in their day-to-day official work. Hindi Workshops were conducted in the Units/ Offices at regular intervals. Regular review of progressive use of Hindi and difficulties faced were carried out in Quarterly meetings of Official Language Implementation Committee under the Chairmanship of CMD at Corporate Office and Unit Heads in Units.

During 2018-19, the Company participated in the half-yearly meeting of Town Official Language Committee (PSUs), Kolkata held on 24.8.2018. Under the 'Official Language Award Scheme 2017-18' the Corporate Office of HCL was awarded for the successful implementation of the official language on 24.8.2018 by the Town Official Language Implementation Committee (PSUs), Kolkata.

The progressive use of Hindi is being reviewed regularly at the Board meetings. Hindi books have also been purchased during the year. The Company's in-house journal "Tamralipi" is published in Hindi and English and distributed among employees regularly and also mailed to the members of the Hindi Advisory Committee.

21. Business Responsibility Report

Pursuant to Regulation 34 (2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 {SEBI (LODR), 2015}, Business Responsibility Report for 2018-19 describing various initiatives taken by the Company on social, environmental and governance perspective, is attached at Annexure-IV which forms part of this report.

22. Extract of Annual Return

Extract of Annual Return pursuant to Section 92(3) of the Companies Act, 2013 is available at Company's website at www.hindustancopper.com.

23. Corporate Governance

Corporate Governance Report as per SEBI (LODR), 2015 is given at Annexure-V forming part of this report together with Certificate on Corporate Governance.

24. Number of meetings of the Board

During 2018-19, ten Board meetings were held on 21.4.2018, 25.5.2018, 30.5.2018, 26.7.2018, 9.8.2018, 5.9.2018, 27.10.2018, 13.11.2018, 11.2.2019 and 28.3.2019.

25. Directors' Responsibility Statement

In terms of Section 134(5) of Companies Act, 2013, your Directors confirm:

- (i) That in the preparation of the annual accounts for the year ended 31st March, 2019 the applicable accounting standards had been followed along with proper explanations relating to material departures.



DIRECTORS' REPORT (Contd.)

- (ii) That such accounting policies have been selected and applied consistently and made adjustments and estimates which are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of 31st March, 2019 and of the Profit and Loss of the Company for the year.
- (iii) That proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.
- (iv) That the Directors have prepared the annual accounts on a going concern basis.
- (v) That the Directors have laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and operating effectively.
- (vi) That the Directors have devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems are adequate and operating effectively.

26. Declaration by Independent Directors:

Independent Directors of the Company have given declaration to the effect that they meet the criteria of independence as provided under Section 149(6) of the Companies Act, 2013.

27. Familiarization Programme for Independent Directors

On joining, Independent directors are familiarized through induction programme / presentation with the overview of business, operations, new projects and business model of the Company. Visit to Units is also organized as per their convenience. They are also updated on the changes / developments including in the relevant statutory / regulatory requirements from time-to-time. Detail of Directors' Training / Familiarization Programme has been hosted at the Company's website at www.hindustancopper.com.

28. Code of Conduct

The Company has in place a Code of Conduct applicable to the Directors as well as Senior Management and the same has been circulated to all concerned and posted at the Company's website www.hindustancopper.com. All Board members and senior management personnel have affirmed compliance of the Code for the year ended 31st March, 2019.

29. Directors

Shri Alok Chandra was appointed in place of Shri Anil Kumar Nayak as part time official Director with effect from 22.6.2018.

Shri Sukhen Kumar Bandyopadhyay has joined as Director (Finance) with effect from 9.7.2018.

Shri Subhas Sharma has been appointed as Non-official Independent Director with effect from 18.7.2018.

Shri Arun Kumar Shukla has joined as Director (Operations) with effect from 1.10.2018.

Smt Simantini Jena and Shri Hemant Metani were reappointed as Independent Directors for a period of one year from 17.11.2018 and Shri Dileep Raj Singh Chaudhary was reappointed as Independent Director for a period of one year from 1.12.2018.

Shri Anupam Anand, Director (Personnel) is under suspension from 11.4.2019 in terms of Order No. A/05/1/2019-Vig. dated 11.4.2019 issued by Ministry of Mines, Government of India.

The Board places on record its appreciation for the valuable services rendered and contribution made by Shri Anil Kumar Nayak during his tenure on the Board.

30. Secretarial Audit Report

Shri Arup Kumar Roy, Practicing Company Secretary, has been appointed as Secretarial Auditor for FY 2018-19. Report given by the Secretarial Auditor is given at Annexure -VI to this report. With regard to the observations of the Secretarial Auditor about composition of the Board of Directors of the Company, it is stated that during 2018-19, three posts of part



DIRECTORS' REPORT (Contd.)

time non-official (Independent) Directors were laying vacant. HCL, being a Government Company and in terms of its Articles of Association, appointment of all Directors on its Board is made by the President of India through orders issued by the Ministry of Mines (MoM). The Company has requested MoM to fill up the vacant posts of Independent Directors.

31. Auditors

M/s. Chaturvedi & Co, Kolkata was appointed as Statutory Auditors to audit the accounts of the Company for the year 2018-19.

M/s. Chatterjee & Co, Kolkata was appointed as Cost Auditor of the Company for carrying out the cost audit of Copper Ore, Concentrate, Cathode, Continuous Cast Copper Rods, other Processed Copper and articles along with Sulphuric acid for the year 2018-19.

32. Comments of C&AG

The comments of C&AG under the Companies Act on the accounts of the Company for the year ended 31st March, 2019 are annexed to this report.

33. Appreciation

In conclusion, your Directors wish to place on record their appreciation of the hard work put in by all employees of the Company during the year under review. The Board gratefully acknowledges the valuable guidance and co-operation received from the Ministry of Mines and other Ministries/ Departments of the Government of India and the support received from the State Governments of Rajasthan, Jharkhand, Madhya Pradesh, Maharashtra, Gujarat and West Bengal and the Company's bankers, customers and office bearers of the recognized trade unions of different Units / Head Office. The Board also thanks all shareholders and investors for the trust reposed by them in the Company.

For and on behalf of the Board of Directors

Place: Kolkata

Date: 04.06.2019

Santosh Sharma
Chairman and Managing Director
(DIN-07431945)



ANNEXURE - I TO THE DIRECTORS' REPORT

MANGEMENT DISCUSSION AND ANALYSIS REPORT

I. Industry Structure and Development

Copper is very essential metal for economic activity and even more so to the modern society. Infrastructure development in major countries such as China and India and the global trend towards cleaner energy will continue to support growth in copper demand. Copper is one of the most recycled of all the metals. Virtually all products made from copper can be recycled and recycled copper loses none of its physical and chemical properties. Currently 17% of total refined copper production comes from recycling only.

Global Business Scenario

World mine production increased by about 2.3% during the calendar year (CY) 2018 and reached to level of 20.56 million tonnes (in metal terms). The increase in world mine production in 2018 was mainly due to constrained output in CY 2017 namely in Chile, Indonesia and the DRC. Restart of temporary closed mines in Zambia, uplift of temporary ban on export of Indonesian concentrate and closure of strike at Escondida, world's biggest copper mine, in Chile has contributed higher mine output in CY 2018. World Copper mining capacity is estimated to reach 25.9 million tonnes copper in 2021, with 20% being SX-EW production. This will be 8.9% higher than global capacity of 23.78 million tonnes copper recorded in 2018. On a regional basis, mine production is estimated to have increased by around 10% in Africa, 3.5% in Latin America and 10% in Oceania but declined by 4% in North America and remained essentially unchanged in Asia and Europe.

World refined copper production increased by about 1.98% during CY 2018 and reached to a level of 24.02 million tonnes. In 2018, World growth was constrained by an unusually high frequency of smelter disruptions and temporary shutdowns for technical upgrades/ modernizations. The main contributor to growth in world refined production was China due to its continued expansion of capacity. Overall growth was partially offset by 34% decline in India's output due to shutdown of Vedanta's Tuticorin smelter in May, 2018 and declines in Germany, Philippines and Poland as a consequence of maintenance shutdowns and operational issues.

In 2018, the World consumption of refined copper was 24.41 million tonnes registering a growth of 2.86%. Sustained growth in copper demand is expected to continue because of progressive move towards more sustainable economy, increase in population, product innovation, economic development etc.

Indian Copper Scenario

Compared with global markets, India has limited copper ore reserve contributing about 2% of World copper reserves. Mining production is just 0.2% of world's production, whereas refined copper production capacity is about 4% of world's production. The size of Indian Copper Industry (consumption of refined copper per annum) is around 7.0 lakh tones, which as percentage of World copper market is only 3%.

There are three major players which dominate the copper industry in Indian markets. HCL in Public sector, Hindalco Limited and Vedanta Industries Limited in Private sector. Production in India has declined significantly due to order issued by Tamil Nadu Government for closure of Vedanta Smelter/ refinery plant at Tuticorin in May, 2018.

HCL is the only vertically integrated copper producer in the country which produces refined copper from mined ore, while M/s Hindalco Industries at Dahej in Gujarat and M/s Vedanta Industries Limited at Tuticorin in Tamil Nadu have set up port based smelting and refining plants. However, there are few installations to produce Electro-won copper but their capacities are still very low and production is inconsistent. There are more than 1000 SMEs, MSMEs and unorganized sector working in the downstream and secondary recycling of copper Industries in the country.

In the fiscal year 2018-19, the copper ore production in India was 4.12 million tonnes which is 12% higher compared to 2017-18. HCL has planned to enhance its ore production capacity from 3.4 million tons to 20.20 million tonnes in next 5 years at an estimated capex of ₹ 5,500 crores. Metal in concentrate production of HCL was 32,439 tonnes which was 2% higher compared to 2017-18. In addition to the above, Indian government planned to explore more reserve & resource of copper ore in India.

Refined copper production in India during FY 2018-19 was approx. 4.57 Lakh tonnes (Sterlite- 0.89 Lakh tonnes, HCL- 0.16 Lakh tonnes & Hindalco- 3.51 lakh tonnes), as compared to 7.65 Lakh tonnes in FY 2017-18.

The Government of India has set its goal of increasing Electric Vehicles (EVs) to 30% of the new vehicle registered on road by 2030. Andhra Pradesh plans to add 10 Lakh EV by 2024. Kerala Finance Minister said, by 2019-20 electric buses will replace KRTC buses, starting from Thiruvananthapuram. The state has also announced tax exemption and subsidy to electric auto-rickshaws.



II. SWOT analysis

Strength

- Only Company having ownership of all copper mines in India
- Fully developed infrastructure facilities
- Fully integrated operations from mining of copper ore to pure metal
- Skilled and experienced work force
- Established brand value

Weakness

- High cost of logistics due to multi- location units
- Relatively smaller sized plants
- Aged equipment /old technology
- Limited value added products

Opportunity

- Scope for expansion of mine capacity
- Opportunity to explore new deposits
- Ready market for copper concentrate in India due to large smelting/refining capacity

Threat

- High volatility of LME price of copper
- Rising cost of inputs
- Continuous attrition of skilled manpower

III. Segment-wise or product-wise performance

Covered in the main report.

IV. Outlook

Copper demand in India is expected to grow at 9-10% in tandem with economic growth in the country. This is due to increasing urbanization, development of industrial corridors, smart city project, housing for all Indians by 2022, National highway development project, Rail project, Defense production policy to encourage indigenous manufacture, India energy plan 2022- 100GW solar, 32GW wind, 260GW thermal & nuclear, 62 GW hydro and in addition to this there is plan for green energy corridor for transmission of renewable energy. The per capita copper consumption in India is expected to increase from the current level of 0.5 Kg to 1 kg by 2025. The per capita copper consumption of China is 6 Kg and world average is 2.7 kg.

The market for electric vehicles (EV) is expected to witness growth in coming years as government incentives continue around the world. Copper is essential to EV technology and its supporting infrastructure. The evolving market will have a substantial impact on copper demand. The increase in the electric vehicles market will significantly impact copper. The projected demand for copper due to electric vehicles is expected to increase by 1,700 kilotons by 2027.

V. Risks and concerns

The Company has laid down risk management framework keeping the Company's objectives, growth strategy and process complexities arising out of its business operations. Risk management in HCL is a continuous process of identifying, assessing and managing all the opportunities, threats and risks faced by the company to achieve its goals.



ANNEXURE - I TO THE DIRECTORS' REPORT (Contd.)

VI. Internal control systems and their adequacy

The Company has internal control systems and procedures commensurate with its size and nature of business. The Company has in place delegation of authority, policies and manuals approved by the Board.

VII. Discussion on financial performance with respect to operational performance

The financial performance for FY 2018-19 vis-à-vis FY 2017-18 is summarized below:

(₹ in crore)

Particulars	2018-19	2017-18
Turnover	1753.44	*1612.47
Value of Production	1709.69	1767.45
Cost of production excluding depreciation, amortization and Finance Cost & Prior Period Adjustment (Net)	1401.34	1581.51
Profit before depreciation, amortization and Finance Cost, Prior Period Adjustment (Net) & Tax	538.70	307.98
Depreciation, Amortisation	252.89	164.65
Finance Cost	55.46	21.29
Prior Period Adjustments (Net)	-	-
Profit/ (Loss) Before Tax from Continuing Operation	230.35	122.04
Profit/ (Loss) Before Tax from Discontinuing Operation	(0.35)	(0.35)
Provision for taxation -Current	91.17	46.28
-Deferred	(6.68)	(4.19)

*excluding excise duty of ₹ 35.43 crore

Capital Expenditure

During the year, the expenditure on account of Replacements & Renewals (R&R) of plant & machinery, mine expansion, mine development & green field exploration stood at ₹ 602.46 crore which was funded partially through internal resources of the Company and partly through borrowings from banks and no Government support for capital expenditure was asked for.

Contribution to Exchequer

During 2018-19, the Company contributed a sum of ₹ 314.69 crore to the exchequer by way of duties, taxes and royalties, as against ₹ 309.71 crore in 2017-18, as detailed below:

Particulars	₹ in crore	
	2018-19	2017-18
Excise Duty/GST	-	45.52
Customs Duty	0.11	57.27
Sales Tax/GST	89.23	15.20
Royalty and Cess	98.89	98.21
Income Tax	115.90	75.08
Others	10.56	18.43
Total	314.69	309.71



ANNEXURE - I TO THE DIRECTORS' REPORT (Contd.)

VIII. Material developments in Human Resources / Industrial Relations front including number of people employed

(i) Manpower

As on 31.3.2019, the manpower of the Company was 2195. Category-wise break-up is tabulated below.

Employee Group	Category (No.)					Employee Group	Special Categories (No.)			
	Gen	SC	ST	OBC	Total		ESM	PwD	LDP	Minorities
A	338	96	29	107	570	A	1	12	-	27
B	16	5	1	6	28	B	0	1	-	-
C	532	164	215	182	1093	C	7	7	153	102
D	308	125	53	18	504	D	0	6	58	15
Total	1194	390	298	313	2195	Total	8	26	211	144

Legends: Group A & B: Executives; Group C & D: Non-Executives; Gen: General; SC: Scheduled Caste; ST: Scheduled Tribe; OBC: Other Backward Class; ESM: Ex-Servicemen; PwD: Persons with Disabilities; LDP: Land Displaced Person.

(ii) Employment of SC/ST/OBC Community and PwD candidates

The Company adheres to the prescribed Government guidelines on reservation for SC/ST/OBC/PwD categories in its recruitment activities. The representation of SC, ST, OBC and PwD employees in the total manpower of 2195 as on 31.3.2019 was 17.77 %, 13.58 %, 14.26 % and 1.18 % respectively.

(iii) Employment of Women

The Group-wise strength of women employees as on 31.3.2019 vis-à-vis the total employee strength of the Company is given below.

Group	No. of Employees		Women employees as % of total Employees
	Total	Women	
A	570	41	7.19
B	28	2	7.14
C	1093	45	4.12
D	504	75	14.88
Total	2195	163	7.43

(iv) Employee Relations

During the period, the Employee Relations continued to be harmonious and peaceful in all Units of the Company. The successful operation of various Bi-partite fora at the Apex, Unit and Shop-floor levels have contributed immensely towards smooth functioning of the Company.

A meeting of apex level Bi-partite Forum NJCC was held on 13.3.2019 at Corporate Office, Kolkata. Major issues were discussed and some were resolved.

(v) Human Resource Development

Training and Development, based on identified needs is given due priority by the Company for all levels of employees to increase employee effectiveness, employee utilization and productivity as well as to usher in a culture of innovation and creativity with emphasis on deciphering problem-solving skills. The Company selectively nominated employees for specialized training Programmes / Workshops / Seminars / Conferences organized by reputed professional organizations and Institutes. In FY 2018-19, against a training target of 5016 mandays, 9635 mandays of training was achieved.



ANNEXURE - I TO THE DIRECTORS' REPORT (Contd.)

(vi) Communal Harmony and National Integration

In the townships of the Company located at Khetri, Malanjkhand and Ghatsila as well as in other places of work, the employees of different caste, creed, region and religion live together in harmony and celebrate all religious festivals with pomp and gaiety.

(vii) Status of implementation of Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013

In accordance with the provision of 'The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013' & Rules made thereunder, the Company has set up Internal Complaints Committee at all its Units / Offices. A provision in this regard has also been incorporated in the Conduct, Discipline and Appeal Rules. During the year, 1 (one) complaint was received, which was addressed by the Internal Committee and the case was disposed-off.

(viii) Status of implementation of The Persons with Disability Act, 1995

The number of employees belonging to PwDs category employed in the Company as on 31.3.2019 was 12 (twelve) in Group A, 1 (one) in Group B, 7 (seven) in Group C and 6 (six) in Group D, aggregating to 26 (twenty six).

- a) Recruitment: In recruitment matters the reservation for Persons with Disabilities (PwD) was adhered to as per Government of India directives and duly incorporated in advertisement published, wherever applicable.
- b) Scholarship: HCL grants scholarship to employees' children under a special scheme. Particular care and wide publicity is given to the scheme. It has specific provision for PwD category children with relaxed eligibility criteria.
- c) Ramp: Ramps constructed at Hospital, Works and General Office to enable easy access to elevated areas in buildings and ease of mobility. Provision of wheelchairs in Hospital/main administrative offices in Units / Projects is also available.
- d) 'Accessibility Audit' of office buildings was carried out in all the five Units.
- e) Conveyance Allowance: Conveyance Allowance / Transport Subsidy to Persons with Disabilities (PwD) employees were paid at higher rates than other employees as per Government Directives.

(ix) Skill Development

HCL spent 17 % of its CSR funds in FY 2018-19 for Skill Development which translates to ₹ 35.08 lakh of total spending of ₹ 208.16 lakh.

a) Kaushal Vikas Yojna

HCL signed an MoU on 13.7.2018 with National Skill Development Council (NSDC) to impart training, viz., 'Fresh Skilling' for Youth and 'Recognition of Prior Learnings' for Unskilled and Semi-skilled persons. Total 240 persons were trained of whom 60 were freshers and remaining 180 were under Recognition of Prior Learnings. 32 youths trained under 'Fresh Skilling' of this program have so far been placed in reputed companies, e.g., at Tata Motors and others. The average salary of these trainees is around ₹ 8000 per month.

b) Apprenticeship Training:

HCL imparted apprenticeship training to 290 persons in FY 2018-19. An amount of ₹ 217.84 lakh was spent on the training of these apprentices in FY 2018-19.

No. of positions of apprentices were enhanced from 290 to 520 in March 2019, i.e. an increase of 79%. The engagement of apprentices was increased as per the amended provision of the Apprentices Act, 1961 and shall be applicable in FY 2019-20.



ANNEXURE - I TO THE DIRECTORS' REPORT (Contd.)

c) Skill Development Institute as an Upgraded Training Center:

A Skill Development Institute was established at Khetri Copper Complex by upgrading the existing Training Center. The 2 batches of 55 trainees in the course of "Assistant Mine Surveyor" completed classroom and practical training in December, 2018. A fresh batch of 30 trainees in the trade of 'Winding Engine Driver' has started in March, 2019. These selected trainees shall undergo training for 14 months.

d) Digital Payments:

To maximize cashless transactions by the Internal and External customers of HCL, awareness workshops were organized for dissemination of knowledge of the benefits and modes / methodologies of cashless transactions at each Units. Bank payments of wages to all Contract Labour have been ensured. Posters and banners were displayed at prominent places too. Awareness drives in collaboration with bank officials to educate the Employees, Contract Labour, Customers and Merchants were also undertaken in all Units and offices including Corporate Office of HCL. No cash transactions were carried out in HCL. To make the campuses of HCL 'Cashless', 14 PoS machines have been installed at Guest House, Directors' Bungalow, Hospitals, Town and General Administration, Finance Department, Cash Sections, etc. in the three mining Units of HCL.

e) Transparency

The Company has adopted the Government guidelines of doing away with the process of personal interview in Group 'C' and 'D' recruitment.

(x) Swachh Bharat Mission

Under the Swachh Bharat Mission following initiatives were undertaken by HCL.

a) Open Defecation Free Villages:

- In FY 2018-19, 100 number of individual household toilets were constructed in villages of East Singhbhum District of Jharkhand under the Swachh Bharat Mission.
- Work for construction of 2 Public toilet is underway in Malanjkhand area of Balaghat District (M.P.).

b) Swachhta Activities

In accordance with the Swachh Bharat Abhiyan launched by Govt. of India, intensive Swachhata Pakhwada was organized during August - October 2018. Activities were undertaken in all Units and Offices including Corporate Office. Major activities undertaken are given below.

a. Upkeep and cleaning of

- i. Offices including common area premises, Plant and Mines.
 - ii. Residential complexes, pathways and common areas of the Units.
 - iii. Neighboring market, roads and parks surrounding Plant and Mines.
 - iv. Weeding out of old files/records, etc. in offices.
- b. Conducted awareness campaign in the Units and neighborhood community.
 - c. Periodic inspection of school toilets to ensure their usability.
 - d. Counselling to villagers for use of household toilets for the purpose meant.



ANNEXURE - I TO THE DIRECTORS' REPORT (Contd.)

IX. Key financial ratios and details of significant changes therein (i.e. change of 25% or more as compared to the immediately previous financial year) along with detailed explanations thereof:

Sr. No.	Key Financial Ratio	FY 2018-19	FY 2017-18	Reason for significant changes (i.e. change of 25% or more)
i.	Debtors Turnover (times)	7.91	13.26	Debtors as on 31.03.2019 increased considerably since bulk export sale of Metal-in- Concentrate took place at the end of March 2019, the amount of which has been realized in the month of April 2019.
ii.	Inventory Turnover (times)	2.64	2.23	-
iii.	Interest Coverage Ratio (times)	5.15	6.72	-
iv.	Current Ratio	1.31	1.08	-
v.	Debt Equity Ratio	0.95	0.68	Debt in FY 2018-19 has increased primarily as the Company has invested substantially in mine expansion, capital projects & mine development expenditure during FY 2018-19.
vi.	Operating Profit Margin (%)	14.19%	6.23%	Operating Profit for FY 2018-19 has increased considerably due to positive impact of higher sales volume, effect of higher dollar rupee exchange rate in sales realisation and decrease in operating expenditure.
vii.	Net Profit Margin (%)	8.30%	4.87%	Net Profit Margin for FY 2018-19 has increased considerably due to positive impact of higher sales volume, effect of higher dollar rupee exchange rate in sales realisation and decrease in operating expenditure.

X. Details of any change in Return on Net Worth as compared to the immediately previous financial year along with a detailed explanation thereof.

Return on Net Worth for FY 2018-19 is 15.26% as against 9.57% in FY 2017-18. The increase in Return on Net Worth is due to increase in Net Profit for FY 2018-19 which is attributable to positive impact of higher sales volume, effect of higher dollar rupee exchange rate resulting in higher sales realization and decrease in operating expenditure.



ANNEXURE - II TO THE DIRECTORS' REPORT

STATEMENT OF PARTICULARS IN TERMS OF RULE 8 (3) OF THE COMPANIES (ACCOUNTS) RULES, 2014

(A) Conservation of energy :

(i) The steps taken or impact on conservation of energy:

- Power factor improved and maintained near to unity. This resulted into saving of ₹ 3.8 crores in FY 2018-19
- 4523 Nos. LED lights were replaced in place of high power consuming conventional lights across HCL. This resulted into saving of approx. ₹ 78 lakh in electricity bills in FY 2018-19.
- 22 Nos. Premium class IE-3 Energy Efficiency Motors were introduced in place of 30 to 40 yrs old conventional Motors in ICC Flash Smelter & Refinery in phased manner during the year which resulted in annual power saving to the tune of ₹ 2.14 lakh.
- Two new VFD have been placed at GCP.
- In-house modification in CSM for pneumatically operated circuit to reduce dependency on IR Compressor and this resulted in power saving at GCP.
- Package Boiler burner has been modified to obtain higher specific steam generation at GCP.

(ii) The steps taken by the company for utilizing alternate sources of energy:

- The project for design, supply and installation of solar power plant of various capacities under RESCO model of MNRE has been carried out across HCL with the help of M/s REIL.
 - 200 KWp capacity at KCC - Power Purchase Agreement (PPA) finalized & under installation and to be commissioned by June, 2019
 - 316 KWp capacity at ICC - PPA under finalization
 - 345 KWp capacity at MCP - PPA under finalization
 - 250 KWp capacity at GCP - PPA under finalization
- At MCP 54,585 units were generated by 41 KWp Rooftop Solar plant in year 2018-19, which approximately saved 44 tonnes of Carbon Dioxide.

(iii) The capital investment on energy conservation equipment: ₹ 1.30 crores

(B) Technology Absorption :

(i) The efforts made towards technology absorption:

- Proposal for introducing High Pressure Grinding Rolls (HPGR) in crushing unit for enhancing the capacity of concentrator plant is being initiated and will be implemented after a detailed study at MCP.
- The existing system for dosing of collector and frother in floatation cells of the froth-floatation circuit which is a critical sub-process of the concentrator plant at MCP has become obsolete. Thus, the existing dosing system is being eliminated and new dosing system for collector and frother dosing is being adopted.
- A Dumper Unloading Station has been made operational during 2018-19 at KCC Stock Pile for unloading the ore transported by road from Kolihan mine. This modification has reduced diesel consumption and maintenance cost of Heavy Earth Moving Equipment deployed at Stock Pile for handling the otherwise scattered ore dumps. Further, it has facilitated in grade management by ensuring proper blending of Kolihan ore with Khetri ore.
- Order has been issued to IIT-ISM, Dhanbad for conducting Ventilation Study at Banwas block of Khetri Copper mine. Recommendations shall help in improving ventilation standards at Banwas block and thereby enable deployment of heavy diesel equipment.
- Upgradation of 30 years old obsolete DCS control system for drives with new improved version is under implementation at TCP.



ANNEXURE - II TO THE DIRECTORS' REPORT (Contd.)

(ii) The benefits derived like product improvement, cost reduction, product development or import substitution:

Efforts made towards technology absorption has resulted reduction in energy consumption, improved environmental protection, better productivity, reduction in cost and has ensured safety of operations.

(iii) In case of imported technology (imported during the last three years reckoned from the beginning of the financial year)-

(a) The details of technology imported :

1. Modern electric driven blowers' technology imported from China at ICC to fulfill the requirement of converting operations.
2. The EMEW technology imported from Canada. The technology will help HCL to recover LME-A grade cathode from lower concentration of copper in spent electrolyte which is otherwise not possible by conventional means. Besides this, the technology will also help HCL to recover nickel from the spent electrolyte at ICC refinery
3. Another technology of Acid purification Unit (APU) was imported from Canada. The technology will allow HCL to separate and recycle back the major part of the acid from the spent electrolyte at ICC Refinery. This eco-friendly technology will allow reduction of liquid effluent and help HCL to recover nickel in the downstream process.

(b) The year of import- 2018 (1) & 2016 (2 & 3) above.

(c) Whether the technology been fully absorbed- yes for item (2) & (3) and under progress for item (1) above

(d) If not fully absorbed, areas where absorption has not taken place and the reasons thereof- Electric Blower, it requires design modification which has been taken up.

(iv) The expenditure incurred on Research and Development- ₹ 1.61 crore which are booked under natural heads of accounts.

(C) Foreign exchange earnings and Outgo :

Earnings in foreign exchange

During 2018-19, the Company earned foreign exchanges of ₹ 842.67 crore as against ₹ 340.69 crore during FY 2017-18 registering an increase of around 147% through export of anode slime, copper reverts and copper concentrate.

Expenditure in foreign currency

During 2018-19, the Company spent foreign currency to the tune of ₹ 72.71 crore towards import of raw material, stores & spares, capital goods, other imports, travelling, others etc. as compared to ₹ 338.31 crore in 2017-18 registering a decrease of around 79%.



ANNUAL REPORT ON CSR ACTIVITIES

1. A brief outline of the Company's CSR policy, including overview of the projects or programs undertaken and a reference to the web-link to the CSR policy and projects or programs.

Policy Statement

For Hindustan Copper Limited (HCL), the Corporate Social Responsibility (CSR) is a planned set of activities taking into consideration the Company's capabilities, expectations of the communities living in and around the areas of its operation as well as where it has its presence, targeted to have a significant positive impact in the long term. The aim is to play a catalytic role in the sustainable socio-economic development in the regions where the industry is located or where its interests lie, attempting to create an enabling working environment for HCL as well as income generation opportunities for the community keeping sight of sustained regional development.

Organization setup

The CSR projects in HCL are implemented under the guidance of the Board's Sub-Committee on CSR which presently comprises of three Directors out of which two are Independent Directors. The terms of reference of the Committee is given below:

- (i) Formulate and recommend CSR policy to the Board for approval.
- (ii) Recommend for approval of the Board the amount of expenditure to be incurred on the activities in a financial year along with projects to be undertaken, earmarking funds for broad area-wise projects.
- (iii) Monitor from time-to-time the implementation of the CSR projects undertaken by the Company.

A Nodal Officer for CSR at Corporate level coordinates Company's CSR initiatives and is assisted by a team of designated officers. A Nodal Officer at each of the three Units coordinates CSR initiatives at Unit level.

Scope of activities

The CSR activities of HCL are as per the provisions of Schedule VII of the Companies Act, 2013.

Geographical Span

The CSR activities are undertaken essentially around areas of HCL Units, within a radius of 15-20 Km. At least 75% of the amount earmarked for CSR activities shall be spent in these areas.

Of the remaining 25% of the CSR allocation after (a) above, around 15-20% may be utilized in areas beyond 15-20 Km. of the Unit but within the State in which the Units are located. Up to a maximum of 5% of the amount earmarked for CSR activities may be utilized anywhere in India to be decided by the CMD.

Planning

The identification of CSR activities at Unit / Corporate level are done by any one or combination of the following methods.

- (i) In-house planned projects
- (ii) Proposals from District Administration / Local Govt. body / Public Representatives, etc.
- (iii) Proposals/Requests from a registered & specialized body for providing financial assistance for carrying out specific CSR initiative subject to the condition that it fulfils the criteria as prescribed in the statute in this regard.

Implementation methodology

The CSR activities / projects are implemented using internal resources or through collaborating with NGOs / specialized agencies / trusts / institutions / foundations / societies / Government bodies, etc., in accordance with the provision of 'The Companies Act, 2013' and 'Companies (Corporate Social Responsibility Policy) Rules, 2014'.

Web Link to CSR policy and projects or programs

Annual Report on CSR activities is also available at the Company's website (www.hindustancopper.com)

2. Composition of the CSR Committee

- | | |
|-------------------------|-------------|
| i. Smt Simantini Jena | Chairperson |
| ii. Shri Subhash Sharma | Member |
| iii. Shri Anupam Anand | Member |

3. Average net profit [read: Profit Before Tax] of the Company for last three financial years

₹ 8516.32 lakh

4. Prescribed CSR expenditure (i.e., two percent of the amount as in 3 above)

₹ 170.33 lakh

5. Details of CSR spent during FY 2018-19

- (a) Total amount to be spent for FY 2018-19: ₹ 256.85 lakh*

*(The allocated amount of ₹ 256.85 lakh includes Unspent CSR amount of previous year)

- (b) Amount unspent, if any : ₹ 48.70 lakh

- (c) Manner in which the amount spent during the FY 2018-19 is detailed below.

ANNEXURE - III TO THE DIRECTORS' REPORT (Contd.)

(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Sl. No.	CSR project or activity identified	Sector in which the Project is covered	Projects or programs (1) Local area or other (2) Specify the State and district where projects or programs was undertaken	Amount outlay (budget) project or programs-wise (₹ in lakh)	Amount spent on the Projects or programs Sub-heads (1) Direct expenditure on projects or programs. (2) Overheads (₹ in lakh)	Cumulative expenditure up to the reporting period (₹ in lakh)	Amount spent: Direct or through implementing agency
1	Drinking Water, Health and Sanitation	Eradicating hunger, poverty and malnutrition, promoting preventive health care and sanitation and making available safe drinking water	Dist- East Singhbhum, Jharkhand	48.29	47.88	47.88	M/s Vidyantiketan, Ghatsila, M/s. HLL Life Care Ltd and State Government
			Dist-Balaghat, Madhya Pradesh	47.66	45.01	45.01	Direct, State Government, M/s. HLL Life Care Ltd.
			Dist- Jhunjhunu, Rajasthan	3.28	2.85	2.85	M/s.HLL Life Care Ltd
			Dist- Kolkata West Bengal	2.00	2.00	2.00	M/s R.K. Ashram, Abujmad
2	Education, Vocational Skills and Livelihood	Promoting education including special education and employment enhancing skills especially among children, women and elderly and the differently abled and livelihood enhancement projects	Dist- East Singhbhum, Jharkhand	13.34	11.47	11.47	M/s Vidyantiketan, Ghatsila and M/s. NSDC
			Dist-Balaghat, Madhya Pradesh	7.34	5.29	5.29	M/s. NSDC
			Dist- Jhunjhunu, Rajasthan	48.67	24.50	24.50	M/s. SCMS, M/s. NSDC and M/s. R.K. Mission, Khetri
			Dist- Kolkata West Bengal	17.50	15.69	15.69	M/s. Serve India, M/s. GSARD, M/s. CSRL, M/s. SAHARA
3	Environmental and Animal Welfare	Environmental and Animal Welfare Ensuring environmental sustainability, ecological balance, protection of flora and fauna, animal welfare, agro forestry, conservation of natural resources and maintaining quality of soil, air and water.	Dist- Jhunjhunu, Rajasthan	4.49	0.44	0.44	M/s Hari Singh and M/s Chandra Construction
4	Sports	Training to promote rural sports, nationally recognised sports, Paralympics sports and Olympic sports	Dist- East Singhbhum, Jharkhand	9.00	9.09	9.09	Direct. and M/s Vidyantiketan, Ghatsila
			Dist-Balaghat, Madhya Pradesh	2.00	-	-	-
			Dist- Jhunjhunu, Rajasthan	13.12	13.12	13.12	M/s Shashi Enterprises



ANNEXURE - III TO THE DIRECTORS' REPORT (Contd.)

5	Rural Development	Rural Development Projects	Dist- East Singhbhum, Jharkhand	3.00	2.99	2.99	M/s Vidyanyiketan, Ghatsila
			Dist- Jhunjhunu, Rajasthan	4.94	4.82	4.82	Direct
			Dist-Kolkata, West Bengal	6.00	4.00	4.00	M/s Bio Crux India Ltd.
6	Promotion of Culture and National Heritage	Restoration of Heritage Building	Dist- Jhunjhunu, Rajasthan	8.00	8.00	8.00	M/s R K Mission, Khatri
7	Miscellaneous	Miscellaneous activities, Management Cost, Institutional Cost, WCST etc.	Dist- East Singhbhum, Jharkhand	6.58	6.30	6.30	M/s Vidyanyiketan, Ghatsila, Direct
			Dist-Balaghat, Madhya Pradesh	3.00	0.86	0.86	Direct
			Dist- Jhunjhunu, Rajasthan	2.66	2.66	2.66	Direct
			Dist-Kolkata, West Bengal	5.98	1.18	1.18	Direct
		Grand Total		256.85	208.15	208.15	

6. Reasons for not spending the 2% of average net profit of last three financial years

Not Applicable

7. Responsibility statement of the CSR Committee

The implementation and monitoring of HCL's CSR Policy is in compliance with CSR objectives and Policy of the Company.

Santosh Sharma
Chairman and Managing Director
DIN: 07431945

Simantini Jena
Chairman - CSR Committee
DIN: 07346980

Place: New Delhi
Date: 25.4.2019



ANNEXURE - IV TO THE DIRECTORS' REPORT

BUSINESS RESPONSIBILITY REPORT

Section A: General Information about the Company

1. Corporate Identity Number (CIN) of the Company: L27201WB1967GOI028825
2. Name of the Company: Hindustan Copper Limited
3. Registered Address:
'Tamra Bhavan'
1, Ashutosh Chowdhury Avenue
Kolkata 700019
Tel. No.: 033-2283 2226/2529
Fax no.: 033-2283 2478/2640
4. Website: www.hindustancopper.com
5. E-mail: investors_cs@hindustancopper.com
6. Financial Year Period: 2018-2019
7. Sector(s) that company is engaged in (industrial activity code-wise):

Industrial Group	Description
07291	Mining of copper ore
24201	Manufacture of Copper from ore, and other copper products and alloys
24320	Casting of non-ferrous metals

As per National Industrial Classification - Ministry of Statistics and Programme Implementation

8. List three key products/services that the Company manufactures/ provides (as in balance sheet):
Hindustan Copper Limited (HCL) is the only vertically integrated copper mining company in India having its own captive mines. Following are the key products manufactured by the Company:
 - Copper Cathode
 - Continuous Cast Copper Wire Rod
 - Metal in Concentrate
9. Total number of locations where business activity is undertaken by the Company:
 - a) Number of International locations : None
 - b) Number of National locations : 14

Offices
Corporate and Eastern Regional Sales Office, Kolkata
Western Regional Sales Office, Mumbai
Southern Regional Sales Office, Bangalore
Northern Regional Sales Office, Delhi

Plants
Khetri Copper Complex (KCC), Khetrinagar, Rajasthan
Indian Copper Complex (ICC), Ghatsila, Jharkhand
Malanjkhand Copper Project (MCP), Malanjkhand, Madhya Pradesh
Taloja Copper Project (TCP), Taloja, Maharashtra
Gujarat Copper Project (GCP), Gujarat

Godowns
Jaipur, Rajasthan
Sahibabad, Uttar Pradesh
Bangalore, Karnataka
Kolkata, West Bengal
Hyderabad, Andhra Pradesh



ANNEXURE - IV TO THE DIRECTORS' REPORT (Contd.)

10. Markets served by the Company (Local / State / National / International): National/ International

Section B: Financial Details of the Company

1. Paid up Capital: ₹ 462.61 crore
2. Total Turnover: ₹ 1753.44 crore
3. Total Profit after Taxes from continuing and discontinuing operation: ₹ 145.51 crore
4. Total spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%): 1.43%
5. List of activities in which expenditure in 4 above has been incurred:
 - a. Drinking Water, Health and Sanitation
 - b. Vocational Skills and Livelihood
 - c. Environment
 - d. Promotion of sports in rural areas
 - e. Promotion of Culture and Heritage
 - f. Rural development projects

Section C: Other Details

1. Does the Company have any Subsidiary Company / Companies?

Yes

2. Do the Subsidiary Company / Companies participate in the BR Initiatives of the parent Company? If yes, then indicate the number of such subsidiary company(s).

Subsidiary Company namely, Chhattisgarh Copper Ltd is recently incorporated on 21.5.2018. As such at present it is not contributing to the BR initiative.

3. Do any other entity / entities (e.g. suppliers, distributors etc.) that the Company does business with; participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity / entities? [Less than 30%, 30-60%, More than 60%]

Yes, currently less than 30%.

Section D: BR Information

1. Details of Director / Directors responsible for BR:

a) Details of the Director / Directors responsible for implementation of the BR policy / policies:

DIN	02752767
Name	Anupam Anand
Designation	Director(Personnel)
Phone	033-2281 6221
Mail Id	anupamanand@hindustancopper.com

DIN	08173882
Name	Sukhen Kumar Bandyopadhyay
Designation	Director (Finance)
Phone	033-2282 0702
Mail Id	sukhenb@hindustancopper.com

DIN	07276836
Name	Sanjay Kumar Bhattacharya
Designation	Director (Mining)
Phone	033-2281 7138
Mail Id	bhattacharya_sk@hindustancopper.com

DIN	03324672
Name	Arun Kumar Shukla
Designation	Director (Operations)
Phone	033-2287 0325
Mail Id	akshukla@hindustancopper.com

b) Detail of the BR head

DIN	07431945
Name	Santosh Sharma
Designation	Chairman and Managing Director
Phone	033-2283 2725
Mail Id	santoshsharma@hindustancopper.com

ANNEXURE - IV TO THE DIRECTORS' REPORT (Contd.)

2. Principle-wise (as per NVGs) BR Policy / policies (Reply in Y / N)

The National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business (NVGs) released by the Ministry of Corporate Affairs has adopted nine areas of Business Responsibility. These briefly are as under:

- P1 - Businesses should conduct and govern themselves with Ethics, Transparency and Accountability.
- P2 - Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle.
- P3 - Businesses should promote the well-being of all employees.
- P4 - Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.
- P5 - Businesses should respect and promote human rights.
- P6 - Businesses should respect, protect, and make efforts to restore the environment.
- P7 - Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner.
- P8 - Businesses should support inclusive growth and equitable development.
- P9 - Businesses should engage with and provide value to their customers and consumers in a responsible manner.

2 (a) Details of compliance (Reply in Y/N)

Sr. No.	Questions	Business Ethics	Product Responsibility	Welfare of Employees	Stakeholder Engagement	Human Rights	Environment	Public Policy	CSR	Value to customers
		P1	P2	P3	P4	P5	P6	P7	P8	P9
1	Do you have a policy / policies for...	Y*	Y*	Y*	Y*	Y*	Y*	Y*	Y*	Y*
2	Has the policy been formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3	Does the policy conform to any national / international standards? If yes, specify?	Y	Y	Y	Y	Y	Y	N	Y	N
4	Has the policy being approved by the Board? If yes, has it been signed by MD/owner/CEO/ appropriate Board Director?	Y	N	Y	N	Y	Y	N	Y	N
5	Does the company have a specified committee of the Board/ Director/Official to oversee the implementation of the policy?	Y	N	Y	N	N	N	N	Y	N
6	Indicate the link for the policy to be viewed online?	Y**	Y**	Y**	N	N	N	N	Y**	Y**
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Communicated to key stakeholders of HCL. The communication is an on-going process to cover all internal and external stakeholders.								
8	Does the Company have in-house structure to implement the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
9	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/policies?	Y	Y	Y	Y	Y	Y	N	Y	Y
10	Has the Company carried out independent audit/evaluation of the working of this policy by an internal or external agency?	N	N	N	N	N	Y	N	Y	N

*The Company follows DPE, other applicable Government guidelines/ laws and the policies approved by the Board.

**Company's Website: www.hindustancopper.com



ANNEXURE - IV TO THE DIRECTORS' REPORT (Contd.)

2 (b). If answer to Sr. No 1 against any principle, is 'No', please explain why: (Tick up to 2 options)

Sr. No.	Questions	Business Ethics	Product Responsibility	Welfare of Employees	Stakeholder Engagement	Human Rights	Environment	Public Policy	CSR	Value to customers
		P1	P2	P3	P4	P5	P6	P7	P8	P9
1	The Company has not understood the Principles	Not Applicable								
2	The Company is not at a stage where it finds itself in a position to formulate and implement the policies on specified principles									
3	The Company does not have financial or manpower resources available for the task									
4	It is planned to be done within next 6 months									
5	It is planned to be done within the next 1 year									
6	Any other reason (please specify)									

3. Governance related to BR:

- Indicate the frequency with which the Board of Directors, Committee of the Board or CEO assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, More than 1 year.

The BR performance of the Company is assessed on a need basis and in accordance with statutory requirements.

- Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

The Company publishes annually its BR report as per SEBI guidelines and it can be viewed at the Company's website www.hindustancopper.com.

Section E: Section Wise Performance

Principle 1: Ethics, Transparency and Accountability

Businesses should conduct and govern themselves with Ethics, Transparency and Accountability

1. Does the policy relating to ethics, bribery and corruption cover only the Company?

No. The Company is making continuous efforts in improving the systems and procedures so that they are transparent and in conformity with the extant rules & procedures, thereby ensuring that the working atmosphere and Company's dealings / transactions with other entities are relatively free from corruption. The Company has developed its Code of Ethics and Whistle Blower Policy which pertain to ethics, bribery and corruption. Its Code of Business Ethics governs the manner in which the Company carries out its activities and interacts with its stakeholders.

2. Does it extend to the Group / Joint Ventures / Suppliers / Contractors / NGOs / Others?

Yes. It extends to the Suppliers, Contractors, Business Partners and all other associated entities. The Company is a signatory of 'Integrity Pact' with Transparency International India wherein the Integrity Pact is signed between the bidders and the Company for all service contracts valuing Rs.20 crore and above and for all purchase contracts valuing Rs.10 crore and above.

3. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so.

- Investor Grievances: During 2018-19 the Company received and resolved two complaints and there was no complaint pending as on 31.3.2019
- Public Grievances: 101 cases were received during FY2018-19 and 19 were carried forward from FY 2017-18. 107 grievances were redressed in the year.



ANNEXURE - IV TO THE DIRECTORS' REPORT (Contd.)

iii) Customer Grievance: 4 Customer grievances were received and resolved during 2018-19 and there was no outstanding grievance as on 31.3.2019

iv) Stakeholder grievances pertaining to any other issue are forwarded to the respective department for redressal.

The stakeholders may address their complaints via platforms given below:

Employees	• Grievance Redressal System • Whistle Blower Policy
Trade Unions	Bipartite Forum at Unit/National level for the Company
Shareholders	At dedicated email id- investors_cs@hindustancopper.com
Consumers/Customers	Grievance Redressal through Marketing Department
Public in General	Public Grievance System of the Ministry. Centralized Public Grievance Redress and Monitoring System (CPGRAMS) developed and monitored by Department of Administrative Reforms and Public Grievances for online receipt and disposal of public grievances

Principle 2: Products contributing to sustainability

Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle.

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and / or opportunities.

The Company operates and manufactures its products (e.g. refined copper cathode, continuous cast wire rods, copper concentrate) in such a manner as to protect the environment, interests of employees and general public.

2. For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional):

i. Reduction during sourcing / production / distribution achieved since the previous year throughout the value chain

ii. Reduction during usage by consumers (energy, water) has been achieved since the previous year

The Company is committed to increase levels of recovery and recycling, as well as making investments in environment friendly technology/process to reduce energy intensity, toxicity and waste.

Energy Conservation: Energy consumption is constantly monitored at the mines, plants and townships with a view to achieve overall reduction. In place of conventional lights LED lights are incorporated in all four units to save energy and environment. Total 10.8 lakhs units of electricity has been saved in FY 2018-19.

Water use efficiency: Used water is reclaimed and re-used in order to conserve water. Used water is treated in effluent treatment plants before reuse. The processes are also reviewed and modified so as to reduce the requirement of water from time to time. Treated effluent water is used in horticultural purposes. In the FY 2018-19, MCP has recycled waste water about 40% of total process water requirement.

3. Does the Company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so.

Sustainable sourcing: Before registering / approving any party, the Company scrutinizes carefully relevant documents to verify compliances of all pre-set norms including the environmental norms by the party. In case of major items, Company Officials visits their premises to evaluate all their capabilities including the environmental and social issues.

Logistics improvements: The Company continued to follow multi-modal transportation which is not only efficient & cost effective, but also environmental friendly. Further, improvements over the years through sealing of containers has successfully reduced the amount of dust emitted thus reducing the pollution level as well as wastage.



ANNEXURE - IV TO THE DIRECTORS' REPORT (Contd.)

4. Has the Company taken any steps to procure goods and services from local and small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve the capacity and capability of local and small vendors?

Yes, the Company procures products and services from local producers and communities surrounding its operations.

Suppliers, vendors participate in awareness creation programs, capacity building workshops that include sharing technical expertise, skill up-gradation and shop floor visits. Company trained the local unemployed person to produce goods like hand gloves which is consumed in the factory regularly.

5. Does the Company have a mechanism to recycle products and waste? If yes, what is the percentage of recycling of products and waste? (Separately as <5%, 5-10%, >10%). Also, provide details thereof, in about 50 words or so.

Currently, the Company recycles less than 5-10% of its waste generated internally.

Entire amount of copper bearing waste generated in TCP unit is recycled to HCL smelter plant. The copper waste of refinery and electrical workshop is also recycled back to smelter. The tailing of concentrator plant is partly backfilled in the mines at ICC. The Company sells the used oil, rubber scrap to the Government approved recyclers and these recyclers address environmental concerns while recycling or disposing the waste. A good amount of granulated copper slag (i.e. a waste of smelter plant) is sold for using as an alternative of sand blasting.

With the help of latest technology, recovery of nickel, copper and sulphuric acid from the spent electrolyte (waste stream) of ICC refinery is being carried out.

The Company has installed a plant at MCP to recover valuable metals & minerals from the copper ore tailing, a waste generated from the concentrator plant.

Principle 3: Welfare of Employees

Businesses should promote the well-being of all employees.

1. Please indicate the total number of employees.

2195 as on 31st March, 2019.

2. Please indicate the total number of employees hired on temporary / contractual / casual basis.

The number of employees hired on contract during FY 2018-19 was 118. There was no employee hired on temporary / casual basis.

3. Please indicate the number of permanent women employees.

163 as on 31st March, 2019.

4. Please indicate the number of permanent employees with disabilities.

26 as on 31st March, 2019.

5. Do you have an employee association that is recognized by Management?

Yes.

6. What percentage of your permanent employees is members of this recognised employee association?

Almost all the workmen are members of the different registered Trade Unions operating in the Units / Offices

7. Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending as on the end of the financial year.

Sl. No.	Category	Complaints filed during the FY 2018-19	Complaints pending at the end of FY 2018-19
1	Child labour/ forced labour/ involuntary labour	Nil	Nil
2	Sexual harassment	1	Nil
3	Discriminatory Employment	Nil	Nil



ANNEXURE - IV TO THE DIRECTORS' REPORT (Contd.)

8. What percentage of your under mentioned employees were given safety and skill up-gradation training in the last year?

- Permanent Employees
- Permanent Women Employees
- Casual/Temporary/Contractual Employees
- Employees with Disabilities

Category	%
Permanent Employees	58
Permanent Women Employees	36
Casual/Temporary/Contractual Employees	105
Employees with Disabilities	30

Based on identified needs of employees, training and development, at all levels, is given due priority, by the Company for growth of individual as well as company effectiveness. The Company selectively nominates its employees for specialized training Programmes / Workshops / Seminars / Conferences organized by reputed professional organizations and Institutes.

Principle 4: Stakeholder Engagement

Businesses should respect the interests of and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.

1. Has the Company mapped its internal and external stakeholders? Yes / No

Yes

2. Out of the above, has the Company identified the disadvantaged, vulnerable and marginalized stakeholders?

Yes

3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalized stakeholders? If so, provide details thereof, in about 50 words or so.

Yes, the Company takes various initiatives to engage with disadvantaged or marginalised stakeholders such as employees with special needs, employees from disadvantaged sections of society. All decisions that impact such stakeholders are taken only post deliberations.

The initiatives were selected on the basis of the Base-line Survey to identify feasible need-based CSR projects for the respective communities from the peripheral villages.

The Company conducted Base-line Surveys within 20 Kms radius around the Mining areas to identify feasible need-based CSR projects for the respective communities from the peripheral villages. The needs of the Community especially disadvantaged and marginalised amongst them, were prioritised.

Principle 5: Human Rights

Businesses should respect and promote human rights.

1. Does the policy of the Company on human rights cover only the Company or extend to the Group/Joint Venture/ Suppliers/ Contractors/NGO/ Others?

The Company respects human rights and addresses human rights issues through its own codes and procedures and compliance with applicable laws. HCL adheres to the statutes of India such as Mines Act, Factories Act which embody some of human rights principles such as prevention of child labour, forced labour.

The Company has a structured mechanism in place to address the human rights issues such as equal opportunity to all, non-discrimination, removing pay anomaly, etc. Adequate efforts are undertaken to eliminate discrimination and harassment such as workers' participation from shop floor to corporate level, concessions to persons with disability, prohibition of sexual harassment of women at workplace.



ANNEXURE - IV TO THE DIRECTORS' REPORT (Contd.)

HCL is an equal opportunity employer and does not discriminate among employees based on colour, caste, race, region, religion, gender, etc. The Company implements directives of Government of India for reservation for SC/ST/OBC/ PWD/ Ex-Servicemen in recruitment and promotion whenever specified.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the Management?

Please see reply to question no. 3 under Principle 1 above.

Principle 6: Environment

Businesses should respect, protect, and make efforts to restore the environment.

1. Does the policy related to Principle 6 cover only the Company or extends to the Group / Joint Ventures / Suppliers / Contractors / NGOs / Others?

Yes, the Company expects its Joint Ventures, suppliers, contractors, NGOs and others (wherever applicable) to be compliant with all applicable laws, including those related to environment.

2. Does the Company have strategies / initiatives to address global environmental issues such as climate change, global warming, etc.? Y / N. If yes, please give hyperlink for webpage etc.

The Company does not have a process in place yet, to map its Green House Gas (GHG) emissions and mitigate such emissions. However, its technology upgradation and energy efficiency initiatives contribute to mitigation of GHG emissions. At ICC, coal based captive power plant will cease to operate from the next financial year and it will significantly reduce the GHG emission. During the year 54,585 units were generated through Rooftop Solar plant at MCP, which saved around 44 tonnes of Carbon Dioxide emission. The Company understands the importance of climate change risk mitigation by adapting to likely climate changes and its impact on business operations.

3. Does the company identify and assess potential environmental risks? Y/N

Yes

4. Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof in about 50 words or so. Also, if yes, whether any environmental compliance report is filed?

The Company does not have any project related to the Clean Development Mechanism.

5. Has the Company undertaken any other initiatives on - clean technology, energy efficiency, renewable energy etc.? Y / N. If yes, please give hyperlink to web page etc.

Yes, the Company has taken following initiatives:

Energy Conservation:

- High wattage conventional lights have been replaced by low power consuming LED lights across all the units of HCL.
- HCL has saved more than 5 crores during FY 2018-19 for maintaining power factor near to unity.
- 22 Nos. Premium class IE-3 Energy Efficiency Motors were introduced in place of old in-efficient Motors in Flash Smelter & Refinery at ICC which resulted in annual power saving to the tune of ₹ 2.14 lakhs.
- Two new VFDs have been installed at GCP.
- Best practices of energy conservation are adopted across the organization which resulted reduction in energy consumption.

New Technologies:

- Upgradation of obsolete DCS control system for drives with new improved version is under implementation at TCP.
- New design adopted for Slag Cleaning Furnace (SCF) at ICC to improve the process efficiency.
- New dosing system for collector and frother in floatation cells is being adopted in concentrator plant at MCP.
- The Company has installed a plant at MCP to recover valuable metals & minerals from the copper ore tailing based on the new technology developed indigenously.



ANNEXURE - IV TO THE DIRECTORS' REPORT (Contd.)

R&D Projects:

- ICC R&D carried out and established an experiment for Extraction and Recovery of Copper metal from ESP dust by Leaching and Electro wining.

Renewable energy:

- Rooftop solar plant of capacity 200 kWp is under implementation at KCC.

Environment:

The Company has an Environment Management Plan, approved by the Board and it covers prevention, mitigation and control of environmental damages and disasters.

The Company has resorted to extensive plantation around the mining and township areas at the units to maintain the green environment. Reforestation and setting up of recreational eco-parks like Pragati Park, plantation of trees and enhancement of the green cover around mining lease, concentrator plant and with project area are undertaken at MCP.

Mine water and dump seepage is being completely used for processing in concentrator plant by installing matching pumps in reclamation pond and WTP, this has brought down the consumption of fresh water. It has also paved way for using mine waste dump seepage water and tailing seepage water for usage in plant operation.

2 Nos. of Rain water harvesting system has been made for ground water recharge at ICC. MCP unit has recycled waste water about 40% of total process water requirement in FY 2018-19.

Online Emission Monitoring system for Stacks and Effluent monitoring system for CETP final treated discharge water has been installed at ICC and data is being transmitted to CPCB in every 15 minutes.

MCP was awarded ISO 14001:2015 certification for its Environmental Management Systems both at mines and concentrator plant.

Waste management:

The Company sells its scrap/obsolete/surplus items through e-auction from time to time. Solid waste like granulated slag, waste bricks and boiler ash are sold to the parties. Wastes like copper ore tailings and waste rock are safely stored on temporary basis for further recycling, reusing and disposing in an environmentally acceptable manner.

Copper ore tailing processing plant & nickel recovery project are waste to wealth project of the Company.

Old dumped slag and copper containing waste has been reprocessed at KCC to recover copper value.

6. Are the Emissions /Waste generated by the Company within the permissible limits given by CPCB /SPCB for the financial year being reported?

The ambient air quality is regularly monitored at mines, all process plants and residential areas at all the units. The air quality levels are well within the standards and limits prescribed by the Pollution Control Boards.

Effluent treatment facilities installed at the Units of the Company have been working satisfactorily and meeting regulatory norms as prescribed by the Pollution Control Boards. Discharged process water is being recycled after treatment thus conserving the water.

Solid waste from plants and hospitals is also safely disposed-off or stored as per guidelines prescribed by the Pollution Control Boards.

7. Number of show cause / legal notices received from CPCB / SPCB which are pending (i.e. not resolved to satisfaction) as of end of financial year.

Nil

Principle 7: Public Advocacy

Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner.

1. Is your Company a member of any trade and chambers or association? If yes, name only those major ones that your business deals with.

Yes, e.g. the Standing Conference of Public Enterprises, All India Management Association, Women in Public Sector, Indian Society of Training & Development, Indian Copper Development Centre, Confederation of Indian Industry, Indian National Suggestion Schemes Association, National Institute of Personnel Management, Quality Circle Forum of India, FICCI.



ANNEXURE - IV TO THE DIRECTORS' REPORT (Contd.)

2. Have you advocated / lobbied through above associations for the advancement or improvement of public good? Yes / No; if yes, specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy Security, Water, Food Security, Sustainable Business Principles, Others)

No

Principle 8: Inclusive Growth

Businesses should support inclusive growth and equitable development.

1. Does the Company have specified programmes / initiatives / projects in pursuit of the policy related to Principle 8? If yes, details thereof.

Yes. The Company is committed to social, economic and environmental development of communities at all its operations and is committed to long term, mutually beneficial partnership between the communities, Government & the stakeholders. The Corporate Social Responsibility (CSR) plan of the Company is prepared based on the Baseline Survey and using Participatory Rural Appraisal Method.

2. Are the programmes / projects undertaken through in-house team / own foundation / external NGO / government structures / any other organization?

The programmes and projects are undertaken through both in-house teams and external Government structures and implemented with the assistance of NGOs with requisite sector expertise wherever required.

3. Have you done impact assessment of your initiative?

Impact assessment of the CSR projects of FY 2016-17 and FY 2017-18 was conducted in March, 2019.

4. What is the Company's direct contribution to community development projects - Amount in INR and the details of the projects undertaken?

In 2018-19, an amount of ₹ 208.15 lakh was spent on community development projects. The details of the project undertaken are given in Point no. 5 below.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

All projects were planned after Baseline Surveys conducted among the target communities through Participatory Rural Appraisal (PRA) methods; formation of user-groups for the Panchayats, who finally own the projects. Additionally, formation of user-groups for the facilities ensures that the community development initiatives are successfully adopted by the community. The continuation of the CSR initiatives, i.e., Construction of Household Toilets, Community Toilets, Health Camps, Education support for poor students, Handloom Weaving Units, Hand gloves unit, Drinking Water Supply, and Mini Solar Drinking water supply, Skill Development Training and support for Sports indicates that the community has adopted them whole-heartedly.

Also, the third party assessment study, reviews the extent of community ownership and success of the planned projects. Feedback of communities is factored into selecting CSR projects for the next financial year.

Principle 9: Value to Customers

Businesses should engage with and provide value to their customers and consumers in a responsible manner.

1. What percentage of customer complaints / consumer cases is pending as on the end of financial year?

Nil

2. Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes / No / N.A. / Remarks (additional information)

Yes

3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and / or anti-competitive behaviour during the last five years and pending as of end of financial year? If so, provide details thereof, in about 50 words or so.

Nil

4. Did your Company carry out any consumer survey / consumer satisfaction trends?

Yes. Consumer satisfaction survey is an integral part of the Company in line with ISO 9001:2008 QMS certification with effect from January, 2014.



ANNEXURE - V TO THE DIRECTORS' REPORT

CORPORATE GOVERNANCE REPORT

1. Company's Philosophy

The philosophy of the Company in relation to corporate governance is to ensure transparency, disclosures and reporting that conforms fully with the laws and regulations of the country in order to promote ethical conduct and practices throughout the organization for enhancing stakeholders' value.

2. Board of Directors

(a) Composition:

As on date of report, the Board of Directors comprised five functional directors, viz., Chairman and Managing Director (CMD), Director (Personnel), Director (Mining), Director (Finance) and Director (Operations), two Government nominee directors (part-time official) representing the Ministry of Mines, Government of India and four Independent directors (part-time non-official). The posts of three Independent directors are laying vacant. The Company has requested the Ministry of Mines, Government of India to fill up the vacant posts. One of the functional directors Shri Anupam Anand, Director (Personnel) is under suspension from 11.4.2019 in terms of Order No. A/05/1/2019-Vig. dated 11.4.2019 issued by Ministry of Mines, Government of India.

(b) Meetings, attendance & other directorship

During 2018-19, ten Board meetings were held on 21.4.2018, 25.5.2018, 30.5.2018, 26.7.2018, 9.8.2018, 5.9.2018, 27.10.2018, 13.11.2018, 11.2.2019 and 28.3.2019. Attendance of directors at Board meetings and at the last Annual General Meeting (AGM), number of directorship and membership in committees of other companies, including the names of the listed entities where they are director and category thereof during the year were as follows:

(i) Functional/Executive Directors

Name of the director	No of Board meetings attended out of 10 held	Attendance at last AGM held on 27.9.2018	No of directorship in other companies	No of committee position held in other companies		Category of directorship in other listed entities
				Chairman	Member	
Shri Santosh Sharma CMD	10	Yes	2	Nil	Nil	NA
Shri Anupam Anand Director(Personnel)	9	Yes	Nil	Nil	Nil	NA
Shri S K Bhattacharya Director (Mining)	9	Yes	Nil	Nil	Nil	NA
Shri Sukhen Kumar Bandyopadhyay* Director (Finance)	7	Yes	Nil	Nil	Nil	NA
Shri Arun Kumar Shukla** Director (Operations)	4	NA	1	Nil	Nil	NA

(*Joined as Director (Finance) w.e.f. 9.7.2018, **Joined as Director (Operations) w.e.f. 1.10.2018)

(ii) Part time official (Govt. Nominee) Directors

Name of the director	No of Board meetings attended out of 10 held	Attendance at last AGM held on 27.9.2018	No of directorship in other companies	No of committee position held in other companies		Category of directorship in other listed entities
				Chairman	Member	
Shri N K Singh	9	No	Nil	Nil	Nil	NA
Shri Anil Kumar Nayak*	3	NA	NA	Nil	Nil	NA
Shri Alok Chandra**	5	No	1	Nil	Nil	NA

(*Ceased to be Director w.e.f. 22.6.2018, **Appointed as director w.e.f. 22.6.2018)



ANNEXURE - V TO THE DIRECTORS' REPORT (Contd.)

(iii) Part time non-official (Independent) Directors

Name of the director	No of Board meetings attended out of 10 held	Attendance at last AGM held on 27.9.2018	No of directorship in other companies	No of committee position held in other companies		Category of directorship in other listed entities
				Chairman	Member	
Smt Simantini Jena	10	Yes	Nil	NA	NA	NA
Shri Hemant Mehtani	10	Yes	1	Nil	Nil	NA
Shri Dileep Raj Singh Chaudhary	8	Yes	2	Nil	5	NA
Shri Subhash Sharma*	6	Yes	Nil	NA	NA	NA

(* Appointed as director on 18.7.2018)

(c) **Skills/expertise/competence of the Board of Directors:**

As against skill/ expertise / competence in the fields of Mining, Metallurgy, Finance, Legal, Public Policy and Administration identified by the Board, the present Board Members possesses the following:

Sr. No.	Name and Designation	Skills/ expertise/ competence available
1	Shri Santosh Sharma CMD	BE (Elect.), LLB, MBA in Marketing and having leadership skill and expertise in operations, project management and policy formulation.
2	Shri Anupam Anand Director(Personnel)	M.Sc. (Physics), MA (Public Administration), Diploma in Social Work and expertise in Human Resource including HRM, HRD, Administration and Industrial Relations.
3	Shri S K Bhattacharya Director (Mining)	BE (Mining), MBA in International Business and expertise in mining of Copper, Iron Ore, Bauxite.
4	Shri Sukhen Kumar Bandyopadhyay Director (Finance)	B.Sc., Cost Accountant and having expertise in Finance, Audit & Accounts, due diligence and Policy formulation.
5	Shri Arun Kumar Shukla Director (Operations)	B. Tech (Mining Engg.) M. Tech. (Environmental Engg.), LLB and expertise in mining, operations, legal and administration.
6	Shri N K Singh Government Nominee Director	B. Tech (Mining Engg.) Indian Forest Service officer presently Joint Secretary, Ministry of Mines, GoI and having expertise in administration, planning and public policy formulation
7	Shri Alok Chandra Government Nominee Director	MA (Economics), Indian Economic Service officer presently Economic Adviser, Ministry of Mines, GoI and having expertise in economic, Finance and Policy formulation.
8	Smt Simantini Jena Independent Director	M.A. in History, B.Ed, LLB, social worker, human right activist and having expertise in legal & social work and teaching.
9	Shri Hemant Mehtani Independent Director	M Com, Industrialist and Member of business associations like Federation of Chamber of Commerce and Industries, academic institutions & clubs.
10	Shri Dileep Raj Singh Chaudhary Independent Director	MA (Economics and Political Science) and was an Indian Administrative Service Officer and retired Secretary (Steel), GoI.
11	Shri Subhash Sharma Independent Director	B. Sc., MA & Ph D Economics, Academician and frequently writes articles on economics.



ANNEXURE - V TO THE DIRECTORS' REPORT (Contd.)

- (d) None of the directors of the Company are inter-se related. As per declaration given, none of the non-executive directors are holding any equity shares / convertible instruments in the Company. Familiarization program imparted to Independent Directors is available at the Company' website at www.hindustancopper.com.
- (e) It is confirmed that in the opinion of the Board, the Independent Directors fulfill the conditions specified in SEBI (LODR) 2015 and are independent of the management.
- (f) Detailed reasons for resignation of Independent Director(s) before the expiry of tenure along with a confirmation by such Director(s) that there are no other material reasons other than those provided. No Independent Director resigned during the year and hence not applicable.

(g) Remuneration paid to Directors

(i) Whole-time Directors

The details of remuneration paid to the whole-time Directors during 2018-19 was as follows:

Name of the Director	All elements of remuneration package i.e. salary, PF contribution, pension, gratuity, etc. (₹)	Performance Linked Incentives (₹)	Other Benefits (₹)	Total (₹)
Shri Santosh Sharma CMD	52,12,543	6,69,275	Medical : 5,889 Accommodation : 7,20,987 Electricity : 36,465	66,45,159
Shri Anupam Anand Director (Personnel)	45,07,511	7,85,068	Medical : 17,195 Accommodation : 5,51,146 Electricity : 40,259	59,01,179
Shri S K Bhattacharya Director (Mining)	37,62,229	5,25,634	Medical : 19,000 Accommodation : 5,60,279 Electricity : 35,892	49,03,034
Shri Sukhen Kumar Bandyopadhyay Director (Finance) (from 9.7.2018)	28,18,320	NA	Medical : 6,564 Accommodation : 4,18,755 Electricity : 11,750	32,55,389
Shri Arun Kumar Shukla Director (Operations) (from 1.10.2018)	19,41,651	NA	Medical : 4,101 Accommodation : 2,41,426 Electricity : 4,660	21,91,838
Total	1,92,42,254	30,91,334	26,74,368	2,50,07,956

(An amount of ₹ 21,11,357/- was paid to Shri K D Diwan, Ex-CMD towards payment of PRP and differential gratuity during the FY 2018-19.)



ANNEXURE - V TO THE DIRECTORS' REPORT (Contd.)

(ii) Part time non-official (Independent) Directors

Independent directors are not paid any remuneration except sitting fees at the rate of ₹ 15,000/- per Board meeting and per Committee meeting and are also eligible for boarding, lodging and travelling expenses for attending the meeting. During 2018-19, the amount of sitting fees paid to Independent directors was as follows:

Sl No	Name of the director	Sitting Fees (₹)		
		Board meetings	Committee meetings	Total
1	Smt Simantini Jena	1,50,000	2,25,000	3,75,000
2	Shri Hemant Mehtani	1,50,000	1,95,000	3,45,000
3	Shri Dileep Raj Singh Chaudhary	1,20,000	45,000	1,65,000
4	Shri Subhash Sharma	90,000	60,000	1,50,000
	Total	5,10,000	5,25,000	10,35,000

(iii) Part time official (Govt. Nominee) Directors

The Govt. Nominee Directors are not entitled to any remuneration. They are only eligible for travelling, boarding & lodging expenses for attending meetings.

Service contracts, notice period, severance fee:

The whole time directors are appointed by the President of India for a period of five years from the date of taking over charge or till the date of superannuation (presently 60 years of age) or till further order from the Government of India, whichever event occurs the first. The appointment may, however, be terminated by either side on three months' notice or on payment of three months' salary in lieu thereof.

Part time official (Government nominee) directors representing the Ministry of Mines are appointed by the President of India till further orders from the Ministry of Mines.

Part time non-official (Independent) directors are appointed by the President of India for a period of three years. HCL being a Government Company, performance evaluation of its Independent directors and criteria of evaluation is decided and undertaken by the Government.

No stock option has been given to the Directors of HCL.

There is no provision for payment of severance fees to directors.

3. Audit Committee

The terms of reference of the Audit Committee is as per the Companies Act, 2013 and SEBI (LODR), 2015.

During 2018-19, the Committee met six times on 25.5.2018, 30.5.2018, 9.8.2018, 5.9.2018, 13.11.2018 and 11.2.2019. The composition of the Committee and attendance of the members at the meetings is given below:

Name	Category	Position	Number of meetings attended out of 6 held
Shri Hemant Mehtani	Independent Director	Chairman	6
Shri Dileep Raj Singh Chaudhary*	-do-	Member	1
Shri Subhash Sharma*	-do-	-do-	1
Smt Simantini Jena**	-do-	-do-	5
Shri S K Bhattacharya**	Director (Mining)	-do-	4

(*Appointed as member of the Committee from 7.12.2018, **Ceased to be chairman/ member w.e.f. 7.12.2018)



ANNEXURE - V TO THE DIRECTORS' REPORT (Contd.)

4. Nomination and Remuneration Committee

The terms of reference of the Committee is as per the Companies Act, 2013, SEBI (LODR), 2015 and office memorandum No.2 (70)/08-DPE (WC)-GL-XVI/08 dated 26.11.2008, issued by the Department of Public Enterprises (DPE), Government of India (GoI). In terms of above office memorandum, the Committee also recommends payment of Performance Related Pay (PRP) and policy for its distribution across the executives (including functional directors) of the Company within the prescribed limits.

Being a Government Company, the remuneration, the terms and conditions of appointment of Directors and Key Managerial Personnel (KMP) and employees of the Company are governed by the guidelines issued by the DPE, GoI from time to time.

During 2018-19, the Committee met once on 28.3.2019. The composition of the Committee and attendance of the members at the meetings is given below:

Name	Category	Position	Number of meetings attended out of 1 held
Shri Dileep Raj Singh Chaudhary	Independent Director	Chairman	1
Smt. Simantini Jena	-do-	Member	1
Shri Subhash Sharma	-do-	-do-	1

5. Stakeholders Relationship Committee

During 2018-19, the Stakeholders Relationship Committee met once on 11.2.2019. The composition of the Committee and attendance of Members at the meeting is given below:

Name	Category	Position	Number of meetings attended out of 1 held
Shri Subhash Sharma	Independent Director	Chairman	1
Shri Hemant Mehtani	-do-	Member	1
Shri Sukhen Kumar Bandyopadhyay	Director (Finance)	-do-	1

Shri C S Singhi, Company Secretary is the Compliance Officer. During 2018-19 the Company received and resolved two complaints and there was no complaint pending as on 31.3.2019.

6. General body meeting

Annual General Meeting:

Details of Annual General Meetings held during last three years are as under:

Year	Date	Time	Location	Number of special resolutions passed
2016-17	26.9.2016	10:30 AM	Tamra Bhavan, 1 Ashutosh Chowdhury Avenue, Kolkata- 700019	1
2017-18	22.8.2017	10:30 AM	-do-	1
2018-19	27.9.2018	11:00 AM	Biswa Bangla Convention Centre, Biswa Bangla Sarani, Block DG, New Town, Kolkata 700156	3



ANNEXURE - V TO THE DIRECTORS' REPORT (Contd.)

Extraordinary General Meeting: Nil

Postal Ballot Meeting: No special resolution was passed last year through postal ballot. No special resolution is proposed to be conducted through postal ballot in the ensuing AGM. Person who conducted postal ballot exercise and procedure of postal ballot is therefore not applicable.

7. Means of communication

The quarterly and annual financial results are generally published in Business Standard (English) and Anand Bazar Patrika (Bengali). The financial results are also made available at the Company's website www.hindustancopper.com in addition to furnishing of the same to the NEAPS portal of NSE and Listing Centre portal of BSE. Presentations made to institutional investors or to analysts are available at the Company's website.

8. General Shareholder information

(i) 52nd Annual General Meeting (AGM)

Date : 31st July, 2019

Time : 11:00 AM

Venue : Biswa Bangla Convention Centre, Biswa Bangla Sarani, Block DG, New Town, Kolkata 700156

(ii) Financial Year : From 1st April to 31st March each year

(iii) Book closure date : 25th July, 2019 to 31st July, 2019 (both days inclusive)

(iv) Dividend payment date: The Dividend, if declared at the AGM, would be paid to shareholders within 30 days from the date of AGM.

(v) Listing on Stock Exchanges :

Name of Stock Exchanges	Address	Stock Code	Date from which listed	Payment of listing fee for FY 2019-20
BSE Limited	Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai 400 001	513599	2.8.1994	Yes
National Stock Exchange of India Limited	Exchange Plaza, C-1, Block G, Bandra-Kurla Complex, Bandra (East), Mumbai 400 051	HINDCOPPER	15.9.2010	Yes

(vi) Stock market price data

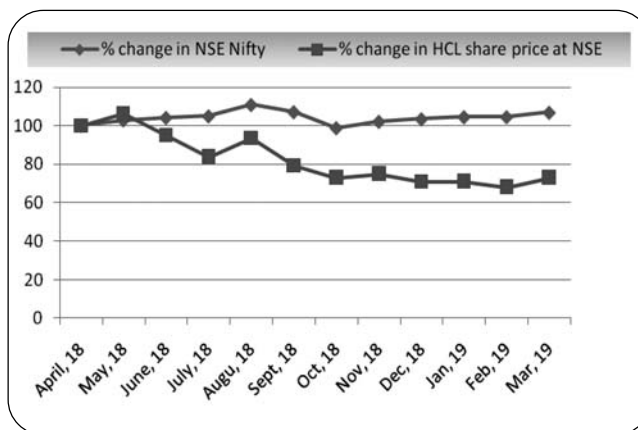
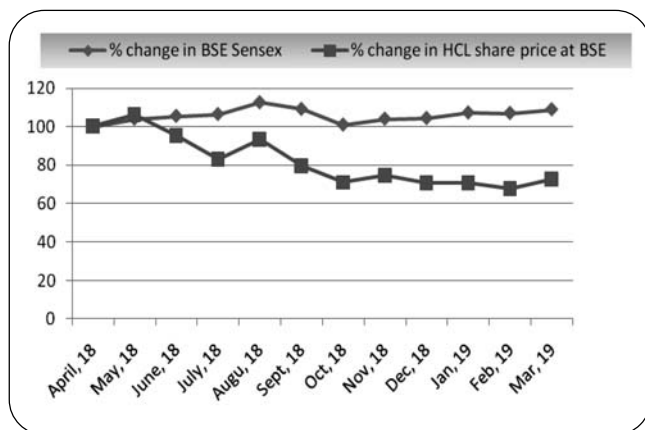
Monthly high and low price of Company's shares traded on BSE Limited (BSE) and National Stock Exchange of India Limited (NSE) during the FY 2018-19 was as follows:

Month	BSE		NSE	
	High (₹)	Low (₹)	High (₹)	Low (₹)
April 2018	82.10	63.50	82.05	63.40
May 2018	76.95	67.35	77.00	67.40
June 2018	74.20	60.40	74.40	60.25
July 2018	63.10	52.60	63.20	53.10
August 2018	68.05	59.15	67.70	59.25
September 2018	63.80	50.40	63.90	50.10
October 2018	53.75	45.10	53.65	46.20
November 2018	53.40	47.50	53.45	47.50
December 2018	53.00	44.90	52.90	44.80
January 2019	52.75	44.85	52.70	45.00
February 2019	46.90	43.00	46.90	43.00
March 2019	52.70	46.25	52.75	46.25



ANNEXURE - V TO THE DIRECTORS' REPORT (Contd.)

- (vii) Share price of HCL in comparison to BSE SENSEX and NSE NIFTY over the base of March, 2018 high price in percentage terms is plotted below:



- (viii) Suspension of equity shares of HCL from trading by stock exchanges and reasons thereof - Nil

- (ix) Registrar & Share Transfer Agent

M/s C B Management Services (P) Ltd

P- 22, Bondel Road, Kolkata- 700 019

Telephone: (033) 2280 6692, 4011 6700 /18 /23 /28

Fax: (033) 4011-6739

E-mail: rta@cbmsl.com

- (x) Share transfer system

Share transfer requests lodged with the Company are processed by RTA and certificates dispatched to the buyers within 15 days from the date of lodgment.

- (xi) Shareholding Pattern as on 31.3.2019

Sr. No.	Category	No. of shares held	%
1	President of India	70,35,87,852	76.05
2	Mutual Funds	137	0.00
3	Financial Institutions/Banks	1,38,11,003	1.49
4	Insurance Companies	12,01,78,560	12.99
5	Bodies Corporate	1,05,93,534	1.14
6	NRIs/FIIs/QFIs	45,99,661	0.50
7	Trusts & Foundations	99,225	0.01
8	Indian Public	7,22,99,429	7.81
9	IEPF	48,599	0.01
	Total	92,52,18,000	100.00



ANNEXURE - V TO THE DIRECTORS' REPORT (Contd.)

(xii) Distribution of shareholding as on 31.3.2019

Range		Shares	Folios	% Share
1	500	16586144	109102	1.79
501	1000	10619461	12782	1.15
1001	2000	9745534	6252	1.05
2001	3000	6005515	2320	0.65
3001	4000	3530824	974	0.38
4001	5000	4402682	920	0.48
5001	10000	9016399	1217	0.97
10001	50000	14758227	740	1.60
50001	100000	4213517	58	0.46
100001 and above		846339697	60	91.47
Total		925218000	134425	100.00

(xiii) Dematerialization of shares and liquidity

The Company's shares are tradable compulsorily in electronic form and are available for trading in the depository systems of both National Securities Depository Ltd. (NSDL) and Central Depository Services (India) Ltd. (CDSL). The International Securities Identification Number (ISIN) allotted to the Company's equity shares is INE531E01026 with effect from 29.8.2008. Status of dematerialization as on 31.3.2019 was as follows:

Particulars	No. of Shares	% of Holding	No. of folio
DEMAT :			
a) N S D L	89,06,43,532	96.26	72,785
b) C D S L	3,45,33,334	3.73	61,203
PHYSICAL	41,134	0.01	437
Total	92,52,18,000	100.00	1,34,425

(xiv) Outstanding GDRs/ADRs/ Warrants or any convertible instruments, conversion date and likely impact on equity:
The Company has neither issued any GDR/ADR nor any convertible instrument as on date.

(xv) Commodity price risk or foreign exchange risk and hedging activities: Price of Company's copper products are linked to London Metal Exchange copper prices. As regard foreign exchange risk, the Company has a natural hedge. Disclosure of commodity risks and other hedging activity in HCL in the prescribed format as per SEBI Circular No. SEBI/HO/CFD/CMD1/CIR/P/ 2018 / 0000000141 dated 15.11.2018 is given at **Appendix-I**.



ANNEXURE - V TO THE DIRECTORS' REPORT (Contd.)

(xvi) Plant locations

- | | | |
|--|--|--|
| 1. Indian Copper Complex
P.O.Ghatsila, Dist.Singhbhum,
Jharkhand | 2. Khetri Copper Complex
P.O.Khetrinagar,
Dist.Jhunjhunu
Rajasthan | 3. Malanjkhand Copper Project
P.O.Malanjkhand,
Dist.Balaghat
Madhya Pradesh |
| 4. Taloja Copper Project
P.O.Taloja,
Dist.Raigad
Maharashtra | 5. Gujarat Copper Project
747, GIDC Industrial Area
Jhagadia, Bharuch
Gujarat | |

(xvii) Address for correspondence

Hindustan Copper Ltd.
'Tamra Bhawan',
1, Ashutosh Chowdhury Avenue,
Kolkata 700019
e-mail: investors_cs@hindustancopper.com
Tel. No. (033) 2283 2226/2676

(xviii) List of credit ratings obtained by the Company along with any revisions thereto during the year, for all debt instruments or any fixed deposit programme or any scheme or proposal of the Company involving mobilization of funds, whether in India or abroad.-

Sr.No.	Instrument for which credit rating obtained	Credit Rating in FY 2018-19	Credit Rating in FY 2017-18
1	Term Loan	[ICRA]AA+ (Stable)	[ICRA]AA+ (Stable)
2	Fund-based Facilities	On Long Term Scale [ICRA]AA+ (Stable) On Short Term Scale [ICRA] A1+	On Long Term Scale [ICRA]AA+ (Stable) On Short Term Scale [ICRA] A1+
3	Non-fund-based Facilities	[ICRA]A1+	[ICRA]A1+
4	Commercial Paper	[ICRA]A1+	[ICRA]A1+

9. Disclosures

- (a) The Company has not entered into any transaction of material significance with the related parties during the year. The Company's Policy on Related Party Transactions is available at its website www.hindustancopper.com.
- (b) No penalties/strictures have been imposed on the Company by Stock Exchanges, SEBI or any statutory authority on any matters related to capital markets during last three years. However, due to 3 vacant posts of Independent directors, the BSE and NSE have imposed penalty on the Company for non-compliance of Regulation 17(1) of SEBI (LODR), 2015 as per details given below:

Name of Exchange	Penalty imposed for quarter ended 30.9.2018	Penalty imposed for quarter ended 31.12.2018	Penalty imposed for quarter ended 31.3.2019	Total penalty imposed
BSE	₹ 5,42,800/-	₹ 5,42,800/-	₹ 5,31,000/-	₹ 16,16,600/-
NSE	₹ 5,42,800/-	₹ 5,42,800/-	₹ 5,31,000/-	₹ 16,16,600/-



ANNEXURE - V TO THE DIRECTORS' REPORT (Contd.)

The Company has taken up the matter with administrative Ministry for waiver of fine since appointment of Directors in case of HCL being Government owned Company is done by the Government of India.

- (c) The Company has formulated Whistle Blower Policy and it is affirmed that no personnel has been denied access to the Audit Committee. The Policy is available at the Company's website at www.hindustancopper.com.
- (d) Weblink disclosing policy for determining 'material' subsidiaries: Not applicable since the Company has no material subsidiary.
- (e) Non-compliance of any requirement of corporate governance report of sub-paras (2) to (10) in Part C of Schedule -V to the SEBI (LODR), 2015, with reasons thereof: Nil
- (f) Adoption of discretionary requirements as specified in Part E of Schedule II of SEBI (LODR), 2015: Nil
- (g) Pursuant to Regulation 17 (8) of SEBI (LODR) 2015, the CEO and CFO of the Company have given compliance certificate to the Board.
- (h) HCL being a Government Company, has complied with the provisions of Regulations 17 to 27 of SEBI (LODR), 2015 as applicable except that Independent directors are less than 50% of the Board and performance evaluation of Directors including Independent Directors is done by the Government. The Company has disseminated on its website all information as listed under clause (b) to (i) of Regulation 46 (2) of SEBI (LODR), 2015.
- (i) Details of utilization of funds raised through preferential allotment or qualified institutions placement as specified under Regulation 32 (7A): NA
- (j) Certificate from M/s N K & Associates, Practicing Company Secretary, confirming that none of the Directors of the Company have been debarred or disqualified from being appointed or continuing as Directors of companies by SEBI, MCA or any such statutory authority is enclosed as Appendix-II.
- (k) Non-acceptance of recommendation of Committees of the Board during the year - Nil
- (l) Details of fees paid to M/s. Chaturvedi & Co, Statutory Auditor of the Company and M/s. K.M. Jain & Co, Statutory Auditor of the Subsidiary during 2018-19 by the Company and its subsidiary (Chhattisgarh Copper Ltd) is given below:

Heads	Fees paid by Hindustan Copper Ltd	Fees paid by Chhattisgarh Copper Ltd (Subsidiary Company)	Total
Statutory Audit Fees (₹ in lakh)	11.00	0.15	11.15
Limited Review Fees (₹ in lakh)	6.90	-	6.90
		Total	18.05

- (m) Disclosures in relation to the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013:
 - a. number of complaints at the beginning of financial year as on 1.4.2018 : Nil
 - b. number of complaints filed during the financial year 2018-19 : One
 - c. number of complaints disposed of during the financial year 2018-19 : One
 - d. number of complaints pending at the end of the financial year as on 31.3.2019 : Nil



ANNEXURE - V TO THE DIRECTORS' REPORT (Contd.)

Appendix I to Corporate Governance Report

1. Risk management policy of the Company with respect to commodities including through hedging *(Such policy shall take into account total exposure of the entity towards commodities, commodity risks faced by the Company, hedged exposures, etc. as specified below):*

In this regard Company has Policy in place.

2. Exposure of the Company to commodity and commodity risks faced by the Company throughout the year:

- a. Total exposure of the Company to commodities in INR : Nil in FY 2018-19

- b. Exposure of the Company to various commodities : Nil in FY 2018-19

Commodity Name	Exposure in INR towards the particular commodity	Exposure in Quantity terms towards the particular commodity	% of such exposure hedged through commodity derivatives				
			Domestic market		International market		Total
			OTC	Exchange	OTC	Exchange	
NA	NA	NA	NA	NA	NA	NA	NA

- c. Commodity risks faced by the Company during the year and how they have been managed :

Commodity price risk faced by the Company on account of purchase of copper bearing raw material is managed by sale of corresponding quantity of material by the Company at equivalent price.



ANNEXURE - V TO THE DIRECTORS' REPORT (Contd.)

Appendix II to Corporate Governance Report

CERTIFICATE OF NON-DISQUALIFICATION OF DIRECTORS

(Pursuant to Regulation 34(3) and Schedule V Para C clause (10)(i) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)

To,
The Members
Hindustan Copper Ltd
Kolkata

We have examined the relevant registers, records, forms, returns and disclosures received from the Directors of Hindustan Copper Ltd having CIN L27201WB1967GOI028825 and having registered office at Tamra Bhavan 1, Ashutosh Chowdhury Avenue, Kolkata 700019 (hereinafter referred to as 'the Company'), produced before me/us by the Company for the purpose of issuing this Certificate, in accordance with Regulation 34(3) read with Schedule V Para-C Sub clause 10(i) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In our opinion and to the best of our information and according to the verifications (including Directors Identification Number (DIN) status at the portal (www.mca.gov.in) as considered necessary and explanations furnished to us by the Company & its officers, We hereby certify that none of the Directors on the Board of the Company as stated below for the Financial Year ending on 31st March, 2019 have been debarred or disqualified from being appointed or continuing as Directors of companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs, or any such statutory authority:

Sr. No.	Name of Director	DIN	Date of appointment in Company
1	Shri Santosh Sharma	07431945	01/03/2016
2	Shri Niranjan Kumar Singh	03361541	15/03/2017
3	Shri Alok Chandra	06929789	22/06/2018
4	Smt Simantini Jena	07346980	17/11/2015
5	Shri Hemant Mehtani	02875561	17/11/2015
6	Shri Dileep Raj Singh Chaudhary	00269508	01/12/2015
7	Shri Subhash Sharma	05333124	18/07/2018
8	Shri Anupam Anand	02752767	05/08/2009
9	Shri Sanjay Kumar Bhattacharya	07276836	15/09/2015
10	Shri Sukhen Kumar Bandyopadhyay	08173882	09/07/2018
11	Shri Arun Kumar Shukla	03324672	01/10/2018

Ensuring the eligibility for the appointment / continuity of every Director on the Board is the responsibility of the management of the Company. Our responsibility is to express an opinion on these based on our verification. This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

For N.K. & Associates
Company Secretaries

Sd/-
Navin Kothari
Proprietor
FCS No. 5935
CP No. 3725

Place: Kolkata
Date: 24.05.2019



CERTIFICATE ON CORPORATE GOVERNANCE

**To the Members,
Hindustan Copper Limited,
Kolkata**

We have examined the compliance of conditions of corporate governance by Hindustan Copper Limited ('the Company'), for the year ended 31st March, 2019, as stipulated in SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The compliance of conditions of corporate governance is the responsibility of the management. Our examination is limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of the corporate governance. It is neither an audit nor an expression of opinion on the financial statements of the company.

In our opinion and to the best of our information and according to the explanations given to us, we hereby certify that the Company has complied with the conditions of corporate governance as stipulated in the above mentioned Regulations except that during the financial year 2018-19 the numbers of Independent Directors did not comprise at least 50% of the Board of Directors, when an executive director is the Chairman of the Board as required under the above Regulations.

We have been explained no investor grievances are pending for a period exceeding one month against the Company as per the records maintained by the Company.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.

For and on behalf of

N K & Associates
Company Secretaries

Sd/-

Navin Kothari
Proprietor
FCS No. 5935
CP No. 3725

Place: Kolkata
Date: 24.5.2019



MR-3
SECRETARIAL AUDIT REPORT

FOR THE FINANCIAL YEAR ENDED ON 31ST MARCH, 2019

[Pursuant to section 204(1) of the Companies Act, 2013 and Rule No.9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To
The Members
Hindustan Copper Limited
'Tamra Bhavan'
1, Ashutosh Chowdhury Avenue
Kolkata - 700 019

I have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by Hindustan Copper Limited (hereinafter called the Company). Secretarial Audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing my opinion thereon.

Based on my verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, I hereby report that in my opinion, the Company has, during the audit period covering the financial year ended on 31st March, 2019 complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31st March, 2019 according to the provisions of:

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings;
- (v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'):-
 - a) SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
 - b) SEBI (Prohibition of Insider Trading) Regulations, 2015;
 - c) SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018 (Not applicable to the Company during the Audit Period);
 - d) SEBI (Share Based Employee Benefits) Regulations, 2014 (Not applicable to the Company during the Audit Period);
 - e) SEBI (Issue and Listing of Debt Securities) Regulations, 2008 (Not applicable to the Company during the Audit Period);
 - f) SEBI (Registrars to an Issue and Share Transfer Agents) Regulations, 1993.
 - g) SEBI (Delisting of Equity Shares) Regulations, 2009 (Not applicable to the Company during the Audit Period);
 - h) SEBI (Buyback of Securities) Regulations, 2018 (Not applicable to the Company during the Audit Period);



ANNEXURE - VI TO THE DIRECTORS' REPORT (Contd.)

- (vi) Corporate Governance Guidelines issued by the Department of Public Enterprise vide their OM. No. 18(8)/2005-GM dated 14th May, 2010;
- (vii) Laws specifically applicable to the industry to which the Company belongs, as identified by the management, that is to say:
 - a) The Mines Act, 1952
 - b) Explosive Act, 1884 and Explosive Rules, 2008
 - c) Mines & Minerals (Development & Regulation) Act, 1957
 - d) The Metalliferous Mines Regulations, 1961

I have also examined compliance with the applicable clauses of the following:

- (i) Secretarial Standards issued by The Institute of Company Secretaries of India.
- (ii) SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

During the period under review, the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above.

I further report that,

The Board of Directors of the Company is duly constituted with proper balance of Executive Directors and Non-Executive Directors. All appointment was made in compliance of the provision of the Act. However, in the case of Independent Directors, the Company did not have minimum required 50% Independent Director. As on 31.3.2019, three posts of Independent directors are lying vacant as per the requirement of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, since the Company is having an Executive Chairman and the matter has been referred to the Ministry of Mines, Government of India for filling of the vacant posts.

Adequate notice is given to all directors to schedule the Board meetings, agenda and detailed notes on agenda are sent as per the provisions of the Act, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting. Majority decision is carried through while the dissenting members' views are captured and recorded as part of the minutes.

I further report that there are adequate systems and processes in the Company commensurate with the size and operations of the Company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

Sd/-

Arup Kumar Roy
Practicing Company Secretary
C P No. 9597 ACS No. 6784

Place : Kolkata
Date : 10.4.2019

Note: This report is to be read with my letter of even date which is annexed as 'Annexure A' and forms an integral part of this report.



ANNEXURE A TO SECRETARIAL AUDIT REPORT

To
The Members
Hindustan Copper Limited
'Tamra Bhavan'
1, Ashutosh Chowdhury Avenue
Kolkata - 700 019

My report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the Company. My responsibility is to express an opinion on these secretarial records based on my audit.
2. I have followed the audit practices and processes as are appropriate to obtain reasonable assurance about the correctness of the contents of Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. I believe that the process and practices, I followed provide a reasonable basis for my opinion.
3. In view of financial records and books of accounts being subjected to audit by the Internal Auditor, Statutory Auditor, Cost Auditor and C&AG Auditor and relying on the reports submitted by the above agencies from time to time, I have not separately verified the financial records and books of accounts of the Company.
4. Where ever required, I have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of corporate and other applicable laws, rules and regulations, standards is the responsibility of management. My examination was limited to the verification of procedure on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

Sd/-

Place: Kolkata
Date: 10.04.2019

Arup Kumar Roy
Practicing Company Secretary
C P No. 9597; ACS No. 6784

TEN YEARS AT A GLANCE



TEN YEARS AT A GLANCE

(₹ in lakh)

YEAR	2018-19	2017-18	2016-17	2015-16	2014-15	2013-14	2012-13	2011-12	2010-11	2009-10
Share Capital	46261	46261	46261	46261	46261	46261	46261	46261	46261	46261
Other Equity	106851	106468	100435	94795	93281	136666	118948	93503	71913	65997
Borrowings	107011	65695	47207	20715	-	-	-	-	-	5
Net Carrying Amount of PPE	31649	33200	35425	17811	17883	21179	20633	20917	21317	21963
Current Assets	137002	115728	131121	168902	169033	122871	119082	105165	84189	80653
Current Liabilities	104535	106701	74809	106551	96298	35233	35377	36578	31530	44153
Net Turnover	175329	159926	110181	96348	100484	147973	132177	148429	116629	130452
Profit before Taxation	23000	12169	9420	3961	8045	43065	40361	47295	33521	21584
Tax Expenses	8449	4208	3226	187	1285	14423	4797	14949	11111	6116
Profit after Taxation	14551	7961	6194	3774	6760	28642	35564	32346	22410	15468
Dividend including Dividend Tax	5800	2789	2227	-	1670	10825	10825	10753	10771	-
No. of Employees (Nos.)	2195	2508	2843	3252	3676	4112	4498	4810	5100	5300



To
The Members of
Hindustan Copper Limited

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the accompanying standalone financial statements of **Hindustan Copper Limited ("the Company")**, which comprise the Balance Sheet as at March 31, 2019 and the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year ended on that date, and notes to the standalone financial statements including a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the standalone financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2019, and its profit (including Other Comprehensive Income), changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the standalone financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Companies Act, 2013 and the Rules made thereunder and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the standalone financial statements.

Emphasis of Matters

We draw attention to the following matters:

- a) Note No.38 Para 1 "Contingent liabilities" of the accompanying standalone financial statements which describes the uncertainty related to the outcome of the lawsuits filed and demand raised against the company by various parties and Government authorities;
- b) Note No.38 Para 4 & 6 of the accompanying standalone financial statements which states that the title deeds, conveyance deeds etc. in respect of certain freehold lands at Indian Copper Complex acquired through nationalization in accordance with Indian Copper Corporation (Acquisition of Undertaking) Act, 1972 are not in possession of the company and title deeds in some locations at Gujarat Copper Project, Delhi and Jaipur office are yet to be executed in favor of the Company. Title deeds for leasehold and freehold lands or other evidences of title are pending to be reconciled with financial records.
- c) Note No.38 Para 8 of the accompanying standalone financial statements wherein, balances under the head Claims Recoverable, Loans & Advances, Deposits with various parties and certain balances of receivables, payables and other current liabilities have not been confirmed as at March 31, 2019. Consequential impact upon receipt of such confirmation/reconciliation/adjustment of such balances, if any is not ascertainable at this stage;
- d) We refer Note No. 38 Para 30 of the accompanying standalone financial statements regarding Gujarat Copper Project valuing ₹ 27214.50 lakh where the company has not been able to operate profitably due to various constraint, viability assessment needs to be done to evaluate and adjust for possible impairment loss, if any.

Our opinion is not modified in respect of these matters.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the



INDEPENDENT AUDITOR'S REPORT (Contd.)

standalone financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sl. No.	Key Audit Matters	Auditor's Response
1	<u>Assessment of Stripping Ratio and charging of overburden expenditure during production stage of surface mines to Mines Development Expenditure and Profit and Loss account</u> Referred in Note No.2 (11) and Note No.9 of the Standalone Financial Statements. Assessment of Stripping Ratio is technically estimated initially at the beginning of the Mines and later on periodically assessed for which no standards written policy are there. Normally review done within a period of 3 to 4 years as informed to us. In case of Open cast mines, the expenditure on removal of waste and overburden, is capitalized and the same is depleted in relation to actual ore production during the year on the stripping ratio which is re-assessed periodically based on the estimated ore reserve as well as the quantity of waste excavation in respect of open cast mines. Assessment of Stripping ratio is uniquely applied under the Mining industries which involves significant judgment to determine the ratio and that also keep on change from time to time. This ratio has been changed subsequently based on the actual output of overburden and Ore exposed during the production stage of the mines. We have identified this area as key audit matter due to its nature as industry specific and involvement of technical assumptions and judgments in calculation of stripping ratio. Further it has a material impact on the financial statements being this year company has amortized ₹ 20074.56 lakh (PY:- ₹ 11970.45 lakh) as Mine development expenditure for open cast mines. <u>Impact of Change in Accounting Policy</u> During the year company has changed its accounting policy in respect of provision for Mines closure expenditure as per the regulatory requirements. Refer Note No.38 (25) of the standalone financial statements We have considered this as Key Audit Matter as non-implementation of the change in accounting policy in the system may have significant impact on the financial statements.	<u>Principal Audit Procedures</u> Our audit approach consisted testing of the design and operating effectiveness of the internal controls and substantive testing as follows: ● We went through the current status of the mining at different mines ● We discussed with the management about the stripping procedure adopted in the industry as well practice followed by the company ● Procedure followed by the management towards Identification of expenditures incurred in surface mines during production stage ● Understanding the computation of Stripping ratio initially made and documents made available to us. ● We have checked the stripping ratio to be charged under amortization for mine development expenditure for balance period of mines ● Discussion with the core technical team involve in this process ● Reliance is placed on the representations of the management. <u>Principal Audit Procedures</u> ● We have discussed the change in accounting policy with the management and ● Verify the implementation of the change in the books of accounts.



Information Other than the Standalone Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Report of the Board of Directors, Management Discussion and Analysis Report, Report on CSR activities, Business Responsibility Report, Corporate Governance Report and other annexure to Directors Report including Shareholder's Information, but does not include the standalone financial statements and our auditor's report thereon.

Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

Responsibility of Management and Those Charged with Governance for the Standalone Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("The Act") with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, the Board of Directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.



INDEPENDENT AUDITOR'S REPORT (Contd.)

- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

- 1) As required by the Companies (Auditor's Report) Order, 2016 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the "Annexure-A", a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
- 2) As required by Section 143(3) of the Act, we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit except as reported in Clause (b) & (c) of the "Emphasis of Matters" paragraph above;
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - c) The Balance Sheet, the Statement of Profit and Loss including Other Comprehensive Income, Statement of Changes in Equity and the Statement of Cash Flow dealt with by this Report are in agreement with the relevant books of account.
 - d) In our opinion, the aforesaid standalone financial statements comply with the Ind AS specified under Section 133 of the Act, read with the Companies (Indian Accounting Standards) Rules, 2015 as amended.
 - e) In pursuance to the Notification No. G.S.R 463(E) dated 05-06-2015 issued by the Ministry of Corporate affairs, Section 164(2) of the Companies Act, 2013 pertaining to disqualification of Directors, is not applicable to the Government Company.
 - f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure-B";
 - g) With respect to the other matters to be included in the Auditors' Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company has disclosed the impact of pending litigations on its financial position in its standalone financial statements.-[Refer Note No.38 (1) to the accompanying standalone financial statements];
 - ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses;
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
- 3) As required by Section 143(5) of the Act, we give in the "Annexure-C", a statement on the matters specified in the Directions issued by the Comptroller and Auditor General of India in respect of the Company.

For Chaturvedi & Co.
Chartered Accountants
(Firm's Registration No.302137E)

Place: New Delhi
Date: May 28, 2019

CA S.C.Chaturvedi
Partner
(Membership No. 012705)



ANNEXURE - A TO THE INDEPENDENT AUDITOR'S REPORT

[Referred to in Paragraph 1 of “Report on Other Legal and Regulatory Requirements” section of our Independent Auditor’s Report]

- (i) In respect of its fixed assets:
- (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets. Further asset identification numbers and codifications of some movable tangible assets along with make/model no., needs to be assigned to the assets and to be updated in fixed assets register. Location details and area of freehold and leasehold land held by the Company at different locations needs to be updated in the fixed asset register to the extent of holding and location of the land and further needs to be reconciled with the financial records. Further quantity in case of few old assets along with their description, particulars of depreciation, amortization or impairment has also not been properly disclosed in the fixed asset register.
 - (b) According to the information and explanations given to us, the fixed assets of the Company have been physically verified by the management at reasonable intervals in a phased manner so as to generally cover all the assets once in a block of three years. As per the phased programme, during the year, the Company has conducted the physical verification at Taloja Copper Project and Regional Sales office (West), which in our opinion, is reasonable having regard to the size of the Company and nature of its assets. Discrepancies noticed on such verification which were not material as per Company, pending for adjustment/settlement in the books of account. The process of physical verification at Plant/office should be further improved by having the list of assets with their numbers and amount as per Fixed Asset Register duly mapped with physically assets verified and also having a well defined manual of physical verification especially looking into the various locations, quantum of assets physically available at each of the Plant/office locations.
 - (c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, title deeds or lease deeds of leasehold land measuring 90.30 acres amounting of ₹ 374.93 lakh acquired during the year at Indian Copper Complex and total leasehold land measuring 7.83 acres of ₹ 51.48 lakh available at Taloja Copper project, have been verified by us and are held in the name of the Company. As stated in Note No.38 Para 4 & 6 of the accompanying standalone financial statements the title deeds, conveyance deeds etc. in respect of certain freehold lands at Indian Copper Complex acquired through nationalization in accordance with Indian Copper Corporation (Acquisition of Undertaking) Act, 1972 are not in possession of the company and title deeds in respect of land at Scope complex, Delhi and Jaipur valuing ₹ 58.47 lakh and lands (both freehold and leasehold) and Building acquired in respect of Gujarat Copper Project having book value of ₹ 5859.97 lakh are yet to be executed in favor of the Company. Further to as stated above, the management has not been able to produce title deeds/lease deeds/other evidence of title for rest of the lands & buildings for which the company has to identify and reconcile the value of the leasehold and freehold lands & buildings shown under Note No. 3A & 3B (for freehold lands) and Note No. 9 & 16 (for leasehold lands) of the standalone financial statements with their respective land records.
- (ii) The inventories of Finished Goods, Semi finished and in-Process stock, stock of Raw materials and Stores and Spares have been physically verified by the management during the year. The discrepancies between physical stocks and book records arising out of physical verification, which were not material as per the management, have been properly dealt with in the books of account.
- (iii) According to the information and explanations given to us, the Company has not granted any loans, secured or unsecured to Companies, firms, Limited Liability Partnership or other parties, covered in the register maintained under section 189 of the Companies Act, 2013.
- (iv) According to the information and explanations given to us, the company has not given any loan, guarantee or provided any security in connection with such loan and given/made any loan /investment within the meaning of Sections 185 and 186 of the companies Act, 2013 and as such, reporting under this clause is not applicable to the company.
- (v) The Company has not accepted deposits during the year and does not have any unclaimed deposits as at March 31, 2019 and as such, provision of paragraph 3(v) of the said order are not applicable to the company.
- (vi) According to the information and explanations given to us, the maintenance of cost records has been specified by the Central Government under section 148(1) of the Companies Act, 2013 in respect of mining activities of the Company. We have broadly reviewed such cost records and are of the opinion that prima facie the prescribed accounts and records have been made and maintained.



ANNEXURE - A TO THE INDEPENDENT AUDITOR'S REPORT (Contd.)

(vii) In respect of statutory dues:

- a) According to the information and explanations given to us and on the basis of our examination of books of account, the Company has been generally regular in depositing the undisputed statutory dues, including Provident Fund, Employees' State Insurance, Income Tax, Goods and Service Tax, Customs Duty, Cess and other material statutory dues as applicable to it with the appropriate authorities.

According to the information and explanations given to us, no undisputed amounts payable in respect of Provident Fund, Employees' State Insurance, Income Tax, Goods and Service Tax, Customs Duty, Cess and other material statutory dues were in arrears as at March 31, 2019 for a period of more than six months from the date they became payable .

- b) According to the information and explanations given to us and as per the records of the company examined by us, following dues of Income Tax, Sales Tax/Value Added Tax, Provident Fund and Excise Duty which were in arrears as at March 31, 2019 on account of dispute:

Name of the Statute	Nature of Dues	Period to which the amount relates	Forum where dispute is pending	Gross Dispute Amount (₹ in lakh)
Central Sales Tax Act	Central Sales Tax	2007-08,2008-09 & 2010-11 (ICC)	Commissioner of Commercial Taxes, Jamshedpur	1679.47
Central Excise Act	Central Excise	1985-86 (ICC)	CESTAT	60.60
Central Excise Act	Central Excise	1997-98 TO 1999-00 (ICC)	CESTAT	203.52
Central Excise Act	Central Excise	1995-96 (ICC)	CESTAT	15.65
Central Excise Act	Central Excise	2000-01 TO 2003-2004 (ICC)	CESTAT	1501.76
Central Excise Act	Central Excise	2000-2001 TO 2001-2002 (ICC)	CESTAT	283.40
Central Excise Act	Central Excise	1996-97 (ICC)	CESTAT	1.46
Central Excise Act	Central Excise	1998 (ICC)	Supreme Court of India	16.00
Central Excise Act	Central Excise	2014-15 to 2016-17 (ICC)	High Court of Jharkhand	560.60
Central Excise Act	Central Excise	2015-16 (ICC)	Commissioner (Appeals) Central Excise (Appeals), Jamshedpur	55.02
EPF & MP Act 1952	Provident Fund	2014-15 to 2016-17 (ICC)	Regional PF Commissioner, Jamshedpur	268.95
Madhya Pradesh Value Added Tax Act,	Entry Tax	1994-95 (MCP)	Commissioner (Appeals) Jabbalpur	*5.38
Madhya Pradesh Value Added Tax Act,	State Sales Tax/ VAT	2009-2010 (MCP)	Sales tax Authority (Bhopal)	*34.47
Madhya Pradesh Value Added Tax Act,	State Sales Tax/ VAT	2011-2012 (MCP)	Sales tax Authority (Bhopal)	*16.66



ANNEXURE - A TO THE INDEPENDENT AUDITOR'S REPORT (Contd.)

Name of the Statute	Nature of Dues	Period to which the amount relates	Forum where dispute is pending	Gross Dispute Amount (₹ in lakh)
Madhya Pradesh Value Added Tax Act,	State Sales Tax/ VAT	2012-13 (MCP)	Sales tax Authority (Bhopal)	*99.89
Central Excise Act	Central Excise	2005-06 TO 2007-08 (MCP)	Commissioner Central Excise (Bhopal)	64.19
Central Excise Act	Central Excise	2013-14 TO 2015-16 (MCP)	CESTAT	*859.07
Rajasthan Value Added Tax Act,	Central Excise	2007-08 TO 2014-15 (KCC)	Dy.Commissioner Appeal (Bikaner)	*581.71
Central Excise Act	Central Excise	1998-99 TO 2018-19 (KCC)	Commissioner Central Excise, (Bikaner)	2025.18
Central Excise Act	Central Excise	2018-19 (KCC)	CESTAT	*95.70
Income Tax Act	Income Tax	2016-17 & 2017-18 (KCC)	Commissioner of Income Tax ,Jaipur	*1.15
Maharashtra Value Added Tax Act,	State Sales Tax/ VAT	1994-95,2011-12 , 2012-13 & 2013-14 (TCP)	Joint Commisioner (Sales Tax),Maharashtra	*929.93
Central Excise Act	Central Excise	2010-11 (TCP)	CESTAT	5.26
Income Tax Act	Income Tax	2001-02,2002-03,2003-04, 2005-06,2006-07,2007-08 (HO)	High Court of Kolkata	10320.52
Income Tax Act	Income Tax	2011-12,2012-13,2007-08 (HO)	Commissioner of Income, Tax (Appeals), Kolkata	*510.92
Water (Prevention and Control of Pollution) Cess Act, 1977	Water Cess	1999-2000	Water Resources Department, Government of Jharkhand	1416.64
GRAND TOTAL				20196.46

*Aggregate amount of ₹ 712.98 lakh have been deposited against the cases and shown as "Deposit with Government authorities" under Note No.-16 "Other current Assets".

- (viii) According to the information and explanations given to us, the Company has not defaulted in repayment of loans or borrowings to financial institutions, banks and government and dues to debenture holders during the year.
- (ix) According to the information and explanations given to us, the Company has not raised moneys by way of initial public offer or further public offer (including debt instruments) during the year. Based on the information available, the term loan has applied for the purpose for which they were obtained.
- (x) To the best of our knowledge and according to the information and explanations given to us, no fraud by the Company or no fraud on the Company by its officers or employees has been noticed or reported during the year.
- (xi) As per notification no. GSR 463(E) dated 5th June 2015 issued by the Ministry of Corporate Affairs, Government of India, Section 197 for managerial remuneration is not applicable to the Government Company and as such, provision of paragraph 3(xi) of the said order are not applicable to the company.



ANNEXURE - A TO THE INDEPENDENT AUDITOR'S REPORT (Contd.)

- (xii) According to the information and explanations given to us, the Company is not a Nidhi Company and as such provisions of paragraph 3(xii) of the said order are not applicable to the company.
- (xiii) According to the information and explanations given to us and based on our examination of books of accounts, transactions with the related parties are in compliance with Section 177 and 188 of the Companies Act, 2013 where applicable and the details of such transactions have been disclosed in the standalone financial statements as required by the applicable accounting standards.
- (xiv) According to the information and explanations given to us, the Company has not made any preferential allotment or private placement of shares or fully or partly paid convertible debentures and hence reporting under this clause is not applicable to the company.
- (xv) According to the information and explanations given to us and based on our examination of books of accounts, the Company has not entered into any non-cash transactions with its Directors or persons connected to its directors and hence provisions of Section 192 of the Companies Act, 2013 are not applicable to the Company.
- (xvi) The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934 and as such reporting under this clause is not applicable to the company.

For Chaturvedi & Co.

Chartered Accountants

(Firm's Registration No.302137E)

Place: New Delhi

Date: May 28, 2019

CA S.C. Chaturvedi

Partner

(Membership No. 012705)



ANNEXURE - B TO THE INDEPENDENT AUDITOR'S REPORT

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of **Hindustan Copper Limited** (hereinafter referred as **"the Company"**) as of March 31, 2019 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Board of Directors of the Company is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the internal financial controls over financial reporting of the Company based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") issued by the Institute of Chartered Accountants of India and the Standards on Auditing prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls system over financial reporting of the Company.

Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial



ANNEXURE - B TO THE INDEPENDENT AUDITOR'S REPORT (Contd.)

controls over financial reporting were operating effectively as at March 31, 2019, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. However certain areas need further improvement in designing the "Documentation on Internal Financial Controls" of the Company by way of improving the fixed assets accounting, cash and bank management, payable management, receivable management, inventory management, elaborating the process flow by which the transactions are initiated, authorized, processed, recorded, and reported at department level. System integration to capture the transactions that relates to financial statements and events/conditions and other transactions significant to the financial statements has to be designed properly so as to fulfill the objectives of control criteria established by the Company. Further modification of finance/accounts manual needs to be done incorporating the Indian Accounting Standard requirements to have effective internal control over financial reporting.

However, our opinion is not qualified in the above respect.

For Chaturvedi & Co.

Chartered Accountants

(Firm's Registration No.302137E)

CA S.C. Chaturvedi

Partner

(Membership No. 012705)

Place: New Delhi

Date: May 28, 2019



ANNEXURE - C TO THE INDEPENDENT AUDITOR'S REPORT

Directions under Section 143(5) of Companies Act 2013			
Sl. No.	Details/ Directions	Auditors' Reply	Action Taken and Impact on Accounts & Financial Statements
1.	Whether the company has system in place to process all the accounting transactions through IT system? If yes, the implications of processing of accounting transactions outside IT system on the integrity of the accounts along with the financial implications, if any, may be stated.	Yes, the Company has system in place to process all the accounting transactions through IT system.	No impact on the accounts and financial Statements.
2.	Whether there is any restructuring of an existing loan or cases of waiver/write off of debts /loans/interest etc. made by a lender to the company due to the company's inability to repay the loan? If yes, the financial impact may be stated.	As informed to us, there is no such case of restructuring of an existing loan or loan/interest etc. made by a lender to the company. However the Company has written back the liabilities of ₹ 1095.29 lakh during the year which as per the Company, no longer payable in nature.	Liabilities of ₹ 1095.29 lakh were written back during the year and impact of it has been in increase of profit by the amount.
3.	Whether funds received/ receivable for specific schemes from central/ state agencies were properly accounted for/ utilized as per its term and conditions? List the cases of deviation.	Based on the information available and according to the information and explanations given to us, the company has not received any fund for specific schemes from central/ state agencies during the year.	No impact on the accounts and financial Statements.

For Chaturvedi & Co.
Chartered Accountants
(Firm's Registration No.302137E)

CA S.C. Chaturvedi
Partner
(Membership No. 012705)

Place: New Delhi

Date: May 28, 2019



COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA UNDER SECTION 143(6)(b) OF THE COMPANIES ACT, 2013 ON THE FINANCIAL STATEMENTS OF HINDUSTAN COPPER LIMITED FOR THE YEAR ENDED 31 MARCH 2019

The preparation of financial statements of Hindustan Copper Limited for the year ended 31 March 2019 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the company. The statutory auditor appointed by the Comptroller and Auditor General of India under Section 139(5) of the Act is responsible for expressing opinion on these financial statements under Section 143 of the Act based on independent audit in accordance with the standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 28 May 2019.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit of the financial statements of Hindustan Copper Limited for the year ended 31 March 2019 under Section 143(6)(a) of the Act. This supplementary audit has been carried out independently without access to the working papers of the statutory auditor and is limited primarily to inquiries of the statutory auditor and company personnel and a selective examination of some of the accounting records.

On the basis of my supplementary audit nothing significant has come to my knowledge which would give rise to any comment upon or supplement to statutory auditors' report under Section 143(6)(b) of the Act.

For and on the behalf of the
Comptroller & Auditor General of India

(Suparna Deb)
Director General of Commercial Audit
& Ex-officio Member, Audit Board-I,
Kolkata

Place : Kolkata
Date : 24 June 2019



STANDALONE BALANCE SHEET AS AT 31ST MARCH 2019

(₹ in lakh)

PARTICULARS	Note No.	As at 31st March, 2019	As at 31st March, 2018
ASSETS			
(1) NON-CURRENT ASSETS			
(a) Property, Plant and Equipment	3A & 3B	31648.77	33199.74
(b) Capital Work In Progress	4	102211.31	65954.68
(c) Financial Assets			
(i) Investments	5	18.50	-
(ii) Others	6	12.47	1.44
(d) Deferred Tax Assets (Net)	7	6245.62	5577.71
(e) Non-Current Tax Assets (Net)	8	620.33	983.43
(f) Other Non-Current Assets	9	53268.78	57303.93
(2) CURRENT ASSETS			
(a) Inventories	10	64366.77	78861.51
(b) Financial Assets			
(i) Investments	11	8.85	8.18
(ii) Trade receivables	12	36154.83	8157.36
(iii) Cash and cash equivalents	13	658.42	879.67
(iv) Bank Balances other than above	14	424.19	391.54
(v) Others	15	3279.93	4703.55
(c) Other current assets	16	32108.63	22725.94
Total Assets		331027.40	278748.68
EQUITY AND LIABILITIES			
(1) Equity			
(a) Equity Share Capital	17	46260.90	46260.90
(b) Other Equity	18	116850.59	106468.09
Liabilities			
1 NON-CURRENT LIABILITIES			
(a) Financial Liabilities			
(i) Borrowings	19	57065.73	10208.27
(ii) Other financial liabilities	20	843.53	923.57
(b) Provisions	21	5471.59	8186.73
(2) CURRENT LIABILITIES			
(a) Financial Liabilities			
(i) Borrowings	22	49945.20	55486.81
(ii) Trade Payables	23	20229.08	22613.35
(iii) Other financial liabilities	24	7600.37	5609.32
(b) Other current liabilities	25	18880.70	17150.64
(c) Provisions	26	6295.75	5237.50
(d) Current Tax Liabilities (Net)	27	1583.96	603.50
Total Equity & Liabilities		331027.40	278748.68
Corporate Information	1		
Significant Accounting Policies	2		
General Notes on Accounts	38		

The notes referred to above form an integral part of the Financial Statements.

In terms of our report of even date attached.

For and on behalf of the Board of Directors

For Chaturvedi & Co.
Chartered Accountants
FRN 302137E

Sanjay Kumar Bhattacharya
Director (Mining)
(DIN : 07276836)

Sukhen Kumar Bandyopadhyay
Director (Finance) & CFO
(DIN : 08173882)

Santosh Sharma
Chairman and Managing Director
& CEO
(DIN : 07431945)

(CA S C Chaturvedi)
Partner
(M No. 012705)

C.S.Singhi
Company Secretary
(M No. FCS 2570)

Place : New Delhi
Dated : 28th May, 2019



STANDALONE STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31ST MARCH 2019

(₹ in lakh except EPS)

Particulars	Note No.	For the year ended 31st March 2019	For the year ended 31st March 2018
I Revenue from Operations	28	181625.72	170590.88
II Other Income	29	3665.87	4106.56
III Total Income (I+II)		185291.59	174697.44
IV EXPENSES			
Cost of Materials Consumed	30	6493.41	41138.01
Changes in Inventories of Finished Goods, Semi-Finished and Work-In-Process	31	14336.74	(724.65)
Employee Benefits Expense	32	31651.48	32788.84
Finance Costs	33	5546.10	2128.65
Depreciation and Amortisation Expense	34	25288.75	16465.25
General, Administration & Other Expenses	35	78940.47	70697.80
Total Expenses (IV)		162256.95	162493.90
V PROFIT /(LOSS) BEFORE EXCEPTIONAL ITEMS AND TAX (III-IV)		23034.64	12203.54
VI Exceptional items		—	—
VII PROFIT /(LOSS) BEFORE TAX (V-VI)		23034.64	12203.54
VIII TAX EXPENSE	36		
1) Current Tax		9128.93	4639.68
2) Deferred Tax		(667.91)	(419.36)
IX PROFIT /(LOSS) FOR THE PERIOD FROM CONTINUING OPERATIONS AFTER TAX (VII-VIII)		14573.62	7983.22
X Profit/(Loss) from discontinued operations		(34.70)	(34.70)
XI Tax expense of discontinued operations		(12.13)	(12.01)
XII PROFIT/(LOSS) FROM DISCONTINUED OPERATIONS AFTER TAX (X -XI)		(22.57)	(22.69)
XIII PROFIT /(LOSS) FOR THE PERIOD AFTER TAX (IX+XII)		14551.05	7960.53
XIV OTHER COMPREHENSIVE INCOME	37		
A(i) Items that will not be reclassified to Profit or Loss		(1676.21)	499.52
A(ii) Income Tax relating to items that will not be reclassified to Profit or Loss		—	—
B(i) Items that will be reclassified to Profit or Loss		—	—
B(ii) Income Tax relating to items that will be reclassified to Profit or Loss		—	—
XV TOTAL COMPREHENSIVE INCOME FOR THE PERIOD (XIII+XIV) (Comprising Profit/(Loss) and Other Comprehensive Income for the period)		12874.84	8460.05
XVI Earning per equity share (for continuing operations)			
1 BASIC (₹)		1.575	0.863
2 DILUTED (₹)		1.575	0.863
XVII Earning per equity share (for discontinued operations)			
1 BASIC (₹)		(0.002)	(0.002)
2 DILUTED (₹)		(0.002)	(0.002)
XVIII Earning per equity share (for discontinued & continuing operations)			
1 BASIC (₹)		1.573	0.861
2 DILUTED (₹)		1.573	0.861
Corporate Information	1		
Significant Accounting Policies	2		
General Notes on Accounts	38		
The notes referred to above form an integral part of the Financial Statement.			

In terms of our report of even date attached.

For and on behalf of the Board of Directors

For Chaturvedi & Co.
Chartered Accountants
FRN 302137E

Sanjay Kumar Bhattacharya
Director (Mining)
(DIN : 07276836)

Sukhen Kumar Bandyopadhyay
Director (Finance) & CFO
(DIN : 08173882)

Santosh Sharma
Chairman and Managing Director
& CEO
(DIN : 07431945)

(CA S C Chaturvedi)
Partner
(M No. 012705)

C.S.Singhi
Company Secretary
(M No. FCS 2570)

Place : New Delhi
Dated : 28th May, 2019



STANDALONE STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31ST MARCH 2019

Statement of Changes in Equity							
A . Equity Share Capital			(₹ in lakh)				
Balance at the beginning of the reporting period 01.04.2017		Changes in equity share capital during the year		Balance at the end of the reporting period 31.03.2018			
46260.90		-		46260.90			
B. Other Equity							
Particulars	General Reserve	Capital Reserve	Corporate Social Responsibility Reserve	Mine Closure Reserves	Currency Fluctuation Reserves	Retained Earning	Total
Balance at the beginning of the reporting period 01.04.2017	8965.97	21166.24	222.90	-	-	70080.18	100435.29
Dividend & Dividend Tax	-	-	-	-	-	(2227.13)	(2227.13)
Profit for the Year	-	-	-	-	-	7960.53	7960.53
Other Comprehensive Income	-	-	-	-	-	499.52	499.52
Amount addition during the year	-	-	-	-	-	-	-
Amount used during the year	-	-	(200.12)	-	-	-	(200.12)
Balance at the end of the reporting period 31.03.2018	8965.97	21166.24	22.78	-	-	76313.10	106468.09
Statement of Changes in Equity							
A . Equity Share Capital			(₹ in lakh)				
Balance at the beginning of the reporting period 01.04.2018		Changes in equity share capital during the year		Balance at the end of the reporting period 31.03.2019			
46260.90		-		46260.90			
B. Other Equity							
Particulars	General Reserve	Capital Reserve	Corporate Social Responsibility Reserve	Mine Closure Reserves	Currency Fluctuation Reserves	Retained Earning	Total
Balance at the beginning of the reporting period 01.04.2018	8965.97	21166.24	22.78	-	-	76313.10	106468.09
Dividend & Dividend Tax	-	-	-	-	-	(2788.50)	(2788.50)
Profit for the Year	-	-	-	-	-	14551.05	14551.05
Other Comprehensive Income	-	-	-	-	-	(1676.21)	(1676.21)
Amount addition during the year	-	-	-	163.00	155.94	-	318.94
Amount used during the year	-	-	(22.78)	-	-	-	(22.78)
Balance at the end of the reporting period 31.03.2019	8965.97	21166.24	-	163.00	155.94	86399.44	116850.59

In terms of our report of even date attached.

For and on behalf of the Board of Directors

For Chaturvedi & Co.
Chartered Accountants
FRN 302137E
(CA S C Chaturvedi)
Partner
(M No. 012705)
Place : New Delhi
Dated :28th May, 2019

Sanjay Kumar Bhattacharya
Director (Mining)
(DIN : 07276836)
C.S.Singhi
Company Secretary
(M No. FCS 2570)
Sukhen Kumar Bandyopadhyay
Director (Finance) & CFO
(DIN : 08173882)
Santosh Sharma
Chairman and Managing Director
& CEO
(DIN : 07431945)



STANDALONE CASH FLOW STATEMENT FOR THE YEAR ENDED 31ST MARCH 2019

(₹ in lakh)

	For the year ended 31st March 2019	For the year ended 31st March 2018
A. CASH FLOW FROM OPERATING ACTIVITIES :		
NET PROFIT/ (LOSS) BEFORE TAX AS PER STATEMENT OF PROFIT AND LOSS	23034.64	12203.54
Adjusted for :		
Depreciation	3661.65	3272.02
Provisions charged	1899.68	1022.14
Provisions written back	(1095.29)	(1376.96)
Interest expense	5546.10	2128.65
Dividend declared	-	1850.44
Dividend tax payable	-	376.70
Amortisation	21627.10	13193.23
Interest income	(334.49)	(1706.74)
Loss / (Profit) on disposal of fixed assets	(48.24)	1.71
OPERATING PROFIT/ (LOSS) BEFORE WORKING CAPITAL CHANGES	54291.15	30964.73
Adjusted for :		
Decrease/ (Increase) in Trade & other Receivables	(28004.35)	8348.78
Decrease/ (Increase) in Inventories	14412.96	3316.59
Decrease/ (Increase) in Current & Non-Current assets	(7008.79)	(10664.58)
Increase/ (Decrease) in Current & Non-Current Liabilities	(2836.41)	6376.23
CASH GENERATED FROM OPERATIONS	30854.56	38341.75
Tax Refund received	1106.54	3637.10
Taxes paid	(6730.75)	(4800.00)
NET CASH FROM OPERATING ACTIVITIES	(A) 25230.35	37178.85
B. CASH FLOW FROM INVESTING ACTIVITIES :		
Purchase of Fixed Assets	(40039.64)	(39748.56)
Sale of Fixed Assets	80.07	32.60
Interest received	415.71	2467.98
Advance for / (Recovery of advance) for Capital expenditure	260.68	99.27
Investment in Subsidiary	(18.50)	-
Mine Development Expenditure	(19369.43)	(18601.96)
NET CASH USED IN INVESTING ACTIVITIES	(B) (58671.11)	(55750.67)
C. CASH FLOW FROM FINANCING ACTIVITIES :		
Non-Current borrowings / (Loan repaid)	52669.68	(5207.41)
Dividends paid	(2313.05)	(1850.43)
Tax on Dividend	(475.45)	(376.71)
Interest paid	(5422.90)	(2170.95)
NET CASH USED IN FINANCING ACTIVITIES	(C) 44458.28	(9605.50)
NET INCREASE IN CASH AND CASH EQUIVALENTS	(A + B + C) 11017.52	(28177.32)
CASH AND CASH EQUIVALENTS - opening balance	(49136.09)	(20958.77)
CASH AND CASH EQUIVALENTS - closing balance	(38118.57)	(49136.09)
(Details in Annexure - A)		

In terms of our report of even date attached.

For and on behalf of the Board of Directors

For Chaturvedi & Co.
Chartered Accountants
FRN 302137E

Sanjay Kumar Bhattacharya
Director (Mining)
(DIN : 07276836)

Sukhen Kumar Bandyopadhyay
Director (Finance) & CFO
(DIN : 08173882)

Santosh Sharma
Chairman and Managing Director
& CEO
(DIN : 07431945)

(CA S C Chaturvedi)
Partner
(M No. 012705)

C.S.Singhi
Company Secretary
(M No. FCS 2570)

Place : New Delhi
Dated : 28th May, 2019



STANDALONE CASH FLOW STATEMENT FOR THE YEAR ENDED 31ST MARCH 2019 (Contd.)

ANNEXURE - A

(₹ in lakh)

CASH AND CASH EQUIVALENTS - Opening Balance	01/04/2018	01/04/2017
i) Current Financial Assets - Cash & Cash Equivalents (Note 13)	879.67	121.22
ii) Current Financial Assets - Bank Balance other than above (Note 14) (Excluding Unpaid Dividend of ₹ 12.38 lakh)	379.16	5362.70
iii) Current Financial Assets - Investments (Note 11)	8.18	0.05
iv) Non-current Financial Assets - Others (Note 6)	1.44	266.33
v) Current Financial Liabilities - Borrowings (Note 22)	(50301.84)	(26130.71)
vi) Current Financial Liabilities - Borrowings (Note 22)	(102.70)	(578.36)
	<u>(49136.09)</u>	<u>(20958.77)</u>
 CASH AND CASH EQUIVALENTS - Closing Balance	 31/03/2019	 31/03/2018
i) Current Financial Assets - Cash & Cash Equivalents (Note 13)	658.42	879.67
ii) Current Financial Assets - Bank Balance other than above (Note 14) (Excluding Unpaid Dividend of ₹ 15.86 lakh)	408.33	379.16
iii) Current Financial Assets - Investments (Note 11)	8.85	8.18
iv) Non-current Financial Assets - Others (Note 6)	12.47	1.44
v) Current Financial Liabilities - Borrowings (Note 22)	(39300.01)	(50301.84)
vi) Current Financial Liabilities - Borrowings (Note 22)	93.37	(102.70)
	<u>(38118.57)</u>	<u>(49136.09)</u>

The Cash Flow Statement has been prepared as set out in Indian Accounting Standard (IND AS) 7 : STATEMENT of CASH FLOWS, as amended by Companies (Indian Accounting Standards) (Amendment) Rules 2016.

This is the Cash Flow Statement referred to in our report of even date attached.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS

1. Corporate Information

Hindustan Copper Limited, established in 1967 and domiciled in India is a Central public sector undertaking under the administrative control of Ministry of Mines, Government of India. The registered office of the company is situated at Kolkata. The principal activities of the company are exploration, exploitation, mining of copper and copper ore including beneficiation of minerals, smelting and refining. The Company has copper mines & concentrator plants in Malanjkhand Copper Project at Madhya Pradesh (MCP), Khetri Copper Complex at Rajasthan (KCC) and Indian Copper Complex, Ghatsila at Jharkhand (ICC). The company is operating Smelter & Refinery in ICC and Gujarat Copper Project, Gujarat (GCP) for production of copper cathode. Further, cathode is converted into copper wire rod at Copper wire rod plant at Taloja Copper Project, Taloja, Maharashtra (TCP). The Company is listed with BSE Ltd. and National Stock Exchange of India Ltd.

2. Significant Accounting Policies

2.1 Basis of Accounting

The financial statements are prepared under historical cost convention from the books of accounts maintained under accrual basis except for certain financial instruments which are measured at fair value and in accordance with the Indian Accounting Standards prescribed under Companies Act, 2013.

2.2 Application of Indian Accounting Standards (Ind-AS)

The Company adopted Indian Accounting Standards (Ind AS) from April 1, 2016 and accordingly the financial statements have been prepared in accordance with the recognition and measurement principles as notified by MCA under the Companies (Indian Accounting Standards) Rules, 2015 ("Ind AS Rules"), of the Companies Act, 2013.

The Company has adopted all the Ind AS as applicable and relevant to the Company.

2.3 Use of Estimates

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods. Revision to accounting estimates are recognised in the period on which the estimates are revised and, if material, their effects are disclosed on the notes to the financial statements.

2.4 Current and Non-current Classification

The Company presents assets and liabilities in the Balance Sheet based on current/non-current classification. An asset is treated as current by the company when:

- it expects to realize the asset, or intends to sell or consume it in its normal operating cycle;
- it holds the assets primarily for the purpose of trading;
- it expects to realize the asset within twelve months after the reporting date; or
- the asset is cash or cash equivalent (as defined under Ind AS 7) unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

Except the above, all other assets are classified as Non-current.

A liability is treated as current by the company when:

- it expects to settle the liability realize the asset, or intends to sell or consume it in its normal operating cycle;
- it expects to settle the liability in its normal operating cycle;
- it holds the liability primarily for the purpose of trading;
- the liability is due to be settled within twelve months after the reporting period; or
- it does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting period. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

Except the above, all other liabilities are classified as non-current.



2.5 Revenue Recognition

Revenue is measured at the fair value of the consideration received or receivable and fair value has been defined taking into account contractually defined terms of payment. Operating revenue recognized is net of all promotional expenses and discounts, rebates and/or any other incentive to customers.

Sale of Products

An entity shall account for a sale contract with a customer only when all of the following criteria are met:

- (a) the parties to the contract have approved the contract (in writing, orally or in accordance with other customary business practices) and are committed to perform their respective obligations;
- (b) the entity can identify each party's rights regarding the goods to be transferred;
- (c) the entity can identify the payment terms for the goods to be transferred;
- (d) the contract has commercial substance i.e the risk, ownership, timing or amount of the entity's future cash flows etc is expected to change as a result of the contract; and
- (e) it is probable that the entity will collect the consideration to which it will be entitled in exchange for the goods that will be transferred to the customer.

In case of sale of Copper Concentrate, Copper Reverts, Anode Slime etc. and tolling of Copper Concentrate of Khetri and Malanjkhand origin, sales / tolling at the end of the accounting period are recorded on provisional basis as per standard parameters for want of actual specifications and differential sales value are recorded only on receipt of actual. This is as per consistent practice followed by the company.

Sale of Services

Income from conversion of job work is accounted for on the basis of actual quantity dispatched. When the outcome of a transaction involving the rendering of services can be estimated reliably, revenue associated with the transaction shall be recognized by reference to the stage of completion (Percentage of Completion Method) of the transaction at the end of the reporting period.

Advances received from the customers are reported as customer's deposits unless the above conditions for revenue recognition are met.

Other Operating Revenues

a. Sale of Scrap

Sale of Scrap is accounted for on delivery of material.

b. Interest received from Customers

In case of credit sales, interest up to the date of Balance Sheet on all outstanding bills is accounted for on accrual basis.

c. Interest from Contractors against mobilisation advance for mining operations

Interest up to the date of Balance Sheet on all mobilisation advances for mining operations is accounted for on accrual basis.

d. Penalty and Liquidated Damages

Penalty and liquidated damages are accounted for as and when these are realised by the company as per contract terms.

Other Income

a. Claims

Claims are recognized in the Statement of Profit & Loss (Net of any payable) including receivables from Government towards subsidy, cash incentives, reimbursement of losses, etc, when there is certainty of realisation of such claim and that can be measured reliably.

b. Dividend and Interest from Investments

Dividend income from Investments is recognised in the Statement of Profit and Loss when the right to receive the



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

dividend has been established and it is certain that the economic benefits will flow to the company and the amount of income can be measured reliably.

Interest Income from a financial asset is recognised using Effective Interest Method. When it is probable that the economic benefits will flow to the Company and the amount of income can be measured reliably.

c. Profit on Sale of Investment

Profit on sale of investment is recognised upon transfer of title by the company and is determined as the difference between the sales price and the then carrying value of the investment.

d. Provisions not required written back

Provisions/Liabilities created from business activities in earlier years no longer required are accounted for.

e. Others

Any other income is recognised on accrual basis.

2.6 Employees Benefit

Retirement benefit costs and termination benefits

Payments to defined contribution retirement benefit plans are recognized as an expense when employees have rendered service entitling them to the contributions.

For defined benefit retirement benefit plans, the cost of providing benefits is determined using the projected unit credit method, with actuarial valuations being carried out at the end of each annual reporting period. Re-measurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling (if applicable) and the return on plan assets (excluding interest), is reflected immediately in the statement of financial position with a charge or credit recognized in other comprehensive income in the period in which they occur. Re-measurement recognized in other comprehensive income is reflected immediately in retained earnings and will not be reclassified to Statement of Profit or Loss. Past service cost is recognized in Statement of Profit or Loss in the period of a plan amendment. Net interest is calculated by applying the discount rate at the beginning of the period to the net defined benefit liability or asset. Defined benefit costs are categorized as follows:

- i. Service cost (including current service cost, past service cost, etc.);
- ii. Net interest expense or income; and
- iii. Re-measurement.

The company presents the first two components of defined benefit costs in profit or loss in the line item 'employee benefits expense'.

The retirement benefit obligation recognized in the statement of financial position represents the actual deficit or surplus in the company defined benefit plans. Any surplus resulting from this calculation is limited to the present value of any economic benefits available in the form of refunds from the plans or reductions in future contributions to the plans.

A liability for a termination benefit is recognized at the earlier of when the company can no longer withdraw the offer of the termination benefit and when the company recognises any related restructuring costs.

Short-term and other long-term employee benefits

A liability is recognized for benefits accruing to employees in respect of wages and salaries, annual leave and sick leave in the period the related service is rendered at the undiscounted amount of the benefits expected to be paid in exchange for that service.

Liabilities recognized in respect of short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in exchange for the related service.

Liabilities recognized in respect of other long-term employee benefits are measured at the present value of the estimated future cash outflows expected to be made by the company in respect of services provided by employees up to the reporting date.

Deficit in Provident Fund

Deficit, if any, in the accounts of Provident Fund Trust ascertained on the basis of last audited accounts of the Trust is accounted for as a charge to Revenue.



2.7 Borrowing Cost

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the asset. All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest expenses calculated using the effective interest method and other costs that an entity incurs in connection with the borrowing of funds. Borrowing cost also includes exchange differences to the extent regarded as an adjustment to the borrowing costs

2.8 Taxation

Income tax expense represents the sum of current tax and deferred tax.

Current tax

The current tax payable is based on taxable profit for the year as determined from net profit before tax as represented in Statement of Profit and Loss and Other Comprehensive Income, in line with different provisions under Income Tax Act 1961. Current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax

Deferred tax is recognized on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognized for all taxable temporary differences. Deferred tax assets are generally recognized for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

Current and Deferred Tax for the year

Current and deferred tax are recognized in Statement of Profit and Loss, except when they relate to items that are recognized in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognized in other comprehensive income or directly in equity respectively.

2.9 (a) Property Plant and Equipment (PPE)

The cost of an item of PPE is recognized as an asset if and only if, it is probable that future economic benefits associated with the item will flow to the company and the cost of the item can be measured reliably. The cost of an item of PPE is the cash price equivalent at the recognition date. The cost of an item of PPE comprises:

- i. Purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.
- ii. Costs directly attributable to bringing the PPE to the location and condition necessary for it to be capable of operating in the manner intended by management.
- iii. The initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located, the obligation for which the company incurs either when the PPE is acquired or as a consequence of having used the PPE during a particular period for purposes other than to produce inventories during that period.

The company has chosen the cost model of recognition and this model is applied to an entire class of PPE. After recognition as an asset, an item of PPE is carried at its cost less any accumulated depreciation and any accumulated impairment losses.

Pending reconciliation/receipt of the final bills against capital items, capitalization is done on the basis of cost booked and depreciation is charged accordingly. Price differences, if any, are adjusted in the year of finalization of bills.

In respect of expenditure during construction/development of a new unit/project in a new location, all direct capital expenditure as well as all indirect expenditure incidentals to construction are capitalized allocating to various items of PPE on an appropriate basis. Expansion programme involving construction concurrently run with normal production



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

activities in an existing unit, all direct capital expenditure in relation to such expansion are capitalized but indirect expenditure are charged to revenue. Borrowing costs that are attributable to the acquisition or construction of qualifying asset are capitalized as part of the cost of such assets. A qualifying asset is one that necessarily takes substantial period of time to get ready for its intended use.

Expenses incurred for implementation of new projects are carried forward against respective projects till execution. Expenses rendered in fructuous projects abandoned subsequently are provided for in the Statement of Profit and Loss.

Physical verification of PPE is conducted every year so that all the units/offices are covered once in a block of three years interval. Shortage/(Excesses), if any, identified on such physical verification is duly adjusted in the books of accounts in the year of identification.

Depreciation and Amortization

The company has used the exemption available in Ind AS 101 with respect to recognition of Plant, Property and Equipment (PPE) and Intangible Assets at their carrying value being deemed cost.

The depreciable amount of an item of PPE is allocated on a straight line basis over its useful life prescribed in Part C of Schedule II of the Companies Act, 2013 or actual useful life of assets assessed by the Technical Committee of the company, whichever is lower. The residual value and the useful life of an asset are reviewed, at each financial year-end. Each part of an item of PPE with a cost that is significant in relation to the total cost of the item is depreciated separately. Depreciation on all such items have been provided from the date they are 'Put to Use' till the date of sale and includes amortization of intangible assets and lease hold assets. Freehold land is not depreciated. The residual value of all such items is taken at 5% of the original cost of individual asset.

An item of PPE is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Certain consumable items of small value whose useful life is very limited are directly charged to revenue in the year of purchase.

From the date Ind AS came into effect, the carrying amount of an asset is depreciated over the remaining useful life of the asset as per estimate of remaining useful life. Wherever, the remaining useful life of an asset is nil, the carrying amount is recognized in the opening balance of retained earnings after retaining the residual value.

2.9 (b) Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation (calculated on a straight-line basis over their useful lives) and accumulated impairment losses, if any.

Internally generated intangibles, excluding capitalised development costs, are not capitalised. Instead, the related expenditure is recognised in the Statement of Profit and Loss and other comprehensive income in the period in which the expenditure is incurred. An internally generated intangible asset arising from development is recognized if all the conditions stipulated in "Ind AS 38-Intangible Asset" are met. The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with finite lives are amortised over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit and Loss.

An intangible asset with an indefinite useful life is not amortised but is tested for impairment at each reporting date and its useful life is reviewed in each reporting period to determine whether events and circumstances continue to support an indefinite useful life estimate.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit and Loss.

Intangible Assets other than Software are amortized over estimated useful life which is equivalent to license period, generally not more than 5 years.

Cost of Software recognized as intangible asset, is amortised on straight line method over a period of legal right to use with a nil residual value. Otherwise the cost of software will be charged in the year of incurrence.



2.10 Capital Work in Progress

Assets in the course of construction are included under capital work -in-progress and are carried at cost, less any recognized impairment loss. Such capital work-in-progress, on completion, is transferred to the appropriate category of property, plant and equipment.

2.11 Mine Development Expenditure

In case of underground mines : The expenditure on development of a new mine in all cases and on subsequent development of a working mine is capitalized and depleted on the basis of ore raised during the year and the mineable ore reserves estimated from time to time.

In case of working mines, where development activities are going on simultaneously: Expenses are apportioned between capital and revenue on the basis of in-house technical estimates.

In respect of open cast mines : The expenditure on removal of waste and overburden, is capitalized and the same is depleted in relation to actual ore production during the year on the stripping ratio which is re-assessed periodically based on the estimated ore reserve as well as the quantity of waste excavation in respect of open cast mines. Subsequently, if any ore is reclaimed from overburden, the same is included in inventory at a value based on opening rate of mine development expenditure with a corresponding credit in Mine development expenditure.

Expenditure incurred on development of new deposits are capital in nature and is included in mine development expenditure. If subsequently the development activities are found to be not viable, the expenditure on such development work included in mine development expenditure is written off in the year in which it is decided to abandon the project.

If a working mine is closed due to economic reasons, the un-depleted value of Mine Development Expenditure related to that mine is provided in the books of accounts in the year in which it is decided to close or suspend operation of the mine. If later on, the closed / suspended mines are re-opened and the company remains the owner of the mines, the unamortized Mine Development Expenditure which was fully provided in the year of closure will be written back in the books of accounts in the year of re-opening and the company will be depleting it year wise based on the estimated remaining life of that mine.

2.12 Overhauling Expenses

Revenue expenditure attributable to overhaul of smelter and/ or refinery is charged off to the Statement of Profit and Loss in the year of incurrence.

2.13 Mine Closure Expenditure

Financial implications towards final mine closure plans under relevant Acts and Rules are technically estimated and Mine Closure Reserve is created based on the estimated life of the mines over the period by charging the same to Statement of Profit and Loss.

2.14 Non-Current Assets Held for Sale

The company classifies a non-current asset (or disposal group of assets) as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use. Immediately before the initial classification of the asset (or disposal group) as held for sale, the carrying amounts of the asset (or all the assets and liabilities in the group) are measured in accordance with applicable Indian Accounting Standards. The sale should be expected to qualify for recognition as a completed sale within one year from the date of classification except as permitted by Ind AS 105.

2.15 Inventories

Stocks of stores and spare parts, loose tools and materials-in-transit are valued at the lower of the net realizable value and cost. The raw materials are also valued at the lower of the net realizable value and weighted average cost to the unit if the finished goods in which they will be incorporated are expected to be sold below cost. Loose tools when issued are charged off to revenue.

Finished goods and work-in-process are valued at the lower of the net realizable value and weighted average cost to the unit. The cost is exclusive of financing cost, such as, interest, bank charges, administration overhead, etc. The value of slag under work-in-process is taken at equivalent value to the extent credited to the process, where the said products have been generated. The reverts under work- in-process are valued at lower of cost (equivalent value of concentrate) and net realizable value.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

The stock of anode slime arising from treatment and refining processes are stated at realizable value based on the yearend London Metal Exchange price for gold and silver after making due adjustments of their physical recovery and the treatment and refining charges.

The inventories out of inter-unit transfers (material in transit) at the close of the year are valued and accounted in the books of the transferor unit on the basis of cost plus transportation to the transferee unit.

Imported materials are valued at the lower of the net realizable value and weighted average cost. In the event where final price is not determined valuation is made on provisional cost. Variations are accounted for in the year of finalization.

Provision is made in the accounts every year, for non-moving stores and spares (other than insurance spares) which have not moved for more than five years. Insurance spares are fully provided for on the expiry of the life of the relevant Property Plant and Equipments.

Physical verification of Semi-Finished and In-Process (WIP) and Finished Goods is conducted departmentally in all the units at reasonable intervals during the year by a duly approved committee. Also, physical stock verification of WIP and Finished Goods is undertaken by a duly approved committee at the end of every financial year alongwith an independent agency once in a block of three years. In respect of Stores and Spares, physical verification is carried out by external agencies once in every year covering all the units. Shortage/(Excesses), if any, identified on such physical verification is duly adjusted in the books of accounts in the year of identification

2.16 Government Grants

All government grants are recognized as deferred income and it will be taken to Statement of Profit and Loss over the period of time in accordance with the pattern in which the obligations are met.

2.17 Impairment of Assets (Other than Financial Assets)

The Company assesses at the end of each reporting period whether there is any indication that an asset may be impaired. If any such indication exists, the Company estimates the recoverable amount of the asset. If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognized immediately in Statement of Profit and Loss, unless the relevant asset is carried at a revalue amount, in which case the impairment loss is treated as a revaluation decrease.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

When an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognized immediately in Statement of Profit and Loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

2.18 Foreign Exchange Transactions

Transactions in currencies other than the company's functional currency (foreign currencies) are recognized at the rates of exchange prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are re-translated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Foreign currency monetary items (except overdue recoverable where realizability is uncertain) are converted using the closing rate as defined in the Ind AS-21. The effects of changes in Foreign Exchange Rates, non-monetary items are reported using the exchange rate at the date of the transaction. The exchange difference gain/loss is recognized in the Statement of Profit and Loss.

In case of long term foreign currency monetary items outstanding as of 31st March 2016, liability in foreign currency loans relating to acquisition of fixed assets is converted using the closing rate as defined in Ind AS 21. The effects of



changes in Foreign Exchange Rates and the difference in exchange is recognized in terms of exemptions given in paragraph D13AA of Appendix D to Ind AS-101, where the effect of exchange differences on foreign currency loans of the company is accounted for by addition or deduction to the cost of the assets so far it relates to the depreciable capital assets and shall be depreciated over the balance life of the assets.

Other long term foreign currency monetary items are accumulated in 'Equity Component of Foreign Currency asset/liability Account' and amortized over the balance period of the asset/liability by recognition as income or expense in each of such periods as stated under Para 29A of Ind AS 21.

2.19 Provisions, Contingent Liabilities & Contingent Assets

Provisions are recognized when the company has a present obligation (legal or constructive) as a result of a past event and it is probable that the company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

Wherever no reliable estimate could be made, a disclosure is made as contingent liability. A disclosure for a contingent liability is also made when there is a possible obligation or a present obligation that may but probably will not require an outflow of resources.

When there is a possible obligation or a present obligation in respect of which likelihood of outflow of resources is remote, no provision or disclosure is made.

Contingent Liabilities are disclosed in the General Notes forming part of the accounts.

Contingent Assets are not recognised in the financial statements but are disclosed in Notes to the Accounts. Such assets occur when the inflow of economic benefits is probable. Such contingent assets are assessed continuously, if it is virtually certain that inflow of economic benefits will arise then such assets and the relative income will be recognised in the financial statements.

2.20 Leasing

Assets held under lease, in which a significant portion of the risks and rewards of ownership are transferred to lessee are classified as finance leases. All other leases are classified as operating leases.

Depreciation expenses are recorded if asset held under finance lease is depreciable.

Finance expenses are recognized immediately in the Statement of Profit and Loss if they are not directly attributable to qualifying assets, otherwise they are capitalised in accordance with the company's general policy on borrowing costs.

Operating lease payments are recognized as an expense on a straight-line basis over the lease term.

2.21 Financial Instruments

Non Derivative Financial Instruments

(i) Initial Recognition

Financial assets and financial liabilities are recognized when the company becomes a party to the contractual provisions of the instruments.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognized immediately in profit or loss.

(ii) Subsequent Recognition

a. Financial assets

Financial assets are subsequently measured at amortised cost, fair value through other comprehensive income or fair value through profit or loss.

b. Financial Liabilities

Financial liabilities are subsequently measured at amortized cost using Effective Interest Rate (EIR) method except for derivatives, which are measured at fair value.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

Derivative Financial Instruments

All derivatives are recognized and measured at fair value with changes in fair value being recognized in profit or loss for the period.

Impairment of financial assets

At each reporting date, assessment is made whether the credit risk on a financial instrument has increased significantly or not since initial recognition.

If the credit risk on a financial instrument has not increased significantly since initial recognition, the loss allowance is measured for that financial instrument at an amount equal to 12 month expected credit losses. If the credit risk on that financial instrument has increased significantly since initial recognition, the loss allowance is measured for a financial instrument at an amount equal to the lifetime expected credit losses.

The amount of expected credit losses (or reversal) that is required to adjust the loss allowance at the reporting date is recognised as an impairment gain or loss in the Statement of Profit and Loss.

2.22 Events Occurring after the Reporting Period

The company adjusts the amount recognized in its financial statements to reflect adjusting material events after the reporting period and does not adjust the amount to reflect non-adjusting events after the reporting period. However, where retrospective restatement is not practicable for a particular prior period then the circumstances that lead to the existence of that condition and the description of how and from where the error is corrected are disclosed in Notes on Accounts.

2.23 Dividend

Final dividend on shares is recorded as a liability on the date of approval by the shareholders in general meeting and interim dividend is recorded as a liability on the date of declaration by the directors in the meeting of the Board of Directors.

2.24 Cash and Cash Equivalents

Cash and cash equivalent in the Balance Sheet comprise cash at bank and on hand and short term deposit with an original maturity of three months or less which are subject to insignificant risk of changes in value.

2.25 Rounding of amounts

Amounts in these financial statements have, unless otherwise indicated, have been rounded off to '₹ in lakh' upto two decimal points.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

Note: 3 (A) Property, Plant and Equipment (Active Assets)

(₹ in lakh)

Description	Free Hold Land	Buildings including Sanitary and Water Supply System	Plant, Machinery and Mining Equipment	Furniture & Fixtures & Office Equipment	Vehicles	Roads, Bridges and Culverts	Railway Siding	Electrical Equipment and Installation	Shafts and Inclines	Total
Gross Carrying Amount										
Gross Carrying Amount as at 01.04.2017	2446.58	6547.15	23443.61	443.70	203.72	1818.91	293.87	2647.26	444.81	38289.61
Exchange Differences	-	-	-	-	-	-	-	-	-	-
Additions	-	201.17	1405.85	17.60	-	7.47	-	28.31	-	1660.40
Inter-head Adjustments	-	-	-	-	-	-	-	-	-	-
Assets classified as held for sale	-	-	5.67	-	-	-	-	-	-	5.67
Disposals	-	-	(664.71)	-	(14.32)	-	-	-	-	(679.03)
Transfers	-	-	-	-	-	-	-	-	-	-
Gross Carrying Amount as at 31.03.2018	2446.58	6748.32	24190.42	461.30	189.40	1826.38	293.87	2675.57	444.81	39276.65
Accumulated Depreciation & Impairment										
Accumulated Depreciation as at 01.04.2017	-	387.61	1834.75	65.49	12.29	315.25	32.67	202.61	13.99	2864.66
Depreciation charge during the year	-	521.21	2591.10	90.32	34.59	338.24	32.67	242.22	13.99	3864.34
Impairment Losses	-	-	(12.40)	-	-	-	-	-	-	(12.40)
Exchange Differences	-	-	-	-	-	-	-	-	-	-
Inter-head Adjustments	-	-	-	-	-	-	-	-	-	-
Assets classified as held for sale	-	-	5.03	-	-	-	-	-	-	5.03
Disposals	-	-	(631.12)	-	(13.60)	-	-	-	-	(644.72)
Accumulated Depreciation & Impairment as at 31.03.2018	-	908.82	3,787.36	155.81	33.28	653.49	65.34	444.83	27.98	6,076.91
Net Carrying Amount as at 31.03.2018	2446.58	5839.50	20403.06	305.49	156.12	1172.89	228.53	2230.74	416.83	33199.74
Gross Carrying Amount										
Gross Carrying Amount as at 01.04.2018	2446.58	6748.32	24190.42	461.30	189.40	1826.38	293.87	2675.57	444.81	39276.65
Exchange Differences	-	-	-	-	-	-	-	-	-	0.00
Additions	-	285.97	2667.66	45.22	-	-	-	88.85	-	3087.70
Inter-head Transfer In/(Out)	-	(301.00)	337.90	(155.00)	-	-	-	118.10	-	0.00
Transfer From Discarded Assets	-	-	0.60	-	0.20	-	-	-	-	0.80
Transfer To Discarded Assets	-	(0.46)	(1039.16)	(33.30)	(19.26)	-	-	(4.11)	(0.60)	(1096.89)
Disposals	-	-	(29.34)	(0.21)	(2.11)	-	-	(0.17)	-	(31.83)
Impairment Losses Prov. Trf to Discarded Assets	-	-	464.01	-	-	-	-	-	-	464.01
Adjustments	-	(3.98)	(4.03)	(0.14)	0.01	0.01	(0.01)	(0.02)	-	(8.16)
Gross Carrying Amount as at 31.03.2019	2446.58	6728.85	26588.06	317.87	168.24	1826.39	293.86	2878.22	444.21	41692.28
Accumulated Depreciation & Impairment										
Accumulated Depreciation as at 01.04.2018	-	908.82	3787.36	155.81	33.28	653.49	65.34	444.83	27.98	6076.91
Depreciation charge during the year	-	526.38	2749.59	59.30	30.62	333.90	32.67	220.15	13.99	3966.60
Inter-head Transfer In/(Out)	-	607.50	(610.79)	(110.30)	-	-	-	113.59	-	-
Transfer From Discarded Assets	-	-	-	-	-	-	-	-	-	-
Transfer To Discarded Assets	-	-	-	-	-	-	-	-	-	-
Impairment Losses	-	-	-	-	-	-	-	-	-	-
Exchange Differences	-	-	-	-	-	-	-	-	-	-
Disposals	-	-	-	-	-	-	-	-	-	-
Accumulated Depreciation & Impairment as at 31.03.2019	-	2042.70	5926.16	104.81	63.90	987.39	98.01	778.57	41.97	10043.51
Net Carrying Amount as at 31.03.2019	2446.58	4686.15	20661.90	213.06	104.34	839.00	195.85	2099.65	402.24	31648.77

Note : HCL has used the exemption available in Ind AS 101 with respect to recognition of Property, Plant, Equipment (PPE) and Intangible Assets at their carrying value.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

Note: 3 (B) Property, Plant and Equipment (Discarded Assets)

Description	(₹ in lakh)									
	Free Hold Lease Hold Land	Buildings including Sanitary and Water Supply System	Plant, Machinery and Mining Equipment	Furniture & Fixtures & Office Equipment	Vehicles	Roads, Bridges and Culverts	Railway Siding	Electrical Equipment and Installation	Shafts and Inclines	Total
Gross Carrying Amount										
Gross Carrying Amount as at 01.04.2017	3.64	181.45	372.93	6.26	4.03	24.93	-	58.17	91.70	743.11
Exchange Differences	-	-	-	-	-	-	-	-	-	-
Additions	-	-	-	-	-	-	-	-	-	-
Inter-head Adjustments	-	-	-	-	-	-	-	-	-	-
Assets classified as held for sale	-	-	-	-	-	-	-	-	-	-
Disposals	-	-	-	-	-	-	-	-	-	-
Transfers	-	-	-	-	-	-	-	-	-	-
Gross Carrying Amount as at 31.03.2018	3.64	181.45	372.93	6.26	4.03	24.93	-	58.17	91.70	743.11
Accumulated Depreciation & Impairment										
Accumulated Depreciation as at 01.04.2017	-	-	-	-	-	-	-	-	-	-
Depreciation charge during the year	-	-	-	-	-	-	-	-	-	-
Impairment Losses	-	-	-	-	-	-	-	-	-	-
Exchange Differences	-	-	-	-	-	-	-	-	-	-
Inter-head Adjustments	-	-	-	-	-	-	-	-	-	-
Assets classified as held for sale	-	-	-	-	-	-	-	-	-	-
Disposals	-	-	-	-	-	-	-	-	-	-
Accumulated Depreciation & Impairment as at 31.03.2018	-	-	-	-	-	-	-	-	-	-
Net Carrying Amount as at 31.03.2018	3.64	181.45	372.93	6.26	4.03	24.93	-	58.17	91.70	743.11
Less Provisions for Discarded Assets										743.11
Net Carrying Amount (Net of Provisions) as at 31.03.2018										-
Gross Carrying Amount										
Gross Carrying Amount as at 01.04.2018	3.64	181.45	372.93	6.26	4.03	24.93	-	58.17	91.70	743.11
Exchange Differences	-	-	-	-	-	-	-	-	-	-
Additions	-	-	-	-	-	-	-	-	-	-
Inter-head Transfer In/(Out)	-	-	-	-	-	-	-	-	-	-
Transfer From Active Assets	-	0.46	1039.16	33.30	19.26	-	-	4.11	0.60	1096.89
Transfer To Active Assets	-	-	(0.60)	-	(0.20)	-	-	-	-	(0.80)
Disposals	-	-	(0.64)	-	-	-	-	-	-	(0.64)
Impairment Losses	-	-	(464.01)	-	-	-	-	-	-	(464.01)
Adjustments	-	-	-	-	-	-	-	-	-	-
Gross Carrying Amount as at 31.03.2019	3.64	181.91	946.84	39.56	23.09	24.93	-	62.28	92.30	1374.55
Accumulated Depreciation & Impairment										
Accumulated Depreciation as at 01.04.2018	-	-	-	-	-	-	-	-	-	-
Depreciation charge during the year	-	-	-	-	-	-	-	-	-	-
Inter-head Transfer In/(Out)	-	-	-	-	-	-	-	-	-	-
Transfer From Discarded Assets	-	-	-	-	-	-	-	-	-	-
Transfer To Discarded Assets	-	-	-	-	-	-	-	-	-	-
Impairment Losses	-	-	-	-	-	-	-	-	-	-
Exchange Differences	-	-	-	-	-	-	-	-	-	-
Disposals	-	-	-	-	-	-	-	-	-	-
Accumulated Depreciation & Impairment as at 31.03.2019	-	-	-	-	-	-	-	-	-	-
Net Carrying Amount as at 31.03.2019	3.64	181.91	946.84	39.56	23.09	24.93	-	62.28	92.30	1374.55
Less Provisions for Discarded Assets										1374.55
Net Carrying Amount (Net of Provisions) as at 31.03.2019										-

Note : HCL has used the exemption available in Ind AS 101 with respect to recognition of Property, Plant, Equipment (PPE) and Intangible Assets at their carrying value.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

PARTICULARS	As at 31st March, 2019	As at 31st March, 2018
Note No 4 CAPITAL WORK IN PROGRESS		
i) Building	24.22	168.04
ii) Plant & Machinery	33836.57	26737.53
iii) Others including Mine Expansion	72439.01	42442.02
	106299.80	69347.59
Less: Provision	4088.49	3392.91
TOTAL	102211.31	65954.68

Note No 5 NON - CURRENT FINANCIAL ASSETS - INVESTMENTS

- i) Investments in equity instruments - (classified as at cost)
- Investment in Subsidiary Company - Chhattisgarh Copper Limited (CCL) 18.50
- (Investment in CCL 185,000 Nos. (Previous Year Nil) of equity shares of ₹10 (Previous Year Nil) each fully paid up as at 31.03.2019)

Details of Subsidiary Principal Activity and place of incorporation	Principal place of business	Proportion of ownership interest / voting rights held by the Company as on 31.03.2019
Exploration & Mining and beneficiation of copper & its associated minerals	Chhattisgarh	74%

ii) Non Trade Investment in Debentures	0.17	0.17
Less : Provision for diminution in value	0.17	0.17
TOTAL	18.50	-
AGGREGATE BOOK VALUE - UNQUOTED	18.50	-
AGGREGATE BOOK VALUE - QUOTED	-	-
MARKET PRICE OF QUOTED INVESTMENT	-	-

Note No 6 NON - CURRENT FINANCIAL ASSETS - OTHERS

Bank deposits with more than 12 months maturity	12.47	1.44
TOTAL	12.47	1.44



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

PARTICULARS	As at 31st March, 2019	As at 31st March, 2018
Note No 7 DEFERRED TAX ASSETS (NET)		
i) DEFERRED TAX ASSET		
OPENING BALANCE	8780.81	8484.26
Adjustment/Credit during the year	<u>463.09</u>	<u>296.55</u>
CLOSING BALANCE	9243.90	8780.81
ii) DEFERRED TAX LIABILITY		
OPENING BALANCE	(3203.10)	(3325.92)
Adjustment/Credit during the year	<u>204.82</u>	<u>122.81</u>
CLOSING BALANCE	(2998.28)	(3203.10)
iii) DEFERRED TAX ASSETS / (LIABILITIES) (Net) (i-ii)	<u>6245.62</u>	<u>5577.71</u>
(Refer Note No. 38 General Notes on Accounts Point No. 20)		

Note No 8 NON-CURRENT TAX ASSETS (NET)

Income Tax (including advance income tax, TDS & excluding current tax liability) Unsecured - Considered good	620.33	983.43
TOTAL	<u>620.33</u>	<u>983.43</u>



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

		(₹ in lakh)	
PARTICULARS	As at 31st March, 2019	As at 31st March, 2018	
Note No 9 OTHER NON - CURRENT ASSETS			
a) MOBILISATION ADVANCES			
i) Secured (considered good)	2178.89	2439.57	
ii) Unsecured (considered good)			
– Against Bank Guarantee	-	-	
– Others	-	-	
iii) Unsecured (considered doubtful)	0.02	0.02	
Less: Provisions for Capital Advances *	<u>0.02</u>	<u>0.02</u>	-
b) Other Loans & Advances			
Receivable from MPSEB	828.53	2822.26	
c) Mine Development Expenditure			
As per Last Balance Sheet	53068.54	47067.49	
Add: Expenditure during the year (as per Note Below)	<u>19898.22</u>	<u>19226.73</u>	
	72966.76	66294.22	
Less: Value of Ore recovered during Mine Development	223.84	32.45	
Less: Amortisation during the Year	<u>21627.10</u>	<u>13193.23</u>	13225.68
	51115.82	53068.54	
Less: Provision	<u>4664.86</u>	<u>4664.86</u>	
TOTAL	<u>46450.96</u>	<u>48403.68</u>	
Note: MINE DEVELOPMENT EXPENDITURE DURING THE YEAR			
i) Salaries, Wages, Allowances	2182.50	2444.39	
ii) Contribution to Provident & Other Funds	170.84	202.97	
iii) Workmen & Staff Welfare Expenses	9.03	26.33	
iv) Stores, Spares & Tools Consumed	2369.33	3258.57	
v) Power, Fuel & Water	475.32	663.90	
vi) Royalty	16.10	2.37	
vii) Repair & Maintenance	4222.59	1585.88	
viii) Insurance	1.76	2.34	
ix) Overburden Removal Expenditure	9711.09	9939.12	
x) Depreciation	304.95	592.32	
xi) Other Expenses	<u>434.71</u>	<u>508.54</u>	
TOTAL	<u>19898.22</u>	<u>19226.73</u>	
The above expenditure is in addition to the expenses shown under the respective natural head of accounts indicated and charged in the Statement of Profit and Loss Account for the year and in the relevant schedules thereof.			
Amortisation during the year is in relation to the expenses incurred on mines which are under operation/ production and does not include expenditure on prospecting of minerals in new mines area.			
d) Prepaid Expenses			
Expenses on Leasehold Land	3810.40	3638.42	
TOTAL	<u>3810.40</u>	<u>3638.42</u>	
TOTAL (a+b+c+d)	<u>53268.78</u>	<u>57303.93</u>	
PROVISIONS FOR CAPITAL ADVANCES *			
OPENING BALANCE	0.02	0.02	
Additions during the year	-	-	
Amount used during the year	<u>-</u>	<u>-</u>	
CLOSING BALANCE	<u>0.02</u>	<u>0.02</u>	



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Particulars	As at 31st March, 2019	As at 31st March, 2018
Note No 10 INVENTORIES		
i) Raw Materials	-	69.21
ii) Semi-Finished and In-Process (at lower of cost or net realisable value)	58249.42	73504.95
Less: Provision for Semi-Finished and In-Process*	123.03	123.03
iii) Finished Goods (at lower of cost or net realisable value)	1176.03	257.24
iv) Stores and spares	7371.35	7197.51
Stores in transit/ pending inspection	309.03	489.88
	7680.38	7687.39
Less: Provision for Obsolete Stores & Spares **	2616.03	2534.25
TOTAL	64366.77	78861.51
PROVISION FOR SEMI-FINISHED AND IN-PROCESS *		
OPENING BALANCE	123.03	136.27
Additions during the year	-	-
Amount used during the year	-	13.24
CLOSING BALANCE	123.03	123.03
PROVISION FOR OBSOLETE STORES & SPARES **		
OPENING BALANCE	2534.25	2512.18
Additions during the year	106.81	40.00
Amount used during the year	25.03	17.93
CLOSING BALANCE	2616.03	2534.25
Note No 11 CURRENT FINANCIAL ASSETS - INVESTMENTS		
Investments in Mutual Fund (Maturity within 3 months from date of original investments)	Number of units	NAV (in ₹)
UTI MONEY MARKET - GROWTH	51.736	2112.55
	(51.736)	(1949.74)
SBI ULTRA SHORT TERM DEBT FUND - GROWTH	132.120	4169.40
	(132.120)	(3843.07)
CANARA REBECO LIQUID FUND - GROWTH	38.993	2258.68
	(38.993)	(2101.53)
IDBI LIQUID FUND - GROWTH	68.469	2002.99
	(68.469)	(1860.48)
TOTAL		8.85
AGGREGATE BOOK VALUE - UNQUOTED		Nil
AGGREGATE BOOK VALUE - QUOTED		7.84
MARKET PRICE OF QUOTED INVESTMENT		8.85



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Particulars	As at 31st March, 2019	As at 31st March, 2018
Note No 12 CURRENT FINANCIAL ASSETS - TRADE RECEIVABLES		
DEBTS OUTSTANDING		
i) - Secured - Considered good	36154.83	8157.36
ii) - Unsecured - Considered good	-	-
iii) - Considered doubtful	942.77	935.89
	37097.60	9093.25
Less: Allowances for bad & doubtful debts*	942.77	935.89
	36154.83	8157.36
TOTAL	36154.83	8157.36
ALLOWANCES FOR BAD & DOUBTFUL DEBTS *		
OPENING BALANCE	935.89	934.59
Additions during the year	22.46	1.30
Amount used during the year	15.58	-
CLOSING BALANCE	942.77	935.89

Explanatory Note: -

Debt due by Directors or other officers of the company or any of them either severally or jointly with any other person or debts due by firms or private companies respectively in which any Director of the Company is a partner or a Director or a member amounts to ₹ Nil (Previous year ₹ Nil).

Note No 13 CURRENT FINANCIAL ASSETS - CASH & CASH EQUIVALENTS

I. CASH AND CASH EQUIVALENTS

i. Cash on hand including imprest	0.25	0.25
ii. Balance with Banks		
-Current Account	658.17	614.53

II. OTHER BALANCES WITH BANK

Bank deposits upto 3 months maturity from date of original investment
- with scheduled banks

	-	264.89
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TOTAL	658.42	879.67
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Note No 14 CURRENT FINANCIAL ASSETS - BANK BALANCE OTHER THAN CASH & CASH EQUIVALENTS

I. Other Balances with Bank		
- in Dividend Balance Account	15.86	12.38
II. Bank deposits with more than 3 months and upto 12 months maturity		
- with scheduled banks	408.33	379.16
TOTAL	424.19	391.54



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Particulars	As at 31st March, 2019	As at 31st March, 2018
Note No 15 CURRENT FINANCIAL ASSETS - OTHERS		
a) ADVANCES		
Employees		
- Secured (considered good)	69.84	71.89
- Unsecured (considered doubtful)	2.03	2.03
Less : Provisions for doubtful advances *	2.03	2.03
	69.84	71.89
b) INTEREST ACCRUED ON		
i) LC from Customers	0.78	6.38
ii) Investments	9.16	-
iii) Deposits	23.92	37.21
iv) Others	0.58	72.07
	34.44	115.66
c) CLAIMS RECOVERABLE		
Claims recoverable from different agencies	3308.75	4649.14
Less: Provision for Doubtful Claims **	133.10	133.14
	3175.65	4516.00
TOTAL (a+b+c)	3279.93	4703.55
DETAILS OF PROVISIONS		
PROVISION FOR DOUBTFUL ADVANCES *		
OPENING BALANCE	2.03	-
Additions during the year	-	2.03
Amount used during the year	-	-
CLOSING BALANCE	2.03	2.03
PROVISION FOR DOUBTFUL CLAIMS **		
OPENING BALANCE	133.14	133.14
Additions during the year	-	-
Amount used during the year	0.04	-
CLOSING BALANCE	133.10	133.14
Explanatory Note: -		
PARTICULARS OF LOANS AND ADVANCES DUE FROM DIRECTORS		
i) Amount due at the end of the year	₹ Nil	₹ Nil
ii) Advance due by firms or private companies in which any Director of the Company is a Partner or a director or a member amounts to ₹Nil (Previous year ₹Nil)		



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Particulars	As at 31st March, 2019	As at 31st March, 2018
Note No 16 OTHER CURRENT ASSETS		
a) Advances to contractors / suppliers		
- Secured (considered good)	218.29	695.91
- Unsecured (considered good)		
– Against Bank Guarantee	-	-
– Others	2099.84	967.26
- Unsecured (considered doubtful)	723.33	714.71
	3041.46	2377.88
b) Other Advances		
- secured (considered good)	50.90	41.07
- Unsecured (considered doubtful)	13.93	13.93
	64.83	55.00
	3106.29	2432.88
Less : Provision for Doubtful Loans and Advances *	737.26	728.63
	2369.03	1704.25
c) Advance to Subsidiary-CCL	6.50	-
d) DEPOSITS		
Other Deposits	9392.51	8813.05
Less : Provision for Doubtful Deposits **	75.56	75.56
	9316.95	8737.49
e) OTHER CURRENT ASSETS		
Other Current Assets	277.33	419.67
Less: Provision for Other Current Assets ***	3.52	3.52
	273.81	416.15
f) OTHER RECOVERABLES		
IGST/CGST & SGST	20001.05	11753.73
g) PREPAID EXPENSES		
Rent for Leasehold Land	141.29	114.32
TOTAL	32108.63	22725.94
DETAILS OF PROVISIONS		
PROVISION FOR DOUBTFUL LOANS AND ADVANCES *		
OPENING BALANCE	728.63	220.51
Additions during the year	8.63	510.15
Amount used during the year	-	2.03
CLOSING BALANCE	737.26	728.63
PROVISIONS FOR DOUBTFUL DEPOSITS **		
OPENING BALANCE	75.56	75.56
Additions during the year	-	-
Amount used during the year	-	-
CLOSING BALANCE	75.56	75.56
PROVISION FOR OTHER CURRENT ASSETS ***		
OPENING BALANCE	3.52	3.52
Additions during the year	-	-
Amount used during the year	-	-
CLOSING BALANCE	3.52	3.52



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Particulars	As at 31st March, 2019		As at 31st March, 2018	
Note No 17 EQUITY SHARE CAPITAL				
	In No.	(₹ in lakh)	In No.	(₹ in lakh)
a) AUTHORISED SHARE CAPITAL				
- Equity Share Capital	18000000000	90000.00	18000000000	90000.00
- 7.50% Non-Cum. Redeemable Preference Shares	2000000	20000.00	2000000	20000.00
b) PAR VALUE PER EQUITY SHARE (in ₹)		5.00		5.00
c) PAR VALUE PER PREFERENCE SHARE (in ₹)		1000.00		1000.00
d) NO. OF SHARES ISSUED, SUBSCRIBED AND FULLY PAID UP				
- Equity Share Capital	925218000	46260.90	925218000	46260.90
- 7.50% Non-Cum. Redeemable Preference Shares	-	-	-	-
TOTAL		46260.90		46260.90
e) RECONCILIATION OF NO. OF SHARES & SHARE CAPITAL				
OUTSTANDING:	No. of Shares	(₹ in lakh)	No. of Shares	(₹ in lakh)
OUTSTANDING AS ON 01.04.2018	925218000	46260.90	925218000	46260.90
Add: Share Capital issued/ subscribed during the year	-	-	-	-
Less: Reduction in Share Capital	-	-	-	-
OUTSTANDING AS ON 31.03.2019	925218000	46260.90	925218000	46260.90
f) TERMS/RIGHTS ATTACHED TO EQUITY SHARES				
The Company has only one class of Equity Shares having par value of ₹ 5/- each and is entitled to one vote per share.				
g) SHARES IN THE COMPANY HELD BY EACH SHAREHOLDER				
HOLDING MORE THAN 5 PERCENT OF THE NUMBER OF SHARES	In No.	(%)	In No.	(%)
- President of India	703587852	76.05%	703587852	76.05%
- Life Insurance Corporation of India	112338152	12.14%	112338152	12.14%



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Particulars	As at 31st March, 2019	As at 31st March, 2018
Note No 18 OTHER EQUITY		
a) CAPITAL RESERVE *		
AS PER LAST BALANCE SHEET	21166.24	21166.24
b) GENERAL RESERVE		
AS PER LAST BALANCE SHEET	8965.97	8965.97
c) CORPORATE SOCIAL RESPONSIBILITY FUND		
AS PER LAST BALANCE SHEET	22.78	222.90
Add: During the year	-	-
Less: Amount reversed during the year	-	-
Less: Amount used during the year	22.78	200.12
AS AT BALANCE SHEET DATE	-	22.78
d) MINE CLOSURE RESERVE		
AS PER LAST BALANCE SHEET	-	-
Add: During the year	163.00	-
Less: Amount reversed during the year	-	-
Less: Amount used during the year	-	-
AS AT BALANCE SHEET DATE	163.00	-
f) CURRENCY FLUCTUATION RESERVE **		
AS PER LAST BALANCE SHEET	-	-
Add: Equity Component of Foreign Currency Loan	155.94	-
Less: Amount reversed during the year	-	-
Less: Amount used during the year	-	-
AS AT BALANCE SHEET DATE	155.94	-
g) RETAINED EARNING ***	86399.44	76313.10
TOTAL	116850.59	106468.09
Details of Retained Earning ***		
Profit for the year as per Statement of Profit and Loss	14551.05	7960.53
Other Comprehensive Income as per Statement of Profit and Loss	(1676.21)	499.52
Total Comprehensive Income for the period	12874.84	8460.05
Balance brought forward	76313.10	70080.18
BALANCE AVAILABLE FOR APPROPRIATION	89187.94	78540.23
i) Less :Dividend	2313.05	1850.43
ii) Less :Tax on Dividend	475.45	376.70
BALANCE CARRIED FORWARD	86399.44	76313.10

* Capital Reserve is created from the Grant received from the Government of India during the approval of Financial Re-structuring proposal by Ministry of Mines and out of Capital Profits over the years. This Reserve is not created out of Revenue Profits of the Company.

** Currency Fluctuation Reserve is not created out of Revenue Profits of the Company.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Particulars	As at 31st March, 2019	As at 31st March, 2018
Note No 19 NON-CURRENT FINANCIAL LIABILITIES - BORROWINGS		
LONG TERM LOANS		
• From Banks/ FIs		
- Secured		
- EXIM Bank (Loan I)	5443.02	10208.27
(The title deeds for Freehold and Leasehold Land and Building acquired in respect of Gujarat Copper Project are yet to be executed. Pending the same, the title deeds of land of TCP has been submitted as an alternate security over which no hypothecation has been created.)		
- EXIM Bank (Loan II)	28215.21	-
(First pari-passu charge on movable fixed assets, both present and future of the Company, excluding GCP and TCP)		
- SBI	17407.50	-
(First pari-passu charge on immovable fixed assets of the Company located at MCP, both present and future , excluding leasehold land/property)		
- Unsecured		
- Axis Bank	6000.00	-
TOTAL	57065.73	10208.27
Note No 20 NON-CURRENT FINANCIAL LIABILITIES - OTHERS		
OTHERS (Compensation received from Govt of Jharkhand for repair of township)	843.53	923.57
TOTAL	843.53	923.57
Note No 21 NON-CURRENT PROVISIONS		
PROVISION FOR EMPLOYEE BENEFITS		
i) PROVISION FOR LEAVE ENCASHMENT		
AS PER LAST BALANCE SHEET	11930.19	9499.65
Additions during the year	-	2430.54
Amount used during the year	1009.87	-
CLOSING BALANCE	10920.32	11930.19
ii) PROVISION FOR GRATUITY		
AS PER LAST BALANCE SHEET	(3743.46)	(1570.92)
Additions during the year	1094.73	(772.54)
Amount used/funded during the year	2800.00	1400.00
CLOSING BALANCE	(5448.73)	(3743.46)
TOTAL	5471.59	8186.73

(Refer Note No. 38 General Notes on Accounts Point No. 22)



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Particulars	As at 31st March, 2019	As at 31st March, 2018
Note No 22 CURRENT FINANCIAL LIABILITIES - BORROWINGS		
SHORT TERM LOANS		
i) From Banks/ FIs		
- Secured (Secured by hypothecation of Stock-in-Trade, Stores & Spare Parts and Book Debts, both present and future of the Company)	16503.81	9480.56
ii) Working Capital Term Loan (Unsecured)		
- Axis Bank	9702.84	25045.72
- Kotak Mahindra Bank	-	8027.29
- HDFC Bank	13000.00	-
iii) Buyers' Credit	-	7850.97
LONG TERM LOANS		
• Due in next 1 year		
i) EXIM Bank (Loan I)	5443.04	5082.27
ii) EXIM Bank (Loan II)	1795.51	-
iii) Axis Bank	3500.00	-
TOTAL	49945.20	55486.81
Note No 23 CURRENT FINANCIAL LIABILITIES - TRADE PAYABLE		
i) Total outstanding dues of micro enterprises and small enterprises	535.45	596.98
ii) Total outstanding dues of creditors other than micro enterprises and small enterprises	19693.63	22016.37
TOTAL	20229.08	22613.35
Note No 24 CURRENT FINANCIAL LIABILITIES - OTHERS		
i) Interest accrued but not due on borrowings & term loans	359.97	236.77
ii) Unpaid dividend	15.86	12.38
iii) Deposits/ Retention money	5885.05	4718.95
iv) Other liabilities	1339.49	641.22
TOTAL	7600.37	5609.32
Note No 25 OTHER CURRENT LIABILITIES		
i) Statutory dues payables	4664.42	4594.81
ii) Advances from Customers	1977.75	4204.92
iii) Sundry Creditors - Others	12238.53	8350.91
TOTAL	18880.70	17150.64



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Particulars	As at 31st March, 2019	As at 31st March, 2018
Note No 26 CURRENT PROVISIONS		
a) PROVISION FOR EMPLOYEE BENEFITS		
i) PROVISION FOR LEAVE ENCASHMENT		
AS PER LAST BALANCE SHEET	741.60	2131.53
Additions during the year	1239.25	-
Amount used during the year	-	1389.93
CLOSING BALANCE	1980.85	741.60
ii) PROVISION FOR GRATUITY		
AS PER LAST BALANCE SHEET	(3513.13)	(4037.88)
Additions during the year	652.24	524.75
Amount used during the year	-	-
CLOSING BALANCE	(2860.89)	(3513.13)
iii) PROVISION FOR LEAVE TRAVEL CONCESSION (LTC)		
AS PER LAST BALANCE SHEET	139.11	103.63
Additions during the year	32.82	35.48
Amount used during the year	-	-
CLOSING BALANCE	171.93	139.11
iv) PROVISION FOR PRP/INCENTIVE		
AS PER LAST BALANCE SHEET	882.00	375.00
Additions during the year	1145.00	582.00
Amount used during the year	300.00	75.00
CLOSING BALANCE	1727.00	882.00
v) PROVISION FOR WAGE REVISION		
AS PER LAST BALANCE SHEET	5621.17	5953.00
Additions during the year	-	720.00
Amount used during the year	1362.90	1051.83
CLOSING BALANCE	4258.27	5621.17
b) OTHERS		
i) DIVIDEND		
AS PER LAST BALANCE SHEET	-	-
Additions during the year	2313.05	1850.43
Amount used during the year	2313.05	1850.43
CLOSING BALANCE	-	-
ii) TAX ON DIVIDEND		
AS PER LAST BALANCE SHEET	-	-
Additions during the year	475.45	376.70
Amount used during the year	475.45	376.70
CLOSING BALANCE	-	-
iii) PROVISION - OTHERS		
AS PER LAST BALANCE SHEET	1366.75	2221.50
Additions during the year	32.31	3594.89
Amount used during the year	380.47	4449.64
CLOSING BALANCE	1018.59	1366.75
TOTAL	6295.75	5237.50

(Refer Note No. 38 General Notes on Accounts Point No. 21)

Note No 27 CURRENT TAX LIABILITIES (Net)

Additions during the year	8644.62	4639.68
Less : Refund pertaining to earlier years	310.58	-
Less : Advance Income Tax & TDS	6750.08	4036.18
Current Tax Liabilities (Net of Advance Tax & TDS)	1583.96	603.50



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Particulars	For the year ended 31st March, 2019	For the year ended 31st March, 2018
Note No 28 REVENUE FROM OPERATIONS		
SALE OF PRODUCTS		
- Domestic	91076.52	130721.75
- Export	84267.33	34068.94
	175343.85	164790.69
Less : Discount & Rebate	14.55	1322.37
SALES (Net of Discounts) (A)	175329.30	163468.32
SALE OF SERVICES (B)	455.70	150.69
OTHER OPERATING INCOME (C)		
-Sale of Scrap	987.36	1415.89
-Interest received from Customers	246.35	229.79
-Interest received from Contractors against mobilization advances for mining operations	262.80	297.07
- Penalty & Liquidated Damages	1752.00	495.32
Less : Refunded during the year	203.57	584.72
	1548.43	(89.40)
-Excess Electricity Charges earlier paid adjusted by MPSEB against current Electricity bills (Refer Note No. 38 General Notes on Accounts Point No.12)	2795.78	4572.98
- Exchange Rate Variation (Net)	-	545.54
TOTAL (C)	5840.72	6971.87
TOTAL (A+B+C)	181625.72	170590.88
Note No 29 OTHER INCOME		
- Claims Received	10.44	28.32
- Interest from Term Deposits	96.62	346.17
- Interest - Others	237.87	833.71
- Profit on sale of Assets	48.24	-
- Profit on Sale of Investment	-	7.79
- Profit on Fair Value of Investment	0.67	0.34
- Others	2176.74	1513.27
- Provisions not required written back #	1095.29	1376.96
TOTAL	3665.87	4106.56
Details of Provisions not required written back # (Refer Note No.38 General Notes on Accounts Point No.13)		
Bad and doubtful Debts, advances/deposits & claims	16.56	0.12
Excess provisions on account of shortage, non-moving, Obsolete & insurance Stores & Spares and finished goods	26.93	30.17
Provision for Discarded Assets no longer required	1.16	0.64
Provision for CSR no longer required Written Back	30.59	-
Provision for Interest on MSME	169.94	143.45
Provision for MP Rural Infrastructure & Road Development Tax & Water Charges	370.78	-
Old Liability Written Back for S.Creditors, SD & EMD more than 5 years and Others	479.33	6.66
Provision for Impairment Loss	-	12.40
Liability for DMF & NMET on Royalty earlier provided no longer required	-	1183.52
TOTAL	1095.29	1376.96



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Particulars	For the year ended 31st March, 2019	For the year ended 31st March, 2018
Note No 30 COST OF MATERIALS CONSUMED		
Raw Materials Consumed	6269.57	41105.56
Value of Ore Raised During Mine Development	223.84	32.45
TOTAL	6493.41	41138.01
Note No 31 CHANGES IN INVENTORIES OF FINISHED GOODS, SEMI-FINISHED AND WORK- IN-PROCESS		
A. OPENING STOCK:		
Finished Goods	257.24	6090.23
Semi-Finished and In-Process	73504.95	66947.31
TOTAL OPENING STOCK	73762.19	73037.54
B. CLOSING STOCK:		
Finished Goods	1176.03	257.24
Semi-Finished and In-Process	58249.42	73504.95
TOTAL CLOSING STOCK	59425.45	73762.19
(INCREASE)/ DECREASE (A-B)	14336.74	(724.65)

Note No 32 EMPLOYEES BENEFIT EXPENSE

Salaries, Wages & Allowances	23320.29	23931.35
Bonus/Ex-gratia/Performance Related Pay	1426.21	749.68
Contribution to Provident & Other Funds	2263.98	2337.91
Workmen & Staff Welfare Expenses	1696.74	1710.95
Gratuity & Leave Encashment	2944.26	4058.95
TOTAL	31651.48	32788.84

Explanatory Note: -

The detail of Remuneration paid/payable to Directors as included in above payments are as follows: -

(i) Salaries & Allowances	212.32	123.20
(ii) Contribution to Provident & Other Funds	13.99	10.70
(iii) Re-imbursement of Medical Expenses	0.53	0.86
(iv) Leave Encashment	13.23	24.09
(v) Gratuity paid	10.00	14.42
TOTAL	250.07	173.27

In addition the Whole-time Directors are allowed the use of company car for private purpose and have been provided with residential accomodation as per terms of their appointment / Government guidelines and the charges are recovered at the rates prescribed by the Government.

Note No 33 FINANCE COST

- Interest on Cash Credit	1339.00	533.62
- Others (including Term Loans)	4207.10	1595.03
TOTAL	5546.10	2128.65



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Particulars	For the year ended 31st March, 2019	For the year ended 31st March, 2018
Note No 34 DEPRECIATION AND AMORTISATION EXPENSE		
A. DEPRECIATION		
Depreciation for the year	3966.60	3864.34
Less: Depreciation transferred to Mine Development Expenditure	304.95	592.32
SUB TOTAL (A)	3661.65	3272.02
B. AMORTISATION		
Amortisation during the year *	21627.10	13193.23
SUB TOTAL (B)	21627.10	13193.23
TOTAL (A+B)	25288.75	16465.25
* Amortisation during the year is in relation to the expenses incurred on mines which are under operation/production and does not include expenditure on prospecting of minerals in new mines area.		
Note No 35 OTHER EXPENSES		
A. OTHER MANUFACTURING EXPENSES		
- Stores, Spares & Tools Consumed	11706.53	11594.58
- Consumption of Power, Fuel & Water	22186.57	21120.53
- Royalty, Cess & Decretal amount	9803.47	8766.16
- Contractual Job for Process	13905.88	9287.06
- Handling & Transportation	6811.67	7224.71
- Tolling Charges	-	82.71
- Expenses for Leasehold Land	141.29	114.32
SUB TOTAL (A)	64555.41	58190.07
B. REPAIRS & MAINTENANCE & MAJOR OVERHAUL EXPENSES		
- Building	195.08	139.45
- Machinery	4889.34	2711.59
- Others	681.86	366.61
SUB TOTAL (B)	5766.28	3217.65
C. ADMINISTRATION EXPENSES		
- Insurance	204.77	131.91
- Rent	134.42	180.50
- Rates and Taxes	766.15	1176.06
- Security Expenses	970.41	679.60
- Travelling and Conveyance	562.57	405.71
- Telephone, Telex and Postage	143.77	129.93
- Advertisement and Publicity	174.90	100.89
- Printing and Stationery	125.70	52.57
- Books & Periodicals	3.63	9.40
- Consultancy Charges - Indigenous	751.17	275.71
- Loss on Sale of Assets(Net)	-	1.71
- Exchange Rate Variation(Net)	0.17	-
- Bad debts / advances/ claims written off	-	56.83
- MTM Debit Foreign Exchange	1071.48	211.68
- MTM Debit/Credit & Hedging Expenses	-	821.07
- Research & Development Expenses	-	157.59
- Corporate Social Responsibility Expenses	185.38	142.83
- Hire Charges	387.75	286.81
- Audit Expenses (Refer detail below at Sl 1)	30.13	29.46
- Independent Directors Expenses	10.35	3.60
- Bank Charges	155.01	229.38
- Other General Expenses	1041.33	1051.23
SUB TOTAL (C)	6719.09	6134.47
D. Excise Duty	-	3542.72
Net impact of Excise Duty on Closing Stock	-	(1409.25)
SUB TOTAL (D)	-	2133.47
E. PROVISIONS (Refer detail below at Sl 2)	1899.68	1022.14
TOTAL (A+B+C+D+E)	78940.47	70697.80



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Particulars	For the year ended 31st March, 2019	For the year ended 31st March, 2018
Note No 35 OTHER EXPENSES (Contd.)		
Explanatory Note: -		
1) Detail of Audit Expenses are as under: -		
i) Statutory Auditors		
- Statutory Audit Fees	11.00	8.35
- Tax Audit Fees	0.89	0.89
- In Other Capacity	8.65	8.01
- Reimbursement of Expenses	5.81	8.27
	26.35	25.52
ii) Cost Auditors		
- Cost Audit Fees	0.61	0.61
- Reimbursement of Expenses	0.86	0.78
	1.47	1.39
iii) Internal Auditors		
- Audit Fees	0.65	0.65
- Reimbursement of expenses	1.66	1.90
	2.31	2.55
TOTAL	30.13	29.46
2) Detail of Provisions are as under: -		
Doubtful debts	-	1.30
Doubtful advances / deposits	9.82	510.26
Prov. For Obsolete /Non-moving Stores	108.71	7.85
Prov. For Discrepancy of Stores & Spares	-	32.15
Prov. For Capital Work in Progress	695.58	-
Prov. For Assets	631.54	0.44
Interest on MSMED	291.03	232.09
Provision for Mine Closure Expenditure	163.00	-
Provision for Others	-	238.05
TOTAL	1899.68	1022.14
Note No 36 TAX EXPENSE		
CURRENT TAX		
Income Tax Provision	8656.75	4639.68
Income Tax relating to earlier years	472.18	-
Deferred Tax Account	(667.91)	(419.36)
TOTAL	8461.02	4220.32
Note No 37 OTHER COMPREHENSIVE INCOME		
A (i) Items that will not be reclassified to Profit/Loss		
Acturial gain/loss recognised in the year for employees : Gratuity	(1676.21)	499.52
TOTAL (A(i))	(1676.21)	499.52
A (ii) Income Tax relating to items that will not be reclassified to Profit & Loss	-	-
TOTAL (A(ii))	-	-
B (i) Items that will be reclassified to Profit/Loss		
TOTAL (B(i))	-	-
B (ii) Income Tax relating to items that will be reclassified to Profit & Loss	-	-
TOTAL (B(ii))	-	-



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

38 GENERAL NOTES ON ACCOUNTS

1. CONTINGENT LIABILITIES AND COMMITMENTS (TO THE EXTENT NOT PROVIDED FOR)

(i) Contingent Liabilities:

a. Claims against the company not acknowledged as debt :	2018-19 (₹ in lakh)	2017-18 (₹ in lakh)
i. Disputed VAT / CST / Entry Tax	3347.51	2072.32
ii. Disputed Excise Duty	5747.41	5250.33
iii. Disputed Income Tax / Provident Fund	11101.54	10560.28
iv. Other Demand	34578.47	34152.67
SUB-TOTAL (A)	54774.93	52035.60
b. Other money for which the company is contingently liable :		
i. Bank Guarantee	2585.42	2671.66
ii. Letter of Credit	1894.47	2063.09
iii. Bill discounting	6636.44	200.24
SUB-TOTAL (B)	11116.33	4934.99
GRAND TOTAL (A+B)	65891.26	56970.59

(ii) Commitments:-

Estimated amount of contracts remaining to be executed on capital account and not provided for (Net of advance and deposit)	86661.55	125671.75
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Details of Claims against the Company not acknowledged as debt (of 1(i)(a) above)

VAT/CST/ENTRY TAX

There are demand notices totaling to Gross Demand of ₹ 3347.51 lakh (Previous Year ₹ 2072.32 lakh) from various State Revenue Authorities regarding VAT/CST/Entry Tax against which the company has deposited under protest of ₹ 610.33 lakh (Previous Year ₹ 610.33 lakh). The company is contesting the demand and the management as well as the legal advisors/consultants are of the opinion that its contention will likely to be upheld by the Appellate Authorities. The company also believes that ultimate outcome of these proceedings will not have a material adverse impact on the financial position of the company.

EXCISE DUTY

There are demand notices totaling to Gross Demand of ₹ 5747.41 lakh (Previous Year ₹ 5250.33 lakh) from Central Excise Authorities regarding Excise Duty against which the company has deposited under protest of ₹ 30.34 lakh (Previous Year ₹ 20.77 lakh). The company is contesting the demand and the management as well as the legal advisors/consultants are of the opinion that its contention will likely to be upheld by the Appellate Authorities. The company also believes that ultimate outcome of these proceedings will not have a material adverse impact on the financial position of the company.

INCOME TAX & PROVIDENT FUND

There are Income Tax & Provident Fund demand notices totaling to Gross Demand of ₹ 11101.54 lakh (Previous Year ₹ 10560.28 lakh) against which the company has deposited under protest of ₹ 72.31 lakh (Previous Year ₹ Nil). The company is contesting the said demands before the High Court and Appellate Authorities. The management as well as the income tax /provident fund consultant are of the opinion that its contention will likely to be upheld by the Appellate Authorities. The company also believes that ultimate outcome of these proceedings will not have a material adverse impact on the financial position of the company.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

OTHER DEMAND of ₹ 34578.47 lakh (Previous Year ₹ 34152.67 lakh)

The major pending litigation cases are as follows:

- a. The Municipal Council, Malanjkhanda, raised a demand on Malanjkhanda Copper Project (MCP) amounting to ₹ 7046.64 lakh on account of penalty on Terminal Tax for the periods from financial year 2000-01 to 2005-06 on the ground of short payment of Terminal Tax by adopting higher assessable value as well as higher of Metal in Ore (MIO) produced and Metal in Concentrate (MIC) despatched. The matter was contested by the company before the Hon'ble High Court, Jabalpur, M.P. and the company paid ₹ 352.33 lakh towards penalty Terminal Tax as per the order of Hon'ble High Court, Jabalpur, M.P. Subsequently the matter was turned down by the Hon'ble High Court, Jabalpur, M.P. The Company filed writ petition before the Hon'ble Supreme Court of India. The Hon'ble Supreme Court vide its order dated 29.07.2011 directed the Company to deposit an ad-hoc amount of ₹ 1000.00 lakh to Municipal Council, Malanjkhanda which has since been deposited by the company and shown as 'Deposits with Court' and also ordered that the matter may be heard on the ground of merit by the Civil Court, Baihar. Further a demand of ₹ 18867.56 lakh for the periods from 2006-07 to 2011-12 was also raised on the above ground for which the appeal by the company is pending before the Hon'ble Supreme Court. Pending final decision, the full amount of ₹ 25914.20 lakh has been disclosed under 'Contingent Liability'.
- b. The Municipal Council, Malanjkhanda, Madhya Pradesh issued demands on MCP for ₹ 558.24 lakh on account of Property Tax for several years against which the company filed writ petitions before the Hon'ble Madhya Pradesh High Court, Jabalpur challenging the demand notice. The amount of ₹ 558.24 lakh has been included under 'Contingent Liability'.
- c. There was a trade dispute with M/s Bhagawati Gases Ltd (BGL) in connection with an agreement to supply of gaseous oxygen at Khetri Copper Complex. The dispute was referred to Arbitration. The claim of BGL is for an amount of ₹ 1079.80 lakh with a corresponding counter claim of ₹ 534.62 lakh by the company. The arbitral award went against the company. The company had filed an appeal before the Hon'ble High Court of Rajasthan and the same was admitted for hearing. The Company preferred appeal before the Hon'ble Rajasthan High Court regarding interim deposit of arbitral award pending disposal of original appeal, but the same was dismissed. Thereafter the Company had preferred appeal before Hon'ble Supreme Court and the Hon'ble Supreme Court passed the order directing the Company to deposit the entire decretal amount along with interest amounting to ₹ 1733.50 lakh in the form of Fixed Deposit. The Company deposited the said amount and shown the same as Deposit in Current Assets. Pending decision of the original appeal against arbitral award before the Hon'ble Rajasthan High Court, the said amount of ₹ 1733.50 lakh has been disclosed under 'Contingent Liability'.
- d. There was a demand from M/s Uttkal Moulders amounting to ₹ 1662.72 lakh regarding interest for delayed payment against supply of grinding media balls at Malanjkhanda Copper Project. The case is pending before the Sole Arbitrator. Pending final decision, the said amount of ₹ 1662.72 lakh has been disclosed under 'Contingent Liability'.
- e. In addition there are number of pending litigation cases against the company claiming demand of ₹ 4709.81 lakh by retired employees, third parties etc. which the company is contesting before different Legal Forums / Courts.
The management as well as the legal advisors/consultants are of the opinion that its position will likely to be upheld in the appellate proceedings. The company also believes that ultimate outcome of these proceedings will not have a material adverse impact on the financial position of the company.
2. During the year, the company has made a provision amounting to ₹ 1145.00 lakh (Previous Year ₹ 582.00 lakh) in terms of DPE guidelines towards Performance Related Pay payable to the executives for F.Y. 2018-19 which is shown under 'Employees Benefit Expense'.
3. Lease premium paid for land for mining purposes including payment for Net Present Value (NPV) of forest area paid to forest department is capitalized under the head Prepaid Expenses shown under Note No. 9(d) & 16(g).
4. At Indian Copper Complex (ICC) certain freehold lands acquired through nationalization in accordance with Indian Copper Corporation (Acquisition of Undertaking) Act, 1972, for which title deeds, conveyance deeds etc. are not in the possession of the company. The lease agreements of Kendadih, Rakha and Surda Mining Lease at ICC with the State Government has been renewed in respect of leasehold lands valid upto 31.03.2020.
5. The commercial operation of Smelter, Refinery and Sulphuric Acid Plant at Khetri Copper Complex (KCC) were suspended since December 2008. The Company suffered loss on account of impairment of the said plants valued by an independent consultant and consequently a total sum of ₹ 464.01 lakh (Previous Year ₹ 482.97 lakh) was provided in the accounts for impairment loss in compliance with the guidelines of IND AS 36 on "Impairment of Assets" as on 31.03.2019. Total inventory valued ₹ 33.21 lakh (Previous Year ₹ 86.40 lakh) after provision of ₹ 4.55 lakh (Previous Year ₹ 4.55 lakh) which remained as process material in the above Plant is included in the Inventory of the company. The management is of the opinion that such inventories consisting mainly of metal content and having realizable value at least equal to the amount at which they are stated.
6. The title deeds in respect of office flat at SCOPE Complex, Delhi & Jaipur office with total book value of ₹ 58.47 lakh (Previous year ₹ 62.88 lakh) are yet to be executed. Further, the title deeds for Freehold and Leasehold Land and Building acquired in respect of Gujarat Copper Project (GCP) with book value of ₹ 5859.97 lakh are yet to be executed (Previous year ₹ 6138.52 lakh).



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

7. At ICC, Pollution Control Plant under Package I & III amounting to ₹ 2100.50 lakh have not been capitalized for want of completion of trial / guarantee run as per terms of contract. As a matter of prudence, full provision for the same has been made in the accounts to take care of efflux of time over the years.

8. Confirmation letters of majority of balances under the heads Sundry Creditors, Claims Recoverable, Loans & Advances, Sundry Debtors and Deposits from and with various parties/ Government Departments have been sent but in number of cases such confirmation letters from the parties are yet to be received.

9. Like last year, considering the present scenario of MCP mines and to sustain the planned production, management during the year also decided to process the lean ore along with the normal ore produced from the mine. At the end of the year, the value of closing lean ore was ₹ 2321.95 lakh (Previous Year ₹ 3013.44 lakh). The physical verification of lean ore has been conducted by the Malanjkhand Mining Department.

10. During the year, the company has spent a sum of ₹ 208.16 lakh on account of Corporate Social Responsibility (CSR) expenses out of which ₹ 185.38 lakh is charged to Statement of Profit & Loss and the balance amount of ₹ 22.78 lakh has been utilized out of unspent balance of CSR Fund.

Amount spent during the year on:

Srl. No.	Particulars in cash	In cash	Yet to be paid	Total
(i)	Construction/acquisition of any asset	-	-	-
(ii)	On purposes other than (i) above	₹ 208.16 lakh	-	₹ 208.16 lakh

11. Information related to Micro, Small and Medium Enterprises Development Act, 2006 is disclosed hereunder:

a)	i) Principal amount remaining unpaid to any supplier at the end of the financial year	₹ 535.45 lakh
	ii) Interest due on above	₹ 182.18 lakh
b)	Amount of interest paid by the buyer in terms of Section 16 of the Act, along with amount of payment made beyond the appointed date during the year	₹ 0.36 lakh
c)	Amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the due date during the year) but without adding the interest specified under the Act	₹ 737.00 lakh
d)	Amount of interest accrued and remaining unpaid at the end of the financial year	₹ 919.18 lac
e)	Amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the Small enterprise, for the purpose of disallowance as a deductible expenditure under Section 23 of the Act	NIL

The information has been given of such vendors to the extent they could be identified as "Micro and Small" enterprises on the basis of information available to the Company.

12. Consequent to the decision of the Hon'ble Supreme Court vide its order dated 10.11.2016 in favour of the Company in respect of appeal filed, a total amount of ₹ 12315.10 lakh is receivable from M.P. State Electricity Board (now renamed as MPVVNL) on account of excess charge of electricity bills paid in earlier periods. However, on conservative basis, against such excess charge of electricity bills receivable, the Company has taken the balance credit of ₹ 2795.78 lakh on the basis of adjustment against bills raised by MPVVNL during the year 2018-19.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

13. During the year the Company has written back old liabilities / provisions amounting to ₹ 1095.29 lakh (Previous Year ₹ 1376.96 lakh) in the accounts, the details of which are as under :-

Sl. No.	Particulars	₹ in lakh	Reasons for reversal
1.	Excess provision on account of shortage, non-moving, obsolete and insurance Stores & Spares written back in respect of MCP - ₹ 25.03 lakh & KCC - ₹ 1.90 lakh	26.93	Consequent to physical verification conducted and on reconciliation with book records during the year, the excess provision at the end of the year has been written back to revenue.
2.	Excess provision for doubtful debts & claims no longer required is written back in TCP - ₹ 7.70 lakh, RSOW - ₹ 8.83 lakh & KCC - ₹ 0.03 lakh	16.56	The relevant amount of debts and claims were recovered from the customers/parties and hence the provision for doubtful debts & claims created in earlier years has been written back.
3.	Excess provision for discarded assets no longer required is written back in KCC - ₹ 0.63 lac, RSOW - ₹ 0.42 lakh & ICC - ₹ 0.11 lakh	1.16	Sale of assets during the year for which provision already existed has been written back.
4.	Excess provision created for MP Rural Infrastructure & Road Development Tax no longer required in MCP	316.76	The excess provision for MP Rural Infrastructure & Road Development Tax has been written back
5.	Excess provision for interest on MSME is written back in KCC - ₹ 70.67 lakh & MCP - ₹ 99.27 lakh	169.94	Excess provision for interest on MSME created in earlier years has been written back.
6.	Excess provision created for Water Bill is written back at MCP	54.02	The excess provision for Water Bill has been written back
7.	Liability for unclaimed EMD, SD & Sundry Creditors for more than 5 years written back at ICC - ₹ 262.82 lakh & HO - ₹ 213.62 lakh	476.44	The unclaimed liability for EMD, SD & Sundry Creditors unmoved for more than 5 years has been written back
8.	Excess provision for CSR created in earlier years is written back in ICC - ₹ 21.34 lakh & HO - ₹ 9.25 lakh	30.59	Excess provision for CSR created in earlier years has been written back.
9.	Excess liability created during the earlier years in HO	2.89	The excess liability created in earlier years has been written back.
	TOTAL	1095.29	

14. No fraud by the company or any fraud on the company by its officers and employees has been noticed or reported during the current financial year.
15. The Company has closed / suspended many of its mining operations located at various places, Fertilizer Plant at Khetri in different years due to their uneconomic operations. As per requirement of IND AS 105 on "Non-current Assets Held for Sale and Discontinued Operations" the following information for the year are furnished:



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)
(Previous year figures in brackets)

	MSB Group of Mines	RCP	CCP	DCP	Fertilizer Plant
i) Initial disclosure event (Year of closure)	1997 to 2003	2001	2002	1994	2001
ii) Carrying amount of Assets	No separate records maintained	503.89 (538.59)	- (-)	- (-)	No separate records maintained
iii) Liabilities to be settled		137.17 (137.17)	73.04 (73.04)	3.38 (3.38)	
iv) Amount of income		- (-)	- (-)	- (-)	
v) Amount of expenses		- (-)	- (-)	- (-)	
vi) Gain on sale of assets (Included in iv above)		- (-)	- (-)	- (-)	

* This is included in cash generated from operations in the Cash Flow Statement.

Pending fulfillment of conditions as set out in paragraphs 6 to 8 of IND AS 105 "Non-current Assets Held for Sale and Discontinued Operations" the aforesaid assets held under disposal group and inadvertently shown as "Non-current Assets Held for Sale" for the previous year has now been re-classified under Discarded Assets category and shown in Note No. 3B of the financial statements.

16. Since the company is primarily engaged in the business of manufacture and sale of copper products, the same is considered to be the only primary reportable business segment and accordingly has been reported. As the Company operates predominantly within the geographical limits of India, no secondary segment reporting has been considered as per IND AS 108 "Operating Segments".

17. Sales for the period include FOB value of Export Sales:-

	2018-19		2017-18	
	Qty (MT)	₹ in lakh	Qty (MT)	₹ in lakh
Anode Slime	19.800	2004.64	61.800	5524.15
Copper Reverts	670.934	2027.10	-	-
Copper Concentrate (CMT)	19571.433	80235.59	7564.476	28544.79
Total		84267.33		34068.94



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

18. In terms of IND AS 24 on "Related Party Disclosures":

The company does not have any Advances provided to its Subsidiary as at the year-end except as is disclosed below:

Transactions with Related Party

(₹ in lakh)

Name of Related Party	Nature of Relationship	Type of Transaction	Year ended	
			31.03.19	31.03.18
Chhattisgarh Copper Limited	Subsidiary	Investment in shares as on	18.50	-
		Advances given as on	6.50	-

The remuneration of Key Management Personnel are given below:

(₹ in lakh)

Particulars	Key Management Personnel	Total Remuneration	
		FY 2018-19	FY 2017-18
FUNCTIONAL DIRECTORS			
Receiving of Services	1. Sri Santosh Sharma Chairman-cum-Managing Director	66.45	41.08
	2. Sri K D Diwan Chairman-cum-Managing Director	21.11	48.50
		(Arrear Gratuity & PRP)	
	3. Sri Anupam Anand Director (Personnel)	59.01	48.07
	4. Sri S K Bhattacharya Director (Mining)	49.03	38.38
	5. Sri S K Bandyopadhyay Director (Finance)	32.55 (w.e.f. 09.07.18)	-
	6. Sri Arun Kumar Shukla Director (Operations)	21.92 (w.e.f. 01.10.18)	-
	7. Sri Subhendra Nanda Director (Operations)	-	2.76 (Arrear Salary & PRP)
	8. Sri V V Venugopal Rao Director (Finance)	-	12.42
9. Sri Avijit Ghosh Director (Mining)	-	10.47 (Terminal Benefits)	
OTHER THAN FUNCTIONAL DIRECTORS			
	10. Sri C S Singhi Company Secretary	43.80	34.53



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

INDEPENDENT DIRECTORS

Smt Simantini Jena	-	Date of appointment	-	17.11.2015 & Re-appointed on 17.11.2018
Sri Hemant Mehtani	-	Date of appointment	-	17.11.2015 & Re-appointed on 17.11.2018
Sri D R S Chaudhary	-	Date of appointment	-	01.12.2015 & Re-appointed on 01.12.2018
Sri Subhash Sharma	-	Date of appointment	-	18.02.2018

(₹ in lakh)

Sl. No.	Payment to Independent Directors	FY 2018-19	FY 2017-18
1.	Sitting Fees	10.35	3.60

Balance Outstanding with Key Managerial Personnel as on 31.03.2019

(₹ in lakh)

Sl. No.	Particulars	As on 31.03.2019	As on 31.03.2018
1.	Amount payable	Nil	Nil
2.	Amount receivable	Nil	Nil

19. In terms of IND AS 33 on "Earning per Share" :

(₹ in lakh)

	BASIC	DILUTED
Profit After Tax	14551.05 (7960.53)	14551.05 (7960.53)
Denominator used: Weighted average number of Equity Shares of ₹ 5/- (Previous year ₹ 5/- each) outstanding during the period.	925218000 (925218000)	925218000 (925218000)
Earning Per Share (₹)	1.573 (0.861)	1.573 (0.861)

20. The Company has accounted for Deferred Tax in accordance with the guidelines of IND AS 12 on "Income Taxes" issued by The Institute of Chartered Accountants of India. The Deferred tax balances are set out below:-

Deferred Tax Asset (Net)

(₹ in lakh)

Particulars	Deferred Tax Asset/(Liability) as at 01.04.2018	Adjustment	Credit/(Charge) during 2018-19	Deferred Tax Asset/(Liability) as at 31.03.2019
Deferred Tax Asset :-				
Difference between provision made in accounts and claims made as per I. T Act	8780.81	-	463.09	9243.90
	8780.81	-	463.09	9243.90
Deferred Tax Liability :-				
Difference between net book value of depreciable capital assets vis-a-vis WDV as per IT Act	(3203.10)	-	204.82	(2998.28)
Adjustment for fair value of Investment	-	-	-	-
	(3203.10)	-	204.82	(2998.28)
Deferred Tax Asset (Net)	5577.71	-	667.91	6245.62



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

21. PROVISIONS FOR CONTINGENCIES: -

(₹ in lakh)

Particulars	Discarded Fixed Assets	Capital WIP & Advance	Mine Development Expenditure	Others	TOTAL
Carrying amount as at 01.04.2018	743.11	3392.91	4664.86	17960.47	26761.35
Amount provided during the year	1096.26	695.58	-	7122.75	8914.59
Amounts utilized against provision	0.81	-	-	8682.38	8683.19
Unused amounts released during the year.	-	-	-	-	-
Carrying amount as at 31.03.2019	1838.56	4088.49	4664.86	16400.84	26992.75

22. GRATUITY AND OTHER POST-EMPLOYMENT BENEFIT PLANS IN TERMS OF Ind AS 19 :

The Company has a defined benefit gratuity plan. Every employee who has completed five years or more of service gets a gratuity on departure at 15 days salary (last drawn salary) for each completed year of service. The scheme is funded through Life Insurance Corporation of India, SBI Life Insurance Co. Ltd. and India First Life Insurance and are managed by separate trust. During the year, the Company has also funded through Life Insurance Corporation of India and SBI Life Insurance Co. Ltd towards leave encashment. Expenses recognized in Statement of Profit & Loss, Other Comprehensive Income and Mine Development Expenditure amounting to ₹ 4732.36 lakh in respect of Gratuity, Leave Encashment and Leave Travel Concession which have been provided for as stated below.

The following tables summarize the components of net benefit expense recognized in the Statement of Profit and Loss, Other Comprehensive Income and Mine Development Expenditure and the funded status and amounts recognized in the balance sheet for the respective plans.

(₹ in lakh)

	Gratuity (Funded plan)	Leave Encashment (Partially funded Plan)	Leave Travel Concession (Non-funded Plan)
(i) Changes in Present Value of Obligation			
Present Value of obligation as on last valuation	16287.25	12671.78	139.11
Current service cost	826.82	995.51	-
Interest cost	960.87	820.94	-
Total Actuarial gain/loss	1676.21	1265.18	127.25
Benefits Paid	6249.25	2852.24	94.43
Present value of obligation as on valuation date	13501.90	12901.17	171.93
(ii) Changes in Fair Value of Plan Assets			
Fair value of Plan Assets at Beginning of period	23543.84	2911.19	
Interest Income	1716.93	223.48	
Employer Contributions	2800.00	3051.84	
Benefits paid	6249.25	2852.24	
Return on Plan Assets excluding Interest Income	-	-	
Fair value of Plan Assets at End of measurement period	21811.52	3334.27	



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

	Gratuity (Funded plan)	Leave Encashment (Partially funded Plan)	Leave Travel Concession (Non-funded Plan)
(iii) Table Showing Reconciliation to Balance Sheet			
Funded Status	8309.62	(9566.90)	
Fund Asset	21811.52	3334.27	
Fund Liability	13501.90	12901.17	
(iv) Expenses recognized in the Statement of Profit and Loss Account			
Current service cost	826.82	995.51	
Net Interest cost	(756.06)	597.45	
Actuarial (gain)/loss	-	1265.18	127.25
Benefit Cost (Expense Recognized in Statement of Profit & Loss)	70.76	2858.14	127.25
(v) Other Comprehensive Income			
Total Actuarial (gain)/loss	1676.21	-	
Return on Plan Asset, Excluding Interest Income	-	-	
Balance at the end of the Period	1676.21	-	
Net(Income)/Expense for the Period Recognized in OCI	1676.21	-	
(vi) Table Showing Plan Assumptions			
Discount Rate	7.30% p.a.	7.30% p.a.	7.30% p.a.
Expected Return on Plan Asset	8.00%, 7.50%, 7.27%	8.00%, 7.50%	-
Rate of Compensation Increase (Salary Inflation)	6.00% p.a.	6.00% p.a.	-
Average expected future service (Remaining working Life)	8 years	8 years	8 years
Mortality Table	IALM 2006-2008 ULTIMATE	IALM 2006-2008 ULTIMATE	IALM 2006-2008 ULTIMATE
Superannuation at age-Male	60 years	60 years	60 years
Superannuation at age-Female	60 years	60 years	60 years
Early Retirement & Disablement (All Causes Combined)	1% p.a.	1% p.a.	1% p.a.

The details of the plan assets as on 31.03.2019 towards gratuity & leave encashment are as follows:

(₹ in lakh)

Investment in Life Insurance Corporation of India	2580.64
Investment in SBI Life Insurance Co. Ltd	20448.28
Investment in India First Life Insurance	700.31
Fund with Gratuity Trust Savings Bank Accounts	1416.56
Total	25145.79



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

Actual Return on Plan Assets during the year - ₹ 1940.41 lakh.

The estimates of future salary increases were considered in actuarial valuation after taking into account inflation, seniority, promotion and other relevant factors. Further, the expected return on plan assets is determined considering several applicable factors mainly the composition of plan assets held, assessed risk of asset management and historical returns from plan assets.

23. The physical verification of Semi-Finished and In-Process (WIP) and Finished Goods is conducted departmentally in all the units at the end of the current year by a duly approved committee. Also, physical stock verification of WIP and Finished Goods is undertaken by an independent agency in all the units at the end of the financial year. In respect of stores and spares, physical verification has been conducted by the external agencies once during the year. Shortages/ (Excesses) identified on such physical verification have been duly adjusted in the books of accounts.
24. The physical verification of fixed assets which is required to be conducted every year so that all the units/offices are covered once in a block of three years interval. Physical verification of fixed assets has been conducted by external agencies in ICC, RCP, MCP, GCP, Bangalore Sales Office & H.O. during FY 2016-17, in KCC & Delhi Sales Office in 2017-18 and TCP & Mumbai Sales Office during the year. Shortages/(Excesses) identified on such physical verification have been duly adjusted in the books of accounts.
25. As per Ind As requirement, Mine Closure Expenditure is assessed to provide reliable and more relevant information. Accordingly Accounting Policy No. 2.13 has been modified and consequently profit of the Company is reduced by ₹ 163.00 lakh which includes past as well as current period expenses. However, the other changes in Significant Accounting Policies relating to Property, Plant & Equipment, Intangible Assets, Inventory etc are made to provide reliable and more relevant information without any financial impact on the accounts of the company.

26. Financial Instrument

1. Derivatives not designated as hedging instruments

The Company uses Commodity Futures Contracts to manage its commodity price risk. The Commodity Futures Contracts are not designated as hedging instruments and are entered into for periods consistent with commodity price risk exposure of the underlying transactions, generally from one to four months.

The Company uses foreign exchange forward contracts to manage some of its transaction exposures. The foreign exchange forward contracts are not designated as cash flow hedges and are entered into for periods consistent with foreign currency exposure of the underlying transactions, generally from one to four months.

Commodity price risk

The Company purchases copper blister/ anode on an ongoing basis for its operating activities in its Gujarat Copper Project plant for the production of cathode. To hedge itself against the volatility in LME copper prices in the international market has led to the decision to enter into commodity future contracts.

These contracts, which commenced in August 2016, are expected to reduce the volatility attributable to price fluctuations of copper. Hedging the price volatility of copper purchases is in accordance with the Risk Management Policy approved by the Board of Directors. The hedging relationships are for a period between 1 and 4 months based on existing purchase agreements. The Company designated only the spot-to-spot movement of the entire commodity purchase price as the hedged risk. It has been decided by the company not to follow the hedge accounting for these instruments.

As at 31 March 2019, the fair value of the open position of commodity future contracts is nil.

2. Financial Instruments by Categories.

The carrying value and fair value of financial instruments by categories were as follows:



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

Set out below, is a comparison by class of the carrying amounts and fair value of the Company's financial instruments, other than those with carrying amounts that are reasonable approximations of fair values:

(₹ in lakh)

Particulars	Total carrying value as at March 31, 2019	Total carrying value as at March 31, 2018	Fair Value as at March 31, 2019	Fair Value as at March 31, 2018
Financial Assets at FV through Statement of Profit & Loss				
Mutual Funds	7.84	7.84	8.85	8.18
Derivatives not designated as hedges				
Future Contract Receivable on commodity	-	-	-	-
Total of Financial Assets	7.84	7.84	8.85	8.18
Financial Liabilities				
Derivatives not designated as hedges				
Forward Cover Contract Liability	-	-	-	-
Total of Financial Liabilities	-	-	-	-

3. The Management considers the Service fees of ₹ 15 lakh paid on the Exim Bank Term loan amounting to ₹ 30000 lakh drawn on 29.05.2018 as immaterial, as the amount of service fee was only 0.009% of the Turnover (FY 2018-19) of the company and hence the same was not considered as a transaction cost in terms of fair valuation at initial recognition under INDAS 109. Further, the Management assessed that for the purpose of IND AS 109, the carrying value of loan is considered as its fair value as no loan could be provided at a rate lower than the rate of interest of Exim Bank loan for similar terms and conditions of the loan at that point of time.

Similarly, the Management considers the total of Upfront fees & Other charges of ₹ 245.33 lakh paid on the SBI ECB loan amounting to ₹ 17734.75 lakh drawn during July 2018 to January 2019 as immaterial, as the amount of such fees/charges was only 0.140% of the Turnover (FY 2018-19) of the company and hence the same was not considered as a transaction cost in terms of fair valuation at initial recognition under INDAS 109. Further, the Management assessed that for the purpose of IND AS 109, the carrying value of loan is considered as its fair value as no loan could be provided at a rate lower than the rate of interest of SBI ECB loan for similar terms and conditions of the loan at that point of time.

The Management assessed that cash and cash equivalents, trade receivables, trade payables, bank overdrafts and other current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale. The following methods and assumptions were used to estimate the fair values:

The Company enters into derivative financial instruments with various counterparties, principally with financial institutions having Investment grade credit ratings. Foreign exchange forward contracts and commodity future contracts are valued using valuation techniques, which employs the use of market observable inputs. The most frequently applied valuation techniques include forward pricing .

4. Fair Value Hierarchy

- Level 1 - Level 1 hierarchy includes financial instruments measured using quoted prices (unadjusted) in active markets.
- Level 2 - Level 2 hierarchy includes financial instruments measured using inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 - Level 3 hierarchy includes financial instruments measured using inputs that are not based on observable market data (unobservable inputs).



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

The following table presents fair value hierarchy of assets and liabilities measured at fair value (Amount in ₹ lakh)

Particulars	Date of Valuation	Level 1	Level 2	Level 3	Total
Financial Assets at FV through Statement of Profit & Loss					
Non-derivative financial assets					
Mutual funds	31/Mar/2019	8.85	-	-	8.85
Derivative financial assets					
Future Contract Receivable on commodity	31/Mar/2019	-	-	-	-
Liabilities measured at fair value:					
Derivative financial liabilities					
Forward Cover Contract Liability	31/Mar/2019	-	-	-	-
Assets measured at FV through OCI	31/Mar/2019	-	-	-	-

(Amount in ₹ lakh)

Particulars	Date of Valuation	Level 1	Level 2	Level 3	Total
Financial Assets at FV through Statement of Profit & Loss					
Non-derivative financial assets					
Mutual funds	31/Mar/2018	8.18	-	-	8.18
Derivative financial assets					
Future Contract Receivable on commodity	31/Mar/2018	-	-	-	-
Liabilities measured at fair value: Derivative financial liabilities					
Forward Cover Contract Liability	31/Mar/2018	-	-	-	-
Assets measured at FV through OCI	31/Mar/2018	-	-	-	-

5. Financial Risk Management

Financial risk factors

The Company's activities expose it to a variety of financial risks: market risk, credit risk and liquidity risk. The Company's primary focus is to foresee the unpredictability of financial markets and seek to minimize potential adverse effects on its financial performance.

Risk	Exposure arising from	Measurement	Management
Market risk- Foreign Exchange	Future commercial transactions, Recognised financial assets and financial liabilities	Sensitivity analysis	Forward foreign exchange contracts
Market-Commodity Price Risk	Purchase of Copper	Price Sensitivity	Commodity Futures Contract
Credit risk	Trade receivables	Ageing analysis	Sales are mainly done against Advance or Letters of Credit
Liquidity risk	Borrowings and other liabilities	Rolling cash flow forecasts	Cash flow management



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

a) Market Risk

i) Foreign Currency Risk

The Company operates at international level which exposes the company to foreign currency risk arising from foreign currency transaction primarily from Imports and foreign currency borrowing. Foreign currency risk arises from future commercial transactions and recognised assets and liabilities denominated in a currency other than INR as on reporting date.

(As of March 31, 2019)

Particulars	₹ in lakh
Cash & cash equivalents	-
Trade Payables	-
Loans	68007.12
Others (if any)	-
Net Assets/ (-) Liabilities	(-) 68007.12

(As of March 31, 2018)

Particulars	₹ In lakh
Cash & cash equivalents	-
Trade Payables	-
Loans	56214.52
Others (if any)	-
Net Assets/ (-) Liabilities	(-) 56214.52

Sensitivity

The sensitivity of profit or loss to changes in exchange rate arises mainly from foreign currency denominated financial instrument.

Particulars	Impact on profit before tax	
	March 31, 2019	March 31, 2018
Increase by 5%	(3400.36)	(2810.73)
Decrease by 5 %	3400.36	2810.73

ii) Commodity Price Risk

The company's exposure to security price from copper price fluctuation in international market does not arise as the company hedges all its imports through Future contracts at LME.

b) Credit Risk

Credit risk refers to the risk of default on its obligation by the Debtors resulting in a financial loss. The company sells majority of its products either against Advance from Customers or Letters of Credit. Accordingly, credit risk from Trade receivables has not been considered as credit risk.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

Credit risk exposure

An analysis of age of Trade receivables at each reporting date is summarized as follows:

(Amount in ₹ lakh)

Particulars	31-Mar-19 Gross	31-Mar-18 Gross
Not past due	-	-
Past due more than three months but not more than six months	29162.70	6452.99
Past due more than six months but not more than one year	2247.62	471.03
More than one year	5687.28	2169.23
Total	37097.60	9093.25
Less Allowances for Bad & Doubtful Debts	942.77	935.89
Net Debtors	36154.83	8157.36

Customer credit risk is managed by each business unit subject to the Company's established Marketing policy, procedures and control relating to customer credit risk management. Outstanding customer receivables are regularly monitored and any shipments to major customers are generally covered by letters of credit or other forms of credit insurance.

The maximum exposure to credit risk at the reporting date is ₹ 942.77 lakh for which full provision has been made in the accounts as disclosed in Note No 12.

Other financial assets

Credit risk relating to cash and cash equivalents is considered negligible because our counterparties are scheduled banks. We consider the credit quality of Term deposits with such banks as good as these banks are under the regulatory framework of Reserve Bank of India. We review these banking relationships on an ongoing basis.

c) Liquidity Risk

Our liquidity needs are monitored on the basis of monthly and yearly projections. The company's principal sources of liquidity are cash and cash equivalents, cash generated from operations.

We manage our liquidity needs by continuously monitoring cash inflows and by maintaining adequate cash and cash equivalents. Net cash requirements are compared to available cash in order to determine any shortfall.

Short term liquidity requirements consists mainly of Sundry creditors, Expense payable, Employee dues arising during the normal course of business as of each reporting date. We maintain a sufficient balance in cash and cash equivalents to meet our short term liquidity requirements.

The table below provides details regarding the contractual maturities of financial liabilities. The table has been drawn up based on the undiscovered cash flows of financial liabilities based on the earliest date on which the company can be required to pay.

(Amount in ₹ lakh as of March 31, 2019)

Particulars	On Demand	Less than 3 months	3 months to 1 year	1-3 years	3-5 years	5-7 years	Total
Short term borrowings (cash credit)	16503.81	-	-	-	-	-	16503.81
Short term borrowings (Others)	-	22702.84	-	-	-	-	22702.84
Long Term Borrowings	-	756.51	9982.04	32467.53	23147.58	1450.62	67804.28
Forex forward Contract	-	-	-	-	-	-	-
Total	16503.81	23459.35	9982.04	32467.53	23147.58	1450.62	107010.93



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

(Amount in ₹ lakh as of March 31, 2018)

Particulars	On Demand	Less than 3 months	3 months to 1 year	1-3 years	3-5 years	5-7 years	Total
Short term borrowings (cash credit)	9480.56	-	-	-	-	-	9480.56
Short term borrowings (Others)	-	40923.98	-	-	-	-	40923.98
Long Term Borrowings	-	-	5082.27	10208.27	-	-	15290.54
Forex forward Contract	-	-	-	-	-	-	-
Total	9480.56	40923.98	5082.27	10208.27	-	-	65695.08

6. Capital Management

For the purpose of the Company's capital management, capital includes issued equity capital and all other equity reserves attributable to the Company. The primary objective of the Company's capital management is to maximise the shareholder value.

27. INFORMATION IN RESPECT OF SUBSIDIARIES (FORM AOC 1)

(Pursuant to Section 129(3) of Companies Act 2013 read with Rule 5 of Companies (Accounts) Rules, 2014)

Sl. No.	Particulars	
1	Name of the subsidiary	Chhattisgarh Copper Limited
2	Reporting period for the subsidiary concerned, if different from the holding company's reporting period	NA
3	Reporting currency	INR
4	Equity Share Capital	₹ 25,00,000
5	Other equity	₹ (24,79,827)
6	Total assets	₹ 11,22,780
7	Total liabilities	₹ 11,02,607
8	Investments	Nil
9	Total Income from operations (net)	Nil
10	Profit/(Loss) from ordinary activities before tax	₹ (24,79,827)
11	Tax expense	Nil
12	Profit/(Loss) from ordinary activities after tax	₹ (24,79,827)
13	Proposed Dividend	Nil
14	% of shareholding	74%

Note :

- Chhattisgarh Copper Limited is yet to commence operations.
- The subsidiary has neither been liquidated nor sold during the year.

Pursuant to Section 186(4) of the Companies Act, 2013, details of investment made on subsidiary and advance given to subsidiary has been shown under Note No. 5 & 16 respectively. However no loan has been given to the subsidiary during the year.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

28. The income tax expense for the year can be reconciled to the accounting profit as follows :

(₹ in lakh)

Particulars	Year ended 31.03.2019	Year ended 31.03.2018
Profit / (Loss) before Tax	23034.64	12203.54
Income Tax expense calculated at 34.944% (34.608%)	8049.22	4223.40
Effect of Deferred Tax balances due to the change in income tax rates	(60.05)	-
Income Tax effect of earlier years	472.18	-
Others (net)	(0.33)	(3.08)
Income Tax expense recognized in profit or loss	8461.02	4220.32

29. The value of assets, other than fixed assets and non-current assets, have realizable value at least equal to the amount at which they are stated.

30. Gujarat Copper Project of the Company consists of three units namely, Anode Furnace (Smelter), Refinery and Kaldo Furnace valuing ₹ 27214.50 lakh as at March 31, 2019. The Anode Furnace and Refinery unit has been commissioned in October 2016 while Kaldo unit is yet to be commissioned. Since commissioning, the Anode Furnace and Refinery units are being operated at a sub optimal level for want of feed stock. GCP being a secondary smelter, the feed stock are copper scrap, copper blister, liberator cathode etc. The Company has not been able to source these materials in the required quantity resulting in suboptimal operations.

The profit margin of GCP will essentially come from the operation of Kaldo furnace which has the ability to process all types of secondary copper material including scrap. The second phase of refurbishment at GCP includes Kaldo furnace, converter, slag granulation, ETP, etc. which is completed during the current FY 2018-19 and test run has also being successfully completed with the low quality raw material copper content as low as 30% copper which is generated internally in other units.

Management is trying to make the project viable and exploring to source the scrap materials directly from the world market. It is expected that scrap materials will be available during the FY 2019-20 to perform at the desired level.

31. The previous year's figures and comparative are not applicable, being first reporting period of consolidated financial statements.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

38. GENERAL NOTES ON ACCOUNTS :
Additional information forming part of accounts for year ended March 31, 2019
38.1 Capacities, production, stocks and sales

(Figures in brackets pertain to those of previous year)

Class of goods	Unit	Licensed capacity	Installed capacity (As certified by management)	Actual production	Opening Stock		Closing Stock		Sales		Issued for internal consumption/intermediate Products and others
					Quantity	Value ₹ in lakh	Quantity	Value ₹ in lakh	Quantity	Value ₹ in lakh	
Manufacturing Activities											
a : Main products											
1 Wire bar *	MT	39400 (39400)	39400 (39400)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)
2 Wire rod	MT	60000 (60000)	60000 (60000)	13866 (22185)	51 (678)	226.02 (2930.22)	160 (51)	653.63 (226.02)	13756 (22812)	63861.13 (103438.80)	- (-)
3 Cathode including Toll Smelted Cathode	MT	99500 (99500)	68500** (68500)	16215 (25949)	440 (2116)	1648.41 (8496.28)	290 (440)	1206.61 (1648.41)	2564 (4490)	11870.82 (19908.94)	13801 (23135)
4 Metal in Concentrate	CMT			32439 (31793)	20850 (13752)	47859.28 (32090.37)	16786 (20850)	39933.39 (47859.28)	21953 (9133)	91087.80 (34305.77)	14549 (15562)
b : By products											
1 Gold	KG	264 (264)	698 (698)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)
2 Silver	KG	4763 (4763)	9868 (9868)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)
3 Nickel sulphate	MT	250 (250)	390 (390)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)
4 Selenium	KG	10000 (10000)	14600 (14600)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)
5 Sulphuric acid	MT	236000 (236000)	236000 (236000)	15445 (10256)	1696 (2417)	82.16 (116.91)	1266 (1696)	98.36 (82.16)	14414 (9306)	912.36 (378.40)	1461 (1671)

38. GENERAL NOTES ON ACCOUNTS :
Additional information forming part of accounts for year ended March 31, 2019
38.1 Capacities, production, stocks and sales

(Figures in brackets pertain to those of previous year)

Class of goods	Unit	Licensed capacity	Installed capacity (As certified by management)	Actual production	Opening Stock		Closing Stock		Sales		Issued for internal consumption/intermediate Products and others
					Quantity	Value ₹ in lakh	Quantity	Value ₹ in lakh	Quantity	Value ₹ in lakh	
c : Allied and semi-Finished products											
1 Anode slime	MT	NA (NA)	- (-)	48 (60)	6 (8)	289.27 (722.55)	25 (6)	1393.86 (289.27)	29 (62)	3291.45 (5524.15)	- (-)
2 Copper mould	MT	NA (NA)	- (-)	- (-)	- (19)	- (21.34)	- (-)	- (-)	- (-)	- (-)	- (19)
3 Kyanite	MT	NA (NA)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)
4 Others	MT	NA (NA)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)	- (-)
d : Work in progress											
i) Metal in Ore				35881 (31830)	6541 (6771)	7209.48 (6854.55)	5762 (6541)	8842.32 (7209.48)	- (-)	- (-)	36661 (32060)
ii) Other WIP						16447.57 *** (21805.32)	7297.28 *****	(16447.57)			
GRAND TOTAL						73762.19 (73037.54)		59425.45 (73762.19)		175343.85 (164790.69)	

Note : * Due to change in product demand, the Company is no longer making this product.

**Although the Installed Capacity of Cathode is shown as 99500 MT (KCC - 31000 MT & ICC - 18500 MT, GCP - 50000 MT), due to economic consideration the Company suspended KCC Smelter & Refinery from December 2008.

(₹ in lakh)

	Copper Sulphate	Revert	Liberator/ Electrown Cathode	Magnetic/ Red/Copper Jam	Anode Slag	Copper Dust	Anode in floor/Anode in cell	Scrap	Others	Total
*** Opening Work in progress includes										
Current year	178.97	2076.64	9.35	4.93	1743.48	-	2577.63	1304.64	8551.93	16447.57
Previous year	170.01	1197.36	2.96	8.03	1005.84	0.36	10189.50	1263.46	7967.80	21805.32
**** Closing Work in progress includes										
Current year	10.58	611.25	-	70.71	1.31	-	3348.59	692.23	2562.62	7297.28
Previous year	178.97	2076.64	9.35	4.93	1743.48	-	2577.63	1304.64	8551.93	16447.57
*****Other Sales value includes										
Current year	717.04	2027.10	-	95.54	30.35	346.95	8.22	139.25	78.89	876.95
Previous Year	99.12	-	-37.88	78.58	325.32	113.00	30.18	266.08	-	360.23
										4320.29
										1234.63



NOTES TO THE STANDALONE FINANCIAL STATEMENTS (Contd.)

38. GENERAL NOTES ON ACCOUNTS (Contd.)

Additional information forming part of accounts for year ended March 31, 2019

38.2 Raw materials consumed

	Quantity		Value	
	Year ended 2018-2019 CMT	Year ended 2017-2018 CMT	Year ended 2018-2019 (₹ in Lakh)	Year ended 2017-2018 (₹ in Lakh)
Concentrate own production	14549	15564	33438.35	31786.20
Concentrate excluding own production	-	-	-	-
Cathode	-	-	-	-

38.3 Imported and indigenous raw materials, stores spare parts and components consumed (as certified by the management)

RAW MATERIALS:	%	%		
Imported	92	95	5741.43	38950.22
Indigenous	8	5	528.14	2155.34
	100.00	100.00	6269.57	41105.56

STORES & SPARES: (Direct and Stores & Spares booked in Mine Development, Shut-down and Fuel)

Imported	4.14	0.27	882.50	59.93
Indigenous	95.86	99.73	20448.64	22179.54
	100.00	100.00	21331.14	22239.47

38.4 C.I.F. value of imports

Raw Material	5741.43	33578.95
Components, spare parts and stores	1444.00	210.08
	7185.43	33789.03

38.5 Expenditure in foreign currency

Travelling	85.64	41.94
Others	7185.52	33789.03
	7271.16	33830.97

38.6 Earning in foreign Exchange

Export of Goods (FOB)	84267.33	34068.94
	84267.33	34068.94

38.7 Payment to Whole Time Directors

Salaries and allowances	186.11	123.20
Company's contribution to provident and other funds	13.99	10.70
Re-imbursement of Medical expenses	0.53	0.86
Leave Encashment	13.23	24.09
Gratuity	10.00	14.42
Other Benefits	26.21	28.41
	250.07	201.68

Note :

In addition, the Whole Time Directors are allowed the use of company car for private purpose and have been provided with residential accomodation as per terms of their appointment/Government guidelines



INDEPENDENT AUDITOR'S REPORT

To
The Members of
Hindustan Copper Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of **Hindustan Copper Limited ("the Holding Company")** and its one subsidiary company (Holding company and its subsidiary company together hereinafter referred to as "the Group"), which comprise the Consolidated Balance Sheet as at March 31, 2019 and the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Statement of Changes in Equity and the Consolidated Cash Flow Statement for the year ended on that date, and notes to the Consolidated Financial Statements including a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the **Consolidated Financial Statements**").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the consolidated state of affairs of the Group as at March 31, 2019, and its consolidated profit (including Other Comprehensive Income), consolidated changes in equity and its consolidated cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the consolidated financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of the consolidated financial statements under the provisions of the Companies Act, 2013 and the Rules made thereunder and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence obtained by us and the audit evidence obtained by other auditors in terms of their report referred to in "Other Matters" Paragraph below, are sufficient and appropriate to provide a basis for our audit opinion on the consolidated financial statements.

Emphasis of Matters

We draw attention to the following matters:

- a) Note No.38 Para 1, "Contingent liabilities" of the accompanying standalone financial statements which describes the uncertainty related to the outcome of the lawsuits filed and demand raised against the company by various parties and Government authorities;
- b) Note No.38 Para 4 & 6 of the accompanying consolidated financial statements which states that title deeds for leasehold and freehold lands or other evidences of title are pending to be reconciled with financial records. As per the Group's management, the title deeds, conveyance deeds etc. in respect of certain freehold lands at Indian Copper Complex acquired through nationalization in accordance with Indian Copper Corporation (Acquisition of Undertaking) Act, 1972 are not in possession of the Group and title deeds in some locations at Gujarat Copper Project, Delhi and Jaipur office are yet to be executed in favor of the Group.
- c) Note No.38 Para 8 of the accompanying consolidated financial statements wherein, balances under the head Claims Recoverable, Loans & Advances, Sundry Debtors, Deposits with various parties and certain balances of Sundry creditors and other current liabilities have not been confirmed as at March 31, 2019. Consequential impact upon receipt of such confirmation/reconciliation/adjustment of such balances, if any is not ascertainable at this stage;
- d) We refer Note No. 38 Para 32 of the accompanying consolidated financial statements regarding Gujarat Copper project valuing ₹ 27214.50 lakh where the company has not been able to operate profitably due to various constraint, viability assessment needs to be done to evaluate and adjust for possible impairment loss, if any.

Our opinion is not modified in respect of these matters.



Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sl. No.	Key Audit Matters	Auditor's Response
1	<i>Assessment of Stripping Ratio and charging of overburden expenditure during production stage of surface mines to Mines Development Expenditure and Profit and Loss account</i> Referred in Note No.2 (11) and Note No.9 of the consolidated financial statements. Assessment of Stripping Ratio is technically estimated initially at the beginning of the Mines and later on periodically assessed for which no standards written policy are there. Normally review done within a period of 3 to 4 years as informed to us. In case of Open cast mines, the expenditure on removal of waste and overburden, is capitalized and the same is depleted in relation to actual ore production during the year on the stripping ratio which is re-assessed periodically based on the estimated ore reserve as well as the quantity of waste excavation in respect of open cast mines. Assessment of Stripping ratio is uniquely applied under the Mining industries which involves significant judgment to determine the ratio and that also keep on change from time to time. This ratio has been changed subsequently based on the actual output of overburden and Ore exposed during the production stage of the mines. We have identified this area as key audit matter due to its nature as industry specific and involvement of technical assumptions and judgments in calculation of stripping ratio. Further it has a material impact on the consolidated financial statements being this year company has amortized ₹ 20074.56. lakh (PY: - ₹ 11970.45 lakh) as Mine development expenditure for open cast mines.	<i>Principal Audit Procedures</i> Our audit approach consisted testing of the design and operating effectiveness of the internal controls and substantive testing as follows: • We went through the current status of the mining at different mines • We discussed with the management about the stripping procedure adopted in the industry as well practice followed by the company • Procedure followed by the management towards Identification of expenditures incurred in surface mines during production stage • Understanding the computation of Stripping ratio initially made and documents made available to us. • We have checked the stripping ratio to be charged under amortization for mine development expenditure for balance period of mines • Discussion with the core technical team involve in this process • Reliance is placed on the representations of the management.
2	<i>Impact of Change in Accounting Policy</i> During the year the Group has changed its accounting policy in respect of provision for Mines closure expenditure as per the regulatory requirements. Refer Note No.38 (25) of the consolidated financial statements. We have considered this as Key Audit Matter as non-implementation of the change in accounting policy in the system may have significant impact on the financial statements.	<i>Principal Audit Procedures</i> • We have discussed the change in accounting policy with the management and • Verify the implementation of the change in the books of accounts.



INDEPENDENT AUDITOR'S REPORT (Contd.)

Information Other than the Consolidated Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Report of the Board of Directors, Management Discussion and Analysis Report, Report on CSR activities, Business Responsibility Report, Corporate Governance Report and other annexure to Directors Report including Shareholder's Information, but does not include the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

Responsibility of Management and Those Charged with Governance for the Consolidated Financial Statements

The Holding Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("The Act") with respect to the preparation of these consolidated financial statements that give a true and fair view of the consolidated financial position, consolidated financial performance, changes in equity and consolidated cash flows of the Group in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under Section 133 of the Act. The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of the preparation of the consolidated financial statements by the Directors of the Holding company, as aforesaid..

In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

The respective Board of Directors of the companies included in the Group is also responsible for overseeing the financial reporting process of the Group.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.



- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the companies within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of the companies included in the consolidated financial statements of which we are the Independent auditors. For the other companies included in the consolidated financial statements, which have been audited by the other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

We did not audit the financial statements of one subsidiary company included in the consolidated quarterly financial results and consolidated year to date financial results, whose financial statements reflect total assets of ₹ 11.23 lakh as at 31st March 2019 and cash inflows of ₹ 5.11 lakh for the year ended on that date as considered in the consolidated financial statements of the Holding company. These financial statements and other financial information have been audited by other auditors whose reports have been furnished to us by the Holding company's management, and our opinion on the consolidated financial statements, so far as it related to the amounts and disclosures included in respect of this subsidiary company and our report in terms of sub-section (3) of Section 143 of the Act, in so far as it relates to the subsidiary company, is based solely on the reports of other auditors. Our opinion is not modified in respect of this matter.

Report on Other Legal and Regulatory Requirements

- 1) The Companies (Auditor's Report) Order, 2016 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013 is not applicable to the consolidated financial statements as referred in Proviso to Para 2 of the said Order.
- 2) As required by Section 143(3) of the Act, we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated financial statements except as reported in Clause (b) & (c) of the "Emphasis of Matters" paragraph above;
 - b) In our opinion, proper books of account as required by law relating to the preparation of the aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books and reports of the other auditors.



INDEPENDENT AUDITOR'S REPORT (Contd.)

- c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss including Other Comprehensive Income, Consolidated Statement of Changes in Equity and the Consolidated Cash Flow Statement dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the consolidated financial statements.
 - d) In our opinion, the aforesaid consolidated financial statements comply with the Ind AS specified under Section 133 of the Act, read with the Companies (Indian Accounting Standards) Rules, 2015, as amended.
 - e) In pursuance to the Notification No. G.S.R 463(E) dated 05-06-2015 issued by the Ministry of Corporate affairs, Section 164(2) of the Companies Act, 2013 pertaining to disqualification of Directors, is not applicable to the Government Companies.
 - f) With respect to the adequacy of the internal financial controls over financial reporting of the Group and the operating effectiveness of such controls, refer to our separate Report in **"Annexure-A"**;
 - g) With respect to the other matters to be included in the Auditors' Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The consolidated financial statements disclose the impact of pending litigations on its consolidated financial position of the Group.-[Refer Note No.38 (1) to the accompanying consolidated financial statements];
 - ii. The Group did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses;
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Holding company and its subsidiary company.
- 3) As required by Section 143(5) of the Act, we give in the **"Annexure-B"**, a statement on the matters specified in the Directions issued by the Comptroller and Auditor General of India in respect of the Holding company. This statement has been prepared incorporating the comments of the Auditors' of the subsidiary company mentioned in their reports.

For Chaturvedi & Co.
Chartered Accountants
(Firm's Registration No.302137E)

Place: New Delhi
Date: May 28, 2019

CA S.C.Chaturvedi
Partner
(Membership No. 012705)



ANNEXURE - A TO THE INDEPENDENT AUDITOR'S REPORT

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

In conjunction with our audit of the consolidated financial statements of the Group as of and for the year ended March 31, 2019, we have audited the internal financial controls over financial reporting of **Hindustan Copper Limited** (hereinafter referred as "**the Holding company**") as of March 31, 2019 and considered the report of auditor of the subsidiary company as of that date.

Management's Responsibility for Internal Financial Controls

The respective Board of Directors of the Holding company and subsidiary company are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Group considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the internal financial controls over financial reporting of the Group based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") issued by the Institute of Chartered Accountants of India and the Standards on Auditing prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and audit evidence obtain by the Other auditors in terms of their reports referred to in the "Other Matters" paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the Group's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.



ANNEXURE - A TO THE INDEPENDENT AUDITOR'S REPORT (Contd.)

Opinion

In our opinion, to the best of our information and according to the explanations given to us, the Group has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at March 31, 2019, based on the internal control over financial reporting criteria established by the Group considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. However at Holding company, certain areas need further improvement in designing the "Documentation on Internal Financial Controls" of the Holding company by way of improving the fixed assets accounting, cash and bank management, payable management, receivable management, inventory management, elaborating the process flow by which the transactions are initiated, authorized, processed, recorded, and reported at department level. System integration to capture the transactions that relates to financial statements and events/conditions and other transactions significant to the financial statements has to be designed properly so as to fulfill the objectives of control criteria established by the Holding company. Further modification of finance/accounts manual needs to be done incorporating the Indian Accounting Standard requirements to have effective internal control over financial reporting.

However, our opinion is not qualified in the above respect.

Other Matters

Our aforesaid report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls over financial reporting, is so far as it relates to the one subsidiary company, is based on the corresponding report of the auditors of such company, a company incorporated in India.

For Chaturvedi & Co.
Chartered Accountants
(Firm's Registration No.302137E)

Place: New Delhi

Date: May 28, 2019

CA S.C.Chaturvedi
Partner
(Membership No. 012705)



ANNEXURE - B TO THE INDEPENDENT AUDITOR'S REPORT

Directions under Section 143(5) of Companies Act 2013			
Sl. No.	Details/ Directions	Auditors' Reply	Action Taken and Impact on Consolidated Accounts & Consolidated Financial Statements
1.	Whether the company has system in place to process all the accounting transactions through IT system? If yes, the implications of processing of accounting transactions outside IT system on the integrity of the accounts along with the financial implications, if any, may be stated.	Yes, the Holding company and its subsidiary company have system in place to process all the accounting transactions through IT system.	No impact on the consolidated accounts and consolidated financial Statements.
2.	Whether there is any restructuring of an existing loan or cases of waiver/write off of debts /loans/ interest etc. made by a lender to the company due to the company's inability to repay the loan? If yes, the financial impact may be stated.	As informed to us, there is no such case of restructuring of an existing loan or loan/interest etc. made by a lender to the Holding company and its subsidiary company. However the Holding company has written back the liabilities of ₹ 1095.29 lakh during the year which as per the Holding company, no longer payable in nature.	Liabilities of ₹ 1095.29 lakh were written back during the year and impact of it has been in increase of profit by the amount.
3.	Whether funds received/receivable for specific schemes from central/ state agencies were properly accounted for/ utilized as per its term and conditions? List the cases of deviation.	Based on the information available and according to the information and explanations given to us, the Holding company and its subsidiary company has not received any fund for specific schemes from central/ state agencies during the year.	No impact on the consolidated accounts and consolidated financial statements.

For Chaturvedi & Co.

Chartered Accountants

(Firm's Registration No.302137E)

CA S.C. Chaturvedi

Partner

(Membership No. 012705)

Place: New Delhi

Date: May 28, 2019



COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA UNDER SECTION 143(6)(b) READ WITH SECTION 129(4) OF THE COMPANIES ACT, 2013 ON THE CONSOLIDATED FINANCIAL STATEMENTS OF HINDUSTAN COPPER LIMITED FOR THE YEAR ENDED 31 MARCH 2019

The preparation of consolidated financial statements of Hindustan Copper Limited for the year ended 31 March 2019 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the company. The statutory auditor appointed by the Comptroller and Auditor General of India under Section 139(7) read with section 129(4) of the Act is responsible for expressing opinion on these financial statements under section 143 read with section 129(4) of the Act based on independent audit in accordance with the standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 28th May 2019.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit of the consolidated financial statements of Hindustan Copper Limited for the year ended 31 March 2019 under Section 143(6)(a) read with section 129(4) of the Act. We conducted a supplementary audit of the financial statements of Hindustan Copper Limited and its subsidiary company Chhattisgarh Copper Limited for the year ended on that date. This supplementary audit has been carried out independently without access to the working papers of the statutory auditors and is limited primarily to inquiries of the statutory auditors and company personnel and a selective examination of some of the accounting records.

On the basis of my supplementary audit nothing significant has come to my knowledge which would give rise to any comment upon or supplement to statutory auditors' report under Section 143(6)(b) of the Act .

For and on the behalf of the
Comptroller & Auditor General of India

(Suparna Deb)
Director General of Commercial Audit
& Ex-officio Member, Audit Board-I,
Kolkata

Place : Kolkata
Date : 24 June 2019



CONSOLIDATED BALANCE SHEET AS AT 31st MARCH 2019

(₹ in lakh)

PARTICULARS	Note No.	As at 31st March, 2019
ASSETS		
(1) NON-CURRENT ASSETS		
(a) Property, Plant and Equipment	3A & 3B	31653.72
(b) Capital Work In Progress	4	102211.31
(c) Financial Assets		
(i) Investments	5	-
(ii) Others	6	12.47
(d) Deferred Tax Assets (Net)	7	6245.62
(e) Non-Current Tax Assets (Net)	8	620.33
(f) Other Non-Current Assets	9	53268.78
(2) CURRENT ASSETS		
(a) Inventories	10	64366.77
(b) Financial Assets		
(i) Investments	11	8.85
(ii) Trade receivables	12	36154.83
(iii) Cash and cash equivalents	13	663.53
(iv) Bank Balances other than above	14	424.19
(v) Others	15	3279.93
(c) Other current assets	16	32103.30
Total Assets		331013.63
EQUITY AND LIABILITIES		
(1) Equity		
(a) Equity Share Capital	17	46260.90
(b) Other Equity	18	116832.25
Attributable to Non Controlling Interest		
(a) Equity Share Capital		6.50
(b) Other Equity		(6.45)
Liabilities		
(2) NON-CURRENT LIABILITIES		
(a) Financial Liabilities		
(i) Borrowings	19	57065.73
(ii) Other financial liabilities	20	843.53
(b) Provisions	21	5471.59
(3) CURRENT LIABILITIES		
(a) Financial Liabilities		
(i) Borrowings	22	49945.20
(ii) Trade Payables	23	20229.08
(iii) Other financial liabilities	24	7600.37
(b) Other current liabilities	25	18883.94
(c) Provisions	26	6297.04
(d) Current Tax Liabilities (Net)	27	1583.96
Total Equity & Liabilities		331013.63
Corporate Information	1	
Significant Accounting Policies	2	
General Notes on Accounts	38	

The notes referred to above form an integral part of the Financial Statements.

In terms of our report of even date attached.

For Chaturvedi & Co.
Chartered Accountants
FRN 302137E

(CA S C Chaturvedi)
Partner
(M No. 012705)

Place : New Delhi
Dated: 28th May, 2019

Sanjay Kumar Bhattacharya
Director (Mining)
(DIN : 07276836)

C.S.Singhi
Company Secretary
(M No. FCS 2570)

For and on behalf of the Board of Directors

Sukhen Kumar Bandyopadhyay
Director (Finance) & CFO
(DIN : 08173882)

Santosh Sharma
Chairman and Managing Director
& CEO
(DIN : 07431945)



CONSOLIDATED STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31ST MARCH 2019

(₹ in lakh except EPS)

PARTICULARS	Note No.	For the year ended 31st March, 2019
I Revenue from Operations	28	181625.72
II Other Income	29	3665.87
III Total Income (I+II)		185291.59
IV EXPENSES		
Cost of Materials Consumed	30	6493.41
Changes in Inventories of Finished Goods, Semi-Finished and Work-In-Process	31	14336.74
Employees Benefit Expense	32	31651.48
Finance Cost	33	5546.10
Depreciation and Amortisation Expense	34	25289.40
General, Administration & Other Expenses	35	78964.61
Total Expenses (IV)		162281.74
V PROFIT /(LOSS) BEFORE EXCEPTIONAL ITEMS AND TAX (III-IV)		23009.85
VI Exceptional items		-
VII PROFIT /(LOSS) BEFORE TAX (V-VI)		23009.85
VIII TAX EXPENSE	36	
1) Current Tax		9128.93
2) Deferred Tax		(667.91)
IX PROFIT /(LOSS) FOR THE PERIOD FROM CONTINUING OPERATIONS AFTER TAX (VII-VIII)		14548.83
IX(A) PROFIT /(LOSS) FOR THE PERIOD AFTER TAX - Attributable to Owners (IX-IX(B))		14555.28
IX(B) PROFIT /(LOSS) FOR THE PERIOD AFTER TAX - Attributable to Non Controlling Interest		(6.45)
X Profit/(Loss) from discontinued operations		(34.70)
XI Tax expense of discontinued operations		(12.13)
XII PROFIT/(LOSS) FROM DISCONTINUED OPERATIONS AFTER TAX (X -XI)		(22.57)
XIII PROFIT /(LOSS) FOR THE PERIOD AFTER TAX (IX+XII)		14526.26
XIII (A) PROFIT /(LOSS) FOR THE PERIOD AFTER TAX - Attributable to Owners (XIII-XIII(B))		14532.71
XIII (B) PROFIT /(LOSS) FOR THE PERIOD AFTER TAX - Attributable to Non Controlling Interest		(6.45)
XIV OTHER COMPREHENSIVE INCOME	37	
A(i) Items that will not be reclassified to Profit or Loss		(1676.21)
A(ii) Income Tax relating to items that will not be reclassified to Profit or Loss		-
B(i) Items that will be reclassified to Profit or Loss		-
B(ii) Income Tax relating to items that will be reclassified to Profit or Loss		-
XV TOTAL COMPREHENSIVE INCOME FOR THE PERIOD (XIII+XIV) (Comprising Profit/(Loss) and Other Comprehensive Income for the period)		12850.05
XVI Earning per equity share (for continuing operations)		
1 BASIC (₹)		1.573
2 DILUTED (₹)		1.573
XVII Earning per equity share (for discontinued operations)		
1 BASIC (₹)		(0.002)
2 DILUTED (₹)		(0.002)
XVIII Earning per equity share (for discontinued & continuing operations)		
1 BASIC (₹)		1.571
2 DILUTED (₹)		1.571
Corporate Information	1	
Significant Accounting Policies	2	
General Notes on Accounts	38	
The notes referred to above form an integral part of the Financial Statements.		

In terms of our report of even date attached.

For Chaturvedi & Co.
Chartered Accountants
FRN 302137E
(CA S C Chaturvedi)
Partner
(M No. 012705)
Place : New Delhi
Dated: 28th May, 2019

Sanjay Kumar Bhattacharya
Director (Mining)
(DIN : 07276836)

C.S.Singhi
Company Secretary
(M No. FCS 2570)

For and on behalf of the Board of Directors

Sukhen Kumar Bandyopadhyay
Director (Finance) & CFO
(DIN : 08173882)

Santosh Sharma
Chairman and Managing Director
& CEO
(DIN : 07431945)



CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31ST MARCH 2019

A. Equity Share Capital		(₹ in lakh)						
Balance at the beginning of the reporting period 01.04.2018	46260.90	"Changes in equity share capital during the year"					Balance at the end of the reporting period 31.03.2019	
								46260.90
B. Other Equity								
Particulars		General Reserve	Capital Reserve	Corporate Social Responsibility Reserve	Mine Closure Reserves	Currency Fluctuation Reserve	Retained Earnings	Total
Balance at the beginning of the reporting period 01.04.2018		8965.97	21166.24	22.78	-	-	76313.10	106468.09
Dividend & Dividend Tax		-	-	-	-	-	(2788.50)	(2788.50)
Profit for the Year After Tax - Atributable to Owners		-	-	-	-	-	14532.71	14532.71
Profit for the Year After Tax - Atributable to Non Controlling Interest		-	-	-	-	-	(6.45)	(6.45)
Other Comprehensive Income		-	-	-	-	-	(1676.21)	(1676.21)
Amount addition during the year		-	-	-	163.00	155.94	-	318.94
Amount used during the year		-	-	(22.78)	-	-	-	(22.78)
Balance at the end of the reporting period 31.03.2019		8965.97	21166.24	-	163.00	155.94	86374.65	116825.80

In terms of our report of even date attached.

For Chaturvedi & Co.
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FRN 302137E
(CA S C Chaturvedi)
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Place : New Delhi
Dated: 28th May, 2019

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C.S.Singhi
Company Secretary
(M No. FCS 2570)



CONSOLIDATED CASH FLOW STATEMENT FOR THE YEAR ENDED 31ST MARCH 2019

(₹ in lakh)

		For the year ended 31st March 2019
A.	CASH FLOW FROM OPERATING ACTIVITIES :	
	NET PROFIT/ (LOSS) BEFORE TAX AS PER PROFIT AND LOSS ACCOUNT	23009.85
	Adjusted for :	
	Depreciation	3662.30
	Provisions charged	1900.97
	Provisions written back	(1095.29)
	Interest expense	5546.10
	Dividend declared	0.00
	Dividend tax payable	0.00
	Amortisation	21627.10
	Interest income	(334.49)
	Loss / (Profit) on disposal of fixed assets	(48.24)
	OPERATING PROFIT/ (LOSS) BEFORE WORKING CAPITAL CHANGES	54268.30
	Adjusted for :	
	Decrease/ (Increase) in Trade & other Receivables	(28004.35)
	Decrease/ (Increase) in Inventories	14412.96
	Decrease/ (Increase) in Current & Non-Current assets	(7008.79)
	Increase/ (Decrease) in Current & Non-Current Liabilities	(2833.18)
	CASH GENERATED FROM OPERATIONS	30834.94
	Tax Refund received	1106.54
	Taxes paid	(6730.75)
	NET CASH FROM OPERATING ACTIVITIES (A)	25210.73
B.	CASH FLOW FROM INVESTING ACTIVITIES :	
	Purchase of Fixed Assets	(40045.24)
	Sale of Fixed Assets	80.07
	Interest received	
	Advance for / (Recovery of advance) for Capital expenditure	260.68
	Investment in Subsidiary	0.00
	Mine Development Expenditure	(19369.43)
	NET CASH USED IN INVESTING ACTIVITIES (B)	(58658.21)
C.	CASH FLOW FROM FINANCING ACTIVITIES :	
	Non-Current borrowings / (Loan repaid)	52669.68
	Dividends paid	(2313.05)
	Tax on Dividend	(475.45)
	Interest paid	(5422.90)
	Increase in Other Equity	6.50
	NET CASH USED IN FINANCING ACTIVITIES (C)	44464.78
	NET INCREASE IN CASH AND CASH EQUIVALENTS (A + B + C)	11017.30
	CASH AND CASH EQUIVALENTS - opening balance	(49136.09)
	CASH AND CASH EQUIVALENTS - closing balance	(38113.46)
	(details in Annexure - A)	

In terms of our report of even date attached.

For Chaturvedi & Co.
Chartered Accountants
FRN 302137E

(CA S C Chaturvedi)
Partner
(M No. 012705)

Place : New Delhi
Dated: 28th May, 2019

Sanjay Kumar Bhattacharya
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(DIN : 08173882)

Santosh Sharma
Chairman and Managing Director
& CEO
(DIN : 07431945)



CONSOLIDATED CASH FLOW STATEMENT FOR THE YEAR ENDED 31ST MARCH 2019 (Contd.)

ANNEXURE - A

(₹ in lakh)

CASH AND CASH EQUIVALENTS - opening balance

01/04/2018

i)	Current Financial Assets - Cash & Cash Equivalents (Note 13)	879.67
ii)	Current Financial Assets - Bank Balance other than above (Note 14) (Excluding Unpaid Dividend of Rs. 12.38 Lakh)	379.16
iii)	Current Financial Assets - Investments (Note 11)	8.18
iv)	Non-current Financial Assets - Others (Note 6)	1.44
v)	Current Financial Liabilities - Borrowings (Note 22)	(50301.84)
vi)	Current Financial Liabilities - Borrowings (Note 22)	(102.70)
		(49136.09)

CASH AND CASH EQUIVALENTS - closing balance

31/03/2019

i)	Current Financial Assets - Cash & Cash Equivalents (Note 13)	663.53
ii)	Current Financial Assets - Bank Balance other than above (Note 14) (Excluding Unpaid Dividend of Rs. 15.86 Lakh)	408.33
iii)	Current Financial Assets - Investments (Note 11)	8.85
iv)	Non-current Financial Assets - Others (Note 6)	12.47
v)	Current Financial Liabilities - Borrowings (Note 22)	(39300.01)
vi)	Current Financial Liabilities - Borrowings (Note 22)	93.37
		(38113.46)

The Cash Flow Statement has been prepared as set out in Indian Accounting Standard (IND AS) 7 : STATEMENT of CASH FLOWS, as amended by Companies (Indian Accounting Standards) (Amendment) Rules 2016.

This is the Cash Flow Statement referred to in our report of even date attached.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

HINDUSTAN COPPER LIMITED

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

Hindustan Copper Limited, established in 1967 and domiciled in India is a Central public sector undertaking under the administrative control of Ministry of Mines, Government of India. The registered office of the company is situated at Kolkata. The principal activities of the company are exploration, exploitation, mining of copper and copper ore including beneficiation of minerals, smelting and refining. The Company has copper mines & concentrator plants in Malanjkhand Copper Project at Madhya Pradesh (MCP), Khetri Copper Complex at Rajasthan (KCC) and Indian Copper Complex, Ghatsila at Jharkhand (ICC). The company is operating Smelter & Refinery in ICC and Gujarat Copper Project, Gujarat (GCP) for production of copper cathode. Further, cathode is converted into copper wire rod at Copper wire rod plant at Taloja Copper Project, Taloja, Maharashtra (TCP). The Company is listed with BSE Ltd. and National Stock Exchange of India Ltd.

Chhattisgarh Copper Limited (CCL), established on 21.05.2018 and domiciled in India, is a Joint Venture Company (JVC) formed between Hindustan Copper Limited (HCL) and Chhattisgarh Mineral Development (CMD) for exploration, mining and beneficiation of copper and its associated minerals in the State of Chhattisgarh. Since HCL holds 74% equity in JVC, it is also a Subsidiary of HCL as per Section 2(87) of the Companies Act, 2013.

2. Significant Accounting Policies

2.1 Basis of Accounting

The financial statements are prepared under historical cost convention from the books of accounts maintained under accrual basis except for certain financial instruments which are measured at fair value and in accordance with the Indian Accounting Standards prescribed under Companies Act, 2013.

2.2 Basis of consolidation

2.2.1 Subsidiaries

Subsidiaries are all entities over which the Company has control. The Company controls an entity when the Company is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the relevant activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Company. They are deconsolidated from the date when control ceases.

The acquisition method of accounting is used to account for business combinations by the Company.

The Company combines the financial statements of the parent and its subsidiaries line by line adding together like items of assets, liabilities, equity, cash flows, income and expenses, Intercompany transactions, balances and unrealized gains on transactions between group companies are eliminated.

Non-controlling interests in the results and equity of subsidiaries are shown separately in the consolidated statement of profit and loss, consolidated statement of changes in equity and balance sheet respectively.

2.2.2 Equity method

Under the equity method of accounting, the investments are initially recognized at cost and adjusted thereafter to recognize the Company's share of post acquisition profit or losses of the investee in profit and loss, and the Company's share of Other Comprehensive Income of the investee in the Other Comprehensive Income.

2.3 Application of Indian Accounting Standards (Ind-AS)

The Company adopted Indian Accounting Standards (Ind AS) from April 1, 2016 and accordingly the financial statements have been prepared in accordance with the recognition and measurement principles as notified by MCA under the Companies (Indian Accounting Standards) Rules, 2015 ("Ind AS Rules"), of the Companies Act, 2013.

The Company has adopted all the Ind AS as applicable and relevant to the Company.

2.4 Use of Estimates

The preparation of the Company's financial statements requires management to make judgements, estimates and



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods. Revision to accounting estimates are recognised in the period on which the estimates are revised and, if material their effects are disclosed on the notes to the financial statements.

2.5 Current and Non-current Classification

The Company presents assets and liabilities in the Balance Sheet based on current/non-current classification. An asset is treated as current by the company when:

- a) it expects to realize the asset, or intends to sell or consume it in its normal operating cycle;
- b) it holds the assets primarily for the purpose of trading;
- c) it expects to realize the asset within twelve months after the reporting date; or
- d) the asset is cash or cash equivalent (as defined under Ind AS 7) unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

Except the above, all other assets are classified as Non-current.

A liability is treated as current by the company when:

- a) it expects to settle the liability realize the asset, or intends to sell or consume it in its normal operating cycle;
- b) it expects to settle the liability in its normal operating cycle;
- c) it holds the liability primarily for the purpose of trading;
- d) the liability is due to be settled within twelve months after the reporting period; or
- e) it does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting period. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

Except the above, all other liabilities are classified as non-current.

2.6 Revenue Recognition

Revenue is measured at the fair value of the consideration received or receivable and fair value has been defined taking into account contractually defined terms of payment. Operating revenue recognized is net of all promotional expenses and discounts, rebates and/or any other incentive to customers.

Sale of Products

An entity shall account for a sale contract with a customer only when all of the following criteria are met:

- (a) the parties to the contract have approved the contract (in writing, orally or in accordance with other customary business practices) and are committed to perform their respective obligations;
- (b) the entity can identify each party's rights regarding the goods to be transferred;
- (c) the entity can identify the payment terms for the goods to be transferred;
- (d) the contract has commercial substance i.e the risk, ownership, timing or amount of the entity's future cash flows etc is expected to change as a result of the contract; and
- (e) it is probable that the entity will collect the consideration to which it will be entitled in exchange for the goods that will be transferred to the customer.

In case of sale of Copper Concentrate, Copper Reverts, Anode Slime etc. and tolling of Copper Concentrate of Khetri and Malanjkhand origin, sales / tolling at the end of the accounting period are recorded on provisional basis as per standard parameters for want of actual specifications and differential sales value are recorded only on receipt of actual. This is as per consistent practice followed by the company.

Sale of Services

Income from conversion of job work is accounted for on the basis of actual quantity dispatched. When the outcome of a



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

transaction involving the rendering of services can be estimated reliably, revenue associated with the transaction shall be recognized by reference to the stage of completion (Percentage of Completion Method) of the transaction at the end of the reporting period.

Advances received from the customers are reported as customer's deposits unless the above conditions for revenue recognition are met.

Other Operating Revenues

a. Sale of Scrap

Sale of Scrap is accounted for on delivery of material.

b. Interest received from Customers

In case of credit sales, interest up to the date of Balance Sheet on all outstanding bills is accounted for on accrual basis.

c. Interest from Contractors against mobilisation advance for mining operations

Interest up to the date of Balance Sheet on all mobilisation advances for mining operations is accounted for on accrual basis.

d. Penalty and Liquidated Damages

Penalty and liquidated damages are accounted for as and when these are realised by the company as per contract terms.

Other Income

a. Claims

Claims are recognized in the Statement of Profit & Loss (Net of any payable) including receivables from Government towards subsidy, cash incentives, reimbursement of losses, etc, when there is certainty of realisation of such claim and that can be measured reliably.

b. Dividend and Interest from Investments

Dividend income from Investments is recognised in the Statement of Profit and Loss when the right to receive the dividend has been established and it is certain that the economic benefits will flow to the company and the amount of income can be measured reliably.

Interest Income from a financial asset is recognised using Effective Interest Method. When it is probable that the economic benefits will flow to the Company and the amount of income can be measured reliably.

c. Profit on Sale of Investment

Profit on sale of investment is recognised upon transfer of title by the company and is determined as the difference between the sales price and the then carrying value of the investment.

d. Provisions not required written back

Provisions/Liabilities created from business activities in earlier years no longer required are accounted for.

e. Others

Any other income is recognised on accrual basis.

2.7 Employees Benefit

Retirement benefit costs and termination benefits

Payments to defined contribution retirement benefit plans are recognized as an expense when employees have rendered service entitling them to the contributions.

For defined benefit retirement benefit plans, the cost of providing benefits is determined using the projected unit credit method, with actuarial valuations being carried out at the end of each annual reporting period. Re-measurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling (if applicable) and the return on plan assets (excluding interest), is reflected immediately in the statement of financial position with a charge or credit recognized in



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

other comprehensive income in the period in which they occur. Re-measurement recognized in other comprehensive income is reflected immediately in retained earnings and will not be reclassified to Statement of Profit or Loss. Past service cost is recognized in Statement of Profit or Loss in the period of a plan amendment. Net interest is calculated by applying the discount rate at the beginning of the period to the net defined benefit liability or asset. Defined benefit costs are categorized as follows:

- i. Service cost (including current service cost, past service cost, etc.);
- ii. Net interest expense or income; and
- iii. Re-measurement.

The company presents the first two components of defined benefit costs in profit or loss in the line item 'employee benefits expense'.

The retirement benefit obligation recognized in the statement of financial position represents the actual deficit or surplus in the company defined benefit plans. Any surplus resulting from this calculation is limited to the present value of any economic benefits available in the form of refunds from the plans or reductions in future contributions to the plans.

A liability for a termination benefit is recognized at the earlier of when the company can no longer withdraw the offer of the termination benefit and when the company recognises any related restructuring costs.

Short-term and other long-term employee benefits

A liability is recognized for benefits accruing to employees in respect of wages and salaries, annual leave and sick leave in the period the related service is rendered at the undiscounted amount of the benefits expected to be paid in exchange for that service.

Liabilities recognized in respect of short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in exchange for the related service.

Liabilities recognized in respect of other long-term employee benefits are measured at the present value of the estimated future cash outflows expected to be made by the company in respect of services provided by employees up to the reporting date.

Deficit in Provident Fund

Deficit, if any, in the accounts of Provident Fund Trust ascertained on the basis of last audited accounts of the Trust is accounted for as a charge to Revenue.

2.8 Borrowing Cost

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the asset. All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest expenses calculated using the effective interest method and other costs that an entity incurs in connection with the borrowing of funds. Borrowing cost also includes exchange differences to the extent regarded as an adjustment to the borrowing costs

2.9 Taxation

Income tax expense represents the sum of current tax and deferred tax.

Current tax

The current tax payable is based on taxable profit for the year as determined from net profit before tax as represented in Statement of Profit and Loss and Other Comprehensive Income, in line with different provisions under Income Tax Act 1961. Current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax

Deferred tax is recognized on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognized for all taxable temporary differences. Deferred tax assets are generally recognized for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilized.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

Current and Deferred Tax for the year

Current and deferred tax are recognized in Statement of Profit and Loss, except when they relate to items that are recognized in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognized in other comprehensive income or directly in equity respectively.

2.10 (a) Property Plant and Equipment (PPE)

The cost of an item of PPE is recognized as an asset if and only if, it is probable that future economic benefits associated with the item will flow to the company and the cost of the item can be measured reliably. The cost of an item of PPE is the cash price equivalent at the recognition date. The cost of an item of PPE comprises:

- i. Purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.
- ii. Costs directly attributable to bringing the PPE to the location and condition necessary for it to be capable of operating in the manner intended by management.
- iii. The initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located, the obligation for which the company incurs either when the PPE is acquired or as a consequence of having used the PPE during a particular period for purposes other than to produce inventories during that period.

The company has chosen the cost model of recognition and this model is applied to an entire class of PPE. After recognition as an asset, an item of PPE is carried at its cost less any accumulated depreciation and any accumulated impairment losses.

Pending reconciliation/receipt of the final bills against capital items, capitalization is done on the basis of cost booked and depreciation is charged accordingly. Price differences, if any, are adjusted in the year of finalization of bills.

In respect of expenditure during construction/development of a new unit/project in a new location, all direct capital expenditure as well as all indirect expenditure incidentals to construction are capitalized allocating to various items of PPE on an appropriate basis. Expansion programme involving construction concurrently run with normal production activities in an existing unit, all direct capital expenditure in relation to such expansion are capitalized but indirect expenditure are charged to revenue. Borrowing costs that are attributable to the acquisition or construction of qualifying asset are capitalized as part of the cost of such assets. A qualifying asset is one that necessarily takes substantial period of time to get ready for its intended use.

Expenses incurred for implementation of new projects are carried forward against respective projects till execution. Expenses rendered in fruituous projects abandoned subsequently are provided for in the Statement of Profit & Loss.

Physical verification of PPE is conducted every year so that all the units/offices are covered once in a block of three years interval. Shortage/(Excesses), if any, identified on such physical verification is duly adjusted in the books of accounts in the year of identification.

Depreciation and Amortization

The company has used the exemption available in Ind AS 101 with respect to recognition of Plant, Property and Equipment (PPE) and Intangible Assets at their carrying value being deemed cost.

The depreciable amount of an item of PPE is allocated on a straight line basis over its useful life prescribed in Part C of Schedule II of the Companies Act, 2013 or actual useful life of assets assessed by the Technical Committee of the company, whichever is lower. The residual value and the useful life of an asset are reviewed, at each financial year-end. Each part of an item of PPE with a cost that is significant in relation to the total cost of the item is depreciated separately. Depreciation on all such items have been provided from the date they are 'Put to Use' till the date of sale and includes amortization of intangible assets and lease hold assets. Freehold land is not depreciated. The residual value of all such items is taken at 5% of the original cost of individual asset.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

An item of PPE is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Certain consumable items of small value whose useful life is very limited are directly charged to revenue in the year of purchase.

From the date Ind AS came into effect, the carrying amount of an asset is depreciated over the remaining useful life of the asset as per estimate of remaining useful life. Wherever, the remaining useful life of an asset is nil, the carrying amount is recognized in the opening balance of retained earnings after retaining the residual value.

2.10 (b) Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation (calculated on a straight-line basis over their useful lives) and accumulated impairment losses, if any.

Internally generated intangibles, excluding capitalised development costs, are not capitalised. Instead, the related expenditure is recognised in the Statement of Profit and Loss and other comprehensive income in the period in which the expenditure is incurred. An internally generated intangible asset arising from development is recognized if all the conditions stipulated in "Ind AS 38-Intangible Asset" are met. The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with finite lives are amortised over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit and Loss.

An intangible asset with an indefinite useful life is not amortised but is tested for impairment at each reporting date and its useful life is reviewed in each reporting period to determine whether events and circumstances continue to support an indefinite useful life estimate.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit and Loss.

Intangible Assets other than Software are amortized over estimated useful life which is equivalent to license period, generally not more than 5 years.

Cost of Software recognized as intangible asset, is amortised on straight line method over a period of legal right to use with a nil residual value. Otherwise the cost of software will be charged in the year of incurrence.

2.11 Capital Work in Progress

Assets in the course of construction are included under capital work -in-progress and are carried at cost, less any recognized impairment loss. Such capital work-in-progress, on completion, is transferred to the appropriate category of property, plant and equipment.

2.12 (a) Mine Development Expenditure

In case of underground mines : The expenditure on development of a new mine in all cases and on subsequent development of a working mine is capitalized and depleted on the basis of ore raised during the year and the mineable ore reserves estimated from time to time.

In case of working mines, where development activities are going on simultaneously: Expenses are apportioned between capital and revenue on the basis of in-house technical estimates.

In respect of open cast mines : The expenditure on removal of waste and overburden, is capitalized and the same is depleted in relation to actual ore production during the year on the stripping ratio which is re-assessed periodically based on the estimated ore reserve as well as the quantity of waste excavation in respect of open cast mines. Subsequently, if any ore is reclaimed from overburden, the same is included in inventory at a value based on opening rate of mine development expenditure with a corresponding credit in Mine development expenditure.

Expenditure incurred on development of new deposits are capital in nature and is included in mine development expenditure. If subsequently the development activities are found to be not viable, the expenditure on such development work included in mine development expenditure is written off in the year in which it is decided to abandon the project.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

If a working mine is closed due to economic reasons, the un-depleted value of Mine Development Expenditure related to that mine is provided in the books of accounts in the year in which it is decided to close or suspend operation of the mine. If later on, the closed / suspended mines are re-opened and the company remains the owner of the mines, the unamortized Mine Development Expenditure which was fully provided in the year of closure will be written back in the books of accounts in the year of re-opening and the company will be depleting it year wise based on the estimated remaining life of that mine.

2.12 (b) Mineral Exploration and Evaluation Expenditures

2.12 (b) (i) Pre-exploration costs

Pre-exploration costs are expensed in the period in which they are incurred.

2.12 (b) (ii) Exploration and Evaluation Assets (E & E Assets)

Once the legal right to explore a property has been acquired, costs directly related to exploration and evaluation expenditures are recognized and capitalized, in addition to the acquisition costs. These direct expenditures include such costs as acquisition of rights to explore, materials used, topographical, geological, geochemical and geophysical evaluation, surveying costs, sampling, drilling costs, activities in relation to evaluation of technical feasibility and commercial viability of extracting a mineral resource, consultancy cost, payments made to contractors etc. during the exploration phase. Costs not directly attributable to exploration and evaluation activities are expensed in the period in which they occur.

Administrative and general overhead cost that are directly attributable to the assets are capitalized as E & E Assets.

E & E Assets may be tangible or intangible. To the extent that a tangible asset is consumed in developing an intangible asset, the amount reflecting that consumption may be part of the cost of the intangible asset created. However, the asset being used remains a tangible asset.

When a project is deemed to no longer have commercially viable prospects for the Company, exploration and evaluation expenditures in respect of that project are deemed to be impaired. As a result, those exploration and evaluation expenditure costs, in excess of estimated recoveries, are written off to Statement of Profit & Loss.

The Company assesses exploration and evaluation assets for impairment when facts and circumstances suggest that the carrying amount of an asset may exceed its recoverable amount.

Once the technical feasibility and commercial viability of extracting the mineral resource has been determined, the property is considered to be a mine under development and is classified as "mines under construction".

Exploration and evaluation Assets are also tested for impairment before the assets are transferred to development properties.

As the Company currently has not commenced commercial operations, any incidental revenues, including receipt of input tax credit receivables, earned in connection with exploration activities are applied as a reduction to capitalized exploration costs.

An impairment loss is reversed if there is an indication that there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation, if no impairment loss had been recognized.

2.13 Overhauling Expenses

Revenue expenditure attributable to overhaul of smelter and/ or refinery is charged off to the Statement of Profit and Loss in the year of incurrence.

2.14 Mine Closure Expenditure & Decommissioning / Site restoration liability

Financial implications towards final mine closure plans under relevant Acts and Rules are technically estimated and Mine Closure Reserve is created based on the estimated life of the mines over the period by charging the same to Statement of Profit and Loss.

2.15 Non-Current Assets Held for Sale

The company classifies a non-current asset (or disposal group of assets) as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use. Immediately before the initial classification of the asset (or disposal group) as held for sale, the carrying amounts of the asset (or all the assets and



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

liabilities in the group) are to be measured in accordance with applicable Indian Accounting Standards. The sale should be expected to qualify for recognition as a completed sale within one year from the date of classification except as permitted by Ind AS 105.

2.16 Inventories

Stocks of stores and spare parts, loose tools and materials-in-transit are valued at the lower of the net realizable value and cost. The raw materials are also valued at the lower of the net realizable value and weighted average cost to the unit if the finished goods in which they will be incorporated are expected to be sold below cost. Loose tools when issued are charged off to revenue.

Finished goods and work-in-process are valued at the lower of the net realizable value and weighted average cost to the unit. The cost is exclusive of financing cost, such as, interest, bank charges, administration overhead, etc. The value of slag under work-in-process is taken at equivalent value to the extent credited to the process, where the said products have been generated. The reverts under work-in-process are valued at lower of cost (equivalent value of concentrate) and net realizable value.

The stock of anode slime arising from treatment and refining processes are stated at realizable value based on the year end London Metal Exchange price for gold and silver after making due adjustments of their physical recovery and the treatment and refining charges.

The inventories out of inter-unit transfers (material in transit) at the close of the year are valued and accounted in the books of the transferor unit on the basis of cost plus transportation to the transferee unit.

Imported materials are valued at the lower of the net realizable value and weighted average cost. In the event where final price is not determined valuation is made on provisional cost. Variations are accounted for in the year of finalization.

Provision is made in the accounts every year, for non-moving stores and spares (other than insurance spares) which have not moved for more than five years. Insurance spares are fully provided for on the expiry of the life of the relevant Property Plant and Equipments.

Physical verification of Semi-Finished and In-Process (WIP) and Finished Goods is conducted departmentally in all the units at reasonable intervals during the year by a duly approved committee. Also, physical stock verification of WIP and Finished Goods is undertaken by a duly approved committee at the end of every financial year alongwith an independent agency once in a block of three years. In respect of Stores and Spares, physical verification is carried out by external agencies once in every year covering all the units. Shortage/(Excesses), if any, identified on such physical verification is duly adjusted in the books of accounts in the year of identification.

2.17 Government Grants

All government grants are recognized as deferred income and it will be taken to Statement of Profit and Loss over the period of time in accordance with the pattern in which the obligations are met.

2.18 Impairment of Assets (Other than Financial Assets)

The Company assesses at the end of each reporting period whether there is any indication that an asset may be impaired. If any such indication exists, the Company estimates the recoverable amount of the asset. If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognized immediately in Statement of Profit and Loss, unless the relevant asset is carried at a revalue amount, in which case the impairment loss is treated as a revaluation decrease.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

When an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognized immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

2.19 Foreign Exchange Transactions

Transactions in currencies other than the company's functional currency (foreign currencies) are recognized at the rates of exchange prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Foreign currency monetary items (except overdue recoverable where realizability is uncertain) are converted using the closing rate as defined in the Ind AS-21. The effects of changes in Foreign Exchange Rates, non-monetary items are reported using the exchange rate at the date of the transaction. The exchange difference gain/loss is recognized in the Statement of Profit and Loss.

In case of long term foreign currency monetary items outstanding as of 31st March 2016, liability in foreign currency loans relating to acquisition of fixed assets is converted using the closing rate as defined in Ind AS 21. The effects of changes in Foreign Exchange Rates and the difference in exchange is recognized in terms of exemptions given in paragraph D13AA of Appendix D to Ind AS-101, where the effect of exchange differences on foreign currency loans of the company is accounted for by addition or deduction to the cost of the assets so far it relates to the depreciable capital assets and shall be depreciated over the balance life of the assets.

Other long term foreign currency monetary items are accumulated in 'Equity Component of Foreign Currency asset/liability Account' and amortized over the balance period of the asset/liability by recognition as income or expense in each of such periods as stated under Para 29A of Ind AS 21.

2.20 Provisions, Contingent Liabilities & Contingent Assets

Provisions are recognized when the company has a present obligation (legal or constructive) as a result of a past event and it is probable that the company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

Wherever no reliable estimate could be made, a disclosure is made as contingent liability. A disclosure for a contingent liability is also made when there is a possible obligation or a present obligation that may but probably will not require an outflow of resources.

When there is a possible obligation or a present obligation in respect of which likelihood of outflow of resources is remote, no provision or disclosure is made.

Contingent Liabilities are disclosed in the General Notes forming part of the accounts.

Contingent Assets are not recognised in the financial statements but are disclosed in Notes to the Accounts. Such assets occur when the inflow of economic benefits is probable. Such contingent assets are assessed continuously, if it is virtually certain that inflow of economic benefits will arise then such assets and the relative income will be recognised in the financial statements.

2.21 Leasing

Assets held under lease, in which a significant portion of the risks and rewards of ownership are transferred to lessee are classified as finance leases. All other leases are classified as operating leases.

Depreciation expenses are recorded if asset held under finance lease is depreciable.

Finance expenses are recognized immediately in the Statement of Profit and Loss if they are not directly attributable to qualifying assets, otherwise they are capitalised in accordance with the company's general policy on borrowing costs.

Operating lease payments are recognized as an expense on a straight-line basis over the lease term.

2.22 Financial Instruments

Non Derivative Financial Instruments

(i) Initial Recognition

Financial assets and financial liabilities are recognized when the company becomes a party to the contractual provisions of the instruments.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognized immediately in profit or loss.

(ii) Subsequent Recognition

a. Financial assets

Financial assets are subsequently measured at amortised cost, fair value through other comprehensive income or fair value through profit or loss.

b. Financial Liabilities

Financial liabilities are subsequently measured at amortized cost using Effective Interest Rate (EIR) method except for derivatives, which are measured at fair value.

Derivative Financial Instruments

All derivatives are recognized and measured at fair value with changes in fair value being recognized in profit or loss for the period.

Impairment of Financial Assets

At each reporting date, assessment is made whether the credit risk on a financial instrument has increased significantly or not since initial recognition.

If the credit risk on a financial instrument has not increased significantly since initial recognition, the loss allowance is measured for that financial instrument at an amount equal to 12 month expected credit losses. If the credit risk on that financial instrument has increased significantly since initial recognition, the loss allowance is measured for a financial instrument at an amount equal to the lifetime expected credit losses.

The amount of expected credit losses (or reversal) that is required to adjust the loss allowance at the reporting date is recognised as an impairment gain or loss in the Statement of Profit and Loss.

2.23 Events Occurring after the Reporting Period

The company adjusts the amount recognized in its financial statements to reflect adjusting material events after the reporting period and does not adjust the amount to reflect non-adjusting events after the reporting period. However where retrospective restatement is not practicable for a particular prior period then the circumstances that lead to the existence of that condition and the description of how and from where the error is corrected are disclosed in Notes on Accounts.

2.24 Dividend

Final dividend on shares are recorded as a liability on the date of approval by the shareholders in general meeting and interim dividends are recorded as a liability on the date of declaration by the directors in the meeting of the Board of Directors.

2.25 Cash and Cash Equivalents

Cash and cash equivalent in the Balance Sheet comprise cash at bank and on hand and short term deposit with an original maturity of three months or less which are subject to insignificant risk of changes in value.

2.26 Rounding of amounts

Amounts in these financial statements have, unless otherwise indicated, have been rounded off to '₹ in lakh' upto two decimal points.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

Note : 3 (A) Property,Plant and Equipment (Active Assets)										(₹ in lakh)
DESCRIPTION	Free Hold Land	Buildings including Sanitary and Water Supply System	Plant, Machinery and Mining Equipment	Furniture & Fixtures & Office Equipment	Vehicles	Roads, Bridges and Culverts	Railway Siding	Electrical Equipment and Installation	Shafts and inclines	Total
Gross Carrying Amount										
Gross Carrying Amount as at 01.04.2018	2446.58	6748.32	24190.42	461.30	189.40	1826.38	293.87	2675.57	444.81	39276.65
Exchange Differences	-	-	-	-	-	-	-	-	-	-
Additions	-	285.97	2667.66	50.82	-	-	-	88.85	-	3093.30
Inter-head Transfer In/(Out)	-	(301.00)	337.90	(155.00)	-	-	-	118.10	-	-
Transfer From Discarded Assets	-	-	0.60	-	0.20	-	-	-	-	0.80
Transfer To Discarded Assets	-	(0.46)	(1039.16)	(33.30)	(19.26)	-	-	(4.11)	(0.60)	(1096.89)
Disposals	-	-	(29.34)	(0.21)	(2.11)	-	-	(0.17)	-	(31.83)
Impairment Losses Prov. Trf to Discarded Assets	-	-	464.01	-	-	-	-	-	-	464.01
Adjustments	-	(3.98)	(4.03)	(0.14)	0.01	0.01	(0.01)	(0.02)	-	(8.16)
Gross Carrying Amount as at 31.03.2019	2446.58	6728.85	26588.06	323.47	168.24	1826.39	293.86	2878.22	444.21	41697.88
Accumulated Depreciation & Impairment										
Accumulated Depreciation as at 01.04.2018	-	908.82	3787.36	155.81	33.28	653.49	65.34	444.83	27.98	6076.91
Depreciation charge during the year	-	526.38	2749.59	59.95	30.62	333.90	32.67	220.15	13.99	3967.25
Inter-head Transfer In/(Out)	-	607.50	(610.79)	(110.30)	-	-	-	113.59	-	-
Transfer From Discarded Assets	-	-	-	-	-	-	-	-	-	-
Transfer To Discarded Assets	-	-	-	-	-	-	-	-	-	-
Impairment Losses	-	-	-	-	-	-	-	-	-	-
Exchange Differences	-	-	-	-	-	-	-	-	-	-
Disposals	-	-	-	-	-	-	-	-	-	-
Accumulated Depreciaton & Impairment as at 31.03.2019	-	2042.70	5926.16	105.46	63.90	987.39	98.01	778.57	41.97	10044.16
Net Carrying Amount as at 31.03.2019	2446.58	4686.15	20661.90	218.01	104.34	839.00	195.85	2099.65	402.24	31653.72

Note : HCL has used the exemption available in Ind AS 101 with respect to recognition of Property, Plant, Equipment (PPE) and Intangible Assets at their carrying value.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

Note : 3 (B) Property, Plant and Equipment (Discarded Assets)

DESCRIPTION	Free Hold Land	Buildings including Sanitary and Water Supply System	Plant, Machinery and Mining Equipment	Furniture & Fixtures & Office Equipment	Vehicles	Roads, Bridges and Culverts	Railway Siding	Electrical Equipment and Installation	Shafts and inclines	Total
Gross Carrying Amount										
Gross Carrying Amount as at 01.04.2018	3.64	181.45	372.93	6.26	4.03	24.93	-	58.17	91.70	743.11
Exchange Differences	-	-	-	-	-	-	-	-	-	-
Additions	-	-	-	-	-	-	-	-	-	-
Inter-head Transfer In/(Out)	-	-	-	-	-	-	-	-	-	-
Transfer From Active Assets	-	0.46	1039.16	33.30	19.26	-	-	4.11	0.60	1096.89
Transfer To Active Assets	-	-	(0.60)	-	(0.20)	-	-	-	-	(0.80)
Disposals	-	-	(0.64)	-	-	-	-	-	-	(0.64)
Impairment Losses	-	-	(464.01)	-	-	-	-	-	-	(464.01)
Adjustments	-	-	-	-	-	-	-	-	-	-
Gross Carrying Amount as at 31.03.2019	3.64	181.91	946.84	39.56	23.09	24.93	0.00	62.28	92.30	1374.55
Accumulated Depreciation & Impairment										
Accumulated Depreciation as at 01.04.2018	-	-	-	-	-	-	-	-	-	-
Depreciation charge during the year	-	-	-	-	-	-	-	-	-	-
Inter-head Transfer In/(Out)	-	-	-	-	-	-	-	-	-	-
Transfer From Discarded Assets	-	-	-	-	-	-	-	-	-	-
Transfer To Discarded Assets	-	-	-	-	-	-	-	-	-	-
Impairment Losses	-	-	-	-	-	-	-	-	-	-
Exchange Differences	-	-	-	-	-	-	-	-	-	-
Disposals	-	-	-	-	-	-	-	-	-	-
Accumulated Depreciation & Impairment as at 31.03.2019	-	-	-	-	-	-	-	-	-	-
Net Carrying Amount as at 31.03.2019	3.64	181.91	946.84	39.56	23.09	24.93	0.00	62.28	92.30	1374.55
Less Provisions for Discarded Assets										1374.55
Net Carrying Amount (Net of Provisions) as at 31.03.2019										-

Note : HCL has used the exemption available in Ind AS 101 with respect to recognition of Property, Plant, Equipment (PPE) and Intangible Assets at their carrying value.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

PARTICULARS		As at 31 st March, 2019
Note No 4 CAPITAL WORK IN PROGRESS		
i)	Building	24.22
ii)	Plant & Machinery	33836.57
iii)	Others including Mine Expansion	72439.01
		106299.80
	Less: Provision	4088.49
	TOTAL	102211.31
Note No 5 NON - CURRENT FINANCIAL ASSETS - INVESTMENTS		
i)	Non Trade Investment in Debentures	0.17
	Less : Provision for diminution in value	0.17
	TOTAL	-
	AGGREGATE BOOK VALUE - UNQUOTED	Nil
	AGGREGATE BOOK VALUE - QUOTED	-
	MARKET PRICE OF QUOTED INVESTMENT	-
Note No 6 NON - CURRENT FINANCIAL ASSETS - OTHERS		
	Bank deposits with more than 12 months maturity	12.47
	TOTAL	12.47
Note No 7 DEFERRED TAX ASSETS (NET)		
i)	DEFERRED TAX ASSET	
	OPENING BALANCE	8780.81
	Adjustment/Credit during the year	463.09
	CLOSING BALANCE	9243.90
ii)	DEFERRED TAX LIABILITY	
	OPENING BALANCE	(3203.10)
	Adjustment/Credit during the year	204.82
	CLOSING BALANCE	(2998.28)
i)-ii)	DEFERRED TAX ASSETS / (LIABILITIES) (Net)	6245.62
	(Refer Note No. 38 General Notes on Accounts Point No. 20)	
Note No 8 NON-CURRENT TAX ASSETS (Net)		
	Income Tax (including advance income tax, TDS & excluding current tax liability) Unsecured - Considered good	620.33
	TOTAL	620.33



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

		(₹ in lakh)
PARTICULARS		As at 31 st March, 2019
Note No 9 OTHER NON - CURRENT ASSETS		
a) MOBILISATION ADVANCES		
i) Secured (considered good)		2178.89
ii) Unsecured (considered good)		
– Against Bank Guarantee		-
– Others		-
iii) Unsecured (considered doubtful)	0.02	
Less: Provisions for Capital Advances *	0.02	-
b) Other Loans & Advances		
Receivable from MPSEB		828.53
c) Mine Development Expenditure		
As per Last Balance Sheet	53068.54	
Add: Expenditure during the year (as per Note Below)	19898.22	
		72966.76
Less: Value of Ore recovered during Mine Development	223.84	
Less: Amortisation during the Year	21627.10	21850.94
		51115.82
Less: Provision		4664.86
TOTAL		46450.96
Note: MINE DEVELOPMENT EXPENDITURE DURING THE YEAR		
i) Salaries, Wages, Allowances		2182.50
ii) Contribution to Provident & Other Funds		170.84
iii) Workmen & Staff Welfare Expenses		9.03
iv) Stores, Spares & Tools Consumed		2369.33
v) Power, Fuel & Water		475.32
vi) Royalty		16.10
vii) Repair & Maintenance		4222.59
viii) Insurance		1.76
ix) Overburden Removal Expenditure		9711.09
x) Depreciation		304.95
xi) Other Expenses		434.71
TOTAL		19898.22
The above expenditure is in addition to the expenses shown under the respective natural head of accounts indicated and charged in the Statement of Profit and Loss Account for the year and in the relevant schedules thereof.		
Amortisation during the year is in relation to the expenses incurred on mines which are under operation/production and does not include expenditure on prospecting of minerals in new mines area.		
d) Prepaid Expenses		
Expenses on Leasehold Land		3810.40
TOTAL		3810.40
TOTAL (a+b+c+d)		53268.78
PROVISIONS FOR CAPITAL ADVANCES *		
OPENING BALANCE		0.02
Additions during the year		-
Amount used during the year		-
CLOSING BALANCE		0.02



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

PARTICULARS			As at 31 st March, 2019
Note No 10 INVENTORIES			
i)	Raw Materials		-
ii)	Semi-Finished and In-Process (at lower of cost or net realisable value)	58249.42	
	Less: Provision for Semi-Finished and In-Process *	123.03	58126.39
iii)	Finished Goods (at lower of cost or net realisable value)		1176.03
iv)	Stores and spares	7371.35	
	Stores in transit/ pending inspection	309.03	
		7680.38	
	Less: Provision for Obsolete Stores & Spares **	2616.03	5064.35
	TOTAL		64366.77
PROVISION FOR SEMI-FINISHED AND IN-PROCESS *			
	OPENING BALANCE		123.03
	Additions during the year		-
	Amount used during the year		-
	CLOSING BALANCE		123.03
PROVISION FOR OBSOLETE STORES & SPARES **			
	OPENING BALANCE		2534.25
	Additions during the year		106.81
	Amount used during the year		25.03
	CLOSING BALANCE		2616.03
Note No 11 CURRENT FINANCIAL ASSETS - INVESTMENTS			
Investments in Mutual Fund			
(Maturity within 3 months from date of original investments)			
	Number of units	NAV (in ₹)	
UTI MONEY MARKET - GROWTH	51.736	2112.55	1.09
SBI ULTRA SHORT TERM DEBT FUND - GROWTH	132.120	4169.40	5.51
CANARA REBECO LIQUID FUND - GROWTH	38.993	2258.68	0.88
IDBI LIQUID FUND - GROWTH	68.469	2002.99	1.37
TOTAL			8.85
AGGREGATE BOOK VALUE - UNQUOTED			Nil
AGGREGATE BOOK VALUE - QUOTED			7.84
MARKET PRICE OF QUOTED INVESTMENT			8.85



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

PARTICULARS		(₹ in lakh)
		As at 31 st March, 2019
Note No 12 CURRENT FINANCIAL ASSETS - TRADE RECEIVABLES		
DEBTS OUTSTANDING		
i) - Secured - Considered good	36154.83	
ii) - Unsecured - Considered good	-	
iii) - Considered doubtful	942.77	
	37097.60	
Less: Allowances for bad & doubtful debts *	942.77	36154.83
TOTAL		36154.83
ALLOWANCES FOR BAD & DOUBTFUL DEBTS *		
OPENING BALANCE		935.89
Additions during the year		22.46
Amount used during the year		15.58
CLOSING BALANCE		942.77
Explanatory Note: -		
Debt due by Directors or other officers of the company or any of them either severally or jointly with any other person or debts due by firms or private companies respectively in which any Director of the Company is a partner or a Director or a member amounts to ₹ Nil (Previous year ₹ Nil).		
Note No 13 CURRENT FINANCIAL ASSETS - CASH & CASH EQUIVALENTS		
I. CASH AND CASH EQUIVALENTS		
i. Cash on hand including imprest		0.25
ii. Balance with Banks		
-Current Account		663.28
II. OTHER BALANCES WITH BANK		
Bank deposits upto 3 months maturity from date of original investment		
- with scheduled banks		-
TOTAL		663.53
Note No 14 CURRENT FINANCIAL ASSETS - BANK BALANCE		
OTHER THAN CASH & CASH EQUIVALENTS		
I. Other Balances with Bank		
- in Dividend Balance Account		15.86
II. Bank deposits with more than 3 months and upto 12 months maturity		
- with scheduled banks		408.33
TOTAL		424.19



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

PARTICULARS

As at

31st March, 2019

Note No 15 CURRENT FINANCIAL ASSETS - OTHERS

a) ADVANCES

Employees

- Secured (considered good) 69.84

- Unsecured (considered doubtful) 2.03

Less : Provisions for doubtful advances * 2.03

TOTAL

69.84

b) INTEREST ACCRUED ON

i) LC from Customers 0.78

ii) Investments 9.16

iii) Deposits 23.92

iv) Others 0.58

34.44

c) CLAIMS RECOVERABLE

Claims recoverable from different agencies 3308.75

Less: Provision for Doubtful Claims ** 133.10

3175.65

TOTAL (a+b+c)

3279.93

DETAILS OF PROVISIONS

PROVISION FOR DOUBTFUL ADVANCES *

OPENING BALANCE 2.03

Additions during the year

Amount used during the year -

CLOSING BALANCE 2.03

PROVISION FOR DOUBTFUL CLAIMS **

OPENING BALANCE 133.14

Additions during the year -

Amount used during the year 0.04

CLOSING BALANCE 133.10

Explanatory Note: -

PARTICULARS OF LOANS AND ADVANCES DUE FROM DIRECTORS

i) Amount due at the end of the year ₹ Nil

ii) Advance due by firms or private companies in which any Director of the Company is a Partner or a director or a member amounts to ₹ Nil



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

PARTICULARS		(₹ in lakh)
		As at 31 st March, 2019
Note No 16 OTHER CURRENT ASSETS		
a)	Advances to contractors / suppliers	
	- Secured (considered good)	218.29
	- Unsecured (considered good)	-
	– Against Bank Guarantee	
	– Others	2099.84
	- Unsecured (considered doubtful)	723.33
		3041.46
b)	Other Advances	
	- secured (considered good)	50.90
	- Unsecured (considered doubtful)	13.93
		64.83
		3106.29
	Less : Provision for Doubtful Loans and Advances *	737.26
		2369.03
c)	DEPOSITS	
	Other Deposits	9392.51
	Less : Provision for Doubtful Deposits **	75.56
		9316.95
d)	OTHER CURRENT ASSETS	
	Other Current Assets	277.33
	Less: Provision for Other Current Assets ***	3.52
		273.81
e)	OTHER RECOVERABLES	
	IGST/CGST & SGST	20002.22
f)	PREPAID EXPENSES	
	Rent for Leasehold Land	141.29
	TOTAL	32103.30
DETAILS OF PROVISIONS		
PROVISION FOR DOUBTFUL LOANS AND ADVANCES *		
	OPENING BALANCE	728.63
	Additions during the year	8.63
	Amount used during the year	-
	CLOSING BALANCE	737.26
PROVISIONS FOR DOUBTFUL DEPOSITS **		
	OPENING BALANCE	75.56
	Additions during the year	-
	Amount used during the year	-
	CLOSING BALANCE	75.56
PROVISION FOR OTHER CURRENT ASSETS ***		
	OPENING BALANCE	3.52
	Additions during the year	-
	Amount used during the year	-
	CLOSING BALANCE	3.52



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

PARTICULARS	In No.	(₹ in lakh)
		As at 31 st March, 2019
Note No 17 EQUITY SHARE CAPITAL		
a) AUTHORISED SHARE CAPITAL		
- Equity Share Capital	18000000000	90000.00
- 7.50% Non-Cum. Redeemable Preference Shares of HCL	2000000	20000.00
b) PAR VALUE PER EQUITY SHARE (in ₹)		₹ 5
c) PAR VALUE PER PREFERENCE SHARE (in ₹) for HCL		1000.00
d) NO. OF SHARES ISSUED, SUBSCRIBED AND FULLY PAID UP		
- Equity Share Capital of HCL	925218000	46260.90
- 7.50% Non-Cum. Redeemable Preference Shares of HCL	-	-
TOTAL		46260.90
e) RECONCILIATION OF NO. OF SHARES & SHARE CAPITAL OUTSTANDING:		
	No. of Shares	(₹ in lakh)
OUTSTANDING AS ON 01.04.2018	925218000	46260.90
Add: Share Capital issued/ subscribed during the year	-	-
Less: Reduction in Share Capital	-	-
OUTSTANDING AS ON 31.03.2019	925218000	46260.90
f) TERMS/RIGHTS ATTACHED TO EQUITY SHARES		
The Company has only one class of Equity Shares having par value of ₹ 5/- each and is entitled to one vote per share.		
g) SHARES IN THE COMPANY HELD BY EACH SHAREHOLDER HOLDING MORE THAN 5 PERCENT OF THE NUMBER OF SHARES		
	In No.	(%)
For HCL		
- President of India	703587852	76.05%
- Life Insurance Corporation of India	112338152	12.14%
For Subsidiary		
- HCL	185000	74.00%
- CMDC LTD	65000	26.00%



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

		(₹ in lakh)
PARTICULARS		As at 31 st March, 2019
Note No 18 OTHER EQUITY		
a) CAPITAL RESERVE *		
AS PER LAST BALANCE SHEET		21166.24
b) GENERAL RESERVE		
AS PER LAST BALANCE SHEET		8965.97
c) CORPORATE SOCIAL RESPONSIBILITY FUND		
AS PER LAST BALANCE SHEET	22.78	
Add: During the year	-	
Less: Amount reversed during the year	-	
Less: Amount used during the year	22.78	
AS AT BALANCE SHEET DATE	-	
d) MINE CLOSURE RESERVES		
AS PER LAST BALANCE SHEET	-	
Add: During the year	163.00	
Less: Amount reversed during the year	-	
Less: Amount used during the year	-	
AS AT BALANCE SHEET DATE		163.00
f) CURRENCY FLUCTUATION RESERVE **		
AS PER LAST BALANCE SHEET		
Add: Equity Component of Foreign Currency Loan	155.94	
Less: Amount reversed during the year	-	
Less: Amount used during the year	-	
AS AT BALANCE SHEET DATE		155.94
g) RETAINED EARNING ***		86381.10
TOTAL		116832.25
Details of Retained Earning ***		
Profit /(Loss) for the period after tax - Consolidated		14526.26
Less : Profit /(Loss) for the period after tax - Attributable to Non Controlling Interest		(6.45)
Profit /(Loss) for the period after tax - Attributable to Owners		14532.71
Other Comprehensive Income as per Statement of Profit and Loss		(1676.21)
Total Comprehensive Income for the period		12850.05
Total Comprehensive Income for the period- Attributable to Owners		12856.50
Balance brought forward		76313.10
BALANCE AVAILABLE FOR APPROPRIATION		89169.60
i) Less :Dividend		2313.05
ii) Less :Tax on Dividend		475.45
BALANCE CARRIED FORWARD		86381.10

* Capital Reserve is created from the Grant received from the Government of India during the approval of Financial Re-structuring proposal by Ministry of Mines and out of Capital Profits over the years. This Reserve is not created out of Revenue Profits of the Company.

** Currency Fluctuation Reserve is not created out of Revenue Profits of the Company.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

PARTICULARS

As at

31st March, 2019

Note No 19 NON-CURRENT FINANCIAL LIABILITIES - BORROWINGS

LONG TERM LOANS

- From Banks/ FIs

- Secured

- EXIM Bank (Loan I)

5443.02

(The title deeds for Freehold and Leasehold Land and Building acquired in respect of Gujarat Copper Project are yet to be executed. Pending the same, the title deeds of land of TCP has been submitted as an alternate security over which no hypothecation has been created.)

- EXIM Bank (Loan II)

28215.21

(First pari-passu charge on movable fixed assets, both present and future of the Company, excluding GCP and TCP)

- SBI

17407.50

(First pari-passu charge on immovable fixed assets of the Company located at MCP, both present and future , excluding leasehold land/property)

- Unsecured

- Axis Bank

6000.00

TOTAL

57065.73

Note No 20 NON-CURRENT FINANCIAL LIABILITIES - OTHERS

OTHERS (Compensation received from Govt of Jharkhand for repair of township)

843.53

TOTAL

843.53

Note No 21 NON - CURRENT - PROVISIONS

PROVISION FOR EMPLOYEE BENEFITS

i) PROVISION FOR LEAVE ENCASHMENT

AS PER LAST BALANCE SHEET

11930.19

Additions during the year

-

Amount used during the year

1009.87

CLOSING BALANCE

10920.32

ii) PROVISION FOR GRATUITY

AS PER LAST BALANCE SHEET

(3743.46)

Additions during the year

1094.73

Amount used/funded during the year

2800.00

CLOSING BALANCE

(5448.73)

TOTAL

5471.59

(Refer Note No. 38 General Notes on Accounts Point No. 22)



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

PARTICULARS	(₹ in lakh)
As at 31 st March, 2019	
Note No 22 CURRENT FINANCIAL LIABILITIES - BORROWINGS	
SHORT TERM LOANS	
i) From Banks/ FIs	
- Secured (Secured by hypothecation of Stock-in-Trade, Stores & Spare Parts and Book Debts, both present and future of the Group)	16503.81
ii) Working Capital Term Loan (Unsecured)	
- Axis Bank	9702.84
- Kotak Mahindra Bank	-
- HDFC Bank	13000.00
iii) Buyers' Credit	-
LONG TERM LOANS	
• Due in next 1 year	
i) EXIM Bank (Loan I)	5443.04
ii) EXIM Bank (Loan II)	1795.51
iii) Axis Bank	3500.00
TOTAL	49945.20
Note No 23 CURRENT FINANCIAL LIABILITIES - TRADE PAYABLE	
i) Total outstanding dues of micro enterprises and small enterprises	535.45
ii) Total outstanding dues of creditors other than micro enterprises and small enterprises	19693.63
TOTAL	20229.08
Note No 24 CURRENT FINANCIAL LIABILITIES - OTHERS	
i) Interest accrued but not due on borrowings & term loans	359.97
ii) Unpaid dividend	15.86
iii) Deposits/ Retention money	5885.05
iv) Other liabilities	1339.49
TOTAL	7600.37
Note No 25 OTHER CURRENT LIABILITIES	
i) Statutory dues payables	4665.09
ii) Advances from Customers	1977.75
iii) Sundry Creditors - Others	12241.10
TOTAL	18883.94



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

As at
31st March, 2019

Note No 26 CURRENT - PROVISIONS

a)	PROVISION FOR EMPLOYEE BENEFITS		
i)	PROVISION FOR LEAVE ENCASHMENT		
	AS PER LAST BALANCE SHEET	741.60	
	Additions during the year	1239.25	
	Amount used during the year	-	
	CLOSING BALANCE		1980.85
ii)	PROVISION FOR GRATUITY		
	AS PER LAST BALANCE SHEET	(3513.13)	
	Additions during the year	652.24	
	Amount used during the year	-	
	CLOSING BALANCE		(2860.89)
iii)	PROVISION FOR LEAVE TRAVEL CONCESSION (LTC)		
	AS PER LAST BALANCE SHEET	139.11	
	Additions during the year	32.82	
	Amount used during the year	-	
	CLOSING BALANCE		171.93
iv)	PROVISION FOR PRP/INCENTIVE		
	AS PER LAST BALANCE SHEET	882.00	
	Additions during the year	1145.00	
	Amount used during the year	300.00	
	CLOSING BALANCE		1727.00
v)	PROVISION FOR WAGE REVISION		
	AS PER LAST BALANCE SHEET	5621.17	
	Additions during the year	-	
	Amount used during the year	1362.90	
	CLOSING BALANCE		4258.27
b)	OTHERS		
i)	DIVIDEND		
	AS PER LAST BALANCE SHEET	-	
	Additions during the year	2313.05	
	Amount used during the year	2313.05	
	CLOSING BALANCE		-
ii)	TAX ON DIVIDEND		
	AS PER LAST BALANCE SHEET	-	
	Additions during the year	475.45	
	Amount used during the year	475.45	
	CLOSING BALANCE		-
iii)	PROVISION - OTHERS		
	AS PER LAST BALANCE SHEET	1366.75	
	Additions during the year	33.60	
	Amount used during the year	380.47	
	CLOSING BALANCE		1019.88
	TOTAL		6297.04

(Refer Note No. 38 General Notes on Accounts Point No. 21)

Note No 27 CURRENT TAX LIABILITIES (Net)

Additions during the year	8644.62	
Less : Refund pertaining to earlier years	310.58	
Less : Advance Income Tax & TDS	6750.08	
Current Tax Liabilities (Net of Advance Tax & TDS)		1583.96



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

PARTICULARS		(₹ in lakh)
		For the year ended 31 st March, 2019
Note No 28 REVENUE FROM OPERATIONS		
SALE OF PRODUCTS		
- Domestic		91076.52
- Export		84267.33
		175343.85
Less : Discount & Rebate		14.55
SALES (Net of Discounts) (A)		175329.30
SALE OF SERVICES (B)		455.70
OTHER OPERATING INCOME (C)		
-Sale of Scrap		987.36
-Interest received from Customers		246.35
-Interest received from Contractors against mobilization advances for mining operations		262.80
-Penalty & Liquidated Damages	1752.00	
Less : Refunded during the year	203.57	1548.43
-Excess Electricity Charges earlier paid adjusted by MPSEB against current Electricity bills		2795.78
(Refer Note No. 38 General Notes on Accounts Point No.12)		
- Exchange Rate Variation		-
TOTAL (C)		5840.72
TOTAL (A+B+C)		181625.72
Note No 29 OTHER INCOME		
- Claims Received		10.44
- Interest from Term Deposits		96.62
- Interest - Others		237.87
- Profit on sale of Assets		48.24
- Profit on Sale of Investment		-
- Profit on Fair Value of Investment		0.67
- Others		2176.74
- Provisions not required written back #		1095.29
TOTAL		3665.87
Details of Provisions not required written back # (Refer Note No.38 General Notes on Accounts Point No.13)		
Bad and doubtful Debts, advances / deposits & claims		16.56
Excess provisions on account of shortage, non-moving, Obsolete & insurance Stores & Spares and finished goods		26.93
Provision for Discarded Assets no longer required		1.16
Provision for CSR no longer required Written Back		30.59
Provision for Interest on MSME		169.94
Provision for MP Rural Infrastructure & Road Development Tax & Water Charges		370.78
Old Liability Written Back for S.Creditors, SD & EMD more than 5 years and Others		479.33
TOTAL		1095.29



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

PARTICULARS	For the year ended 31 st March, 2019
Note No 30 COST OF MATERIALS CONSUMED	
Raw Materials Consumed	6269.57
Value of Ore Raised During Mine Development	223.84
TOTAL	6493.41
Note No 31 CHANGES IN INVENTORIES OF FINISHED GOODS, SEMI-FINISHED AND WORK- IN-PROCESS	
A. OPENING STOCK:	
Finished Goods	257.24
Semi-Finished and In-Process	73504.95
TOTAL OPENING STOCK	73762.19
B. CLOSING STOCK:	
Finished Goods	1176.03
Semi-Finished and In-Process	58249.42
TOTAL CLOSING STOCK	59425.45
(INCREASE)/ DECREASE (A-B)	14336.74
Note No 32 EMPLOYEES BENEFIT EXPENSE	
Salaries, Wages & Allowances	23320.29
Bonus/Ex-gratia/Performance Related Pay	1426.21
Contribution to Provident & Other Funds	2263.98
Workmen & Staff Welfare Expenses	1696.74
Gratuity & Leave Encashment	2944.26
TOTAL	31651.48
Explanatory Note: -	
The detail of Remuneration paid/payable to Directors as included in above payments are as follows: -	
(i) Salaries & Allowances	212.32
(ii) Contribution to Provident & Other Funds	13.99
(iii) Re-imbursement of Medical Expenses	0.53
(iv) Leave Encashment	13.23
(v) Gratuity paid	10.00
TOTAL	250.07
In addition the Whole-time Directors are allowed the use of company car for private purpose and have been provided with residential accommodation as per terms of their appointment / Government guidelines and the charges are recovered at the rates prescribed by the Government.	
Note No 33 FINANCE COST	
- Interest on Cash Credit	1339.00
- Others (including Term Loans)	4207.10
TOTAL	5546.10
Note No 34 DEPRECIATION AND AMORTISATION EXPENSE	
A. DEPRECIATION	
Depreciation for the year	3967.25
Less: Depreciation transferred to Mine Development Expenditure	304.95
SUB TOTAL (A)	3662.30
B. AMORTISATION	
Amortisation during the year *	21627.10
SUB TOTAL (B)	21627.10
TOTAL (A+B)	25289.40

* Amortisation during the year is in relation to the expenses incurred on mines which are under operation/production and does not include expenditure on prospecting of minerals in new mines area.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

		(₹ in lakh)
PARTICULARS		For the year ended 31 st March, 2019
Note No 35 OTHER EXPENSES		
A.	OTHER MANUFACTURING EXPENSES	
	- Stores ,Spares& Tools Consumed	11706.53
	- Consumption of Power, Fuel & Water	22186.57
	- Royalty, Cess & Decretal amount	9803.47
	- Contractual Job for Process	13905.88
	- Handling & Transportation	6811.67
	- Tolling Charges	-
	- Expenses for Leasehold Land	141.29
	SUB TOTAL (A)	64555.41
B.	REPAIRS & MAINTENANCE & MAJOR OVERHAUL EXPENSES	
	- Building	195.08
	- Machinery	4889.34
	- Others	681.86
	SUB TOTAL (B)	5766.28
C.	ADMINISTRATION EXPENSES	
	- Insurance	204.77
	- Rent	137.83
	- Rates and Taxes	766.15
	- Security Expenses	970.41
	- Travelling and Conveyance	562.57
	- Telephone, Telex and Postage	144.03
	- Advertisement and Publicity	174.90
	- Printing and Stationery	125.70
	- Books & Periodicals	3.63
	- Consultancy Charges - Indigenous	757.67
	- Loss on Sale of Assets(Net)	-
	- Exchange Rate Variation(Net)	0.17
	- Bad debts / advances/ claims written off	
	- MTM Debit Foreign Exchange	1071.48
	- MTM Debit/Credit & Hedging Expenses	-
	- Research & Development Expenses	-
	- Corporate Social Responsibility Expenses	185.38
	- Hire Charges	389.86
	- Audit Expenses (Refer detail below at Sl 1)	30.28
	- Independent Directors Expenses	10.35
	- Bank Charges	155.01
	- Other General Expenses	1051.91
	SUB TOTAL (C)	6742.10
D.	Excise Duty	-
	Net impact of Excise Duty on Closing Stock	-
	SUB TOTAL (D)	-
E.	PROVISIONS (Refer detail below at Sl 2)	1900.82
	TOTAL (A+B+C+D+E)	78964.61



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

(₹ in lakh)

PARTICULARS		For the year ended 31 st March, 2019
Note No 35 OTHER EXPENSES (Contd.)		
	Explanatory Note: -	
1)	Detail of Audit Expenses are as under: -	
i)	Statutory Auditors	
	- Statutory Audit Fees	11.15
	- Tax Audit Fees	0.89
	- In Other Capacity	8.65
	- Reimbursement of Expenses	5.81
		26.50
ii)	Cost Auditors	
	- Cost Audit Fees	0.61
	- Reimbursement of Expenses	0.86
		1.47
iii)	Internal Auditors	
	- Audit Fees	0.65
	- Reimbursement of expenses	1.66
		2.31
	TOTAL	30.28
2)	Detail of Provisions are as under: -	
	Doubtful debts	-
	Doubtful advances / deposits	9.82
	Prov. For Obsolete /Non-moving Stores	108.71
	Prov. For Discrepancy of Stores & Spares	-
	Prov. For Capital Work in Progress	695.58
	Prov. For Assets	631.54
	Interest on MSMED	291.03
	Provision for Mine Closure Expenditure	163.00
	Provision for Others	1.14
	TOTAL	1900.82
Note No 36 TAX EXPENSE		
	CURRENT TAX	
	Income Tax Provision	8656.75
	Income Tax relating to earlier years	472.18
	Deferred Tax Account	(667.91)
	TOTAL	8461.02
Note No 37 OTHER COMPREHENSIVE INCOME		
A(i)	Items that will not be reclassified to Profit/Loss	
	Actuarial gain/loss recognised in the year for employees : Gratuity	(1676.21)
	TOTAL (A(i))	(1676.21)
A(ii)	Income Tax relating to items that will not be reclassified to Profit & Loss	-
	TOTAL (A(ii))	-
B(i)	Items that will be reclassified to Profit/Loss	
	TOTAL (B(i))	-
B(ii)	Income Tax relating to items that will be reclassified to Profit & Loss	
	TOTAL (B(ii))	-



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

38 GENERAL NOTES ON ACCOUNTS

1. CONTINGENT LIABILITIES AND COMMITMENTS (TO THE EXTENT NOT PROVIDED FOR)

(i) Contingent Liabilities: -

a. Claims against the Group not acknowledged as debt :	2018-19
	(₹ in lakh)
i. Disputed VAT / CST / Entry Tax	3347.51
ii. Disputed Excise Duty	5747.41
iii. Disputed Income Tax / Provident Fund	11101.54
iv. Other Demand	34578.47
SUB-TOTAL (A)	54774.93
b. Other money for which the Group is contingently liable :	
i. Bank Guarantee	2585.42
ii. Letter of Credit	1894.47
iii. Bill discounting	6636.44
SUB-TOTAL (B)	11116.33
GRAND TOTAL (A+B)	65891.26
(ii) Commitments:-	
Estimated amount of contracts remaining to be executed on capital account and not provided for (Net of advance and deposit)	86661.55

Details of Claims against the Group not acknowledged as debt (of 1(i)(a) above)

VAT/CST/ENTRY TAX

There are demand notices totaling to Gross Demand of ₹ 3347.51 lakh from various State Revenue Authorities regarding VAT/CST/Entry Tax against which the company has deposited under protest of ₹ 610.33 lakh. The Group is contesting the demand and the management as well as the legal advisors/consultants are of the opinion that its contention will likely to be upheld by the Appellate Authorities. The Group also believes that ultimate outcome of these proceedings will not have a material adverse impact on the financial position of the Group.

EXCISE DUTY

There are demand notices totaling to Gross Demand of ₹ 5747.41 lakh from Central Excise Authorities regarding Excise Duty against which the company has deposited under protest of ₹ 30.34 lakh. The Group is contesting the demand and the management as well as the legal advisors/consultants are of the opinion that its contention will likely to be upheld by the Appellate Authorities. The Group also believes that ultimate outcome of these proceedings will not have a material adverse impact on the financial position of the Group.

INCOME TAX & PROVIDENT FUND

There are Income Tax & Provident Fund demand notices totaling to Gross Demand of ₹ 11101.54 lakh against which the company has deposited under protest of ₹ 72.31 lakh. The Group is contesting the said demands before the High Court and Appellate Authorities. The management as well as the income tax /provident fund consultant are of the opinion that its contention will likely to be upheld by the Appellate Authorities. The Group also believes that ultimate outcome of these proceedings will not have a material adverse impact on the financial position of the Group.

OTHER DEMAND of ₹ 34578.47 lakh

The major pending litigation cases are as follows:

- The Municipal Council, Malanjkhanda, raised a demand on Malanjkhanda Copper Project (MCP) amounting to ₹ 7046.64 lakh on account of penalty on Terminal Tax for the periods from financial year 2000-01 to 2005-06 on the ground of short payment of Terminal Tax by adopting higher assessable value as well as higher of Metal in Ore (MIO) produced and Metal in Concentrate (MIC) despatched. The matter was contested by the Group before the Hon'ble High Court, Jabalpur, M.P. and the Group paid ₹ 352.33 lakh towards penalty Terminal Tax as per the order of Hon'ble High Court, Jabalpur, M.P. Subsequently the matter was turned down by the Hon'ble High Court, Jabalpur, M.P. The Group filed writ petition before the Hon'ble Supreme Court of India. The Hon'ble Supreme Court vide its order dated 29.07.2011 directed the Group to deposit an ad-hoc amount of ₹ 1000.00 lakh to Municipal Council, Malanjkhanda



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

which has since been deposited by the Group and shown as 'Deposits with Court' and also ordered that the matter may be heard on the ground of merit by the Civil Court, Baihar. Further a demand of ₹ 18867.56 lakh for the periods from 2006-07 to 2011-12 was also raised on the above ground for which the appeal by the Group is pending before the Hon'ble Supreme Court. Pending final decision, the full amount of ₹ 25914.20 lakh has been disclosed under 'Contingent Liability'.

- b. The Municipal Council, Malanjkhanda, Madhya Pradesh issued demands on MCP for ₹ 558.24 lakh on account of Property Tax for several years against which the Group filed writ petitions before the Hon'ble Madhya Pradesh High Court, Jabalpur challenging the demand notice. The amount of ₹ 558.24 lakh has been included under 'Contingent Liability'.
- c. There was a trade dispute with M/s Bhagawati Gases Ltd (BGL) in connection with an agreement to supply of gaseous oxygen at Khetri Copper Complex. The dispute was referred to Arbitration. The claim of BGL is for an amount of ₹ 1079.80 lakh with a corresponding counter claim of ₹ 534.62 lakh by the Group. The arbitral award went against the Group. The Group had filed an appeal before the Hon'ble High Court of Rajasthan and the same was admitted for hearing. The Group preferred appeal before the Hon'ble Rajasthan High Court regarding interim deposit of arbitral award pending disposal of original appeal, but the same was dismissed. Thereafter the Group had preferred appeal before Hon'ble Supreme Court and the Hon'ble Supreme Court passed the order directing the Group to deposit the entire decretal amount along with interest amounting to ₹ 1733.50 lakh in the form of Fixed Deposit. The Group deposited the said amount and shown the same as Deposit in Current assets. Pending decision of the original appeal against arbitral award before the Hon'ble Rajasthan High Court, the said amount of ₹ 1733.50 lakh has been disclosed under 'Contingent Liability'.
- d. There was a demand from M/s Uttkal Moulders amounting to ₹ 1662.72 lakh regarding interest for delayed payment against supply of grinding media balls at Malanjkhanda Copper Project. The case is pending before the Sole Arbitrator. Pending final decision, the said amount of ₹ 1662.72 lakh has been disclosed under 'Contingent Liability'.
- e. In addition there are number of pending litigation cases against the Group claiming demand of ₹ 4709.81 lakh by retired employees, third parties etc. which the Group is contesting before different Legal Forums / Courts.

The management as well as the legal advisors/consultants are of the opinion that its position will likely to be upheld in the appellate proceedings. The Group also believes that ultimate outcome of these proceedings will not have a material adverse impact on the financial position of the Group.

2. During the year, the Group has made a provision amounting to ₹ 1145.00 lakh in terms of DPE guidelines towards Performance Related Pay payable to the executives for F.Y. 2018-19 which is shown under 'Employees' Benefit Expenses'.
3. Lease premium paid for land for mining purposes including payment for Net Present Value (NPV) of forest area paid to forest department is capitalized under the head Prepaid Expenses shown under Note No. 9(d) & 16(g).
4. At Indian Copper Complex (ICC) certain freehold lands acquired through nationalization in accordance with Indian Copper Corporation (Acquisition of Undertaking) Act, 1972, for which title deeds, conveyance deeds etc. are not in the possession of the group. The lease agreements of Kendadih, Rakha and Surda Mining Lease at ICC with the State Government has been renewed in respect of leasehold lands valid upto 31.03.2020.
5. The commercial operation of Smelter, Refinery and Sulphuric Acid Plant at Khetri Copper Complex (KCC) were suspended since December 2008. The Group suffered loss on account of impairment of the said plants valued by an independent consultant and consequently a total sum of ₹ 464.01 lakh was provided in the accounts for impairment loss in compliance with the guidelines of IND AS 36 on "Impairment of Assets" as on 31.03.2019. Total inventory valued ₹ 33.21 lakh after provision of ₹ 4.55 lakh which remained as process material in the above Plant is included in the Inventory of the Group. The management is of the opinion that such inventories consisting mainly of metal content and having realizable value at least equal to the amount at which they are stated.
6. The title deeds in respect of office flat at SCOPE Complex, Delhi & Jaipur office with total book value of ₹ 58.47 lakh are yet to be executed. Further, the title deeds for Freehold and Leasehold Land and Building acquired in respect of Gujarat Copper Project (GCP) with book value of ₹ 5859.97 lakh are yet to be executed.
7. At ICC, Pollution Control Plant under Package I & III amounting to ₹ 2100.50 lakh have not been capitalized for want of completion of trial / guarantee run as per terms of contract. As a matter of prudence, full provision for the same has been made in the accounts to take care of efflux of time over the years.
8. Confirmation letters of majority of balances under the heads Sundry Creditors, Claims Recoverable, Loans & Advances, Sundry Debtors and Deposits from and with various parties/ Government Departments have been sent but in number of cases such confirmation letters from the parties are yet to be received.
9. Like last year, considering the present scenario of MCP mines and to sustain the planned production, management during the year also decided to process the lean ore along with the normal ore produced from the mine. At the end of the year, the value of closing lean ore was ₹ 2321.95 lakh. The physical verification of lean ore has been conducted by the Malanjkhanda Mining Department.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

10. During the year, the Group has spent a sum of ₹ 208.16 lakh on account of Corporate Social Responsibility (CSR) expenses out of which ₹ 185.38 lakh is charged to Statement of Profit & Loss and the balance amount of ₹ 22.78 lakh has been utilized out of unspent balance of CSR Fund.

Amount spent during the year on:

Sl. No.	Particulars in cash	In cash	Yet to be paid	Total
(i)	Construction/acquisition of any asset	-	-	-
(ii)	On purposes other than (i)above	₹ 208.16 lakh	-	₹ 208.16 lakh

11. Information related to Micro, Small and Medium Enterprises Development Act, 2006 is disclosed hereunder:

a)	i) Principal amount remaining unpaid to any supplier at the end of the financial year	₹ 535.45 lakh
	ii) Interest due on above	₹ 182.18 lakh
b)	Amount of interest paid by the buyer in terms of Section 16 of the Act, along with amount of payment made beyond the appointed date during the year	₹ 0.36 lakh
c)	Amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the due date during the year) but without adding the interest specified under the Act	₹ 737.00 lakh
d)	Amount of interest accrued and remaining unpaid at the end of the financial year	₹ 919.18 lakh
e)	Amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the Small enterprise, for the purpose of disallowance as a deductible expenditure under Section 23 of the Act	NIL

The information has been given of such vendors to the extent they could be identified as "Micro and Small" enterprises on the basis of information available to the Group.

12. Consequent to the decision of the Hon'ble Supreme Court vide its order dated 10.11.2016 in favour of the Group in respect of appeal filed, a total amount of ₹ 12315.10 lakh is receivable from M.P. State Electricity Board (now renamed as MPVVNL) on account of excess charge of electricity bills paid in earlier periods. However, on conservative basis, against such excess charge of electricity bills receivable, the Group has taken the balance credit of ₹ 2795.78 lakh on the basis of adjustment against bills raised by MPVVNL during the year 2018-19.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

13. During the year the Group has written back old liabilities / provisions amounting to ₹ 1095.29 lakh in the accounts, the details of which are as under :-

Sl. No.	PARTICULARS	₹ in lakh	REASONS FOR REVERSAL
1.	Excess provision on account of shortage, non-moving, obsolete and insurance Stores & Spares written back in respect of MCP - ₹ 25.03 lakh & KCC - ₹ 1.90 lakh	26.93	Consequent to physical verification conducted and on reconciliation with book records during the year, the excess provision at the end of the year has been written back to revenue.
2.	Excess provision for doubtful debts & claims no longer required is written back in TCP - ₹ 7.70 lakh, RSOW - ₹ 8.83 lakh & KCC - ₹ 0.03 lakh	16.56	The relevant amount of debts and claims were recovered from the customers/parties and hence the provision for doubtful debts & claims created in earlier years has been written back.
3.	Excess provision for discarded assets no longer required is written back in KCC - ₹ 0.63 lakh, RSOW - ₹ 0.42 lakh & ICC - ₹ 0.11 lakh	1.16	Sale of assets during the year for which provision already existed has been written back.
4.	Excess provision created for MP Rural Infrastructure & Road Development Tax no longer required in MCP	316.76	The excess provision for MP Rural Infrastructure & Road Development Tax has been written back
5.	Excess provision for interest on MSME is written back in KCC - ₹ 70.67 lakh & MCP - ₹ 99.27 lakh	169.94	Excess provision for interest on MSME created in earlier years has been written back.
6.	Excess provision created for Water Bill is written back at MCP	54.02	The excess provision for Water Bill has been written back
7.	Liability for unclaimed EMD, SD & Sundry Creditors for more than 5 years written back at ICC - ₹ 262.82 lakh & HO - ₹ 213.62 lakh	476.44	The unclaimed liability for EMD, SD & Sundry Creditors unmoved for more than 5 years has been written back
8.	Excess provision for CSR created in earlier years is written back in ICC - ₹ 21.34 lakh & HO - ₹ 9.25 lakh	30.59	Excess provision for CSR created in earlier years has been written back.
9.	Excess liability created during the earlier years in HO	2.89	The excess liability created in earlier years has been written back.
	Total	1095.29	

14. No fraud by the Group or any fraud on the Group by its officers and employees has been noticed or reported during the current financial year.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

15. The Group has closed / suspended many of its mining operations located at various places, Fertilizer Plant at Khetri in different years due to their uneconomic operations. As per requirement of IND AS 105 on "Non-current Assets Held for Sale and Discontinued Operations" the following information for the year are furnished:

(₹ in lakh)

	MSB GROUP OF MINES	RCP	CCP	DCP	Fertilizer Plant
i) Initial disclosure event (Year of closure)	1997 to 2003	2001	2002	1994	2001
ii) Carrying amount of Assets	No separate records maintained	503.89	–	–	No separate records maintained
iii) Liabilities to be settled		137.17	73.04	3.38	
iv) Amount of income		–	–	–	
v) Amount of expenses	–	34.70*	–	–	
vi) Gain on sale of assets (Included in iv above)	–	–	–	–	

* This is included in cash generated from operations in the Cash Flow Statement.

Pending fulfillment of conditions as set out in paragraphs 6 to 8 of IND AS 105 "Non-current Assets Held for Sale and Discontinued Operations" the aforesaid assets held under disposal group and inadvertently shown as "Non-current Assets Held for Sale" for the previous year has now been re-classified under Discarded Assets category and shown in Note No. 3B of the financial statements.

16. Since the Group is primarily engaged in the business of manufacture and sale of copper products, the same is considered to be the only primary reportable business segment and accordingly has been reported. As the Group operates predominantly within the geographical limits of India, no secondary segment reporting has been considered as per IND AS 108 "Operating Segments".

17. Sales for the period include FOB value of Export Sales:-

2018-19		
	Qty (MT)	₹ in lakh
Anode Slime	19.800	2004.64
Copper Reverts	670.934	2027.10
Copper Concentrate (CMT)	19571.433	80235.59
Total		84267.33



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

18. In terms of IND AS 24 on "Related Party Disclosures":

The Holding Company does not have any Advances provided to its Subsidiary as at the year-end except as is disclosed below:

Transactions with Related Party

(₹ in lakh)

Name of Related Party	Nature of Relationship	Type of Transaction	Year ended 31.03.19
Chhattisgarh Copper Limited	Subsidiary	Investment in shares as on	18.50
		Advances given as on	6.50

The remuneration of key Management personnel are gives below:

Particulars	Key Management Personnel	Total Remuneration (₹ in lakh)
		FY 2018-19
A. FUNCTIONAL DIRECTORS		
Receiving of Services	1. Sri Santosh Sharma Chairman-cum-Managing Director	66.45
	2. Sri K D Diwan Chairman-cum-Managing Director	21.11 (Arrear Gratuity & PRP)
	3. Sri Anupam Anand Director (Personnel)	59.01
	4. Sri S K Bhattacharya Director (Mining)	49.03
	5. Sri S K Bandyopadhyay Director (Finance)	32.55 (Part of the year)
	6. Sri Arun Kumar Shukla Director (Operations)	21.92 (Part of the year)
OTHER THAN FUNCTIONAL DIRECTORS		
	7. Sri C S Singhi Company Secretary	43.80

INDEPENDENT DIRECTORS

Smt Simantini Jena - Date of appointment - 17.11.2015 & Re-appointed on 17.11.2018

Sri Hemant Mehtani - Date of appointment - 17.11.2015 & Re-appointed on 17.11.2018

Sri D R S Chaudhary - Date of appointment - 01.12.2015 & Re-appointed on 01.12.2018

Sri Subhash Sharma - Date of appointment - 18.02.2018

(₹ in lakh)

Sl. No.	Payment to Independent Directors	FY 2018-19
1.	Sitting Fees	10.35

Balance Outstanding with Key Managerial Personnel as on 31.03.2019

Sl. No.	Particulars	As on 31.03.2019
1.	Amount payable	Nil
2.	Amount receivable	Nil



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

19. In terms of IND AS 33 on "Earning per Share" : (₹ in lakh)

	BASIC	DILUTED
Profit After Tax	14526.26	14526.26
Denominator used: Weighted average number of Equity Shares of ₹5/- (Previous year ₹5/- each) outstanding during the period.	925218000	925218000
Earning Per Share (₹)	1.570	1.570

20. The Group has accounted for Deferred Tax in accordance with the guidelines of IND AS 12 on "Income Taxes" issued by The Institute of Chartered Accountants of India. The Deferred tax balances are set out below:-

DEFERRED TAX ASSET (NET): - (₹ in lakh)

Particulars	Deferred Tax Asset/ (Liability) as at 01.04.2018	Adjustments	Credit/ (Charge) during 2018-19	Deferred Tax Asset/ (Liability) as at 31.03.2019
Deferred Tax Asset :-				
Difference between provision made in accounts and claims made as per I. T Act	8780.81	-	463.09	9243.90
	8780.81	-	463.09	9243.90
Deferred Tax Liability :-				
Difference between net book value of depreciable capital assets vis-a-vis WDV as per IT Act	(3203.10)	-	204.82	(2998.28)
Adjustment for fair value of Investment	-	-	-	-
	(3203.10)	-	204.82	(2998.28)
Deferred Tax Asset (Net)	5577.71	-	667.91	6245.62

21. PROVISIONS FOR CONTINGENCIES: - (₹ in lakh)

Particulars	Discarded Fixed Assets	Capital WIP & Advance	Mines Development Expenditure	Others	Total
Carrying amount as at 01.04.2018	743.11	3392.91	4664.86	17960.47	26761.35
Amount provided during the year	1096.26	695.58	-	7124.04	8915.88
Amounts utilized against provision	0.81	-	-	8682.38	8683.19
Unused amounts released during the year.	-	-	-	-	-
Carrying amount as at 31.03.2019	1838.56	4088.49	4664.86	16402.13	26994.04

22. GRATUITY AND OTHER POST-EMPLOYMENT BENEFIT PLANS IN TERMS OF Ind AS 19 :

The Group has a defined benefit gratuity plan. Every employee who has completed five years or more of service gets a gratuity on departure at 15 days salary (last drawn salary) for each completed year of service. The scheme is funded through Life Insurance Corporation of India, SBI Life Insurance Co. Ltd. and India First Life Insurance and are managed by separate trust. During the year, the Group has also funded through Life Insurance Corporation of India and SBI Life Insurance Co. Ltd towards leave encashment. Expenses recognized in Statement of Profit & Loss, Other Comprehensive Income and Mine Development Expenditure amounting to ₹ 4732.36 lakh in respect of Gratuity, Leave Encashment and Leave Travel Concession which have been provided for as stated below.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

The following tables summarize the components of net benefit expense recognized in the Statement of Profit and Loss, Other Comprehensive Income and Mine Development Expenditure and the funded status and amounts recognized in the balance sheet for the respective plans.

(₹in lakh)

	Gratuity (Funded plan)	Leave Encashment (Partially funded Plan)	Leave Travel Concession (Non-funded Plan)
(i) Changes in Present Value of Obligation			
Present Value of obligation as on last valuation	16287.25	12671.78	139.11
Current service cost	826.82	995.51	—
Interest cost	960.87	820.94	—
Total Actuarial gain/loss	1676.21	1265.18	127.25
Benefits Paid	6249.25	2852.24	94.43
Present value of obligation as on valuation date	13501.90	12901.17	171.93
(ii) Changes in Fair Value of Plan Assets			
Fair value of Plan Assets at Beginning of period	23543.84	2911.19	
Interest Income	1716.93	223.48	
Employer Contributions	2800.00	3051.84	
Benefits paid	6249.25	2852.24	
Return on Plan Assets excluding Interest Income	—	—	
Fair value of Plan Assets at End of measurement period	21811.52	3334.27	
(iii) Table Showing Reconciliation to Balance Sheet			
Funded Status	8309.62	(9566.90)	
Fund Asset	21811.52	3334.27	
Fund Liability	13501.90	12901.17	
(iv) Expenses recognized in the Statement of Profit and Loss Account			
Current service cost	826.82	995.51	
Net Interest cost	(756.06)	597.45	
Actuarial (gain)/loss	—	1265.18	127.25
Benefit Cost (Expense Recognized in Statement of Profit/loss)	70.76	2858.14	127.25
(v) Other Comprehensive Income			
Total Actuarial (gain)/loss	1676.21	—	
Return on Plan Asset, Excluding Interest Income	—	—	
Balance at the end of the Period	1676.21	—	
Net (Income)/Expense for the Period Recognized in OCI	1676.21		
(vi) Table Showing Plan Assumptions			
Discount Rate	7.30% p.a.	7.30% p.a.	7.30% p.a.
Expected Return on Plan Asset	8.00%, 7.50%, 7.27%	8.00%, 7.50%	—
Rate of Compensation Increase (Salary Inflation)	6.00% p.a.	6.00% p.a.	
Average expected future service (Remaining working Life)	8 years	8 years	8 years
Mortality Table	IALM 2006-2008	IALM 2006-2008	IALM 2006-2008
	ULTIMATE	ULTIMATE	ULTIMATE
Superannuation at age-Male	60 Years	60 Years	60 Years
Superannuation at age-Female	60 Years	60 Years	60 Years
Early Retirement & Disablement (All Causes Combined)	1% p.a.	1% p.a.	1% p.a.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

The details of the plan assets as on 31.03.2019 towards gratuity & leave encashment are as follows: (₹in lakh)

Investment in Life Insurance Corporation of India	2580.64
Investment in SBI Life Insurance Co. Ltd	20448.28
Investment in India First Life Insurance	700.31
Fund with Gratuity Trust Savings Bank Accounts	1416.56
Total	25145.79

Actual Return on Plan Assets during the year - ₹ 1940.41 lakh.

The estimates of future salary increases were considered in actuarial valuation after taking into account inflation, seniority, promotion and other relevant factors. Further, the expected return on plan assets is determined considering several applicable factors mainly the composition of plan assets held, assessed risk of asset management and historical returns from plan assets.

23. The physical verification of Semi-Finished and In-Process (WIP) and Finished Goods is conducted departmentally in all the units at the end of the current year by a duly approved committee. Also, physical stock verification of WIP and Finished Goods is undertaken by an independent agency in all the units at the end of the financial year under review. In respect of stores and spares, physical verification has been conducted by the external agencies once during the year. Shortages/ (Excesses) identified on such physical verification have been duly adjusted in the books of accounts.
24. The physical verification of fixed assets which is required to be conducted every year so that all the units/offices are covered once in a block of three years interval. Physical verification of fixed assets has been conducted by external agencies in ICC, RCP, MCP, GCP, Bangalore Sales Office & H.O. during FY 2016-17, in KCC & Delhi Sales Office in 2017-18 and TCP & Mumbai Sales Office during the year. Shortages/(Excesses) identified on such physical verification have been duly adjusted in the books of accounts.
25. As per Ind As requirement, Mine Closure Expenditure is assessed to provide reliable and more relevant information. Accordingly Accounting Policy No. 2.14 has been modified and consequently profit of the Group is reduced by ₹ 163.00 lakh which includes past as well as current period expenses. However, the other changes in Significant Accounting Policies relating to Property, Plant & Equipment, Intangible Assets, Inventory etc are made to provide reliable and more relevant information without any financial impact on the accounts of the Group.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

26. Financial Instrument

1. Derivatives not designated as hedging instruments

The Group uses Commodity Futures Contracts to manage its commodity price risk. The Commodity Futures Contracts are not designated as hedging instruments and are entered into for periods consistent with commodity price risk exposure of the underlying transactions, generally from one to four months.

The Group uses foreign exchange forward contracts to manage some of its transaction exposures. The foreign exchange forward contracts are not designated as cash flow hedges and are entered into for periods consistent with foreign currency exposure of the underlying transactions, generally from one to four months.

Commodity price risk

The Group purchases copper blister/ anode on an ongoing basis for its operating activities in its Gujarat Copper Project plant for the production of cathode. To hedge itself against the volatility in LME copper prices in the international market has led to the decision to enter into commodity future contracts.

These contracts, which commenced in August 2016, are expected to reduce the volatility attributable to price fluctuations of copper. Hedging the price volatility of copper purchases is in accordance with the Risk Management Policy approved by the Board of Directors. The hedging relationships are for a period between 1 and 4 months based on existing purchase agreements. The Group designated only the spot-to-spot movement of the entire commodity purchase price as the hedged risk. It has been decided by the company not to follow the hedge accounting for these instruments.

As at 31 March 2019, the fair value of the open position of commodity future contracts is nil.

2. Financial Instruments by Categories

The carrying value and fair value of financial instruments by categories were as follows:

Set out below, is a comparison by class of the carrying amounts and fair value of the Group's financial instruments, other than those with carrying amounts that are reasonable approximations of fair values:

(Amount in ₹ lakh)		
Particulars	Total carrying value as at March 31, 2019	Fair Value as at March 31, 2019
Financial Assets at FV through Statement of Profit & Loss		
Mutual Funds	7.84	8.85
Derivatives not designated as hedges		
Future Contract Receivable on commodity	-	-
Total of Financial Assets	7.84	8.85
Financial Liabilities		
Derivatives not designated as hedges		
Forward Cover Contract Liability	-	-
Total of Financial Liabilities	-	-

3. The Management considers the Service fees of ₹15 lakh paid on the Exim Bank Term loan amounting to ₹ 30000 lakh drawn on 29.05.2018 as immaterial, as the amount of service fee was only 0.009% of the Turnover (FY 2018-19) of the Group and hence the same was not considered as a transaction cost in terms of fair valuation at initial recognition under INDAS 109. Further, the Management assessed that for the purpose of IND AS 109, the carrying value of loan is considered as its fair value as no loan could be provided at a rate lower than the rate of interest of Exim Bank loan for similar terms and conditions of the loan at that point of time.

Similarly, the Management considers the total of Upfront fees & Other charges of ₹ 245.33 lakh paid on the SBI ECB loan amounting to ₹ 17734.75 lakh drawn during July 2018 to January 2019 as immaterial, as the amount of such fees/ charges was only 0.140% of the Turnover (FY 2018-19) of the company and hence the same was not considered as a



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

transaction cost in terms of fair valuation at initial recognition under INDAS 109. Further, the Management assessed that for the purpose of IND AS 109, the carrying value of loan is considered as its fair value as no loan could be provided at a rate lower than the rate of interest of SBI ECB loan for similar terms and conditions of the loan at that point of time.

The Management assessed that cash and cash equivalents, trade receivables, trade payables, bank overdrafts and other current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale. The following methods and assumptions were used to estimate the fair values:

The Group enters into derivative financial instruments with various counterparties, principally with financial institutions having Investment grade credit ratings. Foreign exchange forward contracts and commodity futures contracts are valued using valuation techniques, which employs the use of market observable inputs. The most frequently applied valuation techniques include forward pricing .

4. Fair Value Hierarchy

Level 1 - Level 1 hierarchy includes financial instruments measured using quoted prices (unadjusted) in active markets.

Level 2 - Level 2 hierarchy includes financial instruments measured using inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 - Level 3 hierarchy includes financial instruments measured using inputs that are not based on observable market data (unobservable inputs).

The following table presents fair value hierarchy of assets and liabilities measured at fair value.

(₹ in lakh)

Particulars	Date of Valuation	Level 1	Level 2	Level 3	Total
Financial Assets at FV through Statement of Profit & Loss					
Non-derivative financial assets					
Mutual funds	31/Mar/2019	8.85	-	-	8.85
Derivative financial assets					
Future Contract Receivable on commodity	31/Mar/2019	-	-	-	-
Liabilities measured at fair value: "Derivative financial liabilities"					
Forward Cover Contract Liability	31/Mar/2019	-	-	-	-
Assets measured at FV through OCI	31/Mar/2019	-	-	-	-

5. Financial Risk Management

Financial risk factors

The Company's activities expose it to a variety of financial risks: market risk, credit risk and liquidity risk. The Company's primary focus is to foresee the unpredictability of financial markets and seek to minimize potential adverse effects on its financial performance.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

Risk	Exposure arising from	Measurement	Management
Market risk- Foreign Exchange	Future commercial transactions, Recognised financial assets and financial liabilities	Sensitivity analysis	Forward foreign exchange contracts
Market-Commodity Price Risk	Purchase of Copper	Price Sensitivity	Commodity Futures Contract
Credit risk	Trade receivables	Ageing analysis	Sales are mainly done against Advance or Letters of Credit
Liquidity risk	Borrowings and other liabilities	Rolling cash flow forecasts	Cash flow management

a) Market Risk

i) Foreign Currency Risk

The Group operates at international level which exposes the company to foreign currency risk arising from foreign currency transaction primarily from Imports and foreign currency borrowing. Foreign currency risk arises from future commercial transactions and recognised assets and liabilities denominated in a currency other than INR as on reporting date.

(As of March 31, 2019)

Particulars	₹ In lakh
Cash & cash equivalents	-
Trade Payables	-
Loans	68,007.12
Others (if any)	-
Net Assets/ (-) Liabilities	(-) 68,007.12

Sensitivity

The sensitivity of profit or loss to changes in exchange rate arises mainly from foreign currency denominated financial instrument.

Particulars	Impact on profit before tax March 31, 2019
Increase by 5%	(3400.36)
Decrease by 5 %	3400.36

ii) Commodity Price Risk

The Group's exposure to security price from copper price fluctuation in international market does not arise as the company hedges all its imports through Future contracts at LME.

b) Credit Risk

Credit risk refers to the risk of default on its obligation by the Debtors resulting in a financial loss. The company sells majority of its products either against Advance from Customers or Letters of Credit. Accordingly, credit risk from Trade receivables has not been considered as credit risk.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

Credit risk exposure

An analysis of age of Trade receivables at each reporting date is summarized as follows:

(₹ in lakh)

Particulars	31-Mar-19
	Gross
Not past due	-
Past due more than three months but not more than six months	29162.70
Past due more than six months but not more than one year	2247.62
More than one year	5687.28
Total	37097.60
Less Allowances for Bad & Doubtful Debts	942.77
Net Debtors	36154.83

Customer credit risk is managed by each business unit subject to the Group's established Marketing policy, procedures and control relating to customer credit risk management. Outstanding customer receivables are regularly monitored and any shipments to major customers are generally covered by letters of credit or other forms of credit insurance.

The maximum exposure to credit risk at the reporting date is ₹ 942.77 lakh for which full provision has been made in the accounts as disclosed in Note No 12.

Other financial assets

Credit risk relating to cash and cash equivalents is considered negligible because our counterparties are scheduled banks. We consider the credit quality of Term deposits with such banks as good as these banks are under the regulatory framework of Reserve Bank of India. We review these banking relationships on an ongoing basis.

c) Liquidity Risk

Our liquidity needs are monitored on the basis of monthly and yearly projections. The company's principal sources of liquidity are cash and cash equivalents, cash generated from operations.

We manage our liquidity needs by continuously monitoring cash inflows and by maintaining adequate cash and cash equivalents. Net cash requirements are compared to available cash in order to determine any shortfall.

Short term liquidity requirements consists mainly of Sundry creditors, Expense payable, Employee dues arising during the normal course of business as of each reporting date. We maintain a sufficient balance in cash and cash equivalents to meet our short term liquidity requirements.

The table below provides details regarding the contractual maturities of financial liabilities. The table has been drawn up based on the undiscovered cash flows of financial liabilities based on the earliest date on which the company can be required to pay.

(₹ in lakh as of March 31, 2019)

Particulars	On Demand	Less than 3 months	3 months to 1 year	1-3 years	3-5 years	5-7 years	Total
Short term borrowings (cash credit)	16503.81	-	-	-	-	-	16503.81
Short term borrowings (Others)	-	22702.84	-	-	-	-	22702.84
Long Term Borrowings	-	756.51	9982.04	32467.53	23147.58	1450.62	67804.28
Forex forward Contract	-	-	-	-	-	-	-
Total	16503.81	23459.35	9982.04	32467.53	23147.58	1450.62	107010.93

6. Capital Management

For the purpose of the Group's capital management, capital includes issued equity capital and all other equity reserves attributable to the Group. The primary objective of the Group's capital management is to maximise the shareholder value.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

27. INTEREST IN OTHER ENTITIES

SUBSIDIARY

The Group's Subsidiary at 31.03.2019 is set out below:

Unless otherwise stated, Subsidiary has Share Capital consisting solely of Equity Shares that are held directly by the Group and the proportion of ownership interests held equals the voting rights held by the Group. The country of incorporation or registration is also its principal place of business.

Name of Entity	Place of business / Country of incorporation	Ownership interest held by the Group	Ownership held by non-controlling interests
		31.03.19	31.03.19
Chhattisgarh Copper Limited	India	74%	26%

28. THE INCOME TAX EXPENSE FOR THE YEAR CAN BE RECONCILED TO THE ACCOUNTING PROFIT AS FOLLOWS : (₹ in lakh)

	Year ended 31.03.2019
Profit / (Loss) before Tax	23009.85
Income Tax expense calculated at 34.944% (34.608%)	8040.56
Effect of Deferred Tax balances due to the change in income tax rates	(60.05)
Income Tax effect of earlier years	472.18
Others (Net)	8.33
Income Tax expense recognized in profit or loss	8461.02

29. DISCLOSURE OF INTEREST IN SUBSIDIARY

Name of Subsidiary	Nature of relationship	Proportion of shareholding	Country of incorporation
Chhattisgarh Copper Limited	Subsidiary	74%	India

30. During the year 65,000 equity shares of face value ₹10/- each have been issued to Chattisgarh Mineral Development Corporation Limited by Chattisgarh Copper Limited for providing consultancy services and no consideration has been received in cash. This represents 26% of the share capital of Chhattisgarh Copper Limited.

31. The value of assets, other than fixed assets and non-current assets, have realizable value at least equal to the amount at which they are stated.

32. Gujarat Copper Project of the Group consists of three units namely, Anode Furnace (Smelter), Refinery and Kaldo Furnace valuing ₹ 27214.50 lakh as at March 31, 2019. The Anode Furnace and Refinery unit has been commissioned in October 2016 while Kaldo unit is yet to be commissioned. Since commissioning, the Anode Furnace and Refinery units are being operated at a sub optimal level for want of feed stock. GCP being a secondary smelter, the feed stock are copper scrap, copper blister, liberator cathode etc. The Group has not been able to source these materials in the required quantity resulting in suboptimal operations.

The profit margin of GCP will essentially come from the operation of Kaldo furnace which has the ability to process all types of secondary copper material including scrap. The second phase of refurbishment at GCP includes Kaldo furnace, converter, slag granulation, ETP, etc. which is completed during the current FY 2018-19 and test run has also being successfully completed with the low quality raw material copper content as low as 30% copper which is generated internally in other units.

Management is trying to make the project viable and exploring to source the scrap materials directly from the world market. It is expected that scrap materials will be available during the FY 2019-20 to perform at the desired level.

33. The previous year's figures and comparative are not applicable, being first reporting period of consolidated financial statements.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

38. GENERAL NOTES ON ACCOUNTS :
Additional information forming part of accounts for year ended March 31, 2019
38.1 Capacities, production, stocks and sales

Class of goods	Unit	Licensed capacity	Installed capacity (As certified by management)	Actual production	Opening Stock Quantity	Opening Stock Value (₹ in lakh)	Closing Stock Quantity	Closing Stock Value (₹ in lakh)	Sales Quantity	Sales Value (₹ in lakh)	Issued for internal consumption/ intermediate Products and others Quantity
Manufacturing Activities											
a : Main products											
1 Wire bar *	MT	39400	39400	-	-	-	-	-	-	-	-
2 Wire rod	MT	60000	60000	13866	51	226.02	160	653.63	13756	63861.13	-
3 Cathode including Toll Smelted Cathode	MT	99500	68500**	16215	440	1648.41	290	1206.61	2564	11870.82	13801
4 Metal in Concentrate	CMT			32439	20850	47859.28	16786	39933.39	21953	91087.80	14549
b : By products											
1 Gold	KG	264	698	-	-	-	-	-	-	-	-
2 Silver	KG	4763	9868	-	-	-	-	-	-	-	-
3 Nickel sulphate	MT	250	390	-	-	-	-	-	-	-	-
4 Selenium	KG	10000	14600	-	-	-	-	-	-	-	-
5 Sulphuric acid	MT	236000	236000	15445	1696	82.16	1266	98.36	14414	912.36	1461

38. GENERAL NOTES ON ACCOUNTS :

Additional information forming part of accounts for year ended March 31, 2019

38.1 Capacities, production, stocks and sales

Class of goods	Unit	Licensed capacity	Installed capacity (As certified by management)	Actual production	Opening Stock		Closing Stock		Sales		Issued for internal consumption/ intermediate Products and others	Quantity
					Quantity	Value (₹ in lakh)	Quantity	Value (₹ in lakh)	Quantity	Value (₹ in lakh)		
c : Allied and semi-Finished product												
1	Anode slime	MT	NA	48	6	289.27	25	1393.86	29	3291.45	-	-
2	Copper mould	MT	NA	-	-	-	-	-	-	-	-	-
3	Kyanite	MT	NA	-	-	-	-	-	-	-	-	-
4	Others	MT	NA	-	-	-	-	-	-	4320.29*****	-	-
d : Work in progress												
i)	Metal in Ore			35881	6541	7209.48	5762	8842.32	-	-	-	36661
ii)	Other WIP					16447.57***			7297.28****			
GRAND TOTAL						73762.19		59425.45		175343.85		

Note :

* Due to change in product demand, the Company is no longer making this product.

** Although the Installed Capacity of Cathode is shown as 99500 MT (KCC - 31000 MT & ICC - 18500 MT, GCP - 50000 MT), due to economic consideration the Company suspended KCC Smelter & Refinery from December 2008.

(₹ in lakh)

	Copper Sulphate	Revert	Liberator/ Electroworn Cathode	Magnetic/ Red/Copper Jam	Anode Slag	Copper Dust	Anode in floor/Anode in cell	Scrap	Others	Total	
*** Opening Work in progress includes											
Current year	178.97	2076.64	9.35	4.93	1743.48	-	2577.63	1304.64	8551.93	16447.57	
Previous year	170.01	1197.36	2.96	8.03	1005.84	0.36	10189.50	1263.46	7967.80	21805.32	
**** Closing Work in progress includes											
Current year	10.58	611.25	-	70.71	1.31	-	3348.59	692.23	2562.62	7297.28	
Previous year	178.97	2076.64	9.35	4.93	1743.48	-	2577.63	1304.64	8551.93	16447.57	
*****Other Sales value includes											
	Copper Sulphate	Revert	Anode Slime Credit	Liberator/ Electroworn Cathode	Magnetic/ Red/Copper Jam	Granulated Slag	Anode Slag	Copper Dust	Copper Ash/ Residue	Others	Total
Current year	717.04	2027.10	-	95.54	30.35	346.95	8.22	139.25	78.89	876.95	4320.29
Previous Year	99.12	-	-37.88	78.58	325.32	113.00	30.18	266.08	-	360.23	1234.63



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Contd.)

38. GENERAL NOTES ON ACCOUNTS (Contd.)

Additional information forming part of accounts for year ended March 31, 2019

38.2 Raw materials consumed

	Quantity	Value
	Year ended 2018-2019	Year ended 2018-2019
	CMT	(₹ in lakh)
Concentrate own production	14549	33438.35
Concentrate excluding own production	-	-
Cathode	-	-
38.3 Imported and indigenous raw materials, stores spare parts and components consumed (as certified by the management)		
RAW MATERIALS:	%	
Imported	91.58	5741.43
Indigenous	8.42	528.14
	100.00	6269.57
STORES & SPARES:		
(Direct and Stores & Spares booked in Mine Development, Shut-down and Fuel)	%	
Imported	4.14	882.50
Indigenous	95.86	20448.64
	100.00	21331.14
38.4 C.I.F. value of imports		
Raw Material		5741.43
Components, spare parts and stores		1444.00
		7185.43
38.5 Expenditure in foreign currency		
Travelling		85.64
Others		7185.52
		7271.16
38.6 Earning in foreign Exchange		
Export of Goods (FOB)		84267.33
		84267.33
38.7 Payment to Whole Time Directors		
Salaries and allowances		186.11
Company's contribution to provident and other funds		13.99
Re-imbursement of Medical expenses		0.53
Leave Encashment		13.23
Gratuity		10.00
Other Benefits		26.21
		250.07

Note :

In addition, the Whole Time Directors are allowed the use of company car for private purpose and have been provided with residential accomodation as per terms of their appointment/Government guidelines.



HINDUSTAN COPPER LIMITED

(CIN: L27201WB1967GOI028825)

Regd. Office: 'Tamra Bhavan', 1, Ashutosh Chowdhury Avenue, Kolkata - 700 019

Phone: 2283-2226, Fax: 2283-2676, E-mail: investors_cs@hindustancopper.com

Website: www.hindustancopper.com

Proxy Form

Name of the member (s):.....

Registered Address:.....

.....E-mail

Folio No. / Client ID DP ID:.....

I/We, being the member (s) of shares of the Hindustan Copper Limited, hereby appoint

1. Name:..... Address:

Email Id..... Signature.....or failing him,

2. Name: Address:

Email Id: Signature.....or failing him,

3. Name:..... Address:

Email Id: Signature:

as my/our proxy to attend and vote (on a poll) for me/us and on my/our behalf at the 52nd Annual General Meeting of the Company, to be held on Wednesday, 31st July, 2019 at 11:00 AM at Hall 6 (Auditorium at level 1), Biswa Bangla Convention Centre, Biswa Bangla Sarani, Block DG, New Town, Kolkata 700156 and at any adjournment thereof in respect of such resolutions as are indicated below:

Resolution No.

1.....2.....3.....4.....

5.....6.....7.....8.....

9.....10.....11.....12.....

13.....14.....

Signed this..... day of 2019.

Signature of Shareholder..... (Affix Revenue Stamp)

Signature of Proxy Holder(s).....

Note: This form of Proxy in order to be effective should be duly completed, stamped as per applicable laws, signed and deposited at the Registered Office of the Company not less than forty eight hours before the commencement of the meeting. Unstamped or inadequately stamped Proxies or Proxies upon which the stamps have not been cancelled are invalid. The Proxy holder shall prove his identity at the time of attending the meeting.



देश का ताम्र खनिक
THE COPPER MINER
TO THE NATION

If undelivered please return to:

HINDUSTAN COPPER LIMITED

A Miniratna Category - I Central Public Sector Enterprise
'Tamra Bhavan', 1, Ashutosh Chowdhury Avenue, Kolkata-700 019

CIN: L27201WB1967GOI028825

Website: www.hindustancopper.com

E-mail: investors_cs@hindustancopper.com

Contact No.: (033) 2283 2226

Fax: (033) 2283 2676